Astra Micro Wave (ASTRAMICRO)

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August 18, 2022
To
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Department of Corporate Relations
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To
The Vice President,
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The National Stock Exchange of
India Limited
Exchange Plaza
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Scrip code: ASTRAMICRO
Dear sir,
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on 12th
August, 2022.
This information is also uploaded on the website of the Company
www.astramwo.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
T.Anjaneyulu
G.M - Company Secretary
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R&D Centre: Plot No. 51 P. Bengaluru Aerospace Park(KIAD B). Survey Nos Parts of 36 to 40. Bengaluru North. K.S. - 562 149. Intertek

“Astra Microwave Products Limited Q1 FY23 Earnings
Conference Call”

August 12 , 202 2

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audio recordings uploaded on the stock exchange on 12th August 2022 will prevail

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR
MR. M. V. REDDY – JOINT MANAGING DIRECTOR

Moderator : Ladies and gentlemen , good day and welcome to the Astra Microwave Products Limited Q1 FY23 earnings conference call. As a reminder , all participant s■ lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing „*■ then „0■ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . S. G. Reddy – Managing Director, Astra Microwave Products Lim ited. Thank you and over to you , sir.
S. G. Reddy : Thank you , Aman, and good afternoon, everyone. I welcome you to this post results earnings call of our company. I am with my colleague, Mr. M. V. Reddy – Joint M anaging Director and SGA, our Investor Relations Advisors.
The results are taken on record at today's Board of Directors meeting . The results and the Investors Presentation are uploaded on our company website and stock exchange. I hope you had a chance to look at it.
As you are aware, we are in this business for the last 30 years supplying RF and microwave components subsystems and systems for Defense, Space and Communication Meteorology and Hydrology . We have always tried to and with a steady progress climbed up the v alue chain from subsystems to a high value -added systems company as of today .
On this call we would like to outline some of our product lines for greater understanding of our capabilities and expertise. We begin with our core area that is the radar s. We ha ve the capability to provide TRMs for active phase d array radar . We are adept at designing and developing all kinds of radar subsystems like power amplifiers, receivers and excite rs, filters, synthesizers, converters . In the area of signal processing and t he radar data processing we are in concurrent IP with other companies. You would be delighted to know that your company is developing radar systems like Ship Borne R adars, Coastal Surveillance Radars, Anti Drone Radars, Ground Penetration Radars, Telemetry Radars, Instrumentation Radars, etc. We enjoy joint IP rights with the DRDO labs for MM IC products for radar s and other communication systems.
The other area for expertise in different segments is Electronic Warfare. We have been supplying variou s kinds of EW subsystems and components such as Direction -Finding Receivers, Passive Ho ming Head for RF seekers used in NGARM , Jammers , Filters, Amplifiers, Receivers, etc. We have delivered EW systems and components to programs of Indian Air Force, Navy a nd Army. Another area in defense is the Telemetry. Ast ra has been supplying various subsystems for telemetry applications such as S -Band FM transmitter, Airborne RF Trans Receiver, Ground Up Down Converters, C and S Band Switch Antenna Systems, Telemetry Tracking Systems etc. Astra has been supplying various key microwave components and subsystems for ground and space -based payload applications. In addition to the above, we have the capability to provide required microelectronics for launch vehicle subsyste ms for private sector players.

We are also present in SATCOM and M SS terminals for communication during disasters . In the guided weapon segment, we have taken up the development of TetraHertz Proximity Sensor with DRDO which is an advanced version of prox imity sensor for guided weapons.
Our expertise and capabilities in these areas which I have spoken about puts us in envious position to partake a major stake in upcoming defense programs like Light Combat Aircraft, AATRU for AS PJ, AAAU for Uttam AESA Rada r, AAAU f or AEW&CS and many more. We take pride in being one of the few companies in India except Defense PSU, which has the capability of de

signing , developing airborne radars for fighter jet platforms. We expect to be
the beneficiary for Uttam airborne r adar for LCA M k1, Mark1 which is currently being tested.
We have been supplying Wind Profile Radars , Doppler Radars , Automatic Weather Stations to

IMD and we are one of the few companies in India which has the capability of designing and developing these radars.
With our persistent efforts our business mix is also evolving .Space and met eorology which combined ly contributed about 7% of our total revenues in FY22 will constitute about 16% of the order book as of January 2022. In the last five years Astra has grown at a CAGR of 20% and we are confident that in the coming years we will continue this rate as microenvironment for defense sector is very positive. On th e back of our deep domain expertise, we are able to create a solid diversified order book of about Rs. 1,663 crores which is executable in the next 12 to 13 month s period. During Q 1 FY23 we have received orders for about Rs. 253 crores.
Now coming specific to the standalone financial performance for the company for Q 1 FY 23, our revenues are about Rs. 161 crores which is a growth of about 34% year -on-year. Gross margin saw a small reduction from 39% to 35% due to increase in material cost . EBITDA stood at about Rs. 25 crores which is a growth of about 15.4%. The company reported profit after tax about Rs. 11.4 crores which is a growth of about 18% year -on-year. In terms of geographies, Indian market is about 61% whereas export is about 39%.
With this I open this floor for questions and answers. Thank you.
Moderator: Thank you very much . Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Rahul Jain from HNI Invest. Please go ahead.
Rahu l Jain: Firstly, I would like to thank you for an excellent presentation. Now I would particularly want you to clarify some numbers you've mentioned on slide 30 of your presentation. You mentioned that the business potential of Astra Micro is around Rs. 14 ,500 crores till F Y28. I just wanted to check how certain are we of the execution and is this business potential over and above the existing order book of Rs. 1,600 crores ?
M.V. Reddy: As we mentioned earlier though we talked about for the 3 years , next 5 to 6 years, the total outlook, business outlook, it appears to be that we have a fairly good potential of close to Rs. 15,000 to Rs. 18,000 crores of orders which are likely to come in our domain expertise . In that

I would say close to Rs. 8,000 crores we can say with 100% probability we can accept orders , in that the major chunk of business will come from the radar close to about Rs. 5,000 crores and then an electronic war fa re of about Rs. 1,000 crores and missile and telemetry put together around Rs. 1,000 crores and space and meteorology put together around Rs. 1,000 crores . This is what the potential emerges for us in the next 5 to 6 years.
S.G. Reddy: This is in addition to the existing order book. I think that is one of the clarification s you have sought .
Moderator: The next question is from the line of Amit Shah from A ce Securities. Please go ahead.
Amit Shah: Gross margins have fallen from 39 to 35 year -on-year. What are the major reasons behind the fall and how do you see this trend going forwa rd?
S.G.Reddy : Basically, the gross margin, we have to get into very micro details to explain in detail, but in general the fluctuation in gross margin is directly related to the product mix that is being executed on quarter -on-quarter. Therefore, it is not something which we have to really worry about. But t here is a small effect of the FE changes that has happened in the first quarter. Maybe about 1% to 2% has contributed to that, but otherwise it is not a trend to really worry

about.
Amit Shah: Okay, sir, could you please elaborate on the order book within the quarter and how does the pipeline look like for the remaining part of the year?
M.V Reddy: For the first quarter we have booked orders close to Rs. 280 cro res and in that the defen se segment is around Rs. 128 c rores and to be precise Rs. 77 crores from Radar and Rs. 34 crores from AW and Rs. 17 crores from Missile and Telemetry and Rs. 12 crores from Meteorology , Rs. 5 crores from the space sector , all put together it is around 282 crores. These are orders we have booked in the first quarter. Going forward from Q 2 we are expecting close to Rs. 400 crores in this from domestic close to about Rs. 380 crores and rest is export . In that again from radar segment we are expecting to book Rs. 2 75 crores, AW about Rs. 85 crores and Missile and T elemetry around Rs. 10 crores . This is the broad classification of order book for the Q 2 and Q 3 and Q 4 as of now, close to Rs. 250 crores worth of orders are in pipeline which probably we can book in Q 3 and Q 4.
Amit Shah: These orders will get ex ecuted in how much period ?
M.V. Reddy: Usually we have delivery schedules of 12 to 24 months. All these orders can be executed starting from Q 2 of next financial year.
Amit Shah: Okay, sir. Lastly sir, I had a quick look on the presentation, and we see some interesting additions to the products. Usually when you talk about the order book you give some color on the kind of project that you are wor king on. Could you be able to give some details on this aspect?

M.V.Reddy : We're working on many projects precisely like last call where we did mention that we are going to execute this AAAU for Uttam so that has been completed and we have delivered successfully. We are in the race of production and similarly for ITR we said we will be delivering that PAT M Telemetry Radar so that also is being delivered and few r adars like PCTR for again PX which is an advanced stage of completion and these are all about systems what I've been talking and the Doppler weather r adar for IMD we have completed the first contract of ten numbers and we have participated for tenders for the next requirement for the C&X Band and also we ba gged orders for Avalanche Radar that is under execution now and so these are all our systems and as far as the subsystems are concerned we have been working in various programs so few of them are in development stage and few are in the productio n. All put together I think whatever we have been mentioned in the last call, so it is in line with our guidance.

Moderator: The n ext question is on the line of Priyanka Shah from KK Advisors. Please go ahead.

Priyanka Shah: I have few questions. I was wondering if any further CAPEX is planned or required at your end to meet the growing order book and what kind of capital utilization are we working on?

S.G. Reddy: Yes, we need little bit of CAPEX that was planned in the last year itself. It is continuing in the current year. In terms of the absolute number in the present year we are spending about Rs. 12 crores of CAPEX .

Moderator: The next question is from the line of Subrata Sarkar from Mount Intra Finance, please go ahead.

Subrata Sarkar: This is regarding your business potential till 2028 which you have given. You have given like Radar and Counter Drone Systems potential of Rs. 8,000 crores . Can you just give a ballpark break up of that? Like how much will be ra dar and how much is counter drone or anti drone system ?

M.V.Reddy : I see that radar subsystems is about Rs. 2,500 cro res and AAAU and systems put together we have taken around Rs. 5,000 crores . This is a potential what we see in the next 5 to 6 years and then counter drone systems we have taken about Rs. 5,000 c rores and these are all major part of radars. In this as

I said out of Rs. 12,000 crores opportunity we are confident of booking Rs. 5,000 crores with 100% probability and the rest we hav e 30% to 50% probability as we have competitors in that segment and in EW, we have close to Rs. 2,000 c rores visibility for next 5 to 6 years. In these programs like Shakti , Dhara Shakti, Dolphin, Varuna, Nayan, Shruti and Imeshakti all put together it is about Rs. 2,000 crores opportunities are there for next 5 to 6 years. These 800 crores we are confident of booking with 100% probability and the rest we have competition so we can take it 30% to 50%. As far as the missile and telemetry , we have programs li ke Akash Oneness, Astra and Akash NG in all programs put together with the visibility of close to Rs. 3,000 cro res. In this we have taken about Rs. 1,000 crores with 100 % probability and the rest is 30% to 50% probability. These are all in defen se sect or and rest in

space and meteorology put together close to Rs. 1,000 crores we have potential to book orders. I hope I answered your question.

Subrata Sarkar: Yes sir. Regarding counter drone sir, I have two questions , as of now have you own ed any anti drone or counter drone order number one and second sir, I would like you to comment on this. What is the competitive landscape in anti-drone like? How many players are there generally in terms of whenever there is a beating and all those things? If you th row some light on that market sir?

M.V.Reddy : Well, I don't go in much detail in that but because last time as I said in last earnings call, we have taken basic technology from DRDO, and we are optimizing the design to suit various applications. To that extent I think we are progressing well. Probably I think next in 4 to 5 months we should be in a position to demonstrate our model to various users.

Subrata Sarkar: Okay, so as of now , it will take another 5 to 6 months to demonstrate our model, sir?

M.V.Reddy : Yes.

Subrata Sarkar: Perfect. Just one follow up question on the like I can recall like few quarters back on the con call we were contemplating the opportunity of som e fundraising for a new project or JV basically. Is that plan still on or like , no more require that sir ?

S.G. Reddy: Are you mentioning about any fund requirement for our JV?

Subrata Sarkar: Yes, if you can recall a few quarters back we were talking abou t the possibility of if we get into a specific project or some other JV then we were contemplating that we may raise fund at that point of time. What I mean to say sir, still we are like through KYP, or some other sources so are we, is that still open or we currently do not need any fund ?

S.G. Reddy: If I rec ollect correctly, we mentioned about a new product line introduction in our JV. This is about electro optics. This is a product line what we talked about and in fact we are very happy

to share with all of you that a fortnight back we have signed an agreement with our JV partner
and this product will be introduced into the JV in the near future , but as of today immediately
no funds are required and depending on how the project takes off so we have to tak e a call on
that fund requirement at a later date.
Moderator: Our next question is from the line of Bhavesh Shah from MK Ventures. Please go ahead.
Bhavesh Shah: My first question is , are we still maintaining a guidance of Rs. 850 cr ores and 10% PBT?
S.G. Reddy: Yes.
Bhavesh Shah: So there's no change in upward or downward revision.
S.G. Reddy: No.

Bhavesh Shah: The second question is on the consolidated financials ; you have reported a PAT of around Rs.
8 crores in the consolidated financials so is this loss on account of the JV which was
breakeven in the last quarter , you were talking about JV being breakeven this year right?
S.G. R

eddy: Yes, we mentioned that JV will break even in the current financial year but in the first quarter
still it is in red only.
Bhavesh Shah: So, what's the out look there? Are we expecting it to breakeven or loss es will continue?
S.G. Reddy: It will breakeven at the end of the financial year.
Bhavesh Shah: Okay , are we wi tnessing any execution challenges as like quarter on quarter of revenue has
declined so is this due to some semiconductor shortages or like what?
S.G. Reddy: No this is not due to the semiconductor shortages. There are some technical issues fac ed by the
JV in executing but all those issues have been resolved now and they will be exporting their
first con signment very soon.
Bhavesh Shah: Not only JV , on the main business I'm seeing like our revenue is declined quarter on quarter so
are we witnessing some execution challenges or what?
S.G. Reddy: Revenues have not declined in fact whatever we have given guidelines at the beginning of the
year we have been maintaining the same , like first quarter we said about Rs. 150 cror es we
have executed Rs. 160 crores. Similarly, for Q 2 we have given around Rs. 200 crores so we are
standing to that Rs. 200 crores and Q 3 and Q 4 put together it is around Rs. 500 crores which
are in pipeline for execution, so I don't see any major challen ges. There are issues of
semiconductors that the challenge is there all companies have been facing th is crisis but
somehow, we are managing for the current year we don't see any major challenges as far as the
component shortage for the revenues are concern ed.
Bhavesh Shah: From this fixe d asset what asset turn and what could be a maximum revenue potential from
this like the fixe d asset s we have , how much CAPEX will be required to achieve the Rs. 2,000
crores order book?
S.G. Reddy: I didn't get your question please.
Bhavesh Shah: I just wanted to understand from the current fixed assets we have what is the maximum
revenue potential can we have? Like how much is the maximum revenue potential from the
current fixed assets we have?
M.V. Reddy: Yes, actually the infrastructure and capital equipment what we have we can comfortably we
can book revenue wor th of Rs. 2,000 c rores, going beyond Rs.2,000 crores yes, we need to add
more capital equipment into the company , that we have already i nitiated the plan. Probably we
will come out with the action plan in a couple of quarters time, bu t otherwise yes, whatever
infrastructur e we have, we can comfortably book revenue of Rs. 2000 crores.

Bhavesh Shah: Okay. And sir just l ast question, what is the net debt balance and credit on cash figure as on
June quarter end?
S. G. Reddy : Again, your voice is not clear, but I assume that you are asking what is the cash position at the
end of the quarter?
Bhavesh Shah: Yes, cash and debt figure.
S. G. Reddy : Long term debt is about Rs. 18 crores, working capital is about Rs. 100 crores and the cash at
bank inclusive of the margin money for the deposits is about Rs. 51 crores .
Bhavesh Shah: Okay sir, thank you and all the best.
Moderator: Thank you. The next question is from the line of Rahul Jain from HNI Investment. Please go
ahead.
Rahul Jain: Hi, I just had a couple of follow -up questions based on your previous answers. My first
question is the Rs. 8000 crores that you said i s certain from Astra's business potential , could
you just shine some light on what is our potential margin profile on this and what can be our
bottom line from that revenue? And m y second question is we have a JV with Rafael . So,
could you just give a broa d outlook on what can we expect from this JV 4-5 years down the
line and what progress should we expect?

S. G. Reddy : I think in terms of the margins, it's too early to really talk about that, but otherwise these general standard margins

what we are enjoying for the defense and aerospace industry that we should be able to have. I would say that in terms of the gross margin that is sales minus material cost should be anywhere between 35% to 40%. That is how we look at it when we look at th e number of that Rs.8000 crores business potential . Then coming to the JV , as you are aware, currently it is executing supply of SDRs , i.e., Software Defined Radios, f or one of the Indian Air Force programs to Rafael. G oing forward it is working on a similar software defined radios for the Indian Army under the NCNC program , i.e., t hat is no cost no commitment program. It is investing close to about $7 million or $8 million to come out with the product, demonstrate to the Indian Army, then get the prod uct approved, then compete for the business. So, that is the kind of cycle it is going through. This is likely to get the technical approvals or demonstration is likely to get completed by second half of next financial year , then b asing on how successful t he product is, the company is going to b id further business . Then thirdly , as we said a few minutes back, it has signed an agreement with its JV partner for the electro optics business. This has a huge potential in the Indian market. Currently it is being procured under the global market, but it is likely to be in an Indian specific procurement going forward and therefore the JV is preparing for competing for this business in the Indian market in the years to come. Therefore, it has a very good product line on shelf . Going forward we have to see that how it is going to mature into the business.

Rahul Jain: Okay, thank you sir.

Moderator: Thank you . The next question is from the line of Prabir Adhikary from Ratnabali. Please go ahead.

Prabir Adhikary: Thank you , sir. First of all, thank you for providing this excellent presentation. I have two questions. First of all, out of this Rs. 253 crores of orders that you have bagged in this quarter, around 127 is from defen ce. So, c an you please tell us that what kind of order is this?

M. V. Reddy: You want the details of the orders?

Prabir Adhikary: Yes.

M. V. Reddy: In segment wise I have already given.

Prabir Adhikary: Just want to know the different orders that 127 that you have bagged from which program ?

M. V. Reddy: See, in this the major orders what we have bagged is from EW Subsystems, that is from Shakti and Nine program , that is about (+) 70 crore s. Then w e have order from DCX that is basically for supply to ELTA, t his is about Rs. 75 crores . Then we bagged orders from Caps, which is a space for Mark 1 Netra, that is S-Band TRML, that is about Rs. 7 crores. And we bagged one development contract fr om NS DL. This is something which we would like to highlight here. This is basically to provide communication from submarine to the sea surface on top shore. Though the order value is small, it's about Rs. 8.7 crores , but this has a huge potential. Once it gets through then we can provide this kind of a communication to all submarines . Then w e bagged order from Metallurgy segment s close to about Rs. 15 crores . So, t hese are all breakup of various orders which we bagged in the first quarter.

Prabir Adhikary: Okay . Sir, m y next question is you have an aspiration to be in the mini satellite market and my understanding is saying that SSL V is very much correlated with this mini satellite market. And recently SSL V has been launched by ISRO successfully. So, m y question is what kind of opportunity this SSL V program can bring to Astra ? And is t his over and above your existing program?

M. V. Re ddy: See, w e don't have much contribution in the launch vehicles. We only supply some components to the launch vehicles. But w e have major contribution in payloads, satellite payloads. We have been working on that

. Our space group , we're working to make pa yloads for the communication and also, they are planning to get into remote sensing payloads. That takes time, but we had already started working towards that.

Prabir Adhikary: Okay . Thank you, sir .

Moderator: Thank you. Next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari: In the defen ce segment could you just elaborate what sort of orders th ere would be in terms of whether it would be production or development ?

M. V. Reddy: We have both mix of development as well as production.

Akshay Kothari: As a part of our current order book, how much would be production and how much would be development?

M. V. Reddy: You mean to say total order we have on hand?
Akshay Kothari: Yes. Total order s, what percentage would be production and what percentage would be development?
M. V. Reddy: See, from R&D close to Rs. 300 crores in defen ce and rest all in production . I think out of (+) 600 crores, close to Rs. 350 crores are for the R&D, rest all in production.
Akshay Kothari : Okay. And sir the new orders o n the export side would be having gross margins of around 10%?
M. V. Reddy: It's close to 8% to 10%.
Akshay Kothari: So, I could not understand, so is it because our capacities are unutilized that we are taking these orders because we are at significantly lower than the domestic margins what we are making?
M. V. Reddy: See, Actually, we have taken this, we have booked these orders long time back and of course we are continuing the same projects. But t his is something like whe re with the BTP, we do not have any risk in executing this contract and the customer is providing the 100% cash flow, positive cash flow, and also with the infrastructure being provided by them , so w e have been continuing to work on this, I think, but gradually we are coming out of this. So, p robably down the line maybe after one or two years as business is getting ….because of no priority by global. So, w e focus more on BT S now. Even in the export mar ket segment we have been discussing with many OEMs for BTS opportunities and we are likely to close one deal maybe in few months, one of the US companies and which are in the advanced stage of discussions. So, like that in future going forward we are focus ing more on BTS specifications where margins will definitely be better. Yes, we are focusing more on indigenous develop R&D programs. The offset business will go down as next couple of years.
Akshay Kothari: Okay . And I would like to congratulate you on th e good order wins, but could you give some order misses which happened during the quarter , if there are any ?
M. V. Reddy: I didn't get you , come again.
Akshay Kothari: Sir, the orders which we were projecting in our pipeline would come to us, but it has go ne to someone else. Were there any orders of that sort?
M. V. Reddy: Actually, as I said, always we take a few contacts which are in competition, like with 30% to 50% and which we are sure of getting like with 100% probability. So that always we project.

Yes, this 30% to 50% where we have in competition, few orders we lose and few orders we bag.
Akshay Kothari: Okay. And sir, you t alked about we have taken a technology for anti-drone from DRDO. So how does it go? Do we make some payment to DRDO for the technology, or we develop it together? What is the process actually ?
M. V. Reddy: See, there is agreement terms, so we don't want to discuss the agreement terms. But a s I said, we have taken th is technology from DRDO, and we are building the system. And a s I mentioned repeatedly, we are optimizing that design to suit wider applications. So, that is what actually we have been working on that and in few mon

ths■ times we will come out with our own product.
S. G. Reddy : At least there is no upfront payment for the technology transfer.
Akshay Kothari: Okay. And t his has been exclusively provided to Astra .
M. V. Reddy: No. That license was given to, I think, six companies.
Akshay Kothari: Okay, thanks a lot and all the best.
Moderator: Thank you. Next question is from the line of Abhijit Mitra from ICICI S ecurities. Please go ahead.
Abhijit Mitra: Just to understand , one of your competitors in recent calls they mentioned about two radars scaled down version of space surveillance radar and ultra-high frequency bandw idth radars where the potential final products or projects can be each Rs. 1000 crores . So, did we participate , were the margins sort of unfavorable to sort of compete? What were your thoughts as to why we couldn't be the L1 there ?
M. V. Reddy: See, i n a c ompetitive environment , like every company will have some strategy to be done to get into that. Yes, we did participate in those tenders which you are referring. We lost it and because the kind of margins where they bid for it , it is nowhere close to us. S o maybe I think it is their strategy to bid for it, but for us it was not comfortable at all to bid for that particular margin .
Abhijit Mitra: So, just to understand the margin profile here. What is comfortable margin profile for you for these kinds of tenders, is it 10%, 20%?
M. V. Reddy: It all depends upon like what are the programs like, what are the future potential and what kind of products it will have, like production, quantity, it's all like we take all those factors into mind while working out costing. It is not a fixed margin level where we operate and , so it depend s upon case to case, project to project, application to application. We'll have our own

strategy to bid for it.

Abhijit Mitra: Okay. And then t here was recent news flow of again p roject for development and realization for mobile radar hardware. Essentially there also we could see your name and some very familiar competitors. So, w ould these dynamics be sort of similar or your bidding strategy are similar here and how to look at thi s? I mean these tenders potentially this looks like big tenders.
M. V. Reddy: See, we do have big tenders. As I said when I have given this projected the numbers so these are all like high potential big tenders for various programs . Like that I have not go ne to th e specific of each and every program when I mentioned about in radar domain, we have a clear visibility of Rs. 12,000 crores in next five to six years. So, in that we are very confident of booking Rs. 5,000 crores with 100% probability with various programs. So, I'm not listing down all the programs where we are currently developing, or we have already developed which few of them are in production and all, but this is certainly we can book Rs. 5,000 crores with 100% probability . And the rest Rs. 7000 crores w hat we se e the visibility in that we may have to compete with one or two players and there we took 30% to 50% the probability. So, like that we've worked out and I have given this numbers.
Abhijit Mitra: Got it. And j ust to understand this Rs. 5,000 crores which you have mentioned, how is it spread out? I mean, is it concentrated across say 6 to 10 projects or there would be say at least 20 to 50 projects across which this Rs. 5, 000 crores will come. So how is the concentration ? How is the conc entration risk is what we want to understand.
M. V. Reddy: A major chunk of business, we are expecting in FY24 -25, I think it should give us 50% of it, then balance 50% maybe another three, four years. That is what it is actually as per today. Because it all depends on the government , these are all government projects, it depends on even the funds availability, budget al

location and program outlay . So, all these factors also should consider. So, I think that was the reason why I said five to six years we should take this time frame. But a large chunk of business we can expect in F Y25 and FY25.
Abhijit Mitra: In terms of order inflows. So, I was more asking about the number of projects over which this Rs. 5,000 crores is distributed. I s it fairly con centrated, say five to ten projects or is it like numerous numbers of projects like 20 to 50…
M. V. Reddy: I would say 10 to 12 projects .
Abhijit Mitra: 10 to 12 projects can give Rs. 5,000 crores of order inflow.
Abhijit Mitra: Yes. Where you are 100% co nfiden t, where there are no competitors essentially.
M. V. Reddy: Yes, that's right.
Abhijit Mitra: Okay, great, thanks. That's all f rom my side.
Moderator: Next question is from the line of Ketan Gandhi from Gandhi Securities. Please go ahead.

Ketan Gandhi: You mentioned about entering into optoelectronics with the JV partner. Is it an existing JV partner or the new JV partner?
S.G.Reddy : This is existing JV. We have added this product line into this JV portfolio.
Ketan Gandhi: That is our Rafael JV, right?
S.G.Reddy : Yes, that's right.
Ketan Gandhi: Thank you.
Moderator: Thank you. Next question is from Subrata Sarkar from Mount Intra Finance. Please go ahead.
Subrata Sarkar: Just a follow up on this counter drone s ystem, sir. So, I suppose apart from you , L&T, Adani, who are the other companies out of the six companies who have received this? And i s this for soft kill only, sir?
M. V. Reddy: This is soft and hard kill both and this apart from the I think …actually we should not name other companies in this our investors call. Better I think you get this information from DRDO. But there are about six license s that have been given and this is both hard kill and soft kill options are there.
Subrata Sarkar: Okay. Sir, just one clari fication, these licenses are like on -tap, what I mean to say only these six companies will be visible or like this is open anybody who additionally can apply and can be get evaluated .
M. V. Reddy: I'm not sure what is DRDO policy but that time it selected six companies to give this license. But going forward we don't know. They may even consider, and few companies can approach them and all. But a s of now I think only six compan ies got these license s.
Subrata Sarkar: Okay sir. Thank you .
Moderator: Thank you. N ext question is from the line of Jayesh Shah, as an individual investor . Please go ahead.
Jayesh Shah: Good evening, sir. Can you throw some more light on the progress on the submarine antenna

front and what can be the total potential in terms of its contribution to order book? And i f you can just let us know who all would be your competitors in this space, please?
M. V. Reddy: In this i t is a totally new development work we have taken with the DRDO . And this in competition we won, and this timeline is within 14 months we should complete the development portion and once we are through, I think as o n today, no one has this complete solution. I think probably if we can complete successfully, we will be t he first one to make this communication from submarine to the sea surface as far as the Indian companies are concerned.

Jayesh Shah: And sir, w hat is the size of this order?
M. V. Reddy: It is roughly about 9 crores for one system which we got in toto and future we have to see.
Moderator: Thank you. Next question is from the line of Prabir Adhikary from Ratnabali . Please go ahead.
Prabir Adhikary: I have two questions. I want to understand this structure of the system that you are developing. Like Uttam, LR, MA part, where you are making AAA which is roughly 60% to 70% of the

entire system. So, f or the remaining 30% will you outsource, or will you integrate the entire system?
M. V. Reddy: The AEC radar, that technology is given to H AL. So, H AL is go ing to integrate . Whereas our AAAU we've been making total AAAU, and we would be supplying to the production agenc ies like H AL. But o therwise, the radar technology as o n today it has been given to HAL So, HAL is going to build a total radar system.
Prabir Adhikary: Okay . Sir, my n ext question is you are also making TRM for the long-range radar . Are these related to the long-range tracking radars having 600 to 800 km s range which is called the swordfish . And i f it is so, what kind of TRM is required for this?
M. V. Reddy: I won't compare with that swordfish and all. B ut th is is yes, if the range is whatever you mentioned is correct around that range is being designed. And t his is a TR module in L Band, we have suppl y to DRDO.
Prabir Adhikary: How much TRM is expected in each radar?
M. V. Reddy: I think your voice is breaking, can you come again?
Prabir Adhikary: Is it possible to throw some light about the number of TRM is required for making …
M. V. Reddy: Number of TRMs, okay. Quantity y ou are asking about . So, I think the quantities like each radar will have c lose to, I think, 600. I'm not sure exact number, but I think it should be around 600 numbers.
Prabir Adhikary: Okay, great. That's all from my side. Thank you.
Moderator: Thank you. L adies and gentlemen, that would be our last question for today. I now ha nd the conference back to the management for the ir closing remarks. Thank you and over to you.
S.G.Reddy Thank you everyone for joining the call. We hope we have been able to answer your queries. For any further information, I requested to get in touch with SGA, our investor relations advis ors. Thank you very much and see you again at the end of second quarter. Thank you.
M.V.Reddy : Thank you.

Moderator: Thank you very much . Ladies and gentlemen, on behalf of Astra Microwave Products Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2022

40 ASTRA MICROWAVE PRODUCTS LIMITED
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November 17, 2022
To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai-400 001
Scrip code: 532493
Dear sir, To
The Vice President,
Listing Department
The National Stock Exchange of
India Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051
Scrip code: ASTRAMICRO
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on 11 th
November, 2022.
This information is also uploaded on the website of the Company
www.astramwp.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
T.Anjaneyulu
G.M - Company Secretary
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“Astra Microwave Products Limited
Q2 FY2023 Earnings Conference Call ”

November 11, 2022

MANAGEMENT : MR. S.G. REDDY - MANAGING DIRECTOR - ASTRA MICROWAVE PRODUCTS LIMITED
MR. M.V. REDDY - JOINT MANAGING DIRECTOR - ASTRA MICROWAVE PRODUCTS LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY 2023 Earnings Conference Call of Astra Microwave Products Limited. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. The se statements are not the guarantees of future performance of the company and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to as k questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded. I now ha nd the confere nce over to Mr. S. G. Reddy, Managing Director. Thank you, and over to you, Sir!

S G Reddy : Thank you, and good afternoon to everyone. A warm welcome to all the participants to the post results earnings call of our company. I am with my colleague, M r. M.V. Reddy and SGA, our Investor Relations Advisors . The results of the company and investors presentation for Q2 FY 2023 are uploaded on our company website and stock exchange. I hope you ha d a chance to look at it. I am happy to inform you that we have reporte d a very good performance for Q2 and H1 FY 2023 and our margins have improved substantially. Before we discuss further about the performance and recent developments, let me give you an update on ongoing projects and activities.

Few radars like PPTR for DRD O is at an advanced stage of completion. We expect to deliver this in the last quarter of the current financial year. In the previous quarter, we had completed the first contract of 10 numbers of Doppler weather radar for IMD. We have participated for tend ers for the next requirement for C&X Band DWR for IMD and we are pleased to inform you that we have emerged a successful bidder in C -band case.

Orders for first Avalanche Radar is under field acceptance stage as of now. We have taken new development work with the DRDO on submarine antenna front end. The timeline for this is 12 months and we should be able to complete this development portion. The size of this radar is about R s.9 Crores for one system and we have completed suppl y of subsystems for DRDO's lo ng range radar that is LRR. As far as the subsystems are concerned, we have been working in various programs. A few of them are in the development stage and few are in the production phase.

Regarding the performance in this quarter, I am happy to update y ou that we have reported an excellent performance for Q2 and H1 with our margin profi le improving substantially, which was driven mainly by domestic business. Due to our efforts, our business mix is evolving and we have been focusing on increasing our dome stic business. Self-reliance in defense has been the foundation of India's new defense production policy. Atmanirbhar Bharat Abhiyan has created good origins for the Indian defense companies and this is

 giving a clear push to our domestic business. Further , we will continue our focus on buil t to specification, that is a BTS opportunities for our domestic as well as global customers and we believe that with a higher focus on BTS, we can sustain our healthy margins.

Order book of Rs. 1850 Crores as of Septemb er 30, 2022 echoes these trends. Of the total order book, 68% of the orders are domestic orders and the rest 32% are export orders. Major part of our order book is executable in the next 12 to 38 months period. In the quarter gone by, we have successfully executed sales for about R s.178 crores , defense contributing for about 63% and the rest from the exports, space and meteorology. Within the defense, radar and EW segments are the major contributors.

Coming to specific numbers in the standalone performance for Q2 FY 2023, the revenue stood at about Rs.170.9 Crores for Q2 as against R s.176.8 Crores for Q1. That is a degrowth of 3.4% year -on-year. For half year, year -on-year growth is about 12%. Gross margins have almost doubled from 20.6% to about 40.4%. This shift is largely due to on account of lower exports and higher contribution of domestic sales. For half year, the year -on-year growth is about 51%. EBITDA margins has multifold increased from R s.10.6 Crores to about R s.40.5 Crores with margins improving f rom 6% to 24%. For the half year, the margins have moved up to 20% from 11%. The company reported profit after tax of about R s.22.6 Crores as against R s.2.9 Crores with margin going up to 13% from 2%. For the half year, it has improved to 10% from 4%.

In terms of the exports and domestic, domestic is about 72% and exports is about 28% and for the half year, our respective numbers are 77% and 33%. Capital expenditure incurred during the period is about R s.9.5 Crores . It is largely for new equipment like tes ting equipment, et c. Our net debt as of September 30, stood at about R s.80 Crores . For the coming quarters, we expect to do sales of about R s.200-plus Crores . Within th is defense is likely to contribute above 70% and the rest will be from export , space and metrology sectors.

Before I open the floor for Q&A, I would like to emphasize that over the next five to eight years, the business outlook is very strong and we see close to about R s.15000 Crores to Rs.18000 Crores of prospects in the area of our domain expertise. We have adequate infrastructure and capital equipment to do annual revenues close to about R s.2000 Crores . With this, I open the floor for question and answers. Thank you.

Moderator : Thank you very much, sir. Ladies and gentlemen, we will now b egin the question and answer session. Our first question is from the line of Ketan Gandhi from Gandhi Securities. Please go ahead.

 Ketan Gandhi : Sir, what did you say in the last comment, next quarter turnover or next half turnover? Did you mention anythin g?

S G Reddy : Sorry, I did not get your question. Next half year , now what I have stated is for the next quarter, that is for Q3, we are likely to do about R s.200-plus Crores .

Ketan Gandhi : Okay, can you speak something about AATRU for ASP J, where we are i n terms of the development and when we can see the product coming into the production?

M V Reddy : Yes, we have delivered the AATRU for the first order and those AATRUs are being fitted in the aircraft. I think it is going on the flight test and the second order is under execution. In fact, we are going to deliver first unit by end of December.

Ketan Gandhi : And Sir, this will be fitted into LCA Mark 1, Mark 2 or all the LCA and other s?

M V Reddy : All LCA Mark 1 and as well as Mark 2.

Ketan Gandhi : Okay. Sir , any development on the ma n-portable SDR from our JV, because I believe we had received a proto order of 36 or 32 units and field trial was going on , so any update on that?

M V Reddy : Yes. We are almost nearing completion stage. I think in the next couple of months, we will be able to demonstrate this. I think we are getting rea

dy for the NCNC.

Ketan Gandhi : Okay and sir, how many players are in the list for this apart from us?

M V Reddy : Exact number, I do not know, but I think more than 10 companies are there.

Ketan Gandhi : More than 10 companies, okay. Sir, can you explain the TetraHertz Proximity Sensor , is it in the D band and where we are in terms of the development?

M V Reddy : Yes, it is in development. I think mostly by December, we should be in a p osition to deliver prototypes.

Ketan Gandhi : It is in the D band , right?

M V Reddy : That is right.

Ketan Gandhi : Okay and sir, in the presentation, you have mentioned about the bidding for the whole radar system, is it Doppler radar or defense -related rada r?

 M V Reddy : We have both Doppler weather radar as well as the military radar. The one which we have mentioned this Doppler weather radar, we have executed in our X band, and we completed the first order and in the next tender, we bid for both C as well a s X band and we are successfully , we become L1 in C -band and unfortunately, we are not in X band in this second order we were L2. So we are getting C band order in the second tender. And as well as the other military radar, which in fact, we mentioned in t he PPTR for DRDO, that is getting ready, most probably by March, we can supply this and commission in DRDO .

Ketan Gandhi : And Sir, my last question is next year, can we expect a turnover in the north of R s.1000 Crores ?

M V Reddy : Yes, that is what we are t argeting.

Ketan Gandhi : Thank you, Sir. That is all from my side.
Moderator : Thank you very much. Our next question is from the line of Raj Rishi, an Individual Investor. Please go ahead.
Raj Rishi : Just wanted to kind of what is your competitive edge beca use with the kind of opportunity which is perceived , a lot of players are coming in Indian and foreigners also. So what is the edge which Astra Micro have ?
M V Reddy : Basically, if you look at the technology where we operate. We are first ones to enter int o this and we have the maximum technology in control. For example, you take in active phase that is radar, wherein it is not only the TR model. Today, there are many companies entered into this business , but no company has the main components of the TR mod el. Like we have our own MMICs, which is being used in the TR module and with that, we can play around with TR module and then we can offer a multifunctional chipset and also we can offer an advanced version of TR model with a different power range and tha t is how actually we have a competitive edge over others and apart from that, yes, we do have RF technology in other areas. With that, we could successfully design these systems, which are more RF - intensive base.
Raj Rishi : Thanks a lot.
Moderator : Thank y ou very much. The next question is from the line of Ziya Verma from M R Securities. Please go ahead.
Ziya Verma : Thanks for the opportunity. I have two questions. Firstly, you mentioned about BTS opportunity in domestic and international market. I am curio us to understand more on this front, especially for the export market. Can you throw some light on that part?
 M V Reddy : We are discussing with some U.S. companies as well as Israeli companies for BTS market. We are in the field of subsystems and also rece ntly, we have discussions with one of the major U.S. company to develop system , I do not want to give more details as it is yet to take final shape , but these are opportunities com e in our way and by seeing our technological strength, they have been giving us this design services to us to develop jointly in few cases and then to develop based on their spec so that we can have contract s for global market.
Ziya Verma : Secondly Sir, the new orders that you r

eceived this quarter, how much of those orders are BTS versus BTP orders? Can you give some broad estimates?
M V Reddy : Majority of them are in BTS because in domestic, we do not have any BTP orders as such. Only the exports orders only we take under BTP category. So if you see the order book in Q2, whatever we book, overall, R s.42 Crores , we have booked in this. I think it is only about R s.6 Crores only we have booked for the export front, but the re st all are domestic , but of course, in this one case, where we booked from B EL, that is, of course, it is unde r BTP category. That is about R s.200 Crores , the rest all are in BTS.
Ziya Verma: All right, Sir. Thank you. That helps . Thank you and all the best.
Moderator : Thank you very much. Our next question is from the line of Abhishek D ave from Bright Securities. Please go ahead.
Abhishek Dave : Thank you for the opportunity. Congratulations on a good set of numbers. I wanted to know more about our space business. Can you give a little brief about it, how it is growing and are the margins better over here compared to defense business?
M V Reddy : The space business, we have order backlog close to R s.200 Crores , where margins are reasonably good as compared to defense and the only thing is that the cycle time is more as compared to defense. Going forward, as you know, in space, the government took initiative to transform , they introduce the reforms and the clarity we know , we do not have full clarity going forward on the satellite. But at least in the strategic satellites, what we understand that ISRO is still going to build this satellite, in that we continue to be part of ISRO and as far as the communications satellites, yes, it all depends on how the other industries also gear ed up to meet this particular demand. Even in our case also, we are looking to build payload s for the communication as well as for the strategic applications. Going forward, business wise, yes, it is lucrative , but the only thing it takes some time for us to get into this.
Abhishek Dave : Okay. Thank you f or the opportunity. That was from my end.
Moderator : Thank you very much. Our next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.
 Akshay Kothari : Thanks for the opportunity. I wanted to know the current working cap ital, so you can see cash flow from operations are been negative , any major because inventory of receivables have increased and decrease in contract liabilities. Is it because of execution?
S G Reddy : Yes, the major liabilities, which were there earlier pertaining to the advances received for

the expor t sales. The sales are getting executed. The advances are coming down and hence, those liabilities are getting reduced. But otherwise, the working capital position as of today, we have a net liability of about R s.80 Crores excluding cash at bank. Generally , the working capital or the inventory build s up towards the end of second quarter because we see substantial building happening in the later half of the year. That is one reason. The other reason, specific to this present area is that there is one radar p rogram, which we are executing, where the revenues are likely to happen only in the next year. It is SPR radar, that is a ship borne radar. So for that, a significant amount of raw material procurement is happening presently and most of the work that is be ing done with reference to th at project is sitting as a work in progress as an inventory. That is another one. Thirdly , during the second quarter, there was one significant billing which has got slipped into the third quarter, where the entire work in prog ress and the raw material pertaining to that program is sitting there in the books of accounts. Of course, that was executed in the month of October. So these are the three or fou

r reasons why the working capital is slightly higher for this balance sheet date.

Akshay Kothari : Okay. Sir, regarding the decrease in contract liability since we have received around Rs.300-plus Crores of new orders, wo uld not we have received some sort of advances from these customers?

S G Reddy : No. Generally, for the domestic o rders as explained earlier now, most of the order booking, whatever has happened up to now either from the domestic front and we do not get much of advances from the domestic order booking unless it is an R&D work order. Therefore, we have not received sig nificant advances in the current financial year.

Akshay Kothari: Okay. Sir, secondly, what was the reason for lower export order execution in this quarter?

S G Reddy : That is expected only that is what we are telling slowly, the export revenues will tap er off, but whatever execution that is due as per the purchase order terms that is going on. But whatever is done is as per the terms of the purchase order .

Akshay Kothari : Okay. So unlike what we have in domestic business, your export business would be quart er-on-quarter fl at, it seems, right? Because our export order book is increasing.

S G Reddy : No, I do not think it is increasing. I do not think we have had much of export order book happened in the last one year and this is expected only.

 Akshay Kothari : I am talking on the quarter -on-quarter basis, of course...

S G Reddy : Actually, the last two quarters also, we hardly have any export orders. Basically , last quarter, because of short shipment of few components, we could not do as we expected, we are short of Rs.15 Crores to Rs.20 Crores in last quarter.

Akshay Kothari : And Sir, any update on Astra Rafael Comsys JV, which we have. So is that JV , what is the order book currently? Are you doing any loss on that front?

S G Reddy : Yes, Astra Rafael as of today, there is a book loss because it s production and deliveries are yet to happen. Probably by the end of this financial year, we should be improving. Deliveries have just commenced from the month of October , I am confident by the end of the next financial yea r, it will turn profitable

Akshay Kothari : The order book would be around in Astra Rafael ..?

S G Reddy : Order book in Astra Rafael, I do not have that number immediately probably we will come back to you on that. I do not have that number with me. I will come back and apart from this execution of the orders on hand, it is also participating in manpower version of S DR radar, SDR under the NCNC basis that is no cost, no commitment basis. As explained to somebody else before you , this product is getting ready for the demonstration by this calendar year end.

Akshay Kothari : Okay. Your views, any updates on the recently happen Def Expo any MOUs, any significant traction, which we have received over there?

M V Reddy : We have new technology transfer from DRDO for ground penetrating radar . Apart from that, we had a fruitful discussion s with those who have participated through their Indian sales office and we are expecting to enter into some kind of a partnership agreement for a few products that I think probably in due course of time, we will reveal that. Otherwise, yes, it was a good show as it was fully focused on the Indian companies and products , so we had opportunity to interact with all services offices and then also we discussed about the potential systems, wh at we can do and also what we can address to their requirement.

Akshay Kothari : That is good. Sir, lastly, in this quarter that declassification of promot er. So I just wanted to have more clarity on who is the current promoter? Is there any one or how are things getting managed, whether it is through them or board is making any decisions? How is it going?

S G Reddy : The declassification of the

promoters is a continuation of the existing, as informed , most of
the promoters have taken a back seat in terms of day to day operations. Therefore people
who are not active, they would like to get declassified. That is the reason why the action
 was taken , but otherwise, founder, Mr. Chitrakar, he continues to be an active promoter in
the company and that is a status a s of today.
Akshay Kothari : Thanks a lot and all the best.
Moderator : Thank you. Our next question is from the line of Prabir from Ratnabali . Please go ahead.
Prabir : Thank you, Sir, for providing me the opportunity. Sir, I have a couple of questions. First of
all, the first time it has been mentioned about the service order out of the total order book.
So please tell us something about what is this about?
S G Reddy : The service order s pertains to our weather metrology products, the metrology products as a
part of the purchase terms, they carry a warranty maintenance for a period of five years
from the date of installation and commissioning. So whatever the orders we have disclosed
as a part of service order , the entire amount pertains to weather -related pro ducts.
Prabir : Sir, this quarter, you have booked an order inflow of around R s.340 Crores , so where
defense is roughly R s.330 Crores . So can you please tell us from which segment of defense
it has come?
S G Reddy : In the order book of Q2?
Prabir : Order inflow, it has received around 340 out of that defense.
M V Reddy : That from radar segment, we booked close to R s.243 Crores and in EW, that is Electronic
Warfare segment, we booked R s.80 Crores worth of orders and in missile electronics close
to R s.5 Crores and in met eorology and space put together about R s.10 Crores we have
booked.
Prabir : Sir, this long -range multifunction radar that is the ship borne radar. So can you tell us like
what is the cost of this kind of radar and what is the potential of it for t he company?
M V Reddy : I cannot mention the cost of this, but the potential is definitely we have good potential as
the first radar what is being built by DRDO and to be supplied to Indian navy , once it is
successful, definitely, we will have multiple numb ers in next seven to eight years time.
Prabir : Okay , recently, government has come out with a make 2 order for Manpack SDR. So how
our company will participate or whether we participate or not?
M V Reddy : We are participating through our JV that is Astra R afael Comsys. As I mentioned, we are
getting ready for a demonstration.
 Prabir : Okay and as per your latest presentation, you have mentioned that NavIC model, which will
have an imm ense scope of application going ahead. So can you give us a sense that how big
the opportunity can be for our company?
M V Reddy : Yes. The market is very huge and we are developing , we have developed base band chip of
NavIC receiver and we are trying to build this NavIC receiver s. Currently , it is in the
qualification stage. Once we get qualified, I think we build the total receiver to be supplied
for the applications like vehicle tracking unit and many other applications. As far as the
market size is concern ed, we have a huge market potential for this.
Prabir : Okay. My last quest ion is what is your current employee strength?
M V Reddy : We are about 1,450 employees.
Prabir : That is it from my side. Thank you Sir.
Moderator : Thank you very much. Our next question is from the line of Bhavik Shah from MK
Ventures. Please go ahead.
Bhavik Shah : Congratulation on a good set of numbers. Sir, I want just understand first, what is the
development o n the electro -optics and Anti Drone front? Is there any update?
M V Reddy : Yes, electro -optics, we are addressing through our JV. That is Astra R afael Co

msys. In the
last quarter itself, we signed this agreement with our partner and we are trying to address
RFPs through this technology being developed by Rafael initially and going forward, we
would like to set up the design house for this electro -optics in our joint venture. As far as
Anti-Drone is concerned, as I mentioned in previous earnings calls also, we are developing
radar with basics DRDO technology and refining it to suit to the user requirement. It is
getting ready. I think mostly by Janua ry or February, I think we should be in a position to
demonstrate that.
Bhavik Shah : Okay and Sir, on the SDR front, we have invested around R s.30 Crores , if I am not wrong.
So what kind of revenue potential we see there?
S G Reddy : Our investment in the J V is about Rs.20 Crores as of today. Overall, the JV has about Rs.40
Crores as an equity. Presently, the JV is executing the S DR order under the offset
requirements for Rafael Israel , but going forward, now it is getting product ready for the

Manpack SDR u nder NCNC program, almost more than six to seven companies are
competing for this. In case if we are the winners, there is a huge potential for this product
line. The numbers are there, revenue numbers or opportunities are really huge. But
otherwise, it is main focus is going to be SDR and the electro -optics business.
 Bhavik Shah : Okay and Sir, you guided for R s.210 Crores revenue in Q3, So which leaves us around
Rs.300 Crores for Q4 , if you go by the previous guidance of R s.850 Crores . So, is that even
like achievable or will it be difficult?
S G Reddy : No, I do not think we have given any number in earlier con call. It would take overall
Rs.850, what we have given originally, for Q3, we are planning to book revenue of R s.200
plus and in Q4, we are trying to do as much as possible. I think we will have a better clarity
by another couple of months. Most likely, we are trying to touch this figure , but in case if
we miss out maybe some 5% kind of a sales probably may miss out because of a few
components which ar e expected in last quarter are getting delayed because of that, our
production of some kind of 5% may get affected , but today, it is too early to say that. I think
maybe another couple of months, we will be in a position to tell how much we can do in
Q4.
Bhavik Shah : Thank you so much and all the best.
Moderator : Thank you very much. Our next question is from the line of Amit Dixit from ICICI
Securities. Please go ahead.
Amit Dixit : Good evening, everyone, and thanks for the opportunity. Congratulations for a good set of
numbers. I have a couple of questions. The first one is, if I look at your gross margin, it has
remained quite lumpy increasing meaningfully in this quarter perhaps because of lower
share of exports. However, in subsequent slides, you had qu antified that you would like the
ideal share of export s to be 30 and 70. So just wondering what kind of gross margin you are
looking at? Because now we are expanding meaningfully, you hinted at R s.1000 Crores of
revenue aspiration , so what is the correspon ding gross margin aspiration and if you can let
us know what kind of gross margin you make separately between domestic and export.
S G Reddy : We said very repeatedly, the export business is a BTP, build to print. Therefore, the gross
margins are around 8% to 10%. Whereas the domestic, even though we cannot really
standardize what could be, but you are asking me what is your ideal expectations. Our
expectations are about 30% to 40% kind of gross margins we expect as we go forward.
Amit Dixit : Okay , wonderful , Sir. The next question is on Slide #31, where you have highlighted the
long term business potential till 2028. So just wanted to understand category wise, you can
mention whether there are some PSU also involved in these and there would b

e something
on a nomination basis to PSU , what is the realistic market share we c an expect out of this
business potential of R s.14500 -odd Crores ?

 M V Reddy : I think we have given that breakup in last earning call . But anyway, in that, as I mentioned
we have given about R s.8000 Crores with 100% probability in that R s.14000 to R s.15000
Crores , major chunk of business, we are expecting from radar segment is about close to
Rs.5000 Crores and EW is around R s.2000 Crores in missile and telemetry put together
Rs.1000 Crores . Thi s is what the broad categorization of whatever we have mentioned in
the previous call. For the next six years, we have mentioned about R s.8000 Crores , we can
book with 100% probability.
Amit Dixit : Okay. That is very helpful. Thank you and all the best.
Moderator : Thank you. Our next question is from the line of Vignesh I yer from Sequent Investments.
Please go ahead.
Vignesh Iyer: I just wanted to know about the H2 that you have an estimate of booking around R s.200
Crores for the Q3 and around maybe R s.270 Crores to Rs.280 Crores in Q4. I just wanted to
know what kind of margin profile are you looking for? Will we be seeing something similar
to what is in Q2?
S G Redd y: More or less, it will be similar to what is achieved in Q2. There may be a slight correct ion
downwards, but more or less, it should be on the same lens.
Vignesh Iyer: Okay and what would be the mix of domestic and export in H2?
S G Redd y: In the Q2, the domestic is going to be close to about 80% to 85% and the balance will be
exports.
Vignesh Iyer: In H2, right?
S G Redd y: Yes, in H2. Specifically Q2, I gave the number and Q3 and Q4 also more or less similar
kind of numbers will be there.

Vignesh Iyer: Okay , it is more of 85% and 15% and we expect it to be more or less similar, right?
S G Reddy : Yes.
Vignesh Iyer: Thank you Sir. That is all from my end.
Moderator : Thank you. Our next question is from the line of Alisha Mahawla from Envision Capital. Please go ahead.

 Alisha Mahawla : Good evening Sir. Thank you for the opportunity. My question is also with respect to margins like the earlier participants. So do you see a sustainable gross margin more in the line of 30% to 40%?
S G Reddy : Yes.
Alisha Mahawla : Okay, and R s.1000 Crore revenue aspirations for FY 2023 or FY 2024?
S G Reddy : Sorry, what is the number you said?
Alisha Mahawla : Rs.1000 Crores revenue aspiration that you called out?
S G Reddy : 2023, 2024 is aspiration , yes.
Alisha Mahawla : Okay , so in FY 2024. All my other questions have been answered. Thank you.
Moderator : Thank you very much . Our next question is from the line of Raj Rishi, an Individual Investor. Please go ahead.
Raj Rishi : I just wanted to understand, generally, we do not see this kind of low promoter holding in this size company , so any comments as to how come the promoter stake in the company is so low and any issues with regards to operations or prospects?
S G Reddy : No, there are no issues regarding operations and prospects. In fact, the low promoters we are seeing for the last five years, now the company has grown. But h istorically, this company has a low promoter state because the company was promoted by techno crats with a very low financial asset. Historically, yes, it has the low promoter sta ke.
Raj Rishi : Thanks a lot.
Moderator : Thank you. Our next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.
Akshay Kothari : Thanks for the opportunity again. Currently, we have 1,450 employees. So in order to fulfill our orders , would there be an increase with employee count?
S G Reddy : Yes, defi nitely as we grow in the topline additions are required, but we have a significant amount of existing

employee force to take care of immediate growth needs .
Akshay Kothari : Our borrowings have increased significantly. I think they are around R s.150-plus Crores levels and so in order to get more orders, would our borrowings keep on increasing? Or what is the plan?

 S G Reddy : Most of the borrowings are working capital borrowings. Therefore, as we grow, I think the working capital requirements will be going up . So, the incremental increase will be there in the working capital borrowing. But we do not have significant long term borrowing.
Akshay Kothari : I understand , but in order to grow on the domestic front as we are en visaging , of course, the likely funding plan would be through borrowings, right?
S G Reddy : Yes.
Akshay Kothari : Okay and Sir, any specific dividend policy we are having?
S G Reddy : Yes. We have a policy of paying in the range of 20% to 25% of the profit after tax of the company.
Akshay Kothari : Sir, lastly, you mentioned that we have capacity to generate revenue of around R s.2000 Crores . So I just wanted to know that since what actually led , what was the driving factor for this capacity expansion and post that, what things were.. whether it was something related to markets, which went wrong, we went into the export market which went wrong, so what exactly was the reason for the decline in revenues and what actually happened in the past?
S G Reddy : What we have mentioned is a basic infrastructure available with the company. When we say basic infrastructure, land, buildings and the capital equipment that is required and to go forward, the incremental addition that is required will be only in terms of adding a little bit more of capital equipment and having the right manpower , so our intent of making that statement is that we have the basic infrastructure ready to do business up to R s.2000 Crores . Nothing has gone wrong in terms of forecast what was made by the company.
Akshay Kothari : Okay. I underst and. Thank s a lot.
Moderator : Thank you. We have a question from the line of Santanu Chatter jee from Mount Intra Finance Private Limited. Please go ahead.
Santanu Chatterjee : Thank you Sir for this opportunity. Sir, any guidance on the order book can be re ceived during FY 2023?

S G Reddy : As of today, the prospects , we are likely to book close to R s.1000 Crores , but details, I think I can share only in the next concall.
M.V. Reddy : You are talking about FY2024 right?
Santanu Chatter jee: I am talking about fo r the rest of the year, sir, for FY 2023 and FY 2024 as well?
 M.V. Reddy : So this year, for Q3 and Q4, we are likely to book close to R s.300 Crores .
Santanu Chatter jee: Rs.300 Crores over and above that R s.1800 crore plus order book, right?
M V Reddy : Yes.
Santanu Chatterjee : Next year, as we are saying that next year, you are expecting more or less R s.1000 crores order book?
M V Reddy : Yes, that is what prospect s we have to book R s.1000 Crores , but it is, I can share it in the next concall .
Santanu Chatterje e: Okay, Sir and what is the total amount of capex for FY 2023, Sir?
S G Reddy : The capex FY2023, overall, we have projected about R s.50 Crores capex for the 2021, 2022 and 2022, 2023. I think in the previous year, we did about R s.25 Crores or so and the balance, we are doing it in the current financial year.
Santanu Chatterjee : Thank you Sir.
Moderator : Thank you very much. Our next question is from the line of Daksh Bohra from Arihant Capital. Please go ahead.
Daksh Bohra : Thank you for taking my question. I am sorry I joined late, I just wanted to know that the next year's order book that we have of R s.1000 Crores , if I am not wrong. Sir, the margins for that, how would we see?
S G Reddy : We have mentioned, we will

get into the details in the next quarter probably at that point of time, we should be able to throw some light on the margins also.
Daksh Bohra : Okay. I will get back in line if I have any other questions. Thank you.
Moderator : Thank you. Our next question is from the line of Raj Rishi, Individua l Investor. Please go ahead.
Rai Rishi : You mentioned that your capacity, you can go up to Rs.2000 Crores turnover, right?
S G Reddy : Yes.
Raj Rishi : Any sort of vision as to which , how many years do you think you can target that kind of revenue? Just have an internal vision ?.
 S G Reddy : Vision is at the earliest, may be three to four years from the next financial year. We would like to reach it there.
Raj Rishi : Thank you.
Moderator : Thank you. Ladies and gentlemen, that was the last question. I now hand t he conference over to the management for closing comments.
S G Reddy : Thank you for everyone for joining the call. We hope we have been able to answer your queries satisfactorily. For any further information request you to get in touch with S GA, our Invest or Relations Advisors . Thank you very much and I hope to see you again at the end of the third quarter. Thank you.
Moderator : Thank you members of the management. Ladies and gentlemen, on behalf of Astra Microwave Products Limited, that concludes this conf erence call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

February 15, 2023
To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
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To
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Listing Department
The National Stock Exchange of
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Mumbai 400 051
Scrip code: ASTRAMICRO
Dear sir,
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on 10th
February, 2023.
This information is also uploaded on the website of the Company
www.astramwp.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
T .Anja neyu l u
G.M - Company Secretary
Works:
Unit 1: Plot No. 12, ANRICH Industrial Estate, Boilaram, Medak Dist., Telangana State - 502 325
MIMM)
0, Unit 2 : Plot No. 56A, ANRICH industrial Estate. Bollaram, Medak Dist., Telangana State - 502 325
Unit 3 : Sy. No. 1/1 ,lmarath Kancha. Raviryala (Vii). Maheshwaram (Mdi) R.R. Dist., Telangana State - 500 005
Inte k Unit 4 : Sy. No. 1/1, Plot No. 18 to 21, imarath Kancha. Hardware Park, Raviryala (V). Maheshwaram (M) R.R. Dist.. IS. - 500 005
r e R&D Centre : Plot No. 51 P. Bengaluru Aerospace Park(KIADB).Survey Nos Parts of 36 to 40. Bengaluru North, K.S. - 562 149.

“Astra Microwave Products Limited Q3 FY23 Earnings
Conference Call”

February 10, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio
recordings uploaded on the stock exchange on 10th February 2023 will prevail

MANAGEMENT : MR. S.G. REDDY - MANAGING DIRECTOR , ASTRA
MICROWAVE PRODUCTS LIMITED
MR. M.V. REDDY - JOINT MANAGING DIRECTOR ,
ASTRA MICROWAVE PRODUCTS LIMITED

MR. ATIM KABRA – DIRECTOR (STRATEGY &
BUSINESS DEVELOPMENT), ASTRA MICROWAVE
PRODUCTS LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Astra Microwave Products Limited Q3 FY '23 Earnings Conference Call.

This conference call may contain forward -looking statements about the Company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder , all participant s' lines will be in listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. S. G. Reddy – Managing Director. Thank you, and over to you, sir.

S. G. Reddy: Thank you, Vikram, and good afternoon to everyone. A warm welcome to all the participants to the fourth earnings call of our Company .

I am with my colleague, Mr. M.V. Reddy – Joint Managing Director; and Mr. Atim Kabra – Director (Strategy & Business Development); and SGA, our Investor Relations advisers.

The results and Investor Presentation for the 3rd Quarter ended are uploaded on our website and the stock exchanges. I hope you have an opportunity to look at it.

I am happy to inform you that we have reported another quarter of stellar performance and recorded our highest ever quarterly profitability. We achieved a record EBITDA and PAT of 453 crores and 30 crores, respectively, for the quarter ended December. For 9 months period, we have delivered 86 crores of PBT, which is our guidance for the entire year.

This quarter is a good quarter, not only in terms of sales and profitability, but also in terms of products delivered by the company. We have delivered the following systems to our customers during the quarter. Radiation mode test and evaluation facility, 7.3-meter antenna system for ITR, ST Radar for Calcutta University and PATM 2 for ITR.

We expect to deliver about 270 crores of sales during quarter four and reach an overall top line of about 825 crores. Bottom line at the PBT level will be about 110 crores. We expect to end the year with an open order book of about 1,750 crores. For the next financial year, we are confident to book about 900 plus crores orders and deliver top line of about 950 crores and the bottom line at PBT level of about 135 crores.

Long -term view for the next 5 years ending 2028, we are confident to deliver accumulative top line of about 8,000 crores and carry over order book of 6,000 crores at the end of 2028. During these years, we are confident to deliver bottom line at PBT level of 15% to 18% of revenue.

Before I open this discussion for question and answers, I introduce my new colleague, Mr. Atim Kabra, who joined our Board as a whole -time director taking off looking after business and strategy development from 1st January 2023. Atim, I warmly welcome you.

Atim Kabra: Thank you, S. G. And hello, everybody. As a fellow shareholder in my mind, I represent all shareholders. And I am very excited by what I see in potential business at Astra. My desire is that we delight Astra with radars, that we know that our company is a key enabler in electronic warfar

e , and a key enabler of missile subsystems.
We know Astra as being a key player in satellite space. And lastly, its products in meteorology and weather segments are important for the nation. We are looking at a significant growth phase for the company, which has delivered a very healthy return to its shareholders with a 5, and we are looking at a 5-year cumulative sales execution for cost of close to $1 billion in gross sales. To put it in perspective, that's nearly 10 times our current sales trajectory cumulatively. And we hope to grow our order book alongside to a very, very healthy number at the closing of year 5. Even better is that we expect this rear-ended sales growth to be with improving margins and rising return ratios.
Kudos to our R&D team, which is developing multiple exciting products under the leadership of our Founder, Director, Mr. Chitrakar. And as Astra continues to go up the value chain, we are right up there in systems and solutions already.
We are proud to be a part of Aatma Nirbhar Bharat. While we continue to work with our valued partners from overseas and progress in our ARC JV with Rafael , Israel is a proof of this besides our esteemed export partners. That's our vision. That's our very simple story . And we will explain as we go along in the question -and-answer session. S.G., M.V.?
S. G. Reddy: Yes. Now this forum is open for question and answer.
Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. We have our first question from the line of Hitanshu Bhatia from Gandhi Securities. Please go ahead.
Hitanshu Bhatia : Congratulations on a great set of numbers Sir, I have two questions. One is on the 31st page of the investor presentation, you mentioned NavIC and GPS receivers. So, could you throw some more light on the prospects of it?
And the second would be that we have bid for the tender alongside some private players like Alpha Design, Elena Geosystems and also Manjeera Digital Systems. So, what was the outcome of that tender with regards to the NavIC and GPS I am talking about? Has it been awarded to us?
And I mean also, I believe we have a customer relationship with the company Manjeera Digital Systems. So, could you also elaborate on our relationship with Manjeera as well?

M. V. Reddy : So, this is regarding NavIC systems. As we have mentioned in last investor call, we have invested in a startup company called Manjeera Systems with their professional in this VLSI design and all. So, they are developing baseband chip and for NavIC products. And with using that chip, we are developing subsystems like receivers for various applications , and also tracking units , like vehicle tracking unit center, which are in development phase. So, currently, the baseband chips are in the final stages, and we expect these particular chips to get qualified from ISRO in the next one month timeframe. So, probably in the 6 months to 8 months timeframe, we should be, you know, demonstrate these subsystems for NavIC applications. This is what we have a road map as far as NavIC is concerned.
Hitanshu Bhatia: So, the potential in the NavIC and GPS receiver, if you could throw some more light on it?
M. V. Reddy: Huge potential is there. In fact, with the kind of applications which we are targeting, next 5 years, we should have at least about 2,000 crores worth of business , minimum business, what I am talking about from the different sectors.
S. G. Reddy: I will add to this that to the best of our knowledge, there are only 2 companies in India, which are developing this chip.

So, around this chip, once it is approved, there will be not only us, but other guys also who would be developing the subsystems, which are the receiver models, which M.V. is talking about.
We will initially compete probably with imported chips . And we are very well placed in terms of our costing and margins over there. So, this could be a very huge business as the business , as the story translates into real-life applications.
Hitanshu Bhatia: So, the only doubt that I have is that if you have a customer relationship with Manjeera and you would be competing with them on the same tender, so how would that go out?
M. V. Reddy: See, basically , initially, we competed. But now we are working together.
Hitanshu Bhatia: So, now there would be no conflict of interest with Manjeera and us then ?
M. V. Reddy: Yes.
Hitanshu Bhatia: And with regards to the tender that we...
M. V. Reddy: Actually, if you look at that, we have a relationship with only for 1 particular product. Other products even within NavIC feature, we may compete.
Hitanshu Bhatia: And in regards to the tender that we had bid, so have we won the NavIC tender with the Ministry of Electronics affairs? Or what's the outcome of that tender, sir? Has the result come out yet?
M. V. Reddy: No. We on price front, actually, we are not there. But as I mentioned , Manjeera won the first order, where we are invested in a particular product to get developed. But otherwise, the second tender where we have participated on the price front, we lost it. .

Moderator: Thank you. Your next question from the line of Riya Verma from NR Securities. Please go ahead.
Riya Verma : I just had two questions. Firstly, on the gross margin side, as there is an increase in our quarterly margin for two consecutive quarters now, I just wanted to understand the sustainability of these margins. So, if you could please elaborate a bit on the reason for this margin improvement , and how sustainable these factors are in the future ?
S. G. Reddy: The margins delivered by the company at the end of Q3 are sustainable for the future. In fact, you can see an increment from now on. Your other question is, how the change in margins has occurred? I didn't get your first question.
Riya Verma: Sir, I was just saying this margin improvement, what are the factors behind this? And is it sustainable?
S. G. Reddy: Yes. It is sustainable that I already answered. In fact, it can improve. But the improvement is coming in because of the change in the sales mix of the company. As explained in the past many times, the domestic sales carry a higher margin compared to the export sales. Up to now, the export sales are almost equivalent or more than the domestic sales . Going forward , the mix is skewed towards domestic. Therefore, the increase in margins is happening. Improvement in the margins is happening.
Riya Verma: And one more question. What would be the long-term sustainable PAT margin levels according to you?
S. G. Reddy: So, PBT levels, I already said. Probably 15% to 18% is the one which is sustainable.
Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments.
Vignesh Iyer: Sir, I heard you are saying like revenue of 950 crores is expected , you are expecting around for FY '24. And you mentioned 135 crores , what number did you mention 135 crores?
S. G. Reddy: Yes, you heard it correctly.
Vignesh Iyer: 135 crores of what? I mean, is it the PBT level s?
S. G. Reddy: PBT levels.
Vignesh Iyer: All the commentary on order book that you are expecting around 900 crores, can you explain to us, what is

the area you are targeting , and you are expecting to get majority of the orders from?
Like, say, if you could just say, if it's from the missiles , or which area of the defense ? Just a ballpark number will do.
M. V. Reddy: For next year, close to 1,000 crores we are targeting to book. Out of 1,000, 930 are from the domestic sector. In that, Defense and Aerospace together close to 750 crores , and from space

sector about 100 crores. Meteorology and Hyderology put together about 80 crores. And the exports, we have planned to book 150 crores.
Vignesh Iyer: And in exports also, we have almost like a similar margin profile to domestic?
M. V. Reddy: No. In exports , out of 150 crores, 50 crores is from BTS, again is BTS contracts , and 100 crores BTP, which is of low margin.
Moderator: Thank you. We have next question from the line of Ketan Gandhi from Gandhi Securities. Please go ahead.
Ketan Gandhi: Sir, as a follow -up on NavIC, the tender which we have lost, is it in L5 band or L5 and S dual band module ?
M. V. Reddy: There's a dual band.
Ketan Gandhi: So, now we are working on L5 or S-band?
M. V. Reddy: Yes, L5.
Ketan Gandhi: L-5, okay. And government, is there any mandatory fitment of the NavIC chip into mobile telephone and all the other equipment?
M. V. Reddy: Yes. We expect these policies to be out. I think , government , in fact, what we heard is government working towards that. And the only thing is that waiting for the more manufacturer in this particular domain. Like, you know, only limited players have come with the indigenous development. Now , once we see a greater number of players will be there, then I think probably policies can be made. That is what we heard about from different agencies.
Ketan Gandhi: And sir, in ISRO document, it's written that L5 band 's expected cost per unit is around Rs. 5,000 and L5 and S dual band is around Rs. 10,000 per unit. Is that understanding correct?
S. G. Reddy: Yes, you're right.
Moderator: Thank you. We have the next question from the line of Pulkit Jhunjhunwala an Investor.
Pulkit Jhunjhunwala : Just wanted to get some clarification on the fundraising that we had proposed to raise 400 crores. Any ideas on that? Could you give us some clarity?
S. G. Reddy: Sure, we are on the job. Right now, the members voting is going on. And yes, we are on it.

Probably , you will come to know more developments maybe in the next fortnight.
Pulkit Jhunjhunwala: And is it like an issue of shares ? Or like which model are we going for in order to raise that 400 crores. There will be dilution.

S. G. Reddy: Yes, it will be dilution.
M. V. Reddy: Just to clarify, the resolution is for up to 400 crores.
Pulkit Jhunjhunwala: And just while we are on it, I would just like to get the management's perspective on why do we need this capital at this point in time? Is it for working capital for future orders?
S. G. Reddy: No, it is a mix of both. Primarily, as you know, the Defense Procurement Policy , there is a drastic changes have come in where the government is encouraging the private sector to take the risk, invest in new product development, get the product developed, so that the companies can compete as and when this business is available.
And also because of this import embargo, a good amount of opportunities available for the private sectors to identify their key areas where they have the expertise. And we should be able to take that financial risk in developing those products and be ready for demonstration as and when those opportunitie

s arises.
The majority of this QIP or the fund raise is to make the company financially strong so that it can invest in these technologies and develop their products. A small portion of that, of course, is there for working capital. But I would say that the majority of that is for this kind of new product developments.
Moderator: Thank you. We have the next question from the line of Subrata Sarkar from Mount Intra Finance. Please go ahead.
Subrata Sarkar: Sir, couple of questions. First, sir, can you clarify one more the target which you have given for 2000 like after next 5 years, what kind of revenue and order book we were expecting that you told like can you redo it once more, sir, for better understand ing?
S. G. Reddy: For the next 5 years, starting from the financial year '24, we should be able to do a cumulative sales of about 8,000 crores. Cumulative sales of about 8,000 crores. And at the end of the year 2028, we should have an order book of about 6,000 crores.
Subrata Sarkar : Sir, now from our presentation in 27 or slide 27, you have mentioned like we have expertis e in, you have given the expertise of various players across segment. And there we have mentioned like we have system expertise. So, can you just elaborate a little bit, like which systems we are talking about , and what is the potential of that system, sir?
S. G. Reddy: In fact, first of all, no, your voice is not very clear. It is breaking away. If we have heard it correctly , you would like to know what kind of expertise we have in the systems. Am I right?
Subrata Sarkar : Yes, sir. You have mentioned like we have system expertise. So, I just wonder a little bit more elaboration on that.

M. V. Reddy: Systems, you know, we have already started delivering radar systems. And we build a systems group within Astra addressing radar and electronic warfare.
In Electronic Warfare segment, we just initiated designing the systems for airborne applications and as well as for the ground application , whereas in radar, we are already delivering this telemetry tracking radars and also small range surveillance radar . And we are developing counter -drone radar. And also, we are planning to develop bird detection radar kind of radars we have in pipeline.
So, likewise, we have developed the system expertise within the company. And apart from that, in the future, going forward, in space domain also, we are trying to build payloads, satellite payloads.
Subrata Sarkar : Last question , you have mentioned about like media purpose of this fundraising is major part will go for new product development. So, if you can elaborate again a little bit more , like which area, or which specific product we want to be prepared with so that there is a new opportunity comes from the government side, defense side, we can explore that? So, if you throw some light on what are the areas and new products we are trying to develop with these new funds?
S. G. Reddy: There are many projects which we could see having good potential , you know, in future and which have been already come under import embargo. So, there we have picked up few projects . And also based on the responses what we have sent and what we are having that confidence to develop, so we could take the few project s development, which are basically in domain of radar and electronic warfare in defense. And as far as the satellite is concerned, we are also getting into the defense payloads. These are the few important projects which we picked up.
M. V. Reddy: Yes, we will not be able to share the names of the product.

S. G. Reddy

: You know the negative list, which have come out, right? There are more than 400 items are in the negative list.
Subrata Sarkar : Yes, that's a major list.
S. G. Reddy: Out of more than 400 items in the negative let, we are right now operating in probably 40, 45 items only, which are in our domain, out of those 400 plus, of which we are operating currently in around 15 which leaves us with a huge amount of products and which we can fill in, in the negative list alone, while we are developing a whole range of other products in the segments which M. V. Reddy just mentioned.
Moderator: Thank you. We have next question from the line of Viraj Shah from Shah Investments. Please go ahead.
Viraj Shah : Just wanted to know, are we expecting any orders from Hindustan Aeronautics with respect to the new helicopter plant ?

M. V. Reddy: From HAL, we are expecting orders for that LCA, Uttam radar , and also going forward, other airborne radar s what we are going to develop for the airborne platforms.
Moderator: Thank you. We have next question from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit : First of all, congratulations for a good set of numbers. I have couple of questions. The first one is essentially, if you look at the Q4 results of, you know, other companies like HAL, BEL , even BDL , they were tagged low on execution. So, going forward, do we see a risk of some of the orders that we were expecting getting delayed in FY '24 for BEL in particular ?
M. V. Reddy: As of now, whatever the numbers which we have mentioned, I think , we have a good probability in booking these orders . And this is as on date, whatever visibility we have, with that only we are presenting this. I think we should be in a position to book this 1,000 crores order in next year.
Atim Kabra: But Amit, we are not a quarterly driven company. Amit, we are not a quarterly driven company . Right ? So, I think you have to look at this on a rolling quarter basis. There may be delays . Some critical components may be delayed coming, etc., etc.
So, I think this company is not a company where you can put in place a quarterly number and expect that we will hit that number every possible time, right? I think M. V. Reddy and S. G. Reddy have done a tremendous job in terms of exceeding the targets which have been set out, you know.
But be cognizant that there could be delays in the system itself, which can sometimes push the numbers out. And sometimes, maybe we can get lucky also. And we can be getting some excellent orders, which we may not have anticipated.
You are aware that recently, there are four Doppler radars were dedicated to the nation. The minister came out and said that he is expecting Doppler radar s to be installed all over the country. Now that's a massive business, which we had not anticipated. But we will be getting a product. We have delivered 10 Doppler radars to the country at this point in time. And that's a significant piece of business, which is evolving, which was not anticipated also.
Amit Dixit : The second question is essentially, if it is possible to provide the breakup between BTS and BTP orders, I mean, as far as the execution is concerned in this quarter? And going forward, what would be the mix that you would be targeting between BTS and BTP?
M. V. Reddy: For the current quarter, we don't have any BTP export s order. But going forward, next year, as I mentioned, out of the 150 crores, which we are expecting from the export segment, 50 crores from the BTS and 100 crores from the BTP. Rest all in domest

ic, as you know, all are BTS orders. We don't have any BTP in the domestic business.

Moderator: Thank you. We take the next question from the line of Bhavik Shah from MK Ventures . Please go ahead.
Bhavik Shah : Sir, I just wanted to understand the developments on the anti-drone front. So, you are going to demonstrate it by January or February , if I am not wrong , you have mentioned in the last call.
So, sir, any update on that front?
M. V. Reddy: Yes. We are going to demonstrate it very soon. I think it's in the final testing stage. Definitely , we will hear good news in the next few weeks' time.
Bhavik Shah : And sir, now could we sense what opportunity could this be for the company? Or we still need to wait for that?

M. V. Reddy: Opportunit y is there. Like we have participated a few tenders recently from Air Force and Army. I think we are gearing up for a demonstration of this particular product. Once we are through , then I think we will be in a position to inform you exactly how much business we can get in this. But otherwise, opportunity wise, yes, we have a good amount of opportunity for this particular radar.

Bhavik Shah : And sir, any developments on the space front ? Like the last couple of years were not that good for the space end. So, like, how do you see space going ahead?

M. V. Reddy: Yes. As you know that barring communication satellite sector, which , in fact, been open for industries to take up plus ISRO is continually working on the strategic segment from which we can expect the subsystem order from ISRO . And ISRO, I think , definitely, with some kind of a business we can get for the couple of years. Apart from that, as I mentioned just now, we are also trying to build satellite payloads for the strategic applications. That is something which we are launching soon.

Bhavik Shah : And sir, any update on the CAPEX front, like what is our CAPEX till 9 months? And what could be the CAPEX going ahead?

S. G. Reddy: Yes, for this financial year, the overall CAPEX will be about 25 crores. And up to 9 months, I think we have spent close to about 15 crores.

Bhavik Shah : And any guidance on the CAPEX front for next year?

S. G. Reddy: Yes, for upgrading the existing requirements, probably we may be spending about 10 crores to 15 crores. But we have a larger plan in terms of creating facilities for the overall systems, whatever we are planning for. Those details probably we can share with you in the next call once this accuracy process gets over.

Moderator: Thank you. We have next question from the line of Shuja Sidiqque , an Investor. Please go ahead.

Shuja Sidiqque : So, my question is that there is a massive opportunity in defense today. The question to the company is, what are the constraints that's stopping the company from either executing more from the order book that is already there and getting more orders going forward? How do you create the machine , which continues to be on the treadmill of getting more orders and executing more orders?

S. G. Reddy: See, we are doing that. If you look at the profile of the products delivered by the company, it is largely components and subsystems what we are doing. This product base has its own limitations in terms of execution. But going forward, that is what we are sharing with you.
The overall environment is also changing where in the private sector has to be more aggressive in terms of bidding for the projects which we are planning to do. Therefore, you see more accelerated action coming in from the com

pany in the near future.

Shuja Sidiqque: Are you in a position to share something at the moment about your future strategy?

S. G. Reddy: Future strategy, we have already shared. See, we are planning to raise some capital resources so that we will be investing in new product developments so that we can compete with other people when the market is actually opening.
Yes, that is what we are. We are graduating from a subsystem company to a systems company in a bigger way. And accordingly, we are planning our actions so that we will be there to take that market as and when it is open.

Shuja Sidiqque: Do you need some strategic tie-ups or anything like for you to develop more products and get more strategic high-value products or you will develop all of this on your own?

M. V. Reddy: No, few products we are working with some foreign OEMs. One is that with joint ventures. We have one joint venture with Rafael where we have added three other product lines apart from that SDR what we are manufacturing in JV, like we have added electro -optics and all.
Similarly , we have some other products which we are discussing with some few OEMs. And you will see a few announcements in the coming year or so. So, I don't want to reveal it at this time.

Moderator: Thank you. We take the next question from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: I just wanted to know what is on the semiconductor side, how is the availability as compared to the earlier quarters ? And if you could tell me what is our receivable days and working capital cycle as on quarter three ?

M. V. Reddy: As far as the availability of semiconductors is slightly improved as compared to the last quarter. I think the lead times are coming like in a normal mode. But still, yes, it's not so comfortable as

we enjoyed pre-COVID situation. But, I think , maybe next one or two quarters, we expect that

should come in a normal mode . And as far as working capital, I think S. G. will answer.
S. G. Reddy: Yes, we have receivables of about 300 crores. Domestic is about 289, and exports is about 28 crores. In terms of the working capital days, it is typical to semiconductor industry where , I mean, RF and micro wave industry, where the stocking of inventory is one of the critical items for execution of the projects on time. And also, these semiconductor devices, which is a very critical input is available only from specific markets for actually the global leaders.
Therefore, we are forced to place orders in advance and sort the material for the entire project duration cycle. Because of these factors, our working capital days are fairly high compared to the normal industry. And currently, it is around 300 plus number of days is the working capital days.
Vignesh Iyer: So, I think, if I am not wrong , our peak quarters as it comes to is around quarter three and quarter four, and with how things are spanning out, are we still looking to front load the inventory going ahead? Or we might see some inventory days coming down?
S. G. Reddy: No, I don't see in terms of inventory management, I don't see any major changes happening. As it is now, we are struggling for availability of the semiconductor devices. Therefore, as and when they are available, we have to buy and stock it. Therefore, at least in the near future, I don't see any major changes coming in.
Vignesh Iyer: And sir, at the start of the call, you said that current quarter margins of like 23% is you are comfortable , and you feel like this could be sustainable. So, when you say that, I mean, EBITDA margins fo

r the entire FY '23 you see it is more or less at the same level, right?
S. G. Reddy: No, I am only talking at PBT level. The current year, we are likely to end about 13% to 13.5% of PBT. On a top line of about 825 crores, we are projecting we have a PBT of about 110 crores.
I said that these margins are sustainable, and there is a fairly good chance of improvement over this.
Moderator: Thank you. Your next question from the line of Abhishek Dave from Bright Securities. Please go ahead.
Abhishek Dave : I had one question. Sir, based on your current order book, can you give some guidance for the next year?
S. G. Reddy: It's already done. At the top line, we will do about 950 crores , and bottom line will be close to about 135 crores at PBT level.
Moderator: Thank you. We take next question from the line of Ashit Koti, an investor. Please go ahead.
Ashit Koti : My question is, sir, with drone technologies getting commercialized, is our Company planning to get into providing sensors or any products or subsystems to this particular category?

M. V. Reddy: You mean to say sensors for drone?
Ashit Koti: Yes. I mean, sensors also would be required there also, right?
M. V. Reddy: But we are not addressing drone market. We are only addressing drone detection, like, you know, on the drone system, but not in the drones. We are not operating in drones .
Ashit Koti: No, I got your point. My question was basically , since you are already anti-drone devices kind of thing , so, alternately, when the drone technology being exploited commercially for commercial applications, not the defense part of it. So, over there, there could be a need for so many other things apart from , I mean , one of the major things would be sensors.
M. V. Reddy: No, we may not enter into that market as of now.
Ashit Koti: So, not so lucrative enough for us to look into it?
M. V. Reddy: No.
Moderator: Thank you. We take next question from the line of Simardeep from Negen Capital Services. Please go ahead.
Simardeep : Just a little bit more strategic. Sir, could you just highlight some risks going forward in the business? Like chip shortages, which was happen ing through Taiwan and some other ones, if you can highlight some?
M. V. Reddy: See, the major risks are like timing of the orders . Based on the visibility what we have and the information what we gather from our customers , we have been projecting, yes, there could be delays here and there based on the PRTs and based on the delays on overall projects from OEM and also from the user end. So, those kind of delays are always there in the defense market. As you know, it is not something new.
And apart from that, on the execution front , yes, see, though the situation of the components, especially in the semiconductor and power supplies, you know, we have been facing severe shortage , that I think probably is slightly improved compared to the last two quarters, but still lot more improvement is required in that particular domain. And because of that, probably , on the execution front, like this current year also, we will be short of 20 crores as compared to the original guidance. But we have factored all these points, but we will hope for the better situation in the components industry going forward in the next year.

Simardeep: Sir, one last question. Sir, could you help me with some sort of more from the same clients, can you get some more work? Or are you diversifying into more geographies as well?
S. G. Reddy: We are already there in the international market, apart from service in domestic industry.

M. V. Reddy: See, one is that, like, you know, in fact, Mr. Atim Kabra is looking after this particular area. Like, we are trying to develop solutions for the countries by using our particular systems, what we have today. And we are trying to sell the complete solution. It's too early to disclose about these solutions. I think probably in maybe after, I think next investor call, probably we can share in a detailed this thing road map for this. But otherwise, yes, we are trying to explore exports , like international business, with a different concept.
Apart from that, from the existing product line, as I mentioned, my customers who are giving us BTP business already started giving us BTS orders. We have initiated a couple of good inquiries, which are trying to be materialized in the first quarter of next year. And we are discussing with many companies for this BTS business as they are planning to develop systems for the Indian market.
Atim Kabra: I was just adding that there, once you get into systems, there is an international market, which is there for us to compete in. But it works not on a tender basis, but on a slightly different sales process. It will take time. You should be aware that we have products which are identified . And strategies are being put in place as we speak to explore those markets. And these are fairly big, sizable numbers. But it might take time. So, we woul d rather come across to you and share the good news to you when we have clear orders in sight on these markets from these markets. So, this is a sizable opportunity where we can make a big difference to our client and to our bottom line also.
Moderator: Thank you. We take the next question from the line of Pulkit Jhunjhunwala , an investor. Please go ahead.
Pulkit Jhunjhunwala : I was just wondering as an investor when we see our peers were in this space, we find ourselves in a situation where our top line is maybe twice theirs, and maybe they trade at a sales to market cap of maybe 20x, and whereas we are less than 1. And we feel that although the management has done some great work, the operating margins are increasing. But when we do a brief comparison , the operating margins that they are trading at, I mean, they are having about 14% (45.30) kind of operating profit margin.
So, I am sure we heard so many things about what is in the pipeline from this call. I was just wondering, is there anything that you can share now, where we can understand that our top line is bigger, our technical skills is better from what I am understanding ? So, where are we lacking? Like do you think something is some , I mean, the opportunities are there for the taking? So, could you just elaborate on that please?
M. V. Reddy: The opportunity set is there. We are now more proactive in communicating our story. You have seen how we have been , you know, how forthcoming we have been in the last few investor calls. And as the story gets out, I am sure there will be a set of investors, incremental set of investors who would be interested in us to invest .

Why somebody , you know, this is a big market. So, we don't want to comment on why somebody is being valued slightly higher . Okay ? Maybe they have communicated the story better . Maybe they are better in the perception of the folks.
We are fairly confident about our story. We are confident, as we have very clearly mentioned to you and committed , that this is a rising, sustainable margin story. We are RF guys. Our BOM is already there. As we increase in size, maybe there

will be efficiencies, which will be coming in.
So, you know, suffice to say that we can only communicate to you that this is increasing sales, significantly increasing sales story with sustainable increasing margin story . The return ratios will obviously look better. So, where you value somebody in the food chain is not for us to comment , you know. But it's a big market for everybody to operate . And I am sure everybody is equally competent.
Moderator: Thank you. We take next question from the line of Ashit Koti, an investor . Please go ahead.
Ashit Koti : Sir, just continuing with the earlier questions where the explanation was given with regards to the export market , that the process is a bit different. It is not a tender system. If you could throw some more light, is it more on joint venture? Is it more on tie-ups? How exactly we are exploring the market, export market?

M. V. Reddy: Export markets don't work on tenders typically. If you are looking at the civilian industry, right, you are looking at ROI-based kind of an approach, which is where you define what the investments are for others , and you are trying to capture the enhanced returns of the savings which they make. And therefore, explaining to the buyer what exactly is this ROI, right? So, that's one thing.
In a G2G tender, there is a very different dynamic , which is at work, right? So, depending on where exactly we see maximum sales impact and sales effort impact coming in, we would be employing a variety of strategies.
It's too early to say whether we would be partnering in any joint venture format with somebody else or not. But definitely, we will require partners across the globe as, you know, for local implementation. What form it will take? We don't know. It's very early days right now. Am I answering your question?
Ashit Koti: To an extent, yes. It would have been better. I mean , if you would have thrown some more detail , but maybe it's not possible.
M. V. Reddy: We can't. Let's save something for some surprise, right? Positive surprise. It's very early days. It's very early.
Moderator: Thank you. We have got last question from line of Ashit Koti. Sir, please go ahead.

Ashit Koti: Sir, as far as we have come a long way from OTCI lifting in '90s to where it is today. So, if we have to look at Astra microwave as from year onwards through next decade ?
S. G. Reddy: Yeh, I think we have already gave a picture for the half decade. Probably now looking at one decade, it is too early now. So, we will take it forward from that.
M. V. Reddy: I would say, defense industry as a sector has established itself . You are aware of Aatma Nirbhar Bharat. That is becoming a reality. You are aware of BEL, HAL making great strides.
You are aware that they are tracking or they are beginning to track the export market. There are multiple defense sector industries itself, which are coming of age and with increasing visibility and increasing certainty about business. The earnings stream in itself is becoming more predictable and sustainable.
I think these are the ingredients for an industry which is becoming mature, will become more mature as we go further. And I think it's such a sizable industry in terms of micro numbers that there is going to be a huge amount of business, which should be coming across all participants. We have to make sure we are conservative enough in terms of our balance sheet management and be prepared for the long haul. That's our vision. That's what we are playing at.
So, thank you for highlighting our journey from when we started.

And I think as an analogy,
which I like to say, is that we have lifted off the runway. We are gaining altitude . And I think we will be at a cruise stage very soon . And that will be a very nice moment for all of us who have believed in the story.
Moderator: Thank you. As there are no further questions from the participants, I woul d now like to hand the conference over to Mr. S. G. Reddy, Managing Director, for closing comments. Over to you, sir.
S. G. Reddy: Thank you for being there with us for one hour. I hope to see you at the end of Q4. Thank you.
Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Astra Microwave Products Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2023

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June 3, 2023
To
The General Manager
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Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
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The Vice President,
Listing Department
The National Stock Exchange of
India Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
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Scrip code: 532493 Scrip code: ASTRAMICRO
Dear sir,
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on 29 th
May, 2023.
The above information is also made available on the Company's website
www.astramwp.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
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G.M - Company Secretary
UM1
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Intertek Works:
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Unit 2 : Plot No. 56A, ANRICH Industrial Estate, Bollaram, Medak Dist.. Telangana State - 502 325
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Unit 4: Sy. No. 1/1. Plot No. 18 to 21, Imarath Kancha. Hardware Park, Raviryala (V). Maheshwararn (M) R.R. Dist.. T.S. - 500 005
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"Astra Microwave Products Limited
Q4 and FY'23 Earnings Conference Call"
May 29, 2023

Disclaimer: E&OE - This transcript is edited for fa ctual errors. In case of discrepancy, the audio
recordings uploaded on the stock exchange on 29 th May 2023 will prevail

MANAGEMENT : M R. S. G. REDDY – MANAGING DIRECTOR – ASTRA
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M R. M.V. REDDY – JOINT MANAGING DIRECTOR –
ASTRA MICROWAVE PRODUCTS LIMITED
M R. ATIM KABRA – DIRECTOR -STRATEGY AND
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PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Ast ra Microwave Products Limited Q4 and FY'23 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the belief, o pinions and expectations of the company as on date of this call. These statements are not t he guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signa l an Moderator: by pressing star then zero on a touchstone phone. Please note that this conferenc e is being recorded.
I now hand the conference over to Mr. S. G. Reddy, M anaging Director. Thank you, and over to you, Mr. Reddy.
S. G. Reddy: Thank you, Nirav. Good morning to everyone and a wa rm welcome to all the participants to the post results earnings call of our company. I'm with my colleague, Mr. M. V. Reddy, Joint Managing Director; and Mr. Atim Kabra, Director, St rategy and Business Development; and SGA, our Investor Relations Advisors.
The results and investors presentation for the Q4 a nd year ended are already uploaded on public stock platform. I hope that you had an oppor tunity to look at it. It has been a milestone year for us, as we have successfully completed our QIP and registered our best financial performance ever across all matrices. We closed the year with a topline of INR807 crores, EBITDA of about 18%. Our order book position is very healthy at INR1,544 crores. We are also happy that the amount of confidence expressed in our abilities by leading institutional investors in India and outside in our capabilities and growth prospects.
Before we talk about our performance in detail, I wi sh to inform you that, during the quarter we have booked about INR115 crores worth of orders, mainly comprising of INR48 crores from Radar, INR17 crores from EW and INR7 crores from Missile Electronics. On the sales front, out of INR253 crores, Radars have contributed to INR56 crores, EWs about INR29 crores, Missile Electronics INR16 crores and exports about INR138 crores.
During the quarter, the company has responded to IN R350 crores worth of businesses through RFPs and closed purchase negotiations for INR134 cror es, which is entirely for the domestic market. During the quarter, company has signed MoUs and other means of partnerships with Indian and foreign partners to deepen our products and the technology expertise. I'm not able to get into the specific details because of the str ategic reasons.
Overall, there are various tailwinds in the defence space for players like us. Globally, the countries are spending large amounts of money in th e military. Our government who spends about close to 3% of GDP on defense every year, is highly focused on increasing self-reliance. This Mission is driven by increase in R&D spend by D RDO labs and also by increasing private sector to invest in developing products on NCNC model.
With our long-standing relationship with our custom ers under several years of experience in high-tech oriented products, we plan to benefit imm ensely from this boost. In fact, we are

working on various items which are part of governme nt's negative list and this presents a gamut of opportunities for us.
Coming to our stand-alone performance for the Q4, th e revenue stood at about INR256 crores as against INR239 crores for corresponding year of l ast year, a growth of about 7.3%. Gross margin is about 28%. The domestic sales contributes higher margin compared to the export sales. In the last two quarters, the margins have i mproved in a very strong way because

the
domestics were more compared to the exports. Howeve r, in the quarter ended Q4, there is a slight correction because the export revenues are h igher compared to the domestic sales.
Talking about full year performance, the revenue st ood about INR807 crores as against INR735 crores for the last year. Gross profit has in creased by about 36.7%. Due to changing geographical mix as compared to the last year, the overall domestic sales are higher in the current year. Similarly, the other gross margins ha ve improved. Profit margins have improved essentially because of the change in the product mi x of the company, where domestic sales have contributed more compared to the export sales.
The Board of Directors have recommended a dividend o f about INR1.60 per share, that is 80% for the year ended financial year 2023. At the end of the quarter, our stand-alone outlook, as I said earlier, is at about INR1,544 crores. This ord er book consists of 24% of exports and 76%

domestic orders. From this order mix available, it is clear that in the coming years, domestic business will be a major competitor to the overall business of the company, which means improved gross margins.
In the other order book update, I would like to sha re with you our joint venture partner, a joint venture company, Astra Rafael has very recently won an order of about INR158 crores from Hindustan Aeronautics Limited for supply of softwar e-defined radios, which is executable in the next financial year. With a strong order book a nd inflow for financial year FY '24, we are confident to have a top line of about INR900 crores to INR950 crores and at a PBT of about INR150 crores, it's basically 10% this way and that way.
We have improved our profitability compared to the last financial year as explained above, and this is likely to improve further because of change in the overall product mix of the company and also with the proper utilization of the QIP fun d, which was very recently. That QIP of INR220 crores, which will give a strong boost to our future growth by investing in newer technologies and develop newer products.
Company has identified about 10 products or projects to invest proactively and expect to come out successfully in the next 3 to 4 years. This pro active investment should help the company to sustain and improve its top on bottom line in the l ong run. The company is also in discussions with start-ups and the small private companies with unique expertise to jointly develop newer products with a joint ownership and sharing of prof its. The idea is to have a larger pool of products to target wider market sales within defens e and aerospace.
To conclude my opening remarks, I would like to hig hlight that Atma Nirbhar Bharat is becoming a reality and the industry is making great strides and also is very poised to capture

this opportunity. Now I will hand over to Mr. Atim Kabra, Director, Strategy and Business Development; and to Mr. M. V. Reddy, Joint Managing Director, to share their thoughts. To start with, Mr. Atim Kabra will take over.
Atim Kabra: Good day, everybody. I want to take this opportunit y to sketch out the broad contour of our vision at Astra. As you are very well aware, we hav e today completed a significant milestone in our journey so far, where we have progressed fro m being a sub-component manufacturer to a system-level entity, as we have continuously move d up the value chain over the years. This journey is no different from what has been successf ully accomplished and demonstrated by India's very successful IT industry. Likewise, we m oved from being a sub-component supplier to a component supplier to being a subsystem for gu ys, and now we deliver complete systems also.
At this point in time, we wish to also focus on cre ating multiple solutions. On a day trade, Astra branded solutions around our core compe

tencie s in RF and microwave domains. We
want to transition from merely supplying radars and subsystems and systems to possibly supplying complete solutions, which will encompass radars and sub-components and subsystems as their core and around which solutions will be built, leveraging our extensive R&D capabilities as well as in-house expertise suppl emented as SG very rightly pointed out by externally sourced capabilities through collaborati ons.
And exercise is on within the company to identify s trategic growth areas with large total addressable markets where we can identify specific market opportunities and issues where specific solutions can be offered. Yes, I'm going t o illustrate this with some broad examples since its early days. Should we be content with off ering anti-drone systems? Or shall we be expanding our offering and offer complete anti-dron e solutions is a question, which we are debating.
Are there other areas where the core tech powering anti-drone solutions can be applied to address different customer bases and both horizonta l expansion of our offering can be achieved with a vertical deepening of our capabilities. Or s hould we be just supplying ground penetration radars, for example, or create solution s around ground penetration radars, which can help in, let's say, disaster management or bett er surveillance in our border area, etcetera, etcetera.
Should we be exploring further extended application s of our RF receivers and data loggers to expand our weather-related offerings and other such related offerings, which arise from such capabilities? Should we be exploring launching Astr a made satellite payloads? Should we be exploring the next frontline of warfare, which is s pace? Should we be focusing on establishing satellite communication systems or take our vision as we had mentioned, of a self sufficient India by exploring controlling satellite communicat ion links both ways. These are a few areas and domains which are being explored as we speak.
Work has commented on this and this transition from almost exclusively based -- being a

tender-based business to an on-demand ready solutio ns company comes at a very opportune time where we have the required skill set and the t ech within the company to achieve higher

margins and an extended product range, which will g ive a further significant boost to our top line. We expect to start seeing results from these initiatives over the next couple of years and expect that our solutions will become a significant contributor to our overall revenues over a period of time.

I will add that we further intend to undertake a fe w initiatives to link Astra with various research-based institutions of higher learning and harness resources and the tech being developed there for our solutions. Besides extending this collaborative framework to other defense companies and early stage companies, we are not the only guys here. There is a whole range of companies, which are engaged in myriad act ivities under the overall umbrella of defense capabilities.

We hope to keep you posted as concrete plans take s hape. I wish to reiterate that our overall target of achieving INR10,000-odd crores worth of sa les execution over the next 5 years remains very much insight. And all these initiative s, which I mentioned, are meant to add a further impetus to the sales and margin enhancement efforts of the company while building on our core strengths. I'm confident that with your bl essings and support, we will be able to achieve a higher trajectory of both top line as wel l as margin growth. This is a broad vision, which has been put in place, and as a successful QI P with significant demand for Astra demonstrate, I think we are operating in a very, ve ry favourable environment with headwinds helping us.

With this I'll hand it over to M.V. Reddy to further tak

e you into more details on the order book, etcetera. M.V.?

M. V. Reddy: Yes, good morning to all of you. And I think and Mr . S.G. and Mr. Atim Kabra already shared the plans and also the vision of Astra. And I don't want to repeat the same thing. Now, I think we can open for the questions and answers.

Moderator: The first question is from the line of Amit Dixit f rom ICICI Securities.

Amit Dixit: I have a couple of questions. The first one is on y our defense order book ended -- year ended FY '23, which stands at INR914 crores. If you could throw some more like on the composition of this book, particularly with respect to the plat es and the orders that you received in defense, particularly, if you could also throw some light on that, that is the first question?

S. G. Reddy: Yes, overall order book as of 31st March is about I NR1,543, in that, we have close to INR914 crores in the defense. You want -- since you ask fo r the breakup. With Radar, we have INR497 crores. In EW segment, we have INR267 crores. Missil e about INR150 crores. And from space sector, we have INR212 crores. Metallurgy and Hydrol ogy segment, we have INR55 crores. And in export front, we have INR362 crores. This is the break up of order book, what we have as on 31st March 2023.

And coming to your question about the orders which we booked in the last quarter that is in Q4, we have booked close to INR115 crores, in that t he breakup is -- all are like the defense segment, we have not booked any orders as such from the space or export front. That's is includes products from R&D and production orders o f INR55 crores. And further, the breakup

is INR47 crores from Radar and INR17 crores from EW an d INR7 crores from Missile Electronics. I hope I answered your question.

Amit Dixit: Yes. That's very clear, sir. The second question is …

Moderator: Amit, sorry to interrupt you. May I request you to come in a better reception area, please? Your voice is breaking.

Amit Dixit: Yes. So my second question is around contribution o f revenue. This quarter, we found that more export order -- export was much higher at 50-o dd percent. So going ahead FY24, will this export be roughly 30% or there would be an odd quarter with we have this kind of surprise for export goes to 50% and above?

S. G. Reddy: Yes. In FY '24, again up INR950 crores guidance what we have given, INR300 crores, we are trying to book from export segment. The rest INR650 crores is from the domestic segment.

Moderator: Next question is from the line of Vidit Trivedi fro m Asian Market Securities.

Vidit Trivedi: My question is that could you please share me the d evelopment revenue mix of financial year '22 and '23 in the domestic defense revenue segment ?

S. G. Reddy: Domestic development and…
Vidit Trivedi: Yes, it's domestic defense revenue segment.
S. G. Reddy: Yes. I think we will come back to you on that. If y ou have any other questions, you can ask. We'll reply during the course of call
Vidit Trivedi: My next question is on the line of MoU, which I thi nk signing EL, DIS. What's the start-up on that? Have we started working on that? And what's t he revenue that we are expecting from that?
S. G. Reddy: On the NavIC front, right? So our products are almos t now being approved and official approval is still waited . The testing has been com pleted in the last 2 weeks. I think we -- more or less, we are making all the requirement. Officia l approval will be obtained in next couple of weeks time. And once after that, I think the parall elly the development of products are going on. As I mentioned in the last earnings call, we ha ve launched development of tracking unit, COTS receivers and timing receivers. These are the p roducts which we are developing for NavIC application using the baseband chips.
Vidit Trivedi: And I do -- I have one more question. And I would l ike to kno

w your view on the Infinite
Dome MoU exclusive manufacturing for the Indian mar ket. So your take on that, sir?
S. G. Reddy: Yes, actually, we entered MoU with them, and we are working out modality from that. I think maybe soon, we will come out with the detailed moda lity from that.
Moderator: The next question is from the line of Jatin Jadhav from Sahasrar Capital.

Jatin Jadhav: Sir, my question is regarding the order book. I rea lly wanted to get an idea regarding how much percentage of the entire order book is execute d in one particular quarter or it varies quarter-over-quarter? And the second question is I wanted to understand since you are planning to expand into the anti-drone solution. So based on our existing capabilities, will it be easier to enter into that domain? Or do we need to acquire probably a new company or some expanding talent in order to get into that. Those a re 2 questions I have.
S. G. Reddy: First questions I have not understood. Yes. In ter ms of the delivery of INR950 crores, you are asking whether it is going to be uniform kind of bu siness, or there will be fluctuations from quarter-on-quarter. I think definitely, there will be fluctuation. We have the quarter wise... We'll give you the quarter wise number. Q1, we are targeting about INR150 crores. And Q2, we have about INR175 crores. And in Q3, around INR200 crores-plus and Q4 around INR250 crores plus.
And the second question, you talked about anti-dron e system. In the anti-drone, yes, we have completed our developments of indigenous counter-dr one radar with the basic DOT from LRDE, and we have optimized the technology. And this particular system is being tested internally. And now we are taking into the field. F rom July onwards, we are planning to go for NCNC trials for a couple of customers, what we identi fied.
Atim Kabra: I think to add to your question to add to MD's answ er to your question. As far as the anti-drone system is concerned, we are, I think, almost there on our own capabilities. But as we develop further solutions around it, we may be partnering w ith a few entities for very specific inputs, which may be required. We are primarily looking at a collaborative model.
Moderator: The next question is from the line of Bhavik Shah fr om MK Ventures. Bhavik, may I request you to unmute your line from your side and go ahead with the question please. Bhavik, your voice is not coming clear. Can I request you to spea k through the handset.
Bhavik Shah: Sir, in the last question, you did mention the brea kup of the sales, which are going to do, right?
S. G. Reddy: Come again, Your voice is not very clear.
Bhavik Shah: Sir, in the last question, you gave a quarterly bre akup of the revenue you're going to book in FY '24, right?
S. G. Reddy: Yes.
Bhavik Shah: So that doesn't come to INR950 crores. So it comes t o around INR750 crores or INR800-odd crores, right. You said Q1, you do INR150 crores, ri ght?
S. G. Reddy: Q1 is INR150 crores. And -- okay. Actually some smal l correction here. Q2 about INR170 crores.
Bhavik Shah: Yes. Sir, can you just repeat Q1 INR150 crores, Q2 I NR170 crores?
S. G. Reddy: Yes. And Q3, I think I mentioned INR200 crores it is INR250 crores. Okay. And the rest in Q4.

Bhavik Shah: Okay. The remaining will be done in Q4. Okay. Yes. And sir, regarding the margins, going ahead, so like in FY '24 and FY '25, what kind of m argins are we looking at sustainable levels? Like what is our order book margins right now, like ?
S. G. Reddy: The coming year FY '24, the PBT will be close to abo ut 15% to 18%.
Bhavik Shah: So this is at the PBT level or EBITDA level?
S. G. Reddy: I'm talking about the PBT what I mentioned to you, 1 5% to 18%. The EBITDA level should be close to about 20% to 25%.
Bhavik Shah: Okay. Yes. And sir, for a

ny guidance for FY '25 goi ng ahead, like, seen in your order book?
S. G. Reddy: Specific guidance is not there, but we can assure y ou that this will be an improvement over whatever we are likely to do for FY '24.
Bhavik Shah: And so the new orders which we are booking right no w, what kind of margins are we getting on that? Like is it the same levels which we are li ke showing in FY '24?
S. G. Reddy: Yes, mostly, the majority of these orders will come in from the domestic sector, again, mostly from the defense. The exports are likely to thin do wn over a period of time.
Bhavik Shah: Okay. Okay. And sir, regarding the QIP, can you lik e -- are you more specific on the QIP front? What kind of proceed usage are we looking at ?
S. G. Reddy: Sorry, what kind of...
Bhavik Shah: Usage of proceeds are we looking at? Like where wil l be the proceeds used?
S. G. Reddy: See, as mentioned in the offer document, the majori ty of this money is going for the working capital, okay? But again, working capital is a gener al definition of what we have given. But the intent of the company is investing in coming out wi th the new products. As I mentioned in my opening remarks, we have already identified about 1 0 programs and the people have started working on that. So I would say that the major of t he money is going for proactive development of various products.
Bhavik Shah: Okay. Okay. So we'll basically repay the working ca pital loan will we have and from the free up capital, we will be investing in new avenues, th at's what I understand. All right. And sir, any new specific developments which we get to know about in coming quarters?
S. G. Reddy: New developments in terms of product developments o r otherwise in terms of business developments?
Bhavik Shah: Business developments maybe kind of JV or any new or ders which we are expecting like big orders which we are expecting?

S. G. Reddy: The JV has a potential to book big orders in the co ming year -- in the coming period. Only the timing is an issue there. But otherwise, it has a hu ge order book pipeline to be booked in the next 1 year.
Bhavik Shah: Space sector, we were expecting a good year this ye ar, like FY '24, we're expecting to book some revenues over there and like execute our order book. So is there any development on that front?
S. G. Reddy: Yes. In fact, it is already due for a good amount o f revenue to be booked. But only thing is there is a small issue in terms of the export licen se, which is required is getting sorted out. In the current year, it should be doing INR200-plus cro res of revenues. And it should be turning profitable by the end of the year.
Bhavik Shah: Okay. Okay. So we start seeing the numbers. And the se numbers are included in your guidance or this will come as an optionality?
S. G. Reddy: They are not included in our guidance because the s hare of profit or loss is going to be shown out of the JV.
Moderator: Next question is from the line of Sarjeet Yadav fr om Mount Intra Finance. Please go ahead.
Sarjeet Yadav: Congratulations to all of you for the wonderful resu lts. I'm Col Sarjeet Yadav and I'm representing Mount Intra Finance -- This is better. Okay. So Mr. Reddy I met you like a couple of times in DefExpo and other events. And I've been associated with the SDRs and the various radar programs through Bill since I was serving in A rmy Air Defence for 22 years.
Presently my question firstly is regarding the soft ware-defined radio, the order of INR150 crores which you have been received. I just missed out during the brief that order is from whom in case you can share that. This is the first question. And then I will move to the next question. Can you please let us know?
S. G. Reddy: Yes. This particular order is from HAL for the -- t o supply 47 numbers of products -- sorry SDRs.
Sarjeet Yadav: Okay. Next, as for the our assess

ment, there's an a pproximate requirement of about 55,000 of these software-defined radios amongst the 3 service s. And the -- our calculation says that it's a

market opportunity of about INR12,000 crores for all 3 services, and it may take about 8 to 10 years for the requirement to be completed. And line arly, if you put it, the opportunity is about INR1,200 crores to INR1,500 crores per year, although it may not come in the same manner. So I would like to know the -- what's your comment on this opportunity size? And Astra's options in this order? And any competitors in case they are there?
S. G. Reddy: Yes. As I said that all these arm forces now trying to replace the convention radios with the software-defined radio towards that airports have s tarted the replacing first, and the Rafael has bagged this contract about 6 years back for 400 set s of radios, which we have been -- our joint venture is manufacturing now. And we are getting re peat orders from various agencies for the various platforms on the Air Force.

Similarly, in the army front, we have participated in a couple of tenders. Recently, we participated one in Infantry and the other one is o n code, where we emerged a successful bidder with -- in Infantry RFP , where in other case we lost it on the price front. And these negotiations are going on and probably we will be g etting orders in a couple of months' time now.
And apart from that, we have also participated in M ark 2 for the vacant mountain version of this SDR. There again out of many companies who part icipated in that. I understand only a few companies got shortlisted and we are there amon g one -- few companies where first round of revaluation has been successfully completed. And we are planning to go for NCNC trial sometime in August, September.
So this is, again, like the other contract, which w e are aiming for it. Similarly, the Army is looking for more radios in future once after we con clude -- when they conclude this particular case. Likewise, there is a good amount of potential for this SDRs future. And our team projecting around close to around 10,000 radios in next about 5 to 8 years' time frame.
Sarjeet Yadav: Okay. So I know that one thing, you said that you w ere successful in the inventory RFP.
S. G. Reddy: Yes. A significant portion of -- to answer your que stion completely. A portion of the business does slow down to Astra itself.
Sarjeet Yadav: Okay. As subsystem, is that what you're saying? A p ortion of the -- sorry, hello?
S. G. Reddy: The SDRs which are supplied through the JV, a portio n of that flows down into Astra itself.
Sarjeet Yadav: Yes, of course, of course. Thank you, Mr. Reddy, and all the best to team, Astra.
Moderator: Next question is from the line of Aman Vij from Ast ute Investment Management. Please go ahead.
Aman Vij: Yes. My question is on the Space division. So today successfully launched the NVS-01. And I believe we would be providing the payload for that satellite, I could be wrong on that part. If you can confirm that as well as so ISRO has launched like four -- launches done this year already and five more are planned. So typically, in a year, what is the contribution from Astra to the ISRO payload? And where do you see this numbe r in the next 2, 3 years? This is the first question.
S. G. Reddy: Yes. Obviously, the satellite being launched today that satellite called NVIC-01, NBS-01 and NavIC IRNSS satellite. In that, we don't have any con tribution in the satellite payload. But as I mentioned, we have developed this NavIC receiver for the applications. And that will definitely will boost us our business in coming yea rs. So we are there in NavIC. But otherwise, in satellite payload, we are not there in this part icular series.
Other -- all other satellites like radar imaging sa tellites, we have been supplying subsystems to ISRO.

Today, whatever order we have on hand is for r adar imaging satellite, that is for RF like 1B and as well as 2A. This is under production now. And our communication satellite, we

have been supplying RF and microwave subsystems to I SRO. So going forward, yes, our strategic applications, ISRO is still continuing to build these satellites.
We will be there in that as a subsystem supplier. A part from that, we also initiated discussions with defense forces to build this SAR payload. And we joined -- we formed the MoU as a --- we enter into an agreement with a start-up company to build this SAR payload for the defense forces. And we are also expanding our capability in terms of building the complete satellite in future. This is as far as this year's business is c oncerned.
Aman Vij: Sure, sir. My second question is, on the -- there w ere some big tenders on the Active Protection side as systems, APS systems as well as on the SDR also. So on SDR, continuing,

you have explained it very nicely to the last parti cipant. Normally, the indigenization, if you can talk about what percentage do we do?
Because my understanding is, as of now, gross margin s are low, a little better than export but still lower than the domestic defense business. But going forward 2, 3 years down the line, do you see doing more indigenization and the gross mar gin here? Where can we see the gross margin here on SDR as well as if you can talk about this active protection system, any update on that?
Atim Kabra: Yes. Active Protection System, we bagged the contra ct from DRDO to develop this particular system. We -- it's in development stage now. By end of this financial year, we can develop -- we will develop this system and we'll hand over to DRDO. It may take another 1, 1.5 year time frame for us to participate in NCNC trials along wit h the DRDO technology. That's as far as the APS is concerned.
And coming to your question in SDR, as we have a bet ter margins as compared to the other export business as we have been doing it indigenous ly, most of the RF portion in Astra. And we are also increasing the indigenization content i n complete SDR as joint venture is working on that. We are also developing the waveforms, whic h is the crucial part of the SDR and all other hardware required for SDR. So going forward, the indigenous content is going up, and the margins also will become much better for both J V as well as for Astra.
Moderator: The next question is from the line of Abhijit Mitra from Aionios Alpha. Please go ahead.
Abhijit Mitra: So this question is on the possible acquisition and order book over the next couple of years. So thanks for a detailed presentation. I think in the presentation, I can see almost INR2,000 crores of potential radar orders that can accrue in '24 on ly. So can you just take us through as to your confidence in winning these orders where exactly ha ve you sort of added value because a couple of them are DRDO programs. I can see long-ran ge radar and LRSAM and AECC11 opportunity. So just to sort of address your confid ence in sort of bagging these orders and your value add in this program given that they're expect ed in '24 only?
S. G. Reddy: In FY '24, the -- again, as the overall business vi sibility of INR2,000 crores around in that. We have a few production orders to be received from DP SUs, like one is at MPR for the major contract, which are -- we are planning to book it i n sometime in Q2 or so. And apart from that, we also have been working with the BEL as we are one of the qualified suppliers for few

radars like ASR, this is one radar which BEL has rece ived order recently. And the other radars like weapon locating radar. And even for Akash Prim e, we are working with BEL to supply these subsystems. These are all production orders.
A

s far as development is concerned, we are also par ticipating in many of these DRDO development projects like AWC, Mark 2, as well as IS R and 230 radar. These are all going to be in competitive mode, and we have been participat ing in that.
Abhijit Mitra: Okay. And what about the order opportunity from ant i-drone system in '24 because I think that's another big order contract value that I...
S. G. Reddy: Yes, this -- we participated in a few RFIs and going to be converted in RFP soon. And we see at least the potential for it because this is the f irst year of the market where we are entering into this domain. Maybe we have taken only a small porti on of it about close to INR40 crores to INR50 crores in this current year. But going forward, I think we will have more orders in this particular segment.
Moderator: Next question is from the line of Akshay Kothari fr om Envision Capital. Please go ahead.
Akshay Kothari: Sir, I just wanted to know we had guided for around INR850 crores of revenue at the beginning of the year. So what was the reason for l ower execution?
S. G. Reddy: We have given INR950 crores not INR850 crores.
Akshay Kothari: No, I'm saying last year that we had guided for INR8 50 crores of revenue, whereas we have done only INR816 crores.
S. G. Reddy: We missed out few R&D projects in the last quarter b ecause of we got into some technical issues, but finally we got sort it out and -- but w e couldn't book the sales by 31st March. A couple of R&D projects we missed out.
Akshay Kothari: Okay. Okay. Sir, these were in collaboration with D RDO?
S. G. Reddy: No. Yes, these are order from DRDO.
Akshay Kothari: Okay. Sir, secondly, someone did mention on the cal l that you would be doing around INR10,000 crores of revenue for the next 5 years. So INR850 crores plus, so if I assume INR2,000 crores of revenue in the first 2 years and around INR8,000 crores of execution needs to be done in next 3 years.
So do you think that this raise is sufficient enoug h because then since our lot of our investment would also be going into the growth capital part of it. So would we need to raise funds for the

further orders, which would come because working ca pital is always elongated in such orders.
S. G. Reddy: As of today, we don't see any further requirement o f raising fund from the capital market. But in terms of the numbers, whatever was quoted earlie r, and we already guided in our QIP presentation. Cumulatively, for the next 5 years, we said we should be around INR8,000-plus

crores. So we should -- we are comfortable to reach that number with the existing resources available.
Moderator: Next question is from the line of Dipen Vakil from InCred Capital. Please go ahead.
Dipen Vakil: Sir, just another follow-up question on the INR10,00 0 crores guidance that you're giving for the next 5 years. While I understand the detail bre akup if only possible, but can you tell us as to where can we expect the accelerated growth to co me from that, currently we're expecting growth of around 70%. So there has been aggressive growth going ahead from some segments?
Atim Kabra: Your voice is not clear. Can you repeat the question ?
Dipen Vakil: So my question is, you mentioned about the INR10,000 crores guidance for 5 years. So I just wanted to know where do you expect that accelerated growth to come from which segment?
Atim Kabra: Yes. Radar is one segment where we expect at least a bout close to 50% of the business should come from that segment alone. As we've been mention ed in the document and also in the last few earnings calls meetings. We've been entering in to the systems domain in the radar apart from the subsystem market, which we are already add ressing. In the systems, yes, definitely will give us a good growth as compared to the last few years.
And in this, there is a segment where we are expect

ing a lot of growth to happen in the coming years. And even in EW front also, like we started e ntering into the systems, and that also that segment will give us a better business as compared to what we did in the last few years. These are the 2 major segments where we are entering into the systems domain. And apart from that, we are also looking at the satellite payloads and e ven other business areas, which, in fact, we initiated the development plan.
And the growth, as we informed is the rear-ended gr owth like last couple of years, like the FY '26 onwards we should have good revenue projections as far as the business is concerned.
Dipen Vakil: Thank you so much for that. My second question is o n the Space division. Sir, when do you expect the Space division to be to start meaningful ly contribute to your revenues?
Atim Kabra: Come again, come again?
Dipen Vakil: When do you expect your space revenue to start to m eaningfully contribute to your revenue?
S. G. Reddy: Space revenue -- the current year -- still just 2 y ears, we have the order book of INR250 crores, which we're going to execute that, where we will be completing. But the development what we have initiated, I think that will give us business from starting from FY '26.
Moderator: Next question is from the line of Hitanshu Bhatia f rom Gandhi Securities. Please go ahead.
Hitanshu Bhatia: My question was regarding our progress on the NavIC chip receiver. If you could just guide me with where are we on the progress of finally, I mean, getting the final product on the NavIC chip receiver?

Atim Kabra: I think I just answered this question, but anyway, again, I'll repeat. Our basic chip, like, baseband chip are getting qualified by ISRO. It is a lmost the testing and have been completed and we are waiting for the final approval, which wi ll happen in the next few weeks' time. And also the end product for the -- using that chip, we are developing a few products like vehicle tracking unit, COTS receiver, timing receiver. These are the products which we will be developing internally, and this will come out maybe in 3 to 4 months time frame from now.
Hitanshu Bhatia: And you might be aware, sir, that Elena Geo Systems had just launched the chips...
S. G. Reddy: Yes, yes. We are aware, we are aware of it.
Hitanshu Bhatia: So any comments on that, sir.
Atim Kabra: No, we don't want to comment on that company produc t. We only -- we can give you comments on our products, no on other product.
Moderator: Next follow-up question is from the line of Aman Vi j from Astute Investments. Please go ahead.
Aman Vij: Yes, sir. My question is on the systems, we are mov ing towards systems. As of now, what percentage of our revenue do you think will come in systems in FY '24? And where do you see this number in the next 2, 3 years? And if you can also talk about -- there are a lot of programs

we are participating in. So where are we strong as a system provider, which you can talk about this?
S. G. Reddy: Yes. In this -- like the current year, we have INR95 0 crores, close to INR200 crores should come from the systems and the rest is subsystems an d products. But going forward, yes, I think from FY '26 onwards, I think the systems business w ill have a major portion of our revenue as well as these profit.
Aman Vij: And sorry, sir, if you can talk about -- which are the programs because a lot of programs where we will still remain a subsystem provider. But in so me programs, we are moving towards system. So which are those programs, if you can tal k about this?
S. G. Reddy: See, like we are addressing in both the categories. One is DRDO opportunities and the other one is the Armed Forces, MOD, direct opportunities, where we are participating in RFIs. And a few of them are getting converted into RFCs. To giv e you a few examples, like one is Border Detection Rad

ar, the other one is Low Level Lightwei ght Radar, and then we also are participating in ADTCR, that's another RFI which has c ome.
These are our systems, which we have a core technol ogy and expertise is being already built in our company. So we are developing these systems to participate in these tenders. And apart from that, DRDO is also coming out a few systems whe re they have identified a few companies, though we are in competition. We are try ing to get into those projects.
Aman Vij: Sure, sir. My next question is on the big pipeline for FY '24. So in the presentation, you have clearly given there are a lot of programs coming up in FY '24 itself. So -- and in your previous

call, we have explained that there are some program s where we are like 100%, we will be winning it because we are being the sole player ver sus some where we have 50% probability because there are some other competition.
So for FY '24 specifically, what is our -- what do you think will be our bid pipeline and out of which were -- which portion do you think -- how muc h portion do you think we will have like 100% probability kind of scenario?
S. G. Reddy: In INR1,000 crores order book, what we are projectin g for the current year, INR500 crores is something which we are proprietary in nature and al so single tender. The rest INR500 crores, we have taken it from what 2 categories. One is the limited competition and then the third one is the open competition. And all put together, we a re planning to book INR1,000 crores from the current year.
Aman Vij: Okay. But the way you've explained very nicely in th e presentation, the bids that is coming up is maybe of INR3,000 crores, INR4,000 crores itself. So you are only incorporating a INR500 crores bid out of that whole pie in our order book, forward order book.
S. G. Reddy: I didn't get you. Come again.
Aman Vij: So sir, in the presentation, you have nicely explai ned, there are a lot of orders where we don't have proprietary in nature, but still it will be mo stly tender-driven, but that whole pie is a much bigger amount than what we are taking into our orde r book of INR500 crores. So my question was, are we being conservative on that part or this number can be a much, much bigger number?
M. V. Reddy: We are a little conservative because the only issue here is the timing of the orders. We have given the guidance for the next 5 years with that p articular number. And we are talking specific to this particular year and little conserv ative because the -- it all depends on the timing of the projects, since the process time, it is not the budget and all, budgets and have been allocated and even a few contracts have been alread y in the pipeline and all. So all these things will happen, but when we are talking about the exac t number before 31st March 2024. This is what we are a little conservative, but definitely, it may go up also.
Moderator: The next question is from Santanu Chatterjee from Mo unt Intra Finance. Please go ahead.
Santanu Chatterjee: Congratulations for good set of numbers. My first qu estion is, sir, you have shown in the presentation that business potential until 2028 is INR7,000 crores for defense products that is in page number 19. And you have also shown in page number 20 that your total addressable market across all the sectors till FY '28 is INR24,0 00 crores to INR25,000 crores. My question is, are we envisaging bigger order pie from the oth er sectors than defense? Can you add some colour into it?
S. G. Reddy: Yes. This INR24,000 crores total accessible market i ncludes some of the non-defense projects like turnkey solutions and also even the NavIC busin ess, which we are targeting also being included in that, apart from the Defense and Aerosp ace segment. And in the

Metallurgy/Hydrology fr

ont also, we are entering in to the various systems like adventure
radar, even doppler weather radar, also in airport weather monitoring radars.
These are the few projects which -- systems, which we have taken up development. All put
together, we have taken around INR24,000 crores INR25 ,000 crores of total accessible market,
apart from the Defense and Aerospace segment.
Santanu Chatterjee: That means can I presume, sir, other than Defense s egment will contribute heavily towards
future revenue?
S. G. Reddy: Yes. Defense is a major growth factor. Definitely, we'll have more testing in the overall the
INR7,000 crores what we have considered in the next five years.
Santanu Chatterjee: Okay, sir. And my second question is, sir, in the c urrent order, can you categorize how much
belongs from the subsystem and how much from the wh ole system?
S. G. Reddy: In the current order in INR1,543 crores, in this, we have close to INR300 crores for systems
and rest of them subsystems. Yes, Navin, can we mak e it to the last two questions. We're
running sort of time.
Moderator: Sure, sir. As there are no further questions, I wil l now hand the conference over to Mr. S.G.
Reddy for closing comments.
S. G. Reddy: Yes. Thank you. And thank you, gentlemen, for your participation and look forward to talk to
you again at the end of Q1. Thank you very much.
Atim Kabra: Thank you.
M. V. Reddy: Thank you.
Moderator: Thank you very much. On behalf of Astra Microwave P roducts Limited, that concludes this
conference. Thank you for joining us. You may now d isconnect your lines. Thank you.

Call: Aug 2023

40 ASTRA MICROWAVE PRODUCTS LIMITED
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August 18, 2023
To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001
Scrip code: 532493
Dear sir, To
The Vice President,
Listing Department
The National Stock Exchange of
India Limited
Exchange Plaza
Bandra Kuria Complex, Bandra (East)
Mumbal 400 051
Scrip code: ASTRAMICRO
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on 14 th
August, 2023.
The above information is also made available on the Company's website
www.astramwp.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
T.Anjaneyulu
G.M - Company Secretary
An ISO 9001, ISO 14001, ISO 45001 and ISO 27001 Certified Company
Works:
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"Astra Microwave Products Limited Q1 FY24 Earnings
Conference Call "

August 14, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio
recordings uploaded on the stock exchange on 14th August 2023 will prevail

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR , ASTRA MICROWAVE PRODUCTS LIMITED
MR. M. V. REDDY – JOINT MANAGING DIRECTOR , ASTRA MICROWAVE PRODUCTS LIMITED
MR. ATIM KABRA - DIRECTOR -STRATEGY AND BUSINESS DEVELOPMENT – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Astr a Microwave Products Limited Q1 FY24 Earnings Conference Call.
This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questio ns after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' and then '0' on your touch tone phone.
I now hand the conference over to Mr. S . G. Reddy – Managing D irector. Thank you and over to you , sir.
S. G. Reddy: Thank you. A w arm welcome to all the participants to the post results c all of our company. I am with my colleague Mr. M. V. Reddy and Mr. Atim Kabra and SGA, our Investor Relations Advisors. The results and investor presentation for Q1 FY24 are uploaded on our company website and Stock Exchange. I hope you had a chance to look at it.
The quarter gone by was a relatively soft quarter. Our top line performance was in line with quarterly guidance that we have given in the previous qua rters. Having said this, the soft performance does not give a complete picture of where we stand as a company. The road ahead is very promising as we continue to have a robust order book of close to about Rs. 1,580 crores. This order book is a good indicat ion of our long -term prospects. During the quarter, we have booked about Rs. 191 crores worth of orders which comprises of about Rs. 176 crores of domestic and Rs. 15 crores of exports.
Coming to our standalone performance for this quarter, our business wh ich is lumpy in nature, we recorded a decline of about 17% in our top line on a year -on-year basis , which has resulted in a revenue of about Rs. 133 crores for this quarter as against Rs. 161 crores for the corresponding quarter of last year. The mix of top line is about 60% of exports and 40% of domestic , which was entirely revers e of our last Q1 performance. But this is the reason why there is a negative impact on the bottom line of the company . Domestic sales, which have a higher margin as compared to the export sales in Q1 of FY20 23, since it was closed about 60%, there was a clearly visible improvement in the margins ; however this quarter gone by has a lower amount of domestic business coupled with lower margin product mix, which has led to the overa ll lower margins . As a result, we saw a decline of about 7.6% in our gross margins as compared with 27.5% of last year Q1.
On the expenditure side, we have made a provision on advances as per the accounting standard has contributed an amount of 3 crores . I would like to clarify t his is not an actual cost to the

company and it will get adjusted as we deliver the goods to the customers. The company reported loss after tax about Rs. 4.3 crores for t his quarter, which was about Rs. 11.4 crores of profit in the corresponding quarter of last year. We expect to turn back positive in the coming quarters as major domestic business is scheduled to be delivered in the coming quarters, especially in Q3 and Q4. We maintain our overall guidance of about 900 to 950 crores for the entire year with 300 crores of exports and the rest from the domestic segment. With this revenue mix panning out, we are targeting a business profit of about Rs. 140 crores to Rs. 150 crores . We maintain our guidance as given in the last quarter.
Government of India's initiatives to foster local manufacturing as well as raising the transfer of technology from DRDO and ISRO would

benefit firms like Astra. Further, we have been taking steps to move up the value chain from the sub -system vendor to a system vendor where opportunity size is huge. We have identified specific growth areas for the future expansion such as SATCOM systems , wind profile radars, ground surveillance radars, d oppler weather radar s, anti -drone systems and so on.

Now , I would like to share with you some business updates which ha ve happened in the quarter . Astra has signed a tripartite agreement with LRDE, HAL for supply of critical subsystems for AESA radar . As you know , Astra has manufactured X-Band AAAU for ASEA radar and we'll be the industry partner for H AL for supply of these critical subsystems . On NavIC front, we should have clearance for commercial production by end of September 2023 . In the meantime , we have developed a proto v ehicle tracking unit by making use of the baseba nd chips and have completed the internal trails. We have also executed IS RO orders for course and timing receiver. In future , we are planning to develop these modules using our own chipsets. O ur software drone radar based on DRDO technology is undergoing i ntegrated testing and validation at LRDE. We will be able to commenc e internal field trials by mid-September . In the last one month, we have concluded negotiations for a few contracts worth about Rs. 160 crores from DRDO and DPSUs including satellite modules, airborne EW modules, development of airborne radars and production of radar modules . Recently , raised QIP funds are put to use as declared in the offer document.

With this, I'll hand over to Mr. M. V. Reddy and later on to Mr. Atim Kabra to share their views and thoughts. Thank you.

M. V. Reddy: Thank you. Good evening, ladies and gentlemen. First, thank you all j oining in Q1 earning call that too l ate in the evening hours.

Although last quarter was a soft one as Mr. SG had mentioned in terms of P&L . But on the positive front, we made a good beginning by bagging reasonably good orders in line with our plans. Out of Rs. 191 crores which we booked in the Q1 , Rs. 176 crores from domestic market, that's from DRDO and DPS Us. 80% of them are production in nature with reasonably good gross margins. We are also delighted to inform that we have concluded contracts worth of Rs. 160 crores and approximately Rs. 140 crores worth of contracts are in the final stage of

negotiations. We're seeing a good visibilit y to meet our order book plan in Q2 and for the rest of FY24 as per guidance given in the beginning of the year.

To share a few business highlights of the last quarter, apart from what Mr. S. G. Reddy had mentioned, we secured a few strategically important development contracts in DRDO and E W segment from DRDO. We further strengthened our footprint in Doppler weather radar market segment by bagging more contracts from IMD and ISRO . We are actively participating in many domestic and global opportunities in the domain of radars, EW and communication segments. We have successfully developed AESA seeker head and terahertz proximity senso r as we mentioned in the last investor call. We have also delivered digital active phase d array modules t o DRDO. We have initi ated development of high frequency MMIC chipsets and few radar system s to meet embodied future requirements.

With thes e initial remarks, I hand over to Mr. At im Kobra to share his thoughts. Thank you.

Atim Kobra : Thanks, MV, thanks, SG and hello everybody.

As you know, our business mix comprises of low margin exports, high margin domestic business are which is born out of our R&D capabilities, and it has been our attempt to change the lopsided nature of business wherein revenue gets bunched up in the third and the fourth quarter primarily. And I must admit that we have not been very successful as yet in achieving the optimal mix as of now, even though we have managed to spread out the export orders over quarters almost evenly . The effort made over the first couple of quarters lays the groundwork every year for the surge we normally see in the third and the fourth quarter. So, while expenses have been more or less normalized, we are expecting a surge again as mentioned by SG on the revenue side in the third an d fourth quarter. SG has just reiterated that we are on course to achieve our stated guidance of Rs. 140 crores to Rs. 150 crores of P BT in the current year, which would be a substantial jump over the last year on a year-on-year basis. SG and MV will discu ss further details on the specific programs that we can talk about, but I wish to talk about our prospects and how we are sh aping the company for a very sizable spo t in the size and profitability ove r the next three to five years.

As long -term shareholders, we have all seen substantial value accruing to the shareholders and rest assured that we are laser focused on the continued growth of the company. I had touched upon Astra moving into solutions and systems in the last conference call and a lot of o ur efforts have been concentrated towards the same direction. As a systems entity and as a systems integrator, the company needs to take a relook at our organizational structure to ensure that the focus attention on the various growth strategies which are being debated and deployed as we speak towards our real assets, which is our employees and our talent pool are functioning optimally in a SBU kind of a concept. We are exploring adjacen cies with our current businesses, which I shall briefly expl ain in detail, and we ha ve alluded to it , SG has alluded to it and as we finalize and get the board approvals for these initiatives, I'm sure you'll be equally excited as what we are.

We believe that our core defense and aerospace business is very well poi sed to deliver growth on a consistent basis over the n ext few years, but we want to push the envelope on the growth numbers and expect the capability to create solutions will help us augment what hitherto was a tender based approach towards business genera tion. We expect solutions to play an important role across both domestic as well as international markets , but we want to keep our focus on defense business and partner with companies in a possible B2B2B format for our solutions business. The first solutio ns, which has been almost ready for a deeper evaluation by our board uses our core products to deliver a very comprehensive surveillance capability. We intend providing military grade solution in a very cost-effective format , centered around multiple techs within Astra while partnering with multiple industry players to augment our capabilities to create an end-to-end solution , which will find a very receptive market both domestically as well as in the international markets. We will share more on this post the final approval by our board, but we expect revenues from this to start from next year onwards and where we will be offering the solution as a systems integrator. And the sea change happening in the company is evident from the next solution which we are working on . While under wraps , I can share with you the broad contours where earlier we would have supplied our core products as hardware to solve pressing problems for somebody else to build a solution around our core products . The change happening now builds on the hardware as an input for a complete solution, which we shall be creating with applications both again on the military as well as civil industrial side. These ready -made products in our opinion will allow us also to diversify from our dependence on government spending and will serve as a hedge against possible lean periods in government spending and thereby deliver consist

ent superior growth .

As SG alluded just now, India has em erged as a key player in China Plus O ne strategy and we have been debating internally whether we should build up our capabilities to provide low cost , scalable production capacities, which we have honed in our export businesses and work on producing electronics in a large volume , though low margin , but intern ally our belief is that we wish we have the capability to focus on higher value add and higher margins, which is where we should be focusing on and we should not be moving into low value, though large scale busin ess. So, these substantial value -added divis ions which exist within our company, be it space where we will come to you with some very exciting news as well as around chip design , which is one of our core capability which has helped us tremendously to create products , right . We are exploring with due seriousness; multiple options and we'll revert back to you as soon as strategies are finalized .

To sum up , we are looking at comfortably meeting our year end guidance and are considering multiple strategies for augmenting growth through adjacent businesses for significant and consistent growth with high profitability going forward. With this, I'll hand it over back to the floor for question s. Thank you.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from ICI CI Securities. Please go ahead.

Amit Dixit: I have a couple of questions. Th e first one is essentially on the exports . So, while you have indicated in the press release that export component was higher, is it possible to get that what was the execution of export order in this quarter and the remaining export order book that we have that is 19% , over how many quarters it is executable ?

Management : Yes, Amit that is the only question ? You said you had couple of questions , right ?

Amit Dixit: Yes, the second question is that while in long term we are all conversant of the potential of Astra, but in more near term I mean since last two quarters we have seen actually margins dipping and especially in this q uarter. My question is on the near-term opportunities that we have, such as if you could quantify that would be great such as Akash or the naval ship orders that are coming up. So, what kind of opportunities do we have in these spaces ? Also, in your annual report you alluded to radar for Indian Navy. So, if you could throw some light on that, that would be very helpful, s ir. That's it from my side.

Management: The first question is as far as the execution plan for exports for the current q uarter and the next two quarters, Q3 and Q4, the export front, the second quarter, we have a sales plan of Rs. 80

crores and third quarter Rs. 73 crores and Q4 , we have plan of Rs. 70 crores. This is our execution plan for exports in three quarters . That's the first question. The second question is as far as the flagship contracts like you mentioned about the naval SD R system and all, so that we are planning to book sales in Q3. As we mentioned in our opening remarks, the maximum domestic whatever we have p lanned in the current financial year will happen in Q3 and Q 4. So, we are planning execution of almost 338 in Q3 and 300 in Q4. So, in Q3 and Q4 put together, we are expecting about 625 crores execution and in that , the maximum like the majority share will come from the domestic sector and that too, the main programs from production segment like one is the T/R modules from the CAPS and also we have few contracts from Akash which we bagged in the Q1 , we are planning to execute in Q 4. So, this is a product mi x as far as the Q4 is concerned , so that should give us a reasonably good margin in the last two quarters.
Amit Dixit: So, that was a very elaborate an

swer. One follow up, if I may, in these export orders that we executed in this quarter, did we make EBITDA level loss in any of them?
Management: No, we have not made any loss as such and actually the export we have again two categories where in one category , we have a very low margin, and the other category is we have a reasonably good margin itself around 10%. So, whatever orders we have executed in Q1 , all belongs to the lower margin category. Hence , we couldn't make overall good margin if you see the overall sales compared to the expenses.
Amit Dixit: And going ahead, you expect this to be…
Management : The domestic front also, whatever the projects we have executed in Q1, most of them are development in nature and have competitive scenario and h ence these orders doesn't carry

much margin. So, overall , we couldn't show profits when you compared them with the last year Q1.
Amit Dixit: So, s ir, is it reasonable to expect that as we go from Q2 to Q3 and Q4, the margins are going to improve from here and it would be an upward trajectory?
Management: Yes, Amit, that is what we are stating. Especially in Q3 and Q4, in Q3 out of Rs. 340 crores, the exports are going to be around Rs. 70 crores. Similarly, in Q4, which is around Rs. 300 crores, again the exports are going to be around Rs. 70. Therefore the majority revenues in Q3 and Q4 are coming from domestic . Apart from that, there are one or two production orders in domestic business which have a fairly higher margin and hence our statement that we will be turning profitable, and we'll be able to meet the guided number of about Rs. 140 crores is coming in be cause of this confidence what we have.
Moderator: Thank you. The next question is from the line of Hita nsu Bhatia from Gandhi Securities and Investments Private Limited. Please go ahead.
Hitansu Bhatia: Sir, if you could just repeat the timeline which you said that we'll be getting the commercial get away from ISRO for our NavIC chip . And I also assume that we would have received the qualification for our basic chip that was supposed to come, I think in the last quarter. And sir, I also had a question with rega rds to SDR M anpack for the A rmy, if you could provide any updates on that front as well, sir? T hank you.
Management: On the NavIC front, you are right. We are supposed to get qualification in the last quarter, but in the last final testing, there were few observations and that we have addressed, and we are going to just again in the next week . Probably by September 1st week , we shoul d have approval and also, we should have the production clearance by mid-September . And as far as the SDR Manpack is concerned, as we mentioned, the NCNC trials being scheduled sometime in October, November and we geared up for the trials. We are fully rea dy with that.
Hitansu Bhatia: And I think Accord also previously in this year after Elena has also launched its chip right for NavIC ?
Management: Yes, Accord and Elena , we are aware of that and the product which we are going to launch will have a more few additional features. So, anyway we will disclose once we have our product gets approved.
Moderator: Thank you. The next question come s from the line of Colonel Sarjee t Yadav from Mount Intra Finance Private Limited. Please go ahead.
Col. Sarjeet Yadav: I would like to know there are some order s which are pending about the anti-drone and Arudhra. Have you received these orders or are you still awaiting these two orders?

Management: Arudhra , we got RFQ and we have responded , negotiations have just begun , we are expecting this contract only in Q3 because it is a big contract, so we expect negotiations may go on for another two months. So, probably in October, we should be in a posi

tion to close the contract .
And as far as the counter drone is concerned, as we mentioned , the radar is ready, internal field testing is going on and we should be in a position to deploy from September last week onwards.
Col. Sarjeet Yadav: So, can you just throw some light , what are some projects from which you are expecting this entire order book of about 950 crores?
Management: We cannot disclose all the projects, but major programs like one is AWC Mark 1 and then we have defense satellite subsystems, we have recently closed the negotiations and also, we have closed negotiations for a few development contracts from DRDO that is one airborne radar and the other one is ground based radar subsystems . And also , we have declared L1 recently and we have closed negotiations for one more contract from ITR , it is about SRTR , short -range tracking radar about 10 c rores. Then going forward , in EW , we are expecting some orders from Shakti , DR118 that is RWR of 2 30 and also NAYAN , like Himshakti, Himshruthi . These are all programs which we have already products qualified and we are expecting production orders from DPS Us.
Col. Sarjeet Yadav: Thank you, sir. Just a follow -up question. The SDR you received 150 crore worth of order for the JV? Is it included as part of the order book of Astra or is part of the JV order book , stand alone or consolidated, can you just clarify that?
Management: No, it is not included in stand alone. In fact, it is a JV order. So, we expect order in Astra very soon against that.
Moderator : Thank you. The next que stion is from the line of Vip ulkumar Shah from Sumangal I nvestment. Please go ahead.
Vipulkumar Shah : Can you break your turnover between components of systems and systems for the last financial year?
Management: For the last financial year? We don't have that breakup for the last financial year.
Vipulkumar Shah : So, but systems must have a higher margin naturally, right? But if you can give me some rough breakup, that will also be very helpful.
Management: See, approximately you can consider 20% on systems and 80% in components and subsystems.
Vipulkumar Shah : So, system s carry much higher margin, s ir?
Management: Yes, I mean both subsystems and systems more or less will carry the same margins and unless we get large production quantity in systems, this will be remain like since wha tever we are

executing o n development contracts that too we are bagging from in a competitive mode , so the margins are less, but in case we get production orders, obviously the margins will be higher.
Moderator: Thank you. The next question is from the lin e of Siddharth Purohit from Inves Q Investment Advisors Private Limited. Please go ahead.
Siddharth Purohit: Sorry I missed out the last point . You highlighted certain reasons for the f all in gross margin and was there any one-time cost probably you mentioned. Sorry for repeating , I missed out those points.
Management: No, there is no one time cost as such. What we have stated is in the Q1 , the exports is close to about 60%. The rest is the domestic . Exports carry a lower margin, very low margin, I wo uld say around 5 % to 7% kind of thing, whereas the domestic has a better margin. Since the mix is skewed towards export, the overall margins have come down. That is what we have stated. That is number one point . Number two, even within the domestic also , the product mix what we have executed in the Q1 has a lower end margin compared to the general higher margins what we enjoy. So, these two things have contributed to the overall lower margins in the comp any.
Siddharth Purohit: So, in th e subsequent quarter, we expect that the domestic business will pick up . Probably at the beginning of the year , we are expecting 65 % to 70% probably come from the domestic side for this year. So,

are we likely to achieve those all sort of numbers based on the pipeline that is there?
Management: Yes, especially in the current financial year, we are expecting major deliveries to happen in Q3 and Q4 with very high domestic deliveries and hence we are expecting the recovery of the profits, everything to happen towards end of those Q3 and Q4.
Siddharth Purohit: So, one more clarification. Is there any substantial change in the inventory levels ? You have mentioned that in a probably it is likely to remain on the higher side because of the global supply chain issues. So, for the first quarter?
Management: No inventory levels , they are more or less like what was there in the previous year, but since two or three domestic programs which are scheduled to deliver in the Q1 are being pushed to

Q2 and Q3. The work in progress is at the higher side compared to normal WIP standards.
Moderator: Thank you. The next question is fr om the line of Palak Shah from Billion S ecurities. Please go ahead.
Palak Shah: I just have one question like could you please elaborate on your plan to expand into anti-drone solutions like where are we on that and what is the potential from this segment going forward?

Management: We have built the anti -drone radar with the technology know how from DDO, and we have a collaboration with one another company for the jammer. So, on integration mode, we have been testing for the last few weeks and we should be in a position to complete in next couple of weeks. As I mentioned, we will be in a position to field the system with the Soft Kill version of counter drone radar system. This will be fielded in sometime in September last week onwards. We have few customers who have been requesting us to arrange demonstrations and that we are planning to demonstration in next four to five months. We expect few contracts by year end or the f irst quarter of the next year.
Moderator : Thank you. The next question is from the line of Abhishek Poddar fr om HDFC Mutual Fund. Please go ahead.
Abhishek Poddar : Sir, could you give some understanding regarding the order inflows that you're expecting thi s year? What could be the quantum of order inflows and also if you could highlight which are the key programs that you're looking at?
Management: Order inflow , this quarter we are expecting around Rs. 330 crores. In Q3 and Q4 put together, we should be in a position to bag Rs. 550 crores. So, overall, as I mentioned, whatever the guidance was given in the beginning of the year, 1000 plus crores, we've been in a position to comfortably achieve that target. And as far as the major programs, I think I have alr eady mentioned few programs I have given like the current quarter, the orders for which we have already closed the negotiations only , I will be able to mention that . One is the defense satellite subsystem contract and the other one is few airborne radars o f DRDO and also the subsystems for ground -based radar from DRD O. And EW subsystems for DR118 program of BEL and there are few EW programs for which BEL has received orders and we are expecting subsystem orders like one Shakti, NAYAN , Himshakti and Hims hruthi. These are all orders which we are expecting from BEL . Yes, these are all likely to receive in next few months. Apart from that , we do have few more contracts which I don't want to disclose at the moment, but we are very comfortable as we have a clear v isibility to book thousand plus orders in this financial year.
Abhishek Poddar : Understood sir. And Arudhra is not part of the list that you have given ?
Management: Arudhra is also there. Sorry, I forgot that . Arudhra is there in this. Actually, it is ther e, in Q3 we have take n back .
Abhishek Poddar : Understood. Because A rudhra in the presentation, you have given 400 crore opportunity. So, that is the

similar number you're looking at?
Management: It is 300 crores plus and we will expect some space also, they are yet to finalize , so minimum 300 plus we are expecting from Arudhra .

Abhishek Poddar : And s ir, what will be the export mix in the order expectation now and how would the revenue from export shape up in next two years? Would it be like 35 %-40% as you had done in the past or should we think it will be 19% or lower in the future ?
Management: See exports for the current year that is 23 -24, on 900 plus top line, we are expecting around 300 crores of exports. Going forward 24 -25, the exports should be at a much lower level. But again, as Mr. M. V. Reddy said sometime back , our exports again has two elements. One is what we actually export outside India. The other one is what we deliver to export oriented units within India, which carries fairly good margin, in fact the gross margins are about 15 % to 18%. So that business will be higher in the next year exports whatever we are projecting. Therefore, that export mix may not be a bad thing from the next year onwards.
Abhishek Poddar : So, there will be a defocus from the direct outside in exports from next year ?
Management: Yes.
Moderator : Thank you. The next question is from the line of Karthi with Suyash Advisors. Please go ahead.
Karthi : Just wanted to understand the delivery status of the SDR orders fr om the joint ventures and any pipeline orders there ?
Management: Come again?
Karthi : SDR orders, Software Defined R adio order s?

Management: Yes, Software Defined Radio. We have order for Airforce version that is under execution. I think we'll be in a position to complete that. And if you're asking for that Make -II Army, that as I said, we are ready for the trials to be scheduled in sometime in October -November .
Karthi : No, you were mentioning that you will be shipping it out in the first quarter or sec ond quarter. So, I was just wondering whether the pending orders have been delivered or not?
Management: Yes, I think I got your question. We mentioned to you last time there was some export license issue that is not yet resolved. We are expecting that the resolution to happen by the end of this month. The products are ready . The moment the clearance comes in, the shipment will happen. And the joint venture company is expected to close to about 200 crores for the year assuming that this export license issue is going to be resolved.
Moderator : Thank you. The next question is from the line of Santanu Chatterjee from Mount Intra Finance Private Limited. Please go ahead.
Santanu Chatterjee : My question i s on your order book position, sir. On the standalone and consolidated unaudited financial result , you have shown that on group basis, we have already booked 342.85 crore

order. I suppose that joint venture order that we have procured during the quarter, that is 150.44 crore is that is included in this ?
Managemen t: In the consolidated, it would have been included. It has got an order from HAL, Hindustan Aeronautics Limited for supply of SDRs again, so that was included in the consolidated order book.
Santanu Chatterjee : And if that's so, then on group basis, we ha ve got order book of Rs. 1,942 crores and under joint venture, we have got order book of Rs. 422 crore. Then if we deduct that this joint venture order from this Rs. 1,942 crore, we are getting more or less Rs. 1,520 crore order book. But in our presentati on, we have shown Rs. 1,580 crore order book. So, why this mismatch sir, Rs. 60 crore mismatch?
Management: Yes, we should be able to give the clarification to you . Any n ext question is there ? You want to have a reconciliation bet ween the consolidated and stand alone ?
Santanu Chatterjee : Yes.
Management: W

e will give you that.
Moderator : Thank you. The next question is from the line of Ketan Gandhi from Gandhi Securities and Investments Private limited. Please go ahead.
Ketan Gandhi : BDL recently supplied Ak ash-NG Seeker . And I believe we are the subsystem provider for Akash -NG Seeker, RF Seeker. So, what is the opportunity size here? And when serial production will start for this?
Management: Production may start soon like in near time frame. So, this subsystem what we have supplied is already being qualified. And with that subsystem, they've been tested. So, production we are expecting good number of orders for this. I think it should start in a year time frame.
Ketan Gandhi : Any ballpark figure, s ir? What is the total opportunity size in the next five years?
Management: Next five years, I think the subsystem what we have developed, I think probably we should be in a position to get 120 to 150 crores.
Ketan Gandhi: And sir as per the presentation, w e have a mission target of 10,000 crore turnover in next 5 years. So, if I just average it out , so it comes to around 2,0 00 crore run rate per year. So, when can we see 2 ,000 crore run rate from which year?
Management: In fact, we are expecting F Y26 onward s, I think we are planning about 1500 crores and F Y28, we should be in a position to touch somewhere around 2500, 2 800 crores . This is what we have plan.

Ketan Gandhi : So, we are geared up all infra and manpower and everything ?
Management: Yes, actually we have made up with the infrastructure and we have initiated the development of few major systems. We are also participating in many active tenders actively in domestic as well as in the international market. So, towards that we are travelling.
Management: Ketan, if I may add, as we had discussed earlier also right , company will move into a different orbit in our opinion in F Y26. And we are working backwards as we speak to reorganize the company to cater to this new orbit, where we would be operating. So, our resources are human resources, and we are actually very actively working on ensuring that the org structure is optimal for the enhanced level of activities.
Ketan Gandhi: Yes, that's very helpful. And I have one last question. There was some news article that China is not supplying Gallium to the world, and we do a lot of work on Gallium Arsenide and Gallium Nitride , do we find any issues acquiring Gallium or it is just hullabaloo from the

China ?
Management: I don't believe we are impacted ; we don't buy G allium as such. Where we are using G allium , I don't think we are experiencing any issues out there .
Management: See actually , what we are using the foundry is basically from Taiwan. And we also have a p lan B in sense we have recently qu alified for all our designs in France and also few designs now we are getting it qualified from US also in near future. So, in case if China wage Taiwan , also we have a backup plan for all our designs . That is one and then the alternatively GAETEC , which is a DRD O based found ry. They have also upgraded their both GaAs and also GaN services also will be operational, so we started loading designs in the GAETEC foundry also so that we can even think of getting in the indigenous wafers. So, these are all our plans. So, we will have a very short term some issue, but otherwise we have a plan for long term to see that our chips will not get affected even in case if Taiwan is not cooperating with India.
Moderator : Thank you. The next question is from the line of Abhijit Mitra from Aionios Alpha Investment Management. Please go ahead.
Abhijit Mitra : Just to understand in your press release, you have highlighted around 60 crores worth of service orders. So, if you can just give some more color on what's the nature of these orders and s ome more light on the

m would be very helpful. Thanks.
Management: Yes, the service orders mostly pertain to our weather -related business. We have installation, commissioning and AMC contracts, which are deferred in nature to the extent of about 5 years. So, in overall order book, we have indicated what is the service order element , whose execution is going to spread over a period of time compared to the normal orders.
Abhijit Mitra : These orders you have not included in that Rs. 191 crore s or you have included ?

Management: No, it is there. It is a part of that . In the overall order book also, it is part of that . Since we ar e giving a timeline of about 2 4 months to 30 months for completion of orders on hand , these service orders which are different from the 24 to 30 months period , it is shown separately.
Abhijit Mitra : Got it. And in the presentation, the breakup of order that has been booked in the quarter that they have shown, where is this service order residing, it's residing under defense?
Management: Probably in this quarter, I think we have not received any service orders. In this quarter, we have not included any service orders.
Moderator : Thank you. I now hand the conference over to Mr. S . G. Reddy, M anaging Director for closing comments . Over to you , sir.
S. G. Reddy: Thank you. Thank you, gentlemen for your presence and interactions. Look forward to talk to you again at the end of Q2. Thank you very much .
Moderator : Thank you. On behalf of Astra Microwave Products Limited, that conclude s this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

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November 21, 2023
To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalai Street, Fort,
Mumbai -400 001
Scrip code: 532493
Dear sir, To
The Vice President,
Listing Department
The National Stock Exchange of
India Limited
Exchange Plaza
Bandra Kuria Complex, Bandra (East)
Mumbai 400 051
Scrip code: ASTRAMICRO
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on 15th
November, 2023.
The above information is also made available on the Company's website
www.astramwp.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
T.Anj a neyu I u
G.M - Company Secretary
An ISO 9001, ISO 14001, ISO 45001 and ISO 27001 Certified Company
Works:
Unit 1: Plot No. 12. ANRICH Industrial Estate. Bollararn. Medak Dist.. Telangana - 502325
Unit 2: Plot No. 56A. ANRICH Industrial Estate, Bollaram. Medak Dist.. Telangana - 502325
Unit 3: Sy. No. 1/1. Imarath Kancha. Raviryala (V). Maheshwaram (Mdl) R.R.Dist.. Telangana -501510
Unit 4: Sy. No. 1/1. Plot No. 18 to 21. Imarath Kancha. Hardware Park. Raviryala (V), Maheswaram (M). R.R.Dist. Telangana-501510
Unit 7: Sy. No. 114/1. Plot No. S-2/9 & 10. E-City. Raviryala & Srinagar (V). Maheswaram (M). R.R.District, Telangana - 501359
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"Astra Microwave Products Limited
Q2 FY '2 4 Earnings Conference Call "
November 15, 202 3

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MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
DR. M.V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
MR. ATIM KABRA – DIRECTOR -STRATEGY AND BUSINESS DEVELOPMENT – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Astra Microwave Product Limited Q2 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need a ssistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. S G Reddy, Managing Director. Thank you and over to you, sir.
S G Reddy: Thank you. Good afternoon to everyone. A warm welcome to all the participants to the post - results earnings call of our company. I am with my colleagues, Mr. M V Reddy and Mr. Atim Kabra and SGA, our Investor Relations Advisors . The results and investor's presentations for Q2 and half year in FY24 are already loaded on our company website in Stock Exchange. I hope you had a chance to look at it.
I am pleased to share with you that we have reported a healthy set of numbers for the qua rter, with a top line registering about 10.6% year on year growth. Our top line performance was in line with the previously indicated quarterly guidance. EBITDA margins also came in at a healthy 22%.
Our order wins continue to be healthy. We have booked a bout INR405 crores worth of orders in this quarter, which comprise of about INR115 crores from radars, INR233 crores from EW segment, INR9 crores from telemetry, INR19 crores from space, INR26 crores from exports and rest from metrology and hydrology secto rs.
Overall order book at the end of half year stands at INR1,867 crores, with majority being domestic orders. At the organizational side, I wish to inform you that we have strengthened our board with the induction of Mr. Suresh Somani as a Non -Executive Director and Mr. S. Varadarajan as an Independent Director.
Mr. Somani has wide experience in the capital market and management areas. Apart from this, his associates holds goods stake in the company. Mr. Varadarajan is a retired director of LRDE and he has a distinguished experience in the radar domain, which we hope is going to help us in a bigger way.
Coming to the specific numbers of stand -alone performance in Q2, as mentioned earlier, year - on-year growth we have recorded about 10.6%, the revenues st ood at INR189 crores as against INR171 crores.
Sequentially, we had an even better performance, recording 42% growth in topline . There are other various indicators, which I have already presented in the investors' presentation, which I request you to go through. One important information which I want to share with you is the improvement in the margins is largely because of the change in the product mix only during the quarter, which is skewed more towards the domestic market.

We continue to have similar kind of performance in the coming two quarters. We also would like to reaffirm our year -end guidance of INR900 to INR950 crores, with a PBT of about INR140 to INR150 crores. To achieve these numbers, we are planning to execute about INR200 to INR300 crores in Q3 and the rest will come in Q4, so that the annual guidance can be met.
As I mentioned, since the major sales in the next two quarters will be from the domestic, we are confident to deliver a reasonably good margin in the coming two quarters. As stated earlier, the Government of India's initiatives to foster local manufacturing as well as raising the transfer of technology activities by DRDO and ISRO would benefit companies like Astra. Further, we have been taking steps to move up in the value cha in, moving from subsystem to a systems vendor, where operational advantages are fairly large.

We have identified specific growth areas for fut

ure expansion, such as adcom systems, wind profile radars, ground surveillance radars, Doppler weather radars, an ti-drone and so on. Apart from these specific business -related updates which I would like to share with you, apart from bagging about 405 crores of orders in the quarter, we were able to close P&Cs worth about INR11 crores and are waiting to receive orders for the same very soon.
The company has signed a ToT with IN-SPACe , NSIL, Forexpa and Mini SAR , which we hope will help us in terms of getting into the defense radars, apart from the space -related radars in a bigger way. Anti -drone radar, which we kept on sharing with you the developments in the last two quarters, which is being developed with LRDA technology, is in the final stage of testing. We expect to start field trials by the end of this year.
NavIC chip approval is still waiting, unfortunately. The re are some technical issues to be resolved, which is taking time. We will keep you informed of the developments on this front.
The joint venture company has done very well. The pending export licenses were received by the company in the last quarter. It was able to ship about 50 crores of goods in the last quarter. As a result, the company has done profitably. It is expected to do about INR110 crores - INR150 crores of business for the whole year, with a good amount of profits.
Again, relating to the join t venture company, the SDR Manpack , which we are developing under the NCNC programme, has successfully completed the first trials of NCNC. It is waiting for the final trials to happen in the first quarter of next year. With this, I will hand over to Mr. M.V. Reddy and later on to Mr. At im Kabra to share with you the further developments in the company. Thank you.
M V Reddy: Thank you. Good afternoon, everyone. As it was stated in our last earning call, we have made a good beginning with the performance of Q 2, both in terms of order book as well as sales. We would like to reiterate that we have good visibility to meet our guidance for the rest of the two quarters also. Out of INR409 crores bagged in Q2, INR383 crores were booked from the domestic market and t he majority comes from the core sector, i.e., radar and electronic warfare segment. Mr. S. G Reddy have already given you a break -up of the domestic sector order book.

We are also pleased to inform that we bagged a few strategically important R&D projects like development of imaging radar for DRDO and also supply of satellite EW payload subsystem for a DRDO -based satellite system. And rest are all in production in nature.
We also have been awarded with project sanction orders for development of radars unde r MIG -II category for military and metallurgy applications. And also, we have participated in a few RFPs and responded to RFIs to supply CDS and other systems. With regards to sales, we have ramped -up our domestic sales in Q2 and will further get improved in the coming quarters.
Our JVC, Astra Rafael Comsys, has bagged a few strategically important contracts in the last quarter worth of almost $45 million to deliver software -defined radios for the Indian Army and also for the Indian Air Force through DPSU -HAL in the current year. And actively pursuing more opportunities in the domain of tactical communications and electro -optics.
That's all for my side. I would like to happy to answer your questions. Now I hand over to Mr. Atim Ka bra to share his thoughts. T hank you.
Atim Kabra: Hi, good afternoon. This is Atim. Happy Diwali to all of you. Since we last spoke, the world is further in turmoil. October 7, saw the Israel -Hamas conflict shake the world and further shatter the illusion of relative peace and calm w hich had come to define the second half of the previous century. My idea here is to give you a direction on where we are going

and what is our thought process and how it is being defined in the current context.
Because the asymmetrical nature of warfare an d the blurring of lines between civilians and professional combatants has further marred the landscape which had already seen drone -based warfare and its derivatives, profoundly changed the entire history of warfare tactics. I mention this in the context o f electronics -based warfare emerging as a central pillar around which the theater of war will converge. And we are a player in this area.
I saw the results of BAE Systems a few days back. And it was interesting to see that defensive sectors are emerging as growth drivers in the economy, even in the US. I am sure you are equally impressed as most of us by the significant increase in our order book this year.
We have an order book in excess of, I think, INR2,300 crores, driven by significant changes in the de fense acquisition policy that we are all conversant with. I am very hopeful that we will continue to see positive numbers coming in from our traditional tender -based businesses, as we

detailed in our presentations during our QIP. And as we go along, SGR an d MVR will be adding more color to this.
In my previous Analyst Meet updates, we had spoken about us exploring various adjacencies to our core businesses, for we wish to diversify our order book, mainly from a tender -based approach. Towards that, as I deta iled earlier, we have been working on a few solutions which could be branded as ASTRA solutions. Though I must admit that the search for defining such solutions often takes a backseat to the business exigencies at hand, wherein our current order book being translated into sales has to be clearly prioritized.

However, we hope to have one of our solutions ready before the end of the year, which would not only have a domestic order base, but also will put us on the international map with a semi -off-the-shelf p roduct which can be marketed to the rest of the world. It is equally critical to put concepts being explored on the slow burner if margins and suitability to the market is hazy.
While we delve deeper into specific opportunities, as we have gone about defin ing our solutions, we have slowed a few of our initial concepts being explored, where we found significant competition and non -existence of a deep moat for our products.
So our focus has been on margin -enhancing businesses rather than margin -high volume businesses. So one of the skill sets we explored was our MMIC chip design division, which you are very well aware has been one of the core strengths of Astra. We have been at it since 2005 and have built in a deep expertise in MMIC chip designs.
So our learn ing was that MMIC is best suited for defense applications and regular commercial chip design is a completely different ballgame, a different skill set where we would have to deploy a significant amount of capital and resources. So we explored and delved de eper into our MMIC strengths. We have tried to explore how we can build our capabilities in our already existing, in our 100% owned Singapore subsidiary, as well as work on a larger format with our clients, both existing and potential future clients.
I'm g lad to report that at this juncture, we have significant interest from a few select clients towards significantly enhancing their offtake from us and jointly developing some more capabilities. The key is here to achieve this profitably and optimally withou t stretching our working capital, while we would love to partake in the proceeds of the jointly developed and marketed products for the long term through royalties. And this concept is quite appealing as it gives us both scalability as well as profitabilit y in a deep -moated business.
So if this joint venture, or if this, not a joint venture actually, if this association comes about,

it
will be a very significant achievement for our MMIC division. And we hope to keep you posted on this. Likewise, as was just mentioned, our Rafael, JV, ARC is doing quite well, and we will be profitable this year.
And as the order books and execution capabilities pick -up there, we should see a significant flow of business to the parent company, to Astra. Lastly, I need to highl ight the induction of the two new Directors on our board, as SGR has mentioned. Mr. Varadarajan is a very well -respected scientist with multiple accomplishments to his credit, while Suresh further strengthens the equity owner's presence on the Board of the company and with its multiple attendant benefits.
With this, I will hand you over to my colleagues to talk to you and walk you further. Thanks. Guys, over to you.
Management: Yes. Let us start the question -and-answers.
Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Amit Dixit from ICICI Securities. Please go ahead. As there is no response

from the current questioner, we will move to the next question from the li ne of Venkatesh Subramanian from LogicTree Consultants Private Limited. Please go ahead.
Venkatesh Subramanian: Yes. Good morning to all of you. Season's greetings. Happy Deepavali. Congratulations on a very good set of numbers. I have basically three ques tions. Taking off from what you said. One is in terms of what we are pursuing and in the past transcripts we have been talking about broadly looking at a top line revenue in excess of INR8,000 -odd crores over a period of time at a run rate of approximately INR2,000 crores. That is one.

But to achieve that kind of numbers, you would need to have an order build -up over the next 18 months to have a visibility for say four years to five years. Do we have some sort of a blueprint to get there? That is one questi on.

Second question is, sir, which is with respect to NAVIC. I was reading one of the recent interviews of Rajiv Chandrasekhar, the Minister, Honorable Minister, saying NAVIC could be mandatory in a lot of devices. In NAVIC, are we a pure play or do you th ink we have competition out there and we will only get a piece of the pie? That is second.

Third question is, NMIC, how big can this opportunity be in terms of say over a five years, six-year period of time if things work out for you? And you said you are uniquely positioned in the defense application side.

One suggestion on the fourth one is, sir, if we are doing a little bit of crystal ball gazing over the next five years to seven years, where would our revenue spread broadly come from? Whether it would b e in terms of domestic tenders, would it be other services and activities as Atim mentioned, or would it be exports, would it be NMIC? Some sort of crystal ball gazing over a five years, six-year period will give us an idea of where the company is headed to in various strategic segments? And also, would be helpful because the Indian elections are coming up and defense tendering, Atmanirbhar, all that takes a backseat for some reason. Then we will have a plan B in executing revenues over a period of time. That's it from my side.

S G Reddy: Atim, you take a couple of questions on N avIC and NMIC, then we will take the rest.

Atim Kabra: There are two ways to look at N avIC. You can be the basic chip su pplier or you can look at being a value -added supplier. N avIC is still some time away, just to be very upfront about this, number one.

Number two, METI had given the contract to two entities on this to develop the chip within the country. One was us and th e other is an entity called Accord. We did it in a joint effort along with another partner where we own 50% of the IP. So it's not exclusive to us, number one. We believe there's another entity by the name of

[LNR] Geosystems which has made some claims abo ut this. We don't know much about this for you guys to explore. Our strategy would hinge around having the processor combined with the RF content and then creating some modules around it so we can be a value -added supplier in the NAVIC space. That would be the broad strategy. I'm reiterating, this is still a few years away to the bare minimum.

We recently met some very senior government official, ex -government official and it was reiterated that the intention is there to completely support the ecosystem, b ut it will take some more time for the product to be developed.

The good thing is we are first coded, which means our products can actually be multiple positioning systems. So we can do GPS from NavIC, NavIC on GPS or for that matter, we can code in BeiDou also, etcetera, etcetera. I hope that answers the question on NavIC.

The MMIC part, which I would like to address here is that we are looking at creating a portfolio of MMIC products wherein a few chips or few products from our existing sale portfolio can be picked up by our marketing partner, while we develop midterm quick reaction product for them jointly. And at the same time, in parallel, these are our capabilities in MMIC to create products over the long term, which could be one to two years, right?

I would -- let's say, we are looking at least seven to 10x maybe that's aggressive, okay, over the five years that you spoke about, okay? But we definitely are looking at about 3x, 4x of the current MMIC portfolio in a few years' time. Now that -- interesti ngly enough, that would imply creating a long sale of royalty which should come if our current efforts are successful and translate into a business opportunity and that's dedicated to dotting the Is and crossing the Ts in our final agreements, which are go ing to be done. So it's -- we'll keep you posted as it happens, but this is a long vision , which you guys are looking for. S.G.?

Management: Yes. So the other part in terms of the visibility for the company for the next three to five years. As we have men tioned in multiple interactions with many of you, basically, we are looking at the overall pie that is available in the areas where we are there in terms of the radar, EWs, missiles and telemetry, sales, exports and turn key projects and special projects. We see a visibility of -- in excess of about INR39,000 crores up to year 2030.

So this visibility, we have split up into three parts where we see definite opportunity for us maybe on a single tender or a preferred tender basis, about INR5,000 crores of opp ortunity. There are other two segments where there is a limited competition and severe competition, where the success rate we are assuming at about 30% to 40% where there is a medium competition, and about 10% to 15% with severe competition. If you take al l these three parameters and looking at the products, what I have indicated, we see a visibility of business in

excess of about INR8,000 to INR10,000 crores. That is what we can say as of today.
Venkatesh Subramanian: So that would be translating broadly t o a run rate of about INR2,000 crores approximately per annum, sir, going forward, broadly?
Management: Yes, that is how we see it. And basing on that only, we have projected accumulative turnover of about INR8,000 crores by the year '27, '28. Yes. As of t oday, that is how visibility what we have internally.
Venkatesh Subramanian: Got it. Got it. Thank you so much, sir. And my last question was that the in terms of the various segments that we have, exports, MMIC, NavIC, domestic tenders, other, like you sa id, limited competition and serious competition, is it possible -- I don't need an answer right now,

sir. But in the future, is it possib

le that we can say that to achieve that -- if we do a crystal ball gaze five years down the line, what would the compan y look like in terms of various segments based on your internal workings?
Management: Yes. Probably, we can exchange the information offline. But immediately, whatever I can share with you, this is what I can talk to you right now.
Venkatesh Subramanian: Perfectly sir. This is very good enough sir. Thank you so much. I appreciate it.
Management: Thank you.
Moderator: Thank you. Next question is from the line of Hitanshu Bhatia from Gandhi Securities & Investment Private Limited. Please go ahead.
Hitanshu Bhatia: Hi, sir. I just needed a few updates. So the delay in the approval for NavIC chip, is it because we have some new observations that we've been facing? Or is it a delay from the regulatory side? And roughly, I mean, by when can we expect progress on that front?
Management: No, there is no regulatory as such. Ultimately, whatever chip is designed is to be approved by ASAC. So there are certain observations given by them. The Manjeera, which is our partner, who is working on that is trying to address those issues and that is where the delay is happening.
Hitanshu Bhatia: So in the last quarter, it was like some -- we would have -- we were expecting to address those observations by within a week or so in the first week of September?
Management: Yes, tha t is what -- that is the reason why I used the word unfortunately, okay? So somehow it is going in cycles. And that is the reason why now in this call, I don't want to commit any date. But the only hitch is some of the observations, the technical side, it is taking time to address.
Hitanshu Bhatia: So roughly, can we expect within the next quarter or so?
Management: Hopefully. That is what our partner has given to us. So we are hopeful that it will be done.
Hitanshu Bhatia: And sir, with regards to the NCMC trials, which was scheduled in October, November and which we were preparing for the SDR Manpack. So any update on that, sir?
Management: Yes. As I mentioned in my opening remarks, it has gone through successfully in the first trial, which is called UTRR, okay? So only three companies have gone through that successfully. Our is one company. Now the final trials are awaited, it is scheduled as of today in the first quarter of next year.
Hitanshu Bhatia: Okay. Thanks a lot.
Moderator: Thank you. Next questio n is from the line of Col Sarjeet Yadav from Mount Intra Finance Limited. Please go ahead.

Col Sarjeet Yadav: Good afternoon, sir. Congratulations for the good numbers. And Happy Diwali to all of you. I also congratulate Mr. Somani and Mr. Varadarajan, the directors. So my question is, firstly, about the order book. In the presentation, you've mentioned about INR 1,867 crores of order, but I just heard some time back about INR2,300 crores of orders. So it is a difference because of the consolidated order boo k? Or have we received anything after the 30th of September that there's an increase of about INR450 crores? this is first question.
Second is about the AESA radar and can you give an update when you'll expect an order? Especially in view of the upgradatio n of Su -30, which has now been approved, do we see AESA radar being employed there? Or any of the traction we have for the AESA radar, sir?
Management: Yes. The order book number mentioned by Atim is inclusive of the joint venture company. There is a conso lidated order book, whereas whatever number I spoke about is the stand -alone.
The other part, AESA radar, I request M.V. to share ideas and an update.

Management: Yes. Hope, you are t alking about AESA radar, that is Uttam radar , we were expecting soon production orders from HAL for the first series of limited production. And the other question you asked about the Su -30. W

e are waiting for the RFPs to be out from DRDO, and we are actively working on that particular opportunity also.
Col Sarjeet Yadav: Sir, just a follow -up question. Do we have -- do we see any competition in this Uttam radar? Or AESA radar, do we see upgradation or it's more like confirmed sort of order?
Management: Yes. For Uttam and its variants, as of today, we are the only player for AAA U. But in future, we never know that some companies may come out in competition. But as of today, we are the major supplier of the radar portion in that segment.
Col Sarjeet Yadav: Okay. Thank you, sir. That's all from my side.
Moderator: Thank you. Next q uestion is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Yes. Thanks a lot for taking my question. I have got two questions actually. The first one is on slide number 32, where you have indicated the opportunity size of Ut tam radar for various platforms. Now, is it possible to let us know that a lot of media articles suggest that Tejas Mk 1A, for instance, there could be additional order of 97 numbers and so on. So, this opportunity size that you have mentioned for Tejas Mk 1A, for how many numbers it is for Tejas Mk 2, how many numbers, if you can just let us know, so that we are at least abreast of, if any future orders come, then we can have it our estimate?
Management: Yes, we have considered the existing lot of LCA 1 pr oduction. We are expecting at least 4 0 plus numbers for the indigenous Uttam RADAR. That is a figure we have considered as of now. And apart from that, the additional sanction of 97 numbers also we have taken it up. For LCA Mk 2 as of today, we have not co nsidered any figure because we are waiting for the final configuration to be decided for that platform.

Amit Dixit: Okay, so we have considered 440 numbers of Uttam RADARs, including 97 numbers…
Management: It is Mk 1 and also there are other variants lik e AMCA version is there. So, there are many variants out there.
Amit Dixit: Okay. The second question is essentially, I think you covered it in the answer to earlier participant. For Sukhoi upgrade, there is this Virupaksha radar that has been talked abou t. Now, what components are we supplying in that and in the value per RADAR be very different from Tejas Mark 1A?
Management: Discussions are going on in DRDO. As of today, we have not finalized the configuration yet. But yes, there will be likely Uttam variant. Maybe it may go in. But as of today, the configuration is still not being finalized discussions are going on. Maybe I t hink in couple of months' time , we will come to know about that.
Amit Dixit: And we are the only player there or discussions are going on with several players at this moment?
Management: No. If it is different from Uttam, then we will have a competition from other players also. But if it is similar to Uttam, then I think we are the only one as of now.
Amit Dixit: Okay. So, the last one from my side. Are we affected in any way by this Israel -Palestinian conflict, either in terms of supply chain or in term s of our exports?
Management: As of now, we don't see any major issues in supply chain. But yes, going forward, it all depends on how far this war goes on and how that local industry gets affected. But as of today, when we discussed with our partners, they said things are in control. So, with that figures only, we are moving ahead.
Amit Dixit: Okay. That's very helpful. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Yug Mehta from AP Capital. Please go ahead.
Yug Mehta : Yes, thank you for the opportunity. Sir, our margins are looking for good despite of 48% export contribution to the top line. I understand that this is because of two different types of export orders. One is a direct export order

with low margin profile and other one has a better margin. Would it be possible for you to give further bifurcation of both of these export orders individually?
Management: You have both questions and answers in your question. Anyway, out of INR78 crores, what we booked in sales in Q2, close to INR65 crores are the deemed exports which is being supplied to joint venture and INR5 crores are direct exports to our partner.
Yug Mehta: Okay. Next question, can you throw some color where are we on our various projects that we wanted to pursue with QIP proceeds?

Management: I didn't get you. Come again.

Yug Mehta: Can you throw some colors on where are we now with our various projects that we wanted to pursue with QIP proceeds?
Management: We have taken up multiple projects in in -house de velopment to address the requirement for military application and as well as for the metrology application. We have started some development of few critical MMIC chipsets also as Mr. Atim had mentioned in the opening remarks. So all these development has b een started and it is actively pursuing. Right now today, we don't have a clear break up of funds spent or will be invested from QIP particular amount.
Yug Mehta: Okay, thank you. That's all from my side.
Moderator: Thank you. Next question is from the lin e of Ketan Gandhi from Gandhi Securities. Please proceed.
Ketan Gandhi: Yes. Hi, sir. In project Kush and project Virupaksha, basically we are into GaN based radar and I believe nobody in India has the capability as do we have. So what is your thought on that?
Management: I would say we have capability, but I can't talk about other s capability unless you know, the tender and the participation until we get the contract on hand, we cannot comment on somebody's capability. But as of today, again I reiterate, we have capability of building the GaN based TR module as well as the radar.
Ketan Gandhi: Excellent, sir. Sir, I just couldn't understand what you said about the SDR manpack for Army. Are we in or I mean, where do we stay? I just missed that.
Management: Yes. We are very much in. As Mr. SGR has mentioned. We have completed UTRR trials successfully. Only three companies out of eight, got through trials. We are one among them. Final trials have been scheduled sometime in January and February. Once we get through, probable we will get the entry in to highly potential t ender.
Ketan Gan dhi: Sir, is it possible to share the other two competitors' names?
Management: No, we can't share. Thank you.
Ketan Gandhi: Thank you, sir. Thank you so much.
Moderator: Thank you. Next question is from the line of Santanu Chatterjee from Mount Intra Fi nance Private Limited. Please proceed.
Santanu Chatterjee: Thank you very much for this opportunity, sir. And congratulations for a great set of numbers. My question is on your capex cycle, sir. Can you share, what kind of capex that will happen in the nex t couple of years? And second one is on the working capital days. Your working capital days are hovering around 250 days. So, what is your guidance going forward in the next one year or the next couple of years, sir?

Management: In terms of the capex menti oned in our annual report, we are spending about INR45 crores in the next 12 months. Mostly, this is all to augment existing operations to a large extent. Then, in terms of the working capital, working capital is going to be intense and probably the number whatever you have stated, it may be around 250 days to 270 days. I don't see any other way of reducing that number. So, it continues to be very working capital intensive.
Santanu Chatterjee: Okay. And sir, on your margin front , can you maintain your guida nce that it will remain on the vicinity of 20% or it w

ill increase from here onwards as your product mix will change going forward?
Management: There will be some improvement, but I don't see significant improvement due to numbers whatever we have achieved. But it is going to be an improvement from this one, but it is not going to be very significant. Maybe at PBT level, I think we are around 17.5% kind of thing. Probably, it can go up to 18% -18.5% by the end of the year. That is how I look at the n umbers.
Santanu Chatterjee: Thank you, sir. Thank you very much.
Moderator: Thank you. Next question is from the line of Karthi from Suyash Advisors. Please go ahead.
Karthi: On the SDR part, Army SDRs will be in the joint venture or will it be in the parent entity , sir?
Management: It will be in a joint venture.
Karthi: So, one question, sir. You know, last we spoke, you were talking about slightly higher dispatch numbers for the joint ventures, but now you are guiding for a lower number. Sir, if I ma y ask

you, what is the biggest constraint in terms of getting export licenses?
Management: Export licenses have been received. That is what I mentioned. Now, like any other product, there are some technical issues out there. So, probably the deliveries may be a little slow in the next, up to the end of the financial year. Opportunity is there to improve on those numbers, but as of today, the indication is that probably it can be a top -line of about INR110 crores -INR150 crores.
Karthi: Right. Because origin ally you were planning to ship more than INR200 crores, if I remember correctly?
Management: Internally, even today that is the target, but we see some technical challenges apart from that now because of this war in Israel. There is a problem in terms of t he people traveling. They have to come in and address the technical issues. That is another uncertainty which has come in. Because of that, there is some delay. Otherwise, there are no issues.
Karthi: Sure. Sir, thanks very much, sir, and extremely inspiri ng commentary. So, best wishes.
Moderator: Thank you. Participants, to ask a question, you may press star and one. As there are no further questions from the participants, I would now like to hand the conference over to the management for the closing comme nts.

Management: Yes. Thank you, everyone, for participating and having a good conversation. I look forward to talking to you again at the end of the third quarter. Thank you very much.
Moderator: Thank you. On behalf of Astra Microwave Products Limite d, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2024

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February 14, 2024

To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001
Scrip code: 532493

Dear Sir,

Sub: Conference call transcript. To
The Vice President,
Listing Department
The National Stock Exchange of
India Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051
Scrip code: ASTRAMICRO

We are sending herewith Conference call transcript held with analysts on 9th February, 2024.

The above information is also made available on the Company's website www.astramwp.com .

Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
T.Anjaneyulu
G.M - Company Secretary

An ISO 9001, ISO 14001, ISO 45001 and ISO 27001 Certified Company

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Unit 3: Sy. No. 1/1. lmarath Kancha. Raviryala (V). Maheshwaram (Mdl) R.R.Dist.. Telangana - 501 510
Unit 4: Sy. No. 1/1, Plot No. 18 to 21. lmarath Kancha, Hardware Park, Raviryala (V). Maheswaram (M). R.R.Dist. Telangana - 501 510
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"Astra Microwave Products Limited Q3 FY '24
Earnings Conference Call "

February 09, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th February 2024 will prevail

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA
MICROWAVE PRODUCTS LIMITED
DR. M.V. REDDY – JOINT MANAGING DIRECTOR –
ASTRA MICROWAVE PRODUCTS LIMITED

MR. ATIM KABRA – DIRECTOR - STRATEGY AND
BUSINESS DEVELOPMENT – ASTRA MICROWAVE
PRODUCTS LIMITED

Moderator : Ladies and gentlemen , good day and welcome to Astra Microwave Product Limited Q 3 FY '24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. S. G. Reddy, Managing Director. Thank you and over to you, sir.

S. G. Reddy: Thank you, Sagar , and good afternoon everyone. A warm welcome to all the participants for the post -result s earning call of our company.

I am with my colleague , Mr. M V Reddy and Mr. Atim Kabra and SGA – our Investor Relations Advisors. The “Results ” and “Investor Presentation ” for Q 3 and 9 months ended are uploaded on our company website and Stock Exchange s. I hope you had a n opportunity to look at it.

To begin with, I would like to take out a minute and talk about macro industry level trends :

As we all have witnessed that there has been a remarkable upward t rend in the defense industry which is fueled by the heightened government spending . the prevailing geopolitical environment and the commitment to fostering self -reliance and increasing exports has become the major driving force behind this gro wth.

Correspondingly, the Union Budget presented by the finance minister last week allocated 13% of the budgeting amounting to about Rs. 6.21 trillion to the Ministry of Defense for the fiscal 24-25. This is the highest budget allocation among all the ministrie s showcasing the importan ce placed by the government on strengthening our nation's defense capabilities.

This further generates multitude of new projects to equip armed forces with the cutting -edge and sophisticated technology, lethal weapons, fighter air craft, ships, platforms, unmanned aerial vehicles, drones and other specialist vehicles and also to upgrade and modernize the existing aircraft. Further, DR DO is lending extensive support to the industry to make India a net defense exporter. The transfer of technology is a key initiative in this direction.

In this backdrop, Astra is strategically positioned to capture a large p ie of this growing opportunity. Our organization is equipped with capabilities, deep domain expertise, year s of

invaluable experience and an unwavering commitment to research and development coupled with our robust strategic framework. We are in a position at an advantage to explore and excel in the emerging opportunities.

To get into the specifics during the Quarter :

I am pleased to share with you that we have reported a good set of numbers for the quarter with the highest quarterly EBITDA and PA T. Our top line stood at about 230 crores with a 5%

year-on-year growth as indicated in our previous guidance. Additionally, EBITDA margins came in at a healthy 29.1% and PA T margins surged up to 18.3%.
During the quarter, our domestic business contributed about 80% of the top line. Further, within the domestic business, defense has contributed to 72% of the top l ine. As a result, we have seen the surg e in gross margins flowing through EBITDA margins

.
Coming to our Order Book :
Our order wins continue d to be healthy. We have booked about 256 crores worth of orders during the quarter, with the overall order book standing at 1 ,813 crores, implying book to bill at 2.24 x. I wish to inform you that during the quarter, the company has responded to RFPs worth about 155 crores and expects to book about 200 plus crores of orders in Q4 . With this, we should be able to achi eve and surpass our order book guidance for the year.
In terms of the Sales :
We should be able to achieve around 8 60 to 890 crores for the whole year as against the target of 900 plus crores. However, w e should be able to cross the bottom line target in te rms of the PBT.
We are happy to inform you that we have a significant contribution in Akash -NG, which was successfully testified during the quota. This has the potential to give a steady revenue for the company in the coming future.
We are also happy to inform you that the company has decided to further expand its business and space segment by foraying into satellite integration, testing and launch its own next satellite in the next couple of years. Facilities for the same will be built at our existing Bangalore unit and we have budgeted to spend about 40 crores in the next 3 years.
For the coming year, we target to achieve about 1300 crores of order booking, a top line in the range of about 1 ,000 to 1 ,100 crores , with a P BT in the range of 16 to 18%.
With these remarks, now I hand it over to my colleague Mr. M. V. Reddy to share his thoughts and later on to Mr. Atim Kabra. Thank you.
M. V. Reddy: Thank you. Good afternoon everyone.

As Mr. S. G. R. had mentioned, our overall performance in Q3 was at par with the guidance given in the previous quarter ending call.
We have booked 256 crores worth of orders in the last quarter, that is Q3, which constitutes 161 crores from the domestic segment and 95 crores export orders. In the domestic market, we backed 136 crores from radar, which is our main focus area, 16 crores from EW and Defense Communications segment and 9 crores from space and metrology sector.
Also pleased to inform you that we won close to 66 crores worth of development contracts from various DRDO and ISRO labs. Overall, we have booked 830 crores in FY '24 as of 31st December and that results to be close to the 1 ,813 Crores as a total overall order book as of 31st December and expect to book a minimum of 230 crores less in the current quarter. We have bright visibility to book 1 ,300 crores worth of orders in FY '25. Majority of them are production orders from domestic segment.
As regard to sales, except couple of R&D projects which we slipped out of production in last quarter, we have ramped up our domestic sales and will further get improved in coming quarters to achieve 1 ,000 crores plus landmark in FY '25 .
We are also delighted to inform you that our JV company, ARC has recorded splendid performance both in terms of order book as well as sales. With 395 crores orders booked in the current year, ARC has a backlog of 547 crores as on 31st December 23. Also we could register sales of 150 crores in 9 months period and planning to book 92 crores revenue in Q4. And we have clear visibility to book 900 crores plus orders in next three quarters.
Going forward we have a very good visibility to maintain sustainable growth with the opportunities emerging in the domain of our operations.
That's all from my side . Would like to be happy to answer your questions. Now I will hand it over to Mr. Atim Kabra to share his thoughts. Thank you.
Atim Kabra: Good afternoon everybody. I will start with an observation. The legacy of the Second World War which nearly 80 years ago still defines the strategic vision of wars. Though it has been seriously

rewritten as war is increasingly being shaped by technology and that's where we fit in. And within that unmanned and within this overall space, the unmanned weapon system, they have changed the very paradigm of how wars were fought. With the new unmanned weapon systems being very cheap and highly effective, with delivery mechanisms ranging from the vehicles to the sky, to the sea, and they allow not only real -time intelligence but als o adjustments to fire around the clock without pause with high precision while striking both in

the front line as well as behind the enemy line.
Now if I combine this capability with digital field creation, radio electronics, environmental control and cy ber offense , basically technology driven war is reinforcing superiority over traditional ways of warfare.

In our opinion, therefore, countering these unmanned systems will be a big opportunity on a global scale. And Astra is very hopeful of demonstrating its first anti -drone system next quarter. We are taking a systems integrated approach here with skill features being incorporated , with skill features being incorporated, I would say around our main capability, which is identifying and tracking base radar. Work is already on within the company for the next version of the anti -drone systems with much upgraded feature sets. So, we hope that this capability will be a big driver for us for going forward.
Beyond the skies, as S. G. mentioned, we expect s pace to be equally critical in times of wars as well as in times of peace. Communication payloads, signal controls, reconnaissance capabilities, high -end optics, hyper spectral cameras, they will all find uses in agriculture, Internet penetration on a wide r scale, effective communications, remote sensing as well as warfare. So, nano satellites with custom usage to micro and large satellites will be a big market at scale.
As S. G. mentioned, I am glad to share that Astra's Board has decided to focus on sat ellite space in a significant manner. As you are already aware, Astra has a sizable order book in the space segment, and we have been providing a significant portion of the communication systems used in our three satellites.
We intend to offer complete satellite systems right from, hopefully, the design capability to satellite bus, to the command, control, preloads, all under one group. And as we see, we are being joined by senior experienced professionals who have been involv ed in satellite building since long. We intend partnering with companies, both local and overseas, offering supplementary skill sets and intent being a one -stop shop for all things satellite.
Towards this, budgets have been allocated and a new 100% owned subsidiary has been incorporated as space technology is limited. We expect this new business line to start contributing to our numbers in a span of two years plus. We will share more as the plans are to fly further. We, personally speaking , are all very e xcited by the growth prospects and our ability to be a significant player in space , building on top of our capabilities.
We keep testing upon a few other initiatives, taking concrete space with a concrete shape at this point in time. We have identified a few potential acquisitions that will fill the gaps in our skill portfolio and augment our capability to emerge as a systems entity. We hope to complement the first such transaction over the next few months. So, please look at this space for some more news on this area.
The other area for growth where we intend to build up significantly on our core capabilities is our in -house MMIC division. As we are well aware, Astra is one of the few companies that has in-house MMIC design capabilities, which have helped us innovate and build newer products with newer and different form factors. We intend

to scale up this business line significantly in
the global marketplace by leveraging our MMIC design capabilities.

We are also evaluati ng our various ongoing next generation initiatives in line with their CAPEX requirements and the timeline needed to translate the effort into meaningful numbers that can positively impact our bottom line. And this is an ongoing process, but it has taken slightly more vigorous shape at this point in time. Efforts are being made to look at these programs where the bottom line , in fact , can be very tangible in a defined time frame and prioritize a few programs while others will see a pushback unless we can quantify their impact on our profitability in a defined time frame.
Lastly, all this vision and growth as exhibited in the numbers will not be possible without the wholesome participation of the entire Astra family. Efforts are being devoted towards training our workforce, upskilling them, equipping them with newer skillsets and ensuring that Astra becomes a place where the professional vision of our employees finds fulfillment in an environment that challenges the employees to reach newer heights and also provides them the platform to deliver on them.
We can address these issues in detail as we go about , but happy to hand it over to back to the floor.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Amit Dixit from ICICI. Please go ahead.
Amit Dixit: I have two questions. The first one is on the EBITDA margin in this quarter. So, if I look at EBITDA margin, it is very healthy, possibly the highest EBITDA margin ever. Now it has a very low proportion of exports, only at 20% and of course , the space execution has picked up significantly in this quarter. So, just wanted to get an understanding of what is the proportion of exports is that we can expect in FY '25 . Will it be closer to 20, 30 or I mean , higher than that, and also the space execution if you could highlight ? That is the first question.
I have the second question . I can ask it together. So, in the last call , you indicated that , you know , the final trials of SDR are scheduled in January and February. So, just wanted to get an update on that. These are the two questions.
Management : SDR. I think the final trials of SDR are pushed to June, July, but things are moving positively. Coming back to the first question , in terms of the proportion of export sales in the next year projections , I think export sales will be close to about 20% to 25%.
Amit Dixit: So, that means this kind of margin that we have made this quarter 28 and 28.5 or something , that margin could be maintained, or we should expect it to come down a bit ?
Management : We should be able to maintain in a one -year cycle . Quarter -on-quarter , I do not want to comment , but we should be able to maintain this on a yearly basis.
Amit Dixit : No, I am asking only on a yearly basis. So, we should be able to maintain.
Management : Yes, we should be able to maintain . Yes.

Moderator: Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Management . Please go ahead.
Niraj Mansingka: Sir, just wanted to know on the Sukhoi upgrade, what is the status and how , yes, just wanted to know that. The question is on th e Sukhoi MKI upgrade, what is the status of the government and again, how many players are competing for that?
Management : In fact, the status is the same like what we mentioned in the e arning call that the upgrades, you know, the DRDO is planning to upgrade both radar and EW suit. Towards that they started releasing some subsystems in EW suit and whereas radar they are ready to final ize the confi

guration . Hopefully , they finalize in the next couple of months' time frame and once they get this thing, probably they will start floating tenders .
Niraj Mansingka: But sir, has the radar supplier been conf irmed or is it again yet to be decided by the government?
Management : So, the information what we have is basically in principle they have given clearance to DRDO to build the radar and budget is yet to be allocated I guess , but as such , you know , the configuration is being finalized a t DRDO . So, not sure exactly how they are proceeding it , but as of now DRDO is trying to build the radar and they will try to identify industry partner to do that.
Niraj Mansingka: And how many players do you think would be competing on this and will this be a transfer of technology, or will it be just a showcase of technology for players?
Management : I said you know this is too early to comment on that and unless they finalize the configuration , we cannot comment on this. As far as the industry is concer ned, as you know , there are about two to three industries in this race and more may come. It all depends on what kind of configuration DRDO finalizes .
Niraj Mansingka: And last question on the timeline. Any thoughts of yours when it should be decided by the government? Any timeline thoughts you have that when the government should be deciding or when do you think is the ultimate timeline decision should be made?
Management : We don't have any information on this.
Moderator: The next question is from the l ine of Santanu Chatterjee from Mount Intra Finance P rivate Limite d. Please go ahead.
Santanu Chatterjee: My first question is on, s ir, major opportunities on your different platforms which you have already depicted in your quarter 2 presentation , but strangely this time around that in this latest presentation it is missing. In different platforms you have depicted in FY '24 major opportunity size is more or less 4,000 crore . 2,060 crore is from radar segment and 2 ,000 crore from the system itself. Can you explain , sir, or can you give some kind of guidance that what is the

present status of those orders or when this kind of opportunities from different platforms get converted into the form orders?
Management : Yes, there are various platforms which we indicated in the presentation. I am not sure whether it was included or not this time , but you know , it is the same as the last quarter, not much of

change. We have our presence in Uttam , which is going for production. As you know , HAL is producing radars . 50% of the quantity we have marked for the indigenous version that is Uttam wherein we are supplying AA AU.
And then s econd is the upgradation or LCA Mark 1 . That is LCA Mark 2 also DRDO is planning to go for radar . In that also , we are likely to compete with other players. As one gentleman mentioned, about Su-30 is also coming out in near future wherein we have to compete with other industry players for the radar and EW segments. And in LCA Mark 1 , we are also there in ASPJ pod j ammer wherein we are the only source as of now for that pod unit . In that, we are supplying AATRU.
And other platforms like AWC , which we have mentioned, AWC , which you know two programs have been sanctioned . One is called Mark 2 and another one is Mark 1A. We are there in both the platforms, we supplied originally the sub-systems for Mark 1 about 5 years back. Now Mark 1 is also being sanctioned. So, we are likely to expect a good amount of business from that.
Similarly Mark 2, DRD O is finalizing the c onfiguration soon. So, there we have a competition. We have to compete with other players. It all depends like, you know, how these tenders get results. But otherwise , we have good opportunities for us to work on this domain.
And in the ground segment , we have

various platforms like weapon locating radar and also
TLR , which is a radar for the Akash version. And also, we are working for like QSM, and then other major programs called like you know, Akash -NG. These are all other programs which we have been supporting BEL.
Then coming to the missile platforms, we are there in Akash and then Akash -NG as well as Akash Prime, then Astra missile and also in QSM, Akash -NG missile. In all these missiles we have subsystems. And as far as EW is concerned, we are t here in more or less in , you know, many platforms which BEL is being produced like Shakti, Himshakti, Dharashakti , Varuna . All these platforms we have been supplying subsystems. And yes, that's all. These are the major programs in the defense sector.
In space, we have our products for RSH which are in production right now. And we are expecting repeats for similar payloads in the near future. And apart from that, we are building our own satellite , you know, payloads as well as in the satellites to address this particular market segment.

And in metrology, we supply automatic weather station and as well as remote terminals. These are all major projects which we have been supplying to IMD and all. The other one which we have not covered is Doppler w eather radar, which we supplied to IMD and also ISRO. We are working in various frequency bands. So, far more than 15 have been installed and commissioned. Yes, these are all some of the major programs which I think we have highlighted in last e arning call .
Santanu Chatterjee: Thanks a lot for your elaborate information about those programs. But what I am looking for, sir, in FY '24 , you have given a specific timeline that within FY '24 , what kind of major opportunities can emerge from those sectors. Like , you have mentioned over there that from BEL , Arud hra, medium power radar or from DRDO, long-range radar, LRSM radar. And as you have mentioned right now, AEW&C , 11 airborne early warning and control radars. The order you have envisaged to the tune of 2,060 crore within FY '24 . So, I am actually asking that what is the present status and whether you are getting those orders and how much is actually convertible into the form orders ?
Management : Yes, again it is that 2 ,000 crores or less. As I mentioned, we are likely to book 1,300 crores worth of orders for FY '25 and which covers Arud hra, then AE W&C program and also the long range radar , which we are trying to get from DRDO.
Santanu Chatterjee: And another last one . And sir, from system itself , you have also mentioned over there that from Indian Armed Forces, you were envisaging a more or less 2 ,000 crore order in program like counter unmanned aerial system. What is the current status of that program, sir?
Management : Yes, as Mr. Atim Kabra had mentioned in the initial remarks that our counter drone radar is almost ready, and the internal trials are going on . We are likely to launch this product in the next quarter. We have form RFDs, RFIs on hand and most likely by FY '26, we may conclude some of the contracts for this particular system.
Moderator: Thank you. The next question is from the line of Abhijit Mitra from Aionios Alpha Investment Management . Please go ahead.
Abhijit Mitra: I have a couple of questions. First of all, regarding th e AEW&C Mark 1A, I think next week is expected AON. So, what can be the potential order value that you will be bidding for, or will this be a straight or this will be like a nomination tender for you?
Management : We don't want to comment at this stage in this forum , Mr. Abhijit . I think , this is a bit

confidential . So, we wanted to keep this information with us.
Abhijit Mitra: No worries. And 1 ,300 crores of order inflow guidance for FY '25 , you mentioned 3 projects. Those 3 p

rojects will be like what 60-70% of the total 1,300 crores or it is like a long tail, or I mean ?
Management : Yes, actually out of 1 ,300 crores, close to 1 ,000 crores from these major programs, defense and electronic warfare put together and the rest is from space and metrology sector.

Abhijit Mitra: And just to understand the revenue guidance of 1 ,000 to 1,100 crores, what kind of execution are you factoring in, in terms of projects ? Which are the major projects which you feel?
Management : Yes, FY '25 , as we have given guidance of 1 ,000 to 1,100 crores, in that the major projects is like one is that Arudhra, we have taken one 20% of the contract for the execution and the other programs which we already have orders on hand, that contains subsystems for various programs an d also a few radars like, HiSAR, ADS radar, MRTR , these are all contracts which we already received in this current year and then which are in the execution phase.
So, similarly in electronic warfare , we have received close to about 150 crores worth of orders which we are going to execute in the next financial year. Similarly in the telemetry missile , about 140 crores. In exports front , I think close to 150 crores we are planning to execute in the next financial year.
Abhijit Mitra: Sorry , I missed you r last statement . In the air force , you mentioned what ? Sorry .
Management : Exports 250 crores plus.
Abhijit Mitra: 250 crores . Got it. Also , just to understand , you raised money in May and June. So, why have interest costs gone up in this quarter?
Management : Basically , you know , you have to look at the break up for that. It is not entirely the expenditure incurred on interest. There is another accounting treatment as per the accounting standards.
The advances received from the customers , if they are outstanding for more than one year , we have to make a provisional entry in the books of accounts as interest payable to interest payable and advances and credit to a deferred revenue account , which is required as per the accounting standards. That entry constitutes about 9 crores out of the 10 crores or 20 crores whatever is there. Otherwise , my interest costs for the working capital borrowings should actually come down compared to the corresponding quarter of the previous year.
Abhijit Mitra: And the increase that you have applied in the advances because of some slow moving orders or?
Management : No, no. See, there is an accounting standard where if the advances from the customers is outstanding beyond 12 months period , then we have to make a notional entry in the books of accounts. We have advances received both from the export orders and also a couple of DRDO labs and SAC. So, those advances are outstanding for more than one year. Though as per the contract we are not liable to pay, as per th e accounting standard s, it is mandatory. And hence a notional entry is booked in the books of accounts.
Management : There will be a reversal eventually.
Management : Reversal as and when the contracts are executed, and the advance is nullified .

Abhijit Mitra: And this will be a recurring picture from now on or what kind of provision yearly that you are looking for? 9 , 10 crores yearly provision or?
Management : It all depends what kind of advances are going to outstanding the books of accounts. We have to wait and see.
Abhijit Mitra: Last question . Any supply chain challenges which you are facing now which might impact the margin profile or execution next year you feel?
Management : Little bit, little bit are there, one or two critical thoughts , but otherwise, to a large extent, it got resolved.
Abhijit Mitra: So, those Gallium Nitride and all those things have not started t

o materialize in a way which could impact?
Management : No, no, there is not any impact.
Moderator: The next question is from the line of Ketan Gand hi from Gandhi Securities . Please go ahead.
Ketan Gandhi: In opening remarks, you said something about satellite integration. Can you please throw some more light on that, exactly what we are planning to do there?
Management : We are building a satellite for the Earth observation satellite, based on a particular requirement. And there, in fact, the payloads for that particular satellite is being already made

by our space unit in Hyderabad. This new facility, which we have initiate d in Bangalore, is going to be an integration of the complete satellite. So, that addresses the Earth observation satellite and also in the future, all kind of a communication satellite we are planning to build in that particular facility.

Ketan Gandhi: So, more or less, we will be in the role of system integrator . Is it my understanding right or we are into subsystems in there?

Management : We are basically a system integrator, and we are building our own system using our subsystems . Whatever payloads we have been developing for ISRO, using that we are trying to build our own satellite and we are going to supply it to the users. We are not going to operate, and we are not going to emerge as the operator. We are only going to build , against contracts, we are going to build satellites.

Ketan Gandhi: And s ir, in Akash -NG program, what value addition we are doing ? Is it the seeker or some kind of microbial subsystems apart from the older version?

Management : See, this Akash -NG seeker is DRDO design ed seeker, wherein BEL, I think they are manufacturing it. We have components in that, micro components. Apart from that, we have one more component which is going to replace the imported transmitter. So, that is one of the major subsystems which has flown in the recent trials, and which was testified successfully.

Ketan Gandhi: So, we are alone there, right? Nobody , no competition there.

Management : We have one more pla yer, one more pla yer here. As of now , we have one more company is there.

Moderator: Thank you. Our next question is from Abhishek Poddar from HDFC Mutual Fund . Please go ahead.

Abhishek Poddar: Sir, if you could elaborate more on the LCA Mark 2, whether we will be involved in the design phase itself or our role will come later on?

Management : Well, I think DRDO will design the radar and then after that, I think we will start participating in that program.

Abhishek Poddar: So, we would get a production order . We would not get a development order . Like that, is it?

Management : Yes, actually the development orders, like , you know, also gets a development contract and get production orders.

Abhishek Poddar: And we would be competing to even get that development order . So, how many players would be there and what are the scope of work that we could be getting?

Management : Right now, I can't comment how many companies are going to compete in this, but yes, definitely we have a competitive edge compared to the others, as we have been involved in this similar class of radars and all . But beyond that, I am not in a position, I cannot tell you about how many companies are going to compete in this.

Abhishek Poddar: And sir, there was a big AON which was, you know, DAC had approved in November like it was 2.3 lakh crore and there was a new scope which was included , let's say , 97 LCA Mark 1 probably is new . So, if I look at the presentation in terms of opportunity size, which you had shown about 7 ,000 crores till 2028 , shouldn't we assume that that should also increase because of the new AONs coming in? How to think about that?

Management : Yes, actually, to be frank, yes, when we

are given that figure , overall figure , this 97 was not included and this 97, like, you know, it's the additional thing for the 7,000 crores what we have mentione d. But at the same time, if you look at some of the programs are likely to get delayed beyond FY '28. So, we are taking it as a buffer for that.

Abhishek Poddar: And when you share that presentation, you mean that the total potential is 25, where our mandate could be 7 ,000 or so? So, in the presentation, when you are showing the market potential for your products till 28, there are two slides, one shows 24 ,000-25,000 crores as the total opportunity and another is 7 -7,500 crores. So, your sense there is that the total market size would be 25 or so and your wins could be about 7 ,000 or all.

Management : Yes. So, this total addressable market is around 25,000 crores what we indicated and again is that, you know, we are likely in that we have mentioned about some of them are interoperability in nature and some of them are in limited competition and few of them are in open competition. So, in all three categories put together, we have given about 8,000 crores around order pipeline, order book for this nex t four years timeframe.

Abhishek Poddar: And sir, in Brahmos , would you be present anywhere like in seekers or transmitters, you know?

Management : No, we are not in Brahmos seekers . Only telemetry we are there in Brahmos, which is , of

course , the quantities are very less as compared to the seekers, but telemetry we have been supplying and there is another product called Altimeter , which they were importing all along. Now this recently our product has been tested in lab and I think soon they will go for flight test. Once it gets approved, I think we will have a good number of Altimeter s for future production.
Abhishek Poddar: And just on the margins, last question for me . Your EBITDA margins are about 29 and PBT is about 24. So, when you said next year is 15 to 18, this quarter would have something exceptional in 28% EBITDA margin. I missed it if you have already answered it, sorry.
Management : See, you know, these margin movements on quarterly basis is very dynamic. It all depends on the specific products that are being executed in that particular quarter. Therefore, on a yearly basis, what we have mentioned is about 16 to 18% that PBT levels.
Abhishek Poddar: And that would assume the export mix at 20 -25%?
Management : Yes.
Moderator: Thank you. The next question is from the line of Niraj Mansingka from White Pine Investment Management . Please go ahead.
Niraj Mansingka: Sir, what role would we be playing in AWACS project for the government?
Management : What is our role in AWACS program?
Management : Well, we supplied, you know, RF and microwave components in the AWC program for the primary radar, like TR multimodule unit, antenna beam forming unit. These are all few products which we have supplied for the AWACS program in the past. And the next program also, you know, we are there in the race.
Niraj Mansingka: Any thoughts on what is the size of that next program and when can it be implemented?
Management : Well, it's not in our hands, though the project was sanctioned long time back and AWC Mark 2 RFBs will be out soon. I think that's what we expect from DRDO. And then Mark 1A, I think, may take another year time frame.

Niraj Mansingka: But, sir, in the AWACS, has the government finalized how many they will make, or it is just not clear right now?
Management : No, it's clear that actually Mark 1A, I think, is about six numbers have been cleared and I think they are going a head .
Niraj Mansingka: But that order is not yet out, right?
Management : Orders are not out.
Nira

j Mansingka: So, how many players w ould be competing for that in the AWACS components?
Management : See, let's not get into too much of specifics, but as I said, we are into primary radar subsystems, as well as we have few subsystems for the secondary radar. So, overall , our contribution in the radar segment would be around 40 to 45%.
Moderator: Thank you. The next question is from the line of Vipulkumar A. Shah from Sumangal Investment. Please go ahead.
Vipulkumar A. Shah: So, just one clarification. Our order book is inclusive of our joint venture with Rafa el or that order is not included in it?
Management : Which order book you are referring? That 1 ,813 crores which we have mentioned is stand -alone.
Vipulkumar A. Shah: Yes, it is standalone, or it is inclusive of our joint venture?
Management : Yes, it is standalone.
Management : No, no, it is standalone.
Vipulkumar A. Shah: So, what is the order book of our joint venture with Rafale?
Management : It is about 540 crores for joint venture.
Vipulkumar A. Shah: It is a 50 -50 joint venture, right , sir?
Management : Yes.
Vipulkumar A. Shah: And s ir, my second question is regarding the BTP versus BTS. So, c an you comment on the margins in both the segments and what is our revenue share in terms of percentage from both segments?
Management : See, in BTS usually this is the main area for our operations where we take the business from the users like DRDO and other labs to develop the subsystems and all. So, that is the BTS

which we have been working for the last 30 years right from components to the systems. And whereas in BTP , we are taking up these orders to fulfill the offset obligations from the foreign players.
And in BTS case , usually our margins depends like competition and also based on the business

volumes and size of the business. So, usually it operates between we work with 40 -45% and whereas in BTP , again , we have got two categories in that. One category is where we have a more value addition , which includes the debugging of failures and kind of a thing. And the other one is pure like assembly and testing area where we have low margins . There value addition is less. But in the other category of BTP which we have been working where the margins are little higher is about 20 -25%.
Vipulkumar A. Shah: So, in our revenue share , what should be the percentage of BTS and what should be the percentage of BTP?
Management : Now, actually , this next year FY '25 , as we mentioned , our overall exports would be around 22-23% around that. And in that , the BTP will be close to 18%.
Vipulkumar A. Shah: So, domestic is 100% BTS?
Management : Yes, domestic is 100% BTS.
Moderator: Thank you. The next question is from the line of Colonel Sarjeet Yadav from Mount Intra Finance P rivate Limited. Please go ahead.
Col. Sarjeet Yadav: Just one question , in case you can give some color on the space opportunity. As I understand that as of nowadays , one product which is a SAR payload, any other opportunity we see ? And in how much time do we see it getting commerc ialized? This is the question , sir.
Management : Well, we are working on that SAR payload. We got technology transfer from ISRO, and we are trying to build payload based on the technology. Right now it is in the optimization phase. May take two more years for us to build this particular payload and to offer to th e radar imaging satellite programs.
Col. Sarjeet Yadav: So, any other product in this space segment that which we are targeting , sir?
Management : Yes we have a few clients who are working over this kind of remote sensing satellites . We have been discussing with them . So, I think , probably , we are in a position to offer a solution to them.
Moderator: Thank you. As there are no further questions fro

m th e participants, I would now like to hand the conference over to the management for closing comments.
S. G. Reddy: Thank you , gentlemen , for your participation , and I look forward to see you again at the end of the fourth quarter . Thank you very much.

Moderator: Thank you. On behalf of Astra Microwave Products Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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May 30, 2024
To
The General Manager
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Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
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Scrip code: 532493
Dear sir, To
The Vice President,
Listing Department
The National Stock Exchange of
India Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051
Scrip code: ASTRAMICRO
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on 24th May, 2024.
The above information is also made available on the Company's website www.astramwp.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
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G.M - Company Secretary
An ISO 9001, ISO 14001, ISO 45001 and ISO 27001 Certified Company
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Unit 4: Sy. No. 1/1. Plot No. 18 to 21, Imarath Kancha. Hardware Park, Raviryala ('1), Maheswaram (M). R.R.Dist. Telangana - 501510
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"Astra Microwave Products Limited
Q4 FY '2 4 Earnings Conference Call "
May 24 , 202 4

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MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
DR. M.V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Astra Microwave Products Limited Q4 FY '24 Earnings Conference Call. This conference call may contain f orward -looking statements about the company, which are based on beliefs, opinion and expectation of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficul t to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. S.G. Reddy, Managing Director. Thank you, and over to you, sir.
S. G. Reddy : Thank you, and good evening, everyone. A warm welcome to all the participants to the post result earnings call of our company. I am with my colleagues, Mr. M.V. Reddy, and Mr. Atim Kabra, and SGA, our Investor Relations operators. The result and investor's presentation for Q4 and FY '24 are uploaded on our company website and stock exchanges. I hope you had a chance to look at it. I'm delighted to share with you that the FY '24 has been an excellent year for our company as we have grown exponentially in mul tiple parameters including financial performance, developing capabilities and improving quality of our product mix.
We have registered our highest ever financial performance across all metrics. Revenue, EBITDA, PAT. We have also witnessed good margin expan sion driven by improvement in the product mix. This performance is in line with our expectations and guidance. Recently, we also entered into a collaborative agreement with Teledyne E2v Hirel , in order to provide semiconductor services to support the aeros pace, defense and the reliability electronics market. This agreement will pave the way for numerous new possibilities for us in the future.
Coming to our order book, as on 31st March 2024 at a stand -alone level, we have about INR1,956 crores of orders in h and and our order win continues to be healthy. We have booked about INR472 crores of orders in Q4, out of which close to INR446 crores of orders are from defense. It's in the defense segment, a good number of orders are booked in Radars, EW segment, follow ed by metrology and hydrology and the little bit from exports.
Subsystems for Arudhra radar and homodyne receivers building significant products for which above different products are received. Overall, our order book capex of 88% of defense markets, which are largely BTS, which command higher margins and 12% of exports which is largely suppressed to Indian EOUs, which carry reasonably good margin, unlike our offset basic export orders.
In terms of various parameters, which are already shared through websit e and all, we have recorded a good improvement in percentage terms across all parameters. I request all of you to go through the website to know more details about that.

R&D is our cornerstone of our growth and this year, we have spent close to about INR38 crores in R&D which was focused mainly on radar systems, critical subsystems for radar, seekers, SSPAs and EW subsystems. As we are aware, Astra is incorporated a subsidiary company to undertake a sales -related business.
This company has started recruitin g personnel and setting up basic infrastructure for satellite integration at its Bangalore facility. The objective is to get qualified for satellite integration and launch -- launching business. And this endeavor -- in this endeavor, it is preparing itsel f to launch its own basic satellite in the next two years to thre

e years. It will be making use of SAR
payload technology, which was taken under TOT.
For JV Company, ARC, it was a breakout year, which we have been waiting for a long time and its bottom lin e has improved in a big way. For the last year, it has bagged close to about INR386 crores of orders and has a healthy order book of about INR456 crores at end of the year. There is potential to bag big orders in the coming years to the extent of about INR 900

crores and will record at least about 10% to 15% year -on-year growth in the next few years with a PBT of around 10% to 15%.

As you are aware, Astra owns 50% of this JV Company and has earned about INR12 crores of profit as its share from the JV company for the year gone by. LCR Mantech radio, which is under development at the JVC under NCNC basis is due for final technical trials in the next couple of months and the company's gearing up for the same.

And lastly, for the coming years, we are targeting or der book in the range of INR1,200 crores to INR1,300 crores and the top line in the range of about INR 1000 crores to INR1, 100 crores, while maintaining the existing profit margins. We'll continue to grow our capabilities strategically and achieve our targe ts step by step. Major business updates, potential business opportunities and the strategies to be followed to achieve the same will be shared by my colleagues.

Now, I will hand over to Mr. M.V. Reddy, then later on to Mr. Atim Kabra. Thank you.

M. V. Reddy : Thank you. Good evening, everyone. As Mr. SG has mentioned, last quarter performance was remarkably well and surpass guidance given in both order book as well as sales. The overall performance in the year FY '24 was a par with the guidance given in the beginning of the year. We have booked INR472 crores in Q4, which constitutes almost 95% in the different sectors of the domestic market. We have had INR350 crores from the Radar segment, which is our prime focus area for the last few years, INR84 cror es from the EW and INR18 crores from the Defense Communication segment.

We also booked INR26 crores from the space and metrology sector. In the last quarter, we have booked INR27 crores development orders from DRDO Labs and rest all from the production is in nature. Overall, we have booked INR1,325 crores in FY '24, resulting standalone order book of INR1,956 crores brought out for the financial year FY '25.

Ladies and gentlemen, it gives me immense pleasure to inform you all that with few orders which will be booked in April '24, that is in the current financial year, we have reached a landmark of INR2,000 crores order book for the first time and we have a bright visibility to book INR1,200 crores to INR1,300 crores for FY '25. Majority of them are producti on in nature from the domestic segment. In the first quarter itself, we have a plan to book INR300 crores.

With regard to sales, we have surpassed figures mentioned in the last quarter earnings call and we could successfully execute development contracts w hich we missed out in Q3. Going forward, we have geared up to reach INR1,000 crores plus milestone in FY'25. First quarter, we have planned to book sales of INR180 crores.

With strong R&D capabilities built over three decades, we have delivered products w ith cutting -edge technology and more in pipeline. To name a few, we are the first company to deliver AAAU for Uttam, AESA Seeker Head high-power SSB and high -frequency bands, Digital Active Phased Array subsystems, digital multichannel transmission for nat ive applications, etcetera. We have also successfully executed AAA of SDR, which is one of the major orders which we booked last three, four years. And also DWS in various frequency band in FY'24.

And other development of critical new technologies like pho tonics radar subsystems and subsy stems for submarine communication and

systems like APS radar are in advance stage of completion. As Mr. S. G. Reddy has mentioned, our JV company ARC demonstrated splendid performance in FY'24. I'll not repeat with the figu res what we did in the FY'24, but even FY'25 looks more promising. We have INR900 crores plus orders which are in pipeline. And hopefully, these all contracts gets materialized in the next two quarters of FY'25.

Now in terms of sales, we have a plan to boo k sales of $40 million, which is about INR330 crores in FY'25. Going forward, we have a very good visibility to maintain sustainable growth with the opportunities emerging in the domain of our operation.

With this brief note, now I hand over to Mr. Atim Ka bra to share his thoughts. We would be happy to answer your questions. Thank you.

Atim Kabra : Good evening, and thanks everyone for the opportunity to speak to you again and convey and share with you our vision at Astra. But before I start, I wish to thank our entire team under the able guidance of S.G. Reddy and M.V. Reddy for their hard work. And yes, we are indeed excited by this set of opportunities that we see and excited to partner with the Defense Labs and the Defense PSUs under whose tutelage we hav e blossomed and have reached the stage where we are developing new exciting products and have emerged as a systems -level entity with systems integration capabilities.

And we just spoke about a few of our products which we have developed in -house, and they form the cornerstone around which we are delivering our margins and our growth story. Numbers are numbers , but I think what is being conveyed across is that the opportunity set is

huge and companies like Astra and it's not limited to us, but the defense se ctor itself, are fairly well placed to capitalize on this extremely large opportunity.

I read a report recently, it speaks about the share of defense capital outlet is expected to increase to 37% of the total defense budget in FY'30 as compared to 26% in FY'24. And that is a cumulative capital outlay of $186 billion over FY'24 to '30. I 'm saying this is a large opportunity space that we need to attack and are operating in.

But suffice it to say that over the next two years, based on the orders in hand and the visibility thereof, we are fairly confident of delivering CAGR growth in sales of around 18% to 22% , with a better CAGR growth in our profitability numbers as higher sales slowdown disproportionately to the bottom line in face of limited increase in fi xed cost base. So I'm fairly confident that S.G . and M.V . will meet these forecasts quite handily.

But I want to talk to you more about our broader vision which will position us firmly on a path towards sustainable and predictable growth over the next deca de. And Astra will become a much, much larger entity than what it is today. So what we have tried to do is put a framework around our various growth initiatives, some of which I have touched upon in my earlier conversations with you and which encapsulate o ur various efforts which are targeted towards building a much larger and much more capable Astra. And the framework also puts our various initiatives in a structured format. We call this our LEAP strategy, L -E-A-P, Astra's LEAP strategy.

To reiterate, the LEAP framework is in addition to our 20% on an average targeted organic growth strategy. This is in addition to this. It seeks to capitalize on the significant IP, which has been created in the company over the last three decades. It acknowledges the treme ndous contribution by various Defense Labs and Defense PSUs in helping us -- help create and imbibe various technologies and it seeks to build on our vision to create high -tech products, which are made in India, but for a global market, not only for the do mestic market.

We seek to capitalize on the reusable building blocks and the libra

ry of products and
technologies, which have been created over time in -house. The framework , if I may say, seeks to capitalize on our sustained investment in R&D over decades and products. And Astra if you see is in the IP enhancement and IP encashment business . With tailwinds in our favor, we have grappled with putting together various phases of growth for a sustainable growth path. And as and when these initiatives bear fruit s, they will add to our organic growth, leading to enhanced sales and margins.

So in the LEAP framework, L stands for lean and learn. Lean and learn implies we are looking at Astra as a collaborative platform. We collaborate with Defense Labs, with Defense PSUs, start-ups, early -stage companies and various academic institutions to increase our IP base in the shortest possible time, while adding to our IP -driven product capabilities, acknowledging the fact that IP is built across companies, institutions, lab s, educational institutions. And we seek to synthesize the various elements of these IPs and put them together for more relevant products in the shortest period of time.

It is tied around our capabilities to deliver, our proven capabilities to deliver. And our technological base, which can imbibe the new tech, provide them a framework to create newer sales products, newer sales and newer sales channels. E in the LEAP framework denotes our commitment to adjacencies and expansion, E is expansion, expansion in to areas which can be significant in themselves and where the future lies in our assessment and where our current set of capabilities can be deployed to make a meaningful impact going forward.

Astra is already a significant player in the space sector and we see immense opportunities for expansion in the space sector. We will be one of the major companies major players out there ranging from space -grade components, subsystems to designing satellites, to satellite bus as well as payloads. I think we will be able to deliver our first satellite, sizable size satellite maybe in the next 12 months to 15 months.

This activity is being co -ordinated by both our Bang alore a s well as Hyderabad facilities a nd a lot of folks with significant experience have been onboar ded for this initiative. Similarly, we have spoken about our MMIC capabili ties being one of our core strength . And after looking around we have zeroed in on MMIC expansion. S.G. Reddy just spoke to you about the Teledyne e2v HiRel collaboration wherein we are seeking to provide semiconductor services which will support various domains like aerospace, defense and high -reliability electronics markets over the next few years.
As a collaboration unfolds it will provide Astra a capabili ty to market its product globally while developing its MMIC portfolio. Similar such initiatives are being thought about as we speak. Another pillar of our LEAP strategy A, revolves around accretiveness where we have a clear focus on ROE enhancement and sal es profitability and margin enhancement.
You have already seen a very steady uptick in our return on equity a nd this is something which is one of the key parameters which we focus on. Working capital efficiency accretiveness is something on which S.G. Red dy spends a lot of his time on as ours is a receivables heavy business. We are well aware that the holy grail lies in free cash flow generation significantly and we are working towards that.
Lastly, the P in the LEAP strategy signifies our vision of deliv ering hig h tech products to the market which blend our core capabilities with a systems integration approach. These products will be IP -driven and provide solutions to address various market needs. I'm glad to report that we have recently bagged order for Precisio n Approach Radars also a nd we are super excited by our anti -drone capability set which is being i

ntroduced in our product format.
We are working on multiple other products which will be addressed towards the global market, and I refer to a few of them in our earlier conversations. So as mentioned earlier, these initiatives are centered around the framework which will add about 20% o dd average organic growth rate and we put them separately. A s the framework spells the vision that we stand for for an overarching umbrella that we operate in.
Lastly, I need to emphasize that we are constantly re -evaluating and reassessing our various initiatives and trying propel them in a direction which make us cost competitive and gear

towards timely delivery of pro ducts. We will not hesitate to add projects or products or put them on a back bench if they are not delivering or where we'll not be cost competitive with finished products.
On a positive note as shareholders of Astra we not only have ownership interest i n Astra, but also another profitable company with a marquee partner namely ARC where Astra owns 50% equity interest and it's sitting on a nice significant order book which M.V. Reddy alluded to .
It's profitable and has the product range which has the poten tial to even hopefully over shadow Astra over a period of time.
So we will have ownership interest in Astra and owner interest in ARC combined, it's a well interesting combination. We are very thankful for our JV partners for imposing faith in us. Our shareholders are already seeing a positive impact on the consolidated bottom line through this initiative. We'll touc h upon the order books which MV has already mentioned earlier.
So a lot to do and a lot of exploratory initiatives are underway in multiple a reas r anging from AI, machine learning, GPS capability enhancements, et c to better our products and meet the requirements clearly brought out between the conflict -- because of the conflicts which are raising around the world.
I can go on, but I have alre ady taken a lot of your time. And if you have questions , let's address them in the Q&A session to the best of our abilities. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The f irst question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: I have a couple of questions. The first one is actually around working capital. So this year, if you see there is a significant buildup of receivables as well as invent ory. So is it a one -off factor o r is it due to some developme nt work that we are taking for a nd what will be the guidance for working capital days going ahead?
Management : Yes, Amit complete your questions. You said a couple of questions.
Amit Dixit: Yes. The second question is on this Teledyne collaboration if it is possible to provide s ome more details at this stage w hile you have mentioned it will provide semiconductor services and I hope it will dovetail into MMIC, b ut for which platform specifically and how much incremental revenue and strong profitability it can generate?
Management : Okay. I'll take the first question. Probably second question Mr. Atim can take it. Regarding the recei vables are shooting up it is largely because of the bunching of the sales towards end of

the yea r. Q4 we did close to about INR 270 crores of business are in excess of that I think INR300 crores. So the entire sale of Q4 essentially will be sitting in the balance sheet which is close to about INR354 crores. That is one of the big factors for th e higher receivables appear ing in the balance sheet. Working capital days you know very well we keep discussing about this almost every day. We are trying our best. We would like to bring it down to around 240 days kind of things. But unfortunately, as of today, it is slightly on a higher side.

In addition to that, as the nature of industries is such that the company will be forced to maintain inventories for the project duration cycle and not only because of a niche nature of the semiconductor devices, wh ich are required and also because of the project duration itself, which runs close to about 2 to 3 years kind of thing. So these are the cumulative factors, which are making us to have higher inventories and the receivables I already explained to you why i t is that.
Management : Yes. I'll take the Teledyne part. So Amit, Teledyne is more a testament to our MMIC capabilities, which you are very well aware, is one of the cornerstone pillars around which Astra has developed it's capability set. We started our M MIC initiative in 2005, 2006 and various developments and abilities which we have generated through that, have brought us on to a very strong platform.
We are actually governed by a fairly tight confidentiality agreement. So we will not be able to talk sp ecifics about the Teledyne deal. But I can tell you that from our MMIC division's perspective, the whole idea of entering into such a collaboration is to scale up our business in a meaningful manner over the next 2 to 3 years, so that it moves the needle f or everybody , for us also and for Teledyne also. I don't think a large company such as Teledyne would enter into a formal agreement unless they can see that there is potential to move the medium dramatically. We are undertaking specific initiatives to get this going, which have already started. But I think we would like to let the numbers speak to themselves over a period of time on how the collaboration pans out. So it's going to be -- if it's -- I hope that it would be a really long -term collaboration, w hich will put us on a global map.
Amit Dixit: Okay. That is helpful. One more last question, if I can squeeze one. Is that we have kept our guidance for cumulative revenue at INR7,000 -odd crores not till FY '28 impact despite a good performance this year a nd the next year guidance is also quite good. And we expect growth in revenue. And of course, with Tejas Mk 1A project gathering momentum beyond 40th ,41st we will have Uttam radar also coming in. So don't you think the INR7,000 crores is a tad conservative at this stage?
Management : But will we rather not be conservative. Well you know us, we like to be conservative. Actually, I can put it this way, that the opportunity set is really huge, right? But we are comfortable giving you guidance for a year or 2 as the story unfolds, right? In the long term, we have already mentioned the multiple initiatives which we are working on, which hopefully will lead to an expansion in the TAM itself and TAM, SAM everything should increase significantly. But as and when visi bility comes in very clearly, we will love to increase the numbers. Our idea is what we tell you, we'd like to achieve that.
Moderator: Next question is from the line of Bhavik Shah from MK Ventures.
Bhavik Shah: So first, can you just reiterate the guidan ce which you gave because there were some disturbance. What kind -- what is the revenue PBT order book and order inflow guidance we are seeing for FY '25?

Management : No, you mean you miss it our interact everything ?
Bhavik Shah: I was there. Did I hear NR1,000 to INR1,100 crores revenue? I'm just curious, there was some disturbance.
Management : In terms of the order book, our guidance is INR1,200 crores, INR1,300 crores. That is a stand - alone order book. In terms of revenue…
Bhavik Shah: inflow guidance? Is the INR1,200 crores to INR1,300 crores is the inflow guidance?
Management : Sorry
Bhavik Shah: Is the order inflow expecting in FY '25?
Management : Yes. Order inflow. In terms of the revenue guidance, it is INR1,000 crores to INR1,100 crores.

Bhavik Sha h: And so

in terms of PBT margin?
Management : We should be able to maintain the current PBT levels with a slight on the positive side.
Bhavik Shah: Okay. So current PBT level. When we say we are seeing about 18% to 22% CAGR growth in revenue over next years. So sir, if I calculate like my revenue guidance is on -- it should be around INR1,100 crores only. Like are we seeing any one -offs happening so that we are giving the INR1,000 crores range also?
Management : Sometimes numbers don't turn out the -- your -- the other products -- product delivery gets delayed, client picks up the products a little bit later. So we want to make sure that there is enough flexibility in the system. But as I said, 18% to 22%, growth rate is the targeted number.
Bhavik Shah: Okay. Astra Rafael JV was supposed to turn positive by this year, if I recall that. Actually in the cash flow statement, I can see a INR12 crores loss? So what is that? So it's the operating loss or is the one -off loss ?
Management : S G. can you please tak e this
Management : Again, Bhavesh, I didn't get your question.
Bhavik Shah: Astra Rafael JV. In the tax flow statement, we can see a INR12 crores share of loss from there. Is it a normal operational loss or have we written off something, so that's a one -off loss?
Management : INR12 crores loss?
Bhavik Shah: In the cash flow statement, you can see share from -- loss from joint ventures.
Management : No it is share of profit from the joint venture, we got INR12 crores of share of profit from the joint venture.
Bhavik Shah: Profit, and stronger to expend from this -- so the JV has turned profitable, right?

Management : It is a share of profit.
Bhavik Shah: Yes, so it's sort of a one -off, right? It's profitable because Aelius turned profitable right?
Management : Yes, please.
Management : It turn profitable. It has delivered a pretax profit of about close to INR30 crores and the post -tax profit of about I NR24 crores.
Bhavik Shah: Okay, sir. We did see some borrowings have shot up during the long -term and short -term borrowing, and short -term during the March balance sheet. Similar side, we can see capex, some kind see with there in the balance sheet. But ca n you throw some light what capex are we doing in that capex and for that capex , are we taking loan ?
Management : The capex, it is a normal testing equipment and other things which are required to support our existing activities . Basically about close to ab out INR40 crores is the capex incurred by the company in terms of these test equipment's. Short -term borrowings are largely for the working capital instead of awarding our cash credit, we go for a working cap on demand loan, which is gratified as the short -term borrowings in the balance sheet.
Management : Our term loan just to clarify is less than INR15 crores, if I'm not wrong.
Bhavik Shah : Right, sir.
Management : Yes, long -term loan is about INR15 crores.
Bhavik Shah : Right. Okay, sir. Thank you so much and congratulations.
Management : Thank you.
Moderator: Thank you. Next question is from the line of Ketan Gandhi from Gandhi Securities. Please go ahead.
Ketan Gandhi: Hi. Congratulations, team Astra. I think you achieved what you said in the past. Hearty congratulations. I have just one question on upgrade of Sukhoi radar, supposed to be GAN based. Recently, some article says they have floated a tender for EW for the Sukhoi. Are we taking any role there? And if yes, can you share some update on that?
Manag ement : Yes. Ketan, the first thing is on the radar front, the DRDO is yet to come out with the final configuration of the radar for the Sukhoi upgrade. And as far as EW, you are right. There w as EOA that was floated by DRDO for BCPP. And we are examining t hat and we will take a decision very soon as it just floated only a couple of days back.

Ketan Gandhi: So, do you find any competition there? I mean is there any player other than us for EW?
Management : Yes, why not. I mean, there are a few companies who a re working in the EW. So obviously, we will have competition there .

Ketan Gandhi: Okay. And any feeler from the DRDO or government side regarding GAN based r adar for Sukhoi, whether they are going for it or it will take some time?
Management : No, they are discussing, I think, as I said, the final configuration is -- had to be decided. Once we finalize that, I think probably we will come to know about it .
Moderator: Next question is from the line of Col Sarjeet Yadav from Mount Intra Finance Pri vate Limited.
Col Sarjeet Yadav: Congratulations on a very good set of numbers, sir. Sir, I just want to know in the guidance you have given. Can you just give us some colo ur on what are the products we are looking for this number of 1,200 revenue, order b ooks are you expecting?
Management : In terms of order book, we have many production orders like in Radar segment, the Arudra a major contract we have received in last year. But some leftover contracts we just received only last month. And then we are also expecting orders for [inaudible 35:41]. That is the advanced version of controlled acquisition product for Airforce, this is , again, we are expecting from BEL . Then we have the program, DR -118, in which we have -- we took L1 in that EW receiver. So there that also we are expecting.
And Mr. Atim had mentioned, we have just received one contract for the application of radar . Apart from that, we are expecting a few orders from production nature. That is ACRNM that is from [inaudible] AWC Ma rk I and also DWS from IMD and other users. And we have orders, which are in pipeline for EW production from BEL that is for the programs called Nayan , Shakti and Imeshakti .
Yes, these are a few orders which we are in -- they are in the pipeline. And there are many other tenders, which, in fact, are coming out, which we'll be competing with others. Whatever the programs I mentioned that these are all actually with the single tender and one or two are which we won in mix tender. In all this, I think we are confident of booking orders of close to INR1,200 crores to INR1,300 crores.
Col Sarjeet Yadav: Okay. Sir, one more question. In Space segment, I saw revenue of about INR15 crores. So can you tell me what kind of product are you supplying in the space segment?
Management : Yes. We have orders from ISRO for subsystems of Radar Imaging Satellite. Some of them have been supplied last year and left over, we are go ing to complete it in the next two quarters.
Moderator: Next question is from the line of Meena Bansal who is an Individ ual Investor. Please go ahead.
Meena Bansal : Thank you. And congratulations on good set of numbers. I have one question that your raw material cost in Q3 was 53.48%. which has now increased to 62.6%. So any particular reason for that. And if I go back to S eptember quarter and December quarter there, it was 57% and 53%.
Management : So the raw material cost for this quarter is about..
Management: 62.60%.

Management : I cannot get into the specifics. But in general, the raw material consumption depending on the product mix. It is quite possible that some of the products that we have executed in Q4 has higher raw material costs, and that is the only reason why it would h ave gone up. Beyond that, there is no specific reason.
Moderator: Next question is from the line of Yogh Modi from AP Capital . Please go ahead.
Yogh Modi : I just have one question. My question was on the export side. Can you please elaborate on what are we doing on export side that will improve our margins on orders?
Management : So on the export

front, we have been discussing with a couple of OEMs, for supplying with BTS products and a few products which we have taken up development, which are in almost advanced stage of completion. I think in next two quarters, probably we will be in a position to demonstrate these prototypes to those OEMs. Once we have access i n this than I think probably we can expect a good number of orders. I do not want to reveal more details about that as this is in a very initial stage.
Apart from that, the offset business, we are likely to get couple of more contracts but not in the same scale like we used to get, maybe in a small point. But otherwise, small value. Rest are like we are trying to participate in few tenders for the systems, what we develop like Doppler weather radar and all. We have participated in some expression of intere st as well as in RFIs. So probably in one year or two, I think we will be in a position to supply these systems to the global market.
Yogh Modi : Thank you. That's all from my side.
Management : Thank you.
Moderator: Thank you. Next question is from the line of Manoj from KY Advisors. Please go ahead.

Manoj: Hi sir. Thanks for the chance. Just a qualitative question. There was one of the companies in defense was saying that the government is taking a lot of interest for exports and one of the government calle d one of the company saying that do you need any help from us or you down the numbers in exports is x, y, z. Do you -- can you grow faster or you need help form or something. Can you share any kind of change in government interaction ceiling in the last on e or two years?
Management : Yes. You are right. government is encouraging companies to export. But as you know, I mean, you basically -- systems that end up, which can meet end applications, we have a lot of potential to export to begin with. And just companies who have built the systems, they will have opportuni ty to export to the -- to this nation as well as the Africa market. We also gone through -- we have seen a good number of opportunities that are coming for us also. But it takes time. Export market is not so easy to tap it and we need to establish ourselv es and then we need to sell. So it may take a few year's time. But yes, this is a good beginning. And government, they are encouraging in the sense participating. They are taking industry together

to the many forums and all like being introduced by the go vernment, all industries. And then I think indirectly, is supporting companies like us to get to directly to the OEMs.
Manoj: Right. Sir, for the Indian procurement, have things substantially changed in the last year or so, like the speed of approvals, etc .?
Management : Sorry, we didn't hear your question. Can you repeat, please?
Manoj: Asking for the Indian defense procurement, have things changed substantially in the last six months or year or so from the government?
Management : Yes. See, as you know, lik e we have been seeing many opportunities for the companies like us to participate directly in the M oD business. If you look at the history of our company many years, we have been supplying subsystems to DRDO and ISRO. And then we were getting these product ion orders from the PSU center. M oD has given opportunity for companies like us to build the system and to participate directly. The category of M ake-1 and Make-2. And we can build a system and then we can supply to directly to the arm process. So this is what the change happened in the last two years. And that is really giving us the motivation and also to the strength of the companies who have the core technology that can build a complete instrument be in the market.
Manoj: Okay. Versus, we had to go via the DRDO, etc., all of the government companies now we can do it on our own faster?
Management : Yes, towards that, we are buildi

ng few systems and we are supplying -- we are planning to supply directly to the services. Like I stated in last earning call, w e received PFO for couple of Radar Systems, which are in development phase. And so once we complete, we can be in competition with the other major players.
Manoj: So ver sus earlier it seemed to take a few years now that will be -- that will be shorter and faster?
Management : To some extent. Yes. But this is a development of system takes time. But today, having got the technology available in the companies, we can build up in a much faster pace.
Manoj: All right, sir. Thank you so much. All the best.
Management : Thank you.
Moderator: Thank you. Next question is from the line of Jasmeen Kaur from Fortuna Investment Advisors. Please go ahead.
Jasmeen Kaur: Yes. Sir, my question is actually on the receivables, again, there was an earlier participant who did ask, but I want to understand this a little better. Even if you are saying that because of Q4, I mean, probably that entire additional would probably be sitting in receivables. But still, despite that, the receivables increase seems to be quite high. So sir, if you can just give us a little bit more detail on the nature of these receivables. And when do you expect them to be realized

and whether this is a sustained kind of a thing or we will see better receivable days going forward?
And also, if you can also tell us a little bit on the aging of these receivables? How old are -- what percentage of it are like in the 30 -day bucket or 30 to 50 -day bucket? So in that manner,

we will be able to understand better.
Management : Yes. Aging may be a problem. I don 't have the data, but I will throw some more light on why the receivables are fairly high. Apart from whatever I said earlier, the other reason could be like we have delivered two major projects in the last year. Cumulatively, those two orders will come to close to about INR170 crores, INR180 crores. Both these programs are under the final approval. It is called SAT approval . So this is sitting there in the balance sheet f or the last eight months or so.
Probably these are the two factors, which is deliveri ng up the receivables. We assume that and the third factor is deferred receivables. There are two categories of deferred receivables, one, what we have supplied to the Indian Technology Department as a part of the tender terms, so market sales upfront. Rem aining 60% is received over the period of five years, which covers the warranty period. So these are the other two elements which we have to consider for a proper analysis of the receivables.
Jasmeen Kaur: Sir, do you see your short -term borrowings increasing further in the current quarter, if these are probably the receivables have still not realized. And can we see an increase in the borrowings in this quarter?
Management : Yes, I think so. Maybe up to INR40 crores to INR50 crores, we may have to go for an additional borrowing. But as of today, it is around just around INR200 crores, whatever you are seeing in the balan ce sheet. The same number is there but maybe in the next one months or two months, it may slightly go up.
Jasmeen Kaur: Okay, sure. T hank you.
Management : Thank you.
Moderator: Thank you. Next question is from the line of Jyoti Gupta from Nirmal Bang. Please go ahead.
Jyoti Gupta: Good evening, sir. Great set of numbers. I have two, three questions. One is, what is the variation in marg ins in the products sold in the export market versus domestic? Of course, the contribution of domestic market, which would almost be twice in what will be exported to other countries. Second is the key projects, which is outlined on your presentation on Pa ge 15. One is the Line-replaceable unit we supplied to CAR, Ashlesha a nd Arudra Radar , are these recurring which means you woul

d there will be some projects which will be on a recurring basis and some which would be come after a certain gestation. So one, is the LRUs which are there, is this a recurrin g would be recurring in nature?

Second is we -- the array antenna , the AA AU for Uttam AESA and LCA Mk1A for aircraft. Will the reve nue stream start coming from FY '26 because that's what HAL said that they wi ll be the first lot of, I think, 8 units would be commissioned or would be out for delivery in FY'26. So how should we look at these orders in terms of -- because, let's say, you're making 10 projects, not all 10 projects will start giving you revenue. The y will all have certain time lines. How should we look at these projects over a period of time?
Management : Yes. Ms. Jyoti Gupta The second part of the question I'll answer regarding this recurring business. Yes, the programs, what are being given in that sheet, like CAR systems and as well as the Ashlesha , we do get repeat orders but it takes some time, gestation period is a bit longer, maybe after a few years we will get repeat orders. And as far as the Uttam AA AU for LCA Mk1A is concerned, yes, we are ex pecting linker series stages production in next two quarters. And probably the revenues start flowing from FY '26 onwards.
Jyoti Gupta: And what about the other one, the sub-modules for Nayan and Shakti project?
Management : Yes. These are all production orders. And we have already supplied. We have been supplying rather for the last few years. And we're likely to get more orders in future based on the orders which BEL receive s.
Jyoti Gupta: My next -- the first question was i n terms of the margins. Of course, I think it will be difficult to answer, but could you see some sort of a percentage variation in the from domestic? Because my understanding is your margins from domestic sales would be higher than what you would be actua lly getting from supplying abroad?
Management : Yes. Definitely, the margins for the products which we have been supplying to the foreign OEMs, all these years were basically -- we were focusing on offsite business where margins were very low. As compared t o the domestic, which we supply against the build to spec, which where we build our own IP in those products .
The margins are significantly high as compared to the exports. But as just now I mentioned that we are focusing to develop a few products and as well as systems for the global market will be our own IP so which definitely will have a better margin as compared to what we got in recent times .

Jyoti Gupta: And currently, how many IPs do we have? Because last time when I visited your Hyderabad plant, I like two products eventually because it had a lot of meaning in terms of civil infrastructure. One was the -- one was a product which was replaceable to a bird hit and the other one was a clutter in the orbit. What is the progress in those two projects?
Management : You are talking about the wind profile radar?
Jyoti Gupta: Yes.
Management : Yes. So that is in development. As I said, we are developing that radar. We have already supplied a few wind profile radars to various users like IITM and also to universities. And

from the services, we got PSO for development of this. And we are in competition and we are actively developing this particular radar.
Jyoti Gupta: That will be all. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, we'll take this as a last question for the day. I would now like to hand the conference over to the management for the closing comments.
S. G. Reddy : Yes. Thank you very much for your time and speaking to us. I look forward to -- meet you, talk to you again at t he end of Q1. Thank you very much.
Moderator: Thank you. On behalf of Astra Microwave

Products Limited, that concludes this conference.
Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2024

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August 19, 2024
To
The General Manager
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BSE Limited
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Dalal Street, Fort,
Mumbai -400 001
Scrip code: 532493
Dear sir, To
The Vice President,
Listing Department
The National Stock Exchange of
India Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051
Scrip code: ASTRAMICRO
Sub: Conference call transcript.
We are sending herewith Conference call transcript held with analysts on
13 th August, 2024.
The above information is also made available on the Company's website
www.astramwp.com .
Thanking you,
Yours faithfully,
For Astra Microwave Products Ltd
T.Anjaneyulu
G.M - Company Secretary

An ISO 9001, ISO 14001, ISO 45001 and ISO 27001 Certified Company
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Unit 3: Sy. No. 1/1, Imarath Kancha. Raviryala (V). Maheshwaram (Mdl) R.R.Dist.. Telangana - 501510
Unit 4: Sy. No. ill. Plot No. 18 to 21. Imarath Kancha, Hardware Park. Raviryala (V). Maheswaram (M), R.R.Dist. Telangana - 501 510
Unit 7: Sy. No.114/1. Plot No. 5-2/9 & 10, E-City. Raviryala & Srinagar (V), Maheswaram (M). R.R.District, Telangana - 501359
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“Astra Microwave Products Limited Q1 FY25 Earnings
Conference Call ”

August 13, 2024

MANAGEMENT : M R. S. G. REDDY – MANAGING DIRECTOR – ASTRA
MICROWAVE PRODUCTS LIMITED
D R. M.V. REDDY – JOINT MANAGING DIRECTOR –
ASTRA MICROWAVE PRODUCTS LIMITED
M R. ATIM KABRA – DIRECTOR -STRATEGY AND
BUSINESS DEVELOPMENT – ASTRA MICROWAVE
PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Astra Microwave Products Limited Q1 FY25 Earnings Conference Call.
This conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not the future performance and involve risks and uncertainti es that are difficult to predict.
As a reminder, all participant lines will be in the listen only mod e and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pre ssing "*" then "0" on your touchtone phone. Please note that this conference is being reco rded.
I now hand the conference over to Mr. S. G. Reddy - Manag ing Director. Thank you and over to you, sir.
S. G. Reddy: Thank you and good evening, everyone. A warm welcome to all the participants to the Post Results Call of our Company.
I am with my colleagues Mr. M. V. Reddy and Mr. Atim Kabra an d SGA, our Investor Relations Advisors. The Results and Investors Presentation for Q1 are uploaded on our Company website and stock exchanges and I hope you had a chanc e to look at it.
In terms of the highlights:
I am happy to share with you that Q1 FY24 (wrongly said, please read it as Q1 FY25) is a good start to the Financial Year FY25. Keeping in mind the seasona lity pattern inherent to our business wherein Q1 is the weakest quarter and the major chunk of revenues are captured in the subsequent part of the financial year. We want to highlight th at we have also improved our gross margin significantly, which were primarily driven by continuous improvement in the product mix where the domestic defense business contributed to 65% of the topline, followed by exports whose contribution is around 21% and the space with 11.5% with rest of the business coming in from metrology and other sectors. This performance is in line with our expectations and guidance.
Coming to our order book:
We have crossed the milestone of Rs. 2,000 crores mark this time whe re the standalone order book as of June 2024 stood at Rs. 2,099 crores and our or der wins continues to be healthy. As guided in Q4 Earnings Call, we have booked about Rs. 3,002 crore s(wrongly said, please read it as 302 crores) of worth of orders in this quarter out of which Rs. 240 crores of orders are from defense industry.

On a consolidated basis, our order book stood at Rs. 2,365 crores as of Ju ne 2024. Overall, our order book comprises of 88% of the domestic orders, which are largely B TS, which enjoys good margins and 12% of export, which is a mix of BTP and BTS b usiness. Our consolidated order book consists of Rs. 120 crores worth of service orders, which are typica lly margin accretive. Our focus remains on getting more orders, which consists of h igh proportion of complex system projects.
Coming to our standalone financial performance for Q1 FY25:
We recorded a growth of 16% in our topline on year-on-year basis. With a tilt towards the domestic business, our gross margins have taken up healthy 41.8% reg arding a significant improvement on year-on-year basis. Employee expenses have slightly gone up because of the increase in the number of skilled and professional employees. This is mainly due to our employee addition at our Bangalore facility. At the end of the quarter, the employees count is close to about 1537, up from 1468 at the end of the financial year. EBITDA stood at Rs. 23 crores as against Rs. 5 crores in the same period of last year and the m argin stood at 15% as against 3.50% of previous period. The Company reported profit after tax of Rs. 5 crores which

was the loss of Rs. 4 crores at the corresponding period of last yea r. T

he execution of space
orders continues to be good and more than 11% of revenue is c oming from this segment. Export sales revenue was also in line with the previous quarter, remaining sta ble at a reasonable level of 21%. We are confident about the growth in the overall industry as we believe that the Government's objective has widened and the im plications of the Indian Government 's Aatmanirbhar Program extends beyond import substitute. It also provides Indian companies like Astra, which has expertise an engineering patt ern with a platform on which to build global visibility and businesses. In line with this, we will continue to grow our capabilities strategically and achieve our target step by step.
And lastly, for the current financial year, we maintain our target which was given previously for an order book in the range of about Rs. 1,200-Rs. 1,30 0 crores and the topline in the range of Rs. 1,000-Rs. 1,100 crore with the profit margin to the tune of about 16%-18% on standalone basis.
Now, I hand over to Mr. M. V. Reddy, followed by Atim Kab ra to share their thoughts.
M. V. Reddy: Thank you. Good evening, everyone. As we review 1st Quarter o f FY25, we are happy to say that we started well with the positive trend specially continuing the ord ers booked in the 1st Quarter and also opportunities emerging out in our business to win. We have robust order book of Rs. 2,000 crores plus as on date and seeing a good visibility of growth trajectory in all verticals of business segments which are of same focus area.
With regard to the business highlights of Q1 FY25:
We have backed good development and production orders in radar and electronic warfare domain in the 1st Quarter. Out of Rs. 303 crores (Wrongly said, please rea d it as 302 crores)

orders booked, 80% are from domestic segment, constitutes of 36% o f development contracts in nature and rest are in production. We made a breakthrough in replacing imported critical wideband receiver for EW project which DPSU has been using for produ ct of foreign make and the DPSU has the production order. Also, we have bagge d precision approach radar and repeat order of Doppler weather radars in this quarter. Our anti drone radar is ready for the deployment in the field and we have been responding RFP's from various agencies. We hope to get few contracts in the last quarter of FY25.
On the sales front:
We had a significant improvement as compared to the last year 1st Qua rter and we don't foresee any major challenges to meet our guidance of Rs. 1,000- Rs. 1,100 crores for the current financial year. despite of the current geopolitical situation, ou r JV's are doing fairly well with the order book of $48 million and expecting to bo ok another $10 million in next two quarters, ARC is expected to book revenue of $37-$38 million for FY25. We would like to reiterate that going forward we have a good visibility to maintain sustainab le growth with the opportunities emerging in the domain of our operations.
With this brief note, I now hand over to Mr. Atim Kabra to share h is thoughts. We would be happy to answer your questions. Thank you.
Atim Kabra: Thanks, S. G. Thanks, M. V. and welcome everybody. In our QIP documents and our ongoing investor interactions, we had indicated that we believe our growth st ory is going to be rear-ended. And as in, we M V Ready just emphasized and as he m entioned, our burgeoning order books actually point towards continuation of this trend, and the fu ture looks quite positive. We are very comfortable as reiterated with our growth guidance of 18% -22% organic growth, which we have already shared with you.
In addition, as we had mentioned last time, we have created a framework for growth beyond this organic growth and in the form of a LEAP strategy. Taken toge ther, organic growth plus LEAP creates a momentum for some serious value creation

for our shareholders overtime. Our
focus we had mentioned about a year back to you was enhan cing our ROEs, and I am sure you would have noticed that the RoE is around 14% now with return o n capital employed crossing 16%. We are now focusing more on efficient working capital mana gement and under the astute leadership of S. G. Ready, we are quite confident that we will be managing our working capital efficiently without diluting our shareholders for working capital.
I specifically mentioned a long term timeline as the research led produ cts require time to create IP and then time for commercializing the IP so created. As you v ery well know, we define ourselves to be in the IP business. We are in the business of cre ating IP, enhancing our IP and that can be done both through our own internal efforts as well a s collaborations. But eventually we are in the business of monetizing intellectual property. To put it ve ry simply, IP we believe gives us sustained power and the moat which is critical to competitive pricing that shall allow

us to stay ahead in a very competitive arena and enable us t o monetize our IP on an ongoing

basis. So, in today's session, I had a desire to bring into focus o ur efforts at IP creation, enhancement and monetization. So, if you look back and step back for the second in time and look at the trajectory of growth of Astra, you will notice that the net turnover of the Company has increased consistently over the last 4 years to more than Rs. 1,00 0 crores this year, if I am not wrong, we were Rs. 426 odd crores in FY20.

The entire team at Astra has been scrambling to keep up with the sales growth and meet the enhanced order flows. The focus had been on completing the or ders and then focusing on the next set of orders.

So, we have embarked on an exercise now aimed at selling ou t the IP which has been created within the Company and shared to a large extent which we can no w either monetize on a standalone basis or combine it with the other IPs which may be available within the Company or externally available to create value. So, to our surprise, we fo und that we had multiple products and technologies which had been created and then not acted upon any further post order completion and had just been filed away as the teams got bus y in fulfilling other orders. So, taken out of cold storage and updated with the current tech standards, we can productize these technologies on their own, or combine them with other techn ologies and that is a low hanging route for us. The incremental efforts at making this tech viab le and commercial in minimal and offer us easy way to monetize our efforts. This exer cise has been concurrent with identifying more project leaders within the Company and ensuring that they share the vision which we are defining with you here and again I am glad we t ook this effort, and I have identified some serious talent which resides within the Company. The idea is going forward to empower these leaders and groom them into future project leaders with P& L responsibility eventually.

Any organization, especially a tech and IP driven organization like ours, is only as good as its people and last 6 months of the senior management time has been s pent in identifying talent and working around strategies which will lay the foundations for sustaine d future growth delivered by our talented next generation talent pool. So, these initiatives are hand in glove with our LEAP strategy. More project managers with a deep grounding impact, with a deep grounding in Company culture not only lays the foundation for or ganic growth, but also helps us think outside the box on a collaborative effort which underpin our LEAP strategy. I am glad to inform you that the base pillars of LEAP strategy which were around financial accretiveness, productization and lean and learn, implying a colla

borative approach with
external IP holders also is well on its way to deliver results.

Glad to share that two definitive binding term sheets have been signe d this past quarter alone, one in the area of chip design services and another in the radar space while discussions have been initiated with multiple companies, both listed space as well a s in the smaller unlisted space for enhanced collaboration with the platform, which Astra p rovides to further enhance our joint intellectual property and create products which are well suited for the future. We are also in a hurry to monetize things at the fastest possible pace and collaborations are possibly

one way to go about doing this. We aim to conclude a few suc h collaborative arrangements every quarter going forward and that is one of the basic premises of ou r LEAP strategy.

To conclude, Astra will continue to build on its track record of de livering on its numbers. And we will in all likelihood achieve our targeted 18%-22% organic g rowth rate. And LEAP strategy has the potential to deliver a further upside onto these numbers. T he LEAP framework is very much in place and definitive collaborative agreements h ave been signed with two partner companies. Many more are in the works. We are grooming ou r next generation of leaders with eventual responsibilities for project management and P& L responsibility will be run through them and multiple efforts are in place to lay the found ation for a sustained future growth to be led by our next younger generation. So, with this, le t us open it up for question and answers, please.

Moderator: Thank you very much. We will now begin the question and a nswer session. First question is from the line of Amit Dixit from ICICI Securities Limited. Please go ahea d.

Amit Dixit: I have three questions. The first one is essentially, if I look at not Y-o-Y but Q-o-Q our mix in revenue, so our domestic percentage has gone up, export has come down, but still we find that EBITDA margin has gone down compared to Q4. So, if you could just highlight what caused this, whether it is execution of some low margin orders in this particular quarter and how do we see this trajectory going ahead? The second question is on esse ntially very interesting thing that you highlighted on anti drone radar. So, are we limiting ours elves only to radar or there would be a soft skill and hard skill mechanism also and what kind s of opportunity are we seeing by end of, let us say, FY25? The third question is that rece ntly there was a media article suggesting that we have executed AAAU for the shipborne radar. So, just wanted to understand the opportunity size of this and when we would be able to commercialize this?

Management: Amit, I will take the first question, remaining two Mr. M. V. Reddy wil l take. So, it is very difficult to pinpoint exactly why this, I have to really look at each individual product sale that has happened in the corresponding quarters to exactly answer your question, but otherwise I would say that in general to a large extent, about 90% the margin variance comes in only because of the product mix. Specifically, to answer your question , probably I have to dig a little deeper and come back. I will not be able to answer right now .

Management: Mr. Amit, regarding your second question, about the anti-dron e system, yes, we are working on soft skill anti drone system, but as a part of that we have com pleted the radar development portion and we have released to the market as few customers are ask ing for only the radar portion. And also this soft skill system is on the way and maybe another few months we have been in a position to complete development of entire anti drone sy stem with the jammer. As far as hard-kill is concerned we are exploring that option, but we are yet to decide on that particular portion. Regarding your thi

rd question, as far as AAAU of SBR , which we bagged from DRDO and executed in the last year and this year, we are going to commission it in the Navy. Yes, there are good number of opportunities there for this what we heard from the customers and the Navy that they are looking for minimum two to th ree more in next 2 years

timeframe. So, this is what we heard from them, but unless we ge t from RFP on hand, it is difficult to commit anything on that front.

Amit Dixit: So, given the opportunity size, new system that we have ADS an d all, so what kind of order flow could we expect, not for this year, but for over next 3 ye ars, let us say if you were to give a cumulative number on the basis of platforms we are involved, etc.?

Management: Actually, we have already responded few RFP's and the current year, the RFP's, what we have responded or we are expecting to be received is the order of at least about Rs. 500 crores, but since we are in competition, we are not sure how much we are go ing to grab from that particular segment, but actually there is a few inquiries which we are expecting from services that will have a large size for business. For that we are getting pre pared ourselves to make full complete system.

Moderator: Thank you very much. The next question is from the line of Hiren Ved from Alchemy Capital Management. Please go ahead.

Hiren Ved: Mr. Atim Kabra mentioned about the LEAP strategy and I want to e xtend this a little bit further that given our size, which is just about Rs. 1,000 crores th is year as per our guidance, what stops us from growing at let us say, 30%-40% right? Is it the lack o f external opportunity or are we too narrowly focusing on radars and certain segments of the defense industry? And secondly, if it is the right thing to do, which is to invest in IP , but that requires serious capital. So, how much money are you planning to spend on IP ov er the next couple of years? And why can't we aspire to have margins which are upwards of 20%-25% if we h ave our own IP?

Management: I will answer this thing. Let me take the IP question first, right. T he IP, think of Astra as a platform for a second right, we have a track record, we have the capability set, we have the marketing ability etc., which has been there and it is only now that we are opening it up from an IP acquisition, IP collaboration point of view. There are pro ducts and personally I cannot go into details of these products, but there are products which are be ing contemplated where let us say if we had the capability to make the radar, right, then c an we add in the next logical step which has to be taken in the battlefield if an incoming threat is de tected by the radar, right, can my system alone do it. I may not have the necessary IP for th at. So, do I create it from scratch? Do I reinvent the wheel or do I collaborate with somebody who has th e IP and create a better product and combine our resources and create a product? It may not necessarily require oodles of capital to do so, by the way, right, because it is equall y in the interest of the other party also, our collaborators to commercialize the products. As I mentioned, two transactions have been done and they will result in significant IP accretion over a perio d of time for Astra. We are not really spending much on these acquisitions, on these IP colla borations, if I am to say. So, I would delink IP from owning the IP exclusively, but would rath er focus on more collaborative approach with Astra contributing a lot towards commercializing and taking the lead in creating products which also links in with your earlier question. If you look at our history, we were quite small and we will cross Rs. 1,000 cross this year itself and our focus have been to productionize the orders which have been coming in. Production ization of existing orders coming in and keeping pace with the growth in a way did not give us the leeway or the time required or the effort required to productize, so productionization versu s productization which is our focus going forward. So, if you see organic, when we talk of organic growth, organic growth is coming in from our regular productionization of the order flo ws, which is coming in. But now, given our size and as we very rightly said, we have th e size now where we can offer ourselves as a platform and that will allow us to focus on products which on a recurring basis when they sell gives us the kind of margin expansion and sales e xpansion, which we are looking for and that is where probably the surprise which we sp eak about on account of LEAP strategy will come in, but let us wait for the time. Let the numbers re flect what we are saying. So, right now when we give you the guidance, we focus on the productionization of the orders. I hope I have answered your questions.

Hiren Ved: I have one more last question, we have seen that in many defe nse companies, supply chain is becoming a big constraint. And are we working on seeing that we a re not constrained in terms of productionizing because of supply chain issues and creating enough other sources is something that we have seen with a lot of other players in the industry and just wanted to have your views on how you guys are thinking about this constraint?

Management: I don't think we are expecting any serious supply chain constraints. We ll, I guess given the size given our management focus on the productionization front, I think we are fairly well set in this particular area. Where we see constraints are on the evolving techn ology, where trained manpower is hard to come by for the next gen of products where we need to leap from into. So, to answer your question, we are fairly well appraised of the supply chain challenges, and therefore resilience is being built into the system. Of course, if yo u have external events like sanctions and all, that is a completely separate game. But other tha n that we don't significantly see any supply chain challenges.

Management: Just to add to Mr. Atim, see basically we import electronic componen ts and of course few complex PCBs from abroad, but otherwise the rest are like we will be sourcing out from indigenization. And also would like to highlight one point here i s we do ourselves with our strategic component as we design and we get it fabricated like MMICs and all. So, these are all components which usually will have a serious impact based on the ge opolitical situation. So, that is something which in fact is advantage to us that all these strategic components we have within our control. Otherwise, usually we don't have any supply cha in issues for general electronic components or PCBs.

Management: Actually, this is a very important point and when you talk about competition, probably you should consider the fact that we have a very significant net bloc k which has been created. So, the capabilities have been created upfront and now it is the time to reap the benefits from the investments which have been made over the last so many years into the Company. So, our return ratios were not looking good because the investments have be en made upfront and now as production scales up, you will see ratios, the proof is there a lready with you that ratios are improving significantly.

Moderator: Thank you very much. The next question is from the line of Col Sarjeet Yadav from Mount Intra Finance Private Limited. Please go ahead.

Col Sarjeet Yadav: Sir, one question about the Tejas delay. So, we are hearing c ouple of things that firstly because of the GE engines, it is getting delayed and secondly also the Israeli Company is unable to provide the AESA radar. So, our Company has been supply

ing AAA U for the AESA, so how do we see these two situations. It looks like a risk because of the delays. At the same time opportunity when we see the Israeli Company, unable to supply, can you comment on this, sir?

Management: On the first part of your question regarding the supply issue of GE e ngine, of course we cannot authorize to comment on that, but yes, we also heard about this, th ere were some issues, but also we understand from the customer that they have been making a lternate arrangements and I don't think they can put any delay factor as far as the other sen sors are concerned. In fact, the Uttam radar, whatever being planned, the discussions are going very actively and maybe the next 3-4 months ’ timeframe, we should be in a position to get the first contract. So, that is all the discussions are going on. So, we don't see any major delays , but though there will be slight delay and all, but we don't see any major issues as well as that p articular party is concerned. And second is regarding the other imported radar which is not being functioned that also again

we are not authorized to comment on that. But yes, that is something w hich the DRDO is trying to push as early as possible to HAL and probably we make it more quantity in case if Israel cannot supply this particular radar. As far as Astra is concerned, we are geared up to produce in numbers. In fact, we enhanced our facility. Recen tly, we have added auto bonding facility by virtue of which in fact our subsystems that is the tier mo dule of those radars we can produce manifold in the sense about 20 times than what we m ade it with semi-automatic facility. So, that way we have enhanced our infrastructure, we scaled up our capacity. We are geared up to manufacture as many as numbers as we want.
Moderator: Thank you very much. The next question is from the line of Ketan Gandhi from Gandhi Securities and Investments Private Limited. Please go ahead.
Ketan Gandhi: Just two couple of questions, one, I just missed, did you give an y guidance for the order intake for this year?
Management: Yes, we have given.
Ketan Gandhi: Can you please repeat? I just missed it. I am sorry.
Management: In the range of Rs. 1,200-Rs. 1,300 crores.
Ketan Gandhi: And sir, do you want to share any update on Manpack SDR?
Management: Yes, actually the final test they are planning to conduct so metime in mid-October. I think rest all the procedures have been through. I think mostly by mid- October, we will have a field test. So, once after that test, we will come to know whoever all will rem ain in the frame.

Ketan Gandhi: Total how many final contenders for this, last time you mentioned about 3, is it the same or any changes?
Management: Yes, as of now it is 3.
Moderator: Thank you very much. The next question is from the line of N iraj Mansingka from White Pine Investment Management Private Limited. Please go ahead.
Niraj Mansingka: My question is what are the top 5 programs that would be critical for ou r order book accretion and revenue growth in the next 2 years?
Management: There are many projects we have been addressing radar and electron ic warfare domain especially if you take in the radar, we have been addressing airborne radar and also the ground radars, shipborne radars in all three segments. Like airborne ra dars, we have been working for AWC Mk1, Mk1A and also we are waiting for the RFPs for Mk2. S imilarly, like LCA Mk1A, we are already there and we will be addressing Mk2. So, there many opportunities are coming out. Similarly there is Su-30 opportunities also will come. Of course, we are all in competition. So, we have to wait and see how many we win that. Similarly like in the ground segment, there are many radars like we are talking about Tushar like Akash-NG, Akash Prime, WLR repeat orders, these are all which customers DPSS are likely

to get. So, we will be getting subsystems from those particular segments. And shipborne Navy, as I said we are likely to get some repeat orders from Navy. So, these are all some of the opportunities as far a s the radars are concerned. And in electronic warfare, we have been working for pod jammer fo r LCA Mk1 as well as we have been working on the ongoing production programs of BEL like Nayan Shakti , Himshakti and all these programs, we are there. And also we are there in the EW programs of like DR118, R118. So, all these programs, we have some orders on hand, and we are likely to get more orders, repeat orders from these customers.
Niraj Mansingka: But anything which comes to your mind that these like for example, w e have this Uttam radar, so any large order that you think you were assured but you are, j ust a delay of the RFP?
Management: The mandate is clear, yes Air Force, HAL plan to take some quantity in the 1st Phase. Exact quantity will come to know in couple of month ’s timeframe. But yes, Similac has already given the clearance for dual numbers, two for the 1st Phase and th en there afterwards they will induct more and more. And going forward, yes, there is as all of yo u know this 97 numbers more also as and when has been cleared so once HAL get contract, probably they will start working in that also. We are hopeful to get more quantity from Mark 1 itself.
Niraj Mansingka: Sir, last question, what is causing delay in the Virupaksha project?
Management: Actually, the customer, DRDO is working on the configuration part. I think what we understand that they are working on this configuration. Once th ey complete they will be floating RFP's and once they are in the competition mode, so w e will be competing in that.
Niraj Mansingka: But any thoughts on when you see this scale up happening?

Management: Actually, the first contract itself that from the DRDO, I think probably we are expecting RFP's mostly by next quarter.

Niraj Mansingka: Sir, last question on the Akash Mitra and BDL has also put an RFP a t our RF Seeker Manufacturing Facility. And what we thought was you were the sales suppliers of that. So, any comments on how it will impact you?
Management: What BDL has been set up the facility and manufacturing is I thin k if I understand better, I think it is gimbal seeker. But what we are working is totally different. We are working on AESA Seekers and in that we got few development contracts from DRD O. In one particular frequency band, we have already delivered and we are expec ting some small repeat order also. And other band we are trying to complete it by this month end. S o, we are working in a totally different technology as far as seekers are concerned. The other techn ology which BDL and other companies were working on that those seekers also we have RF components, we have been supplying CSUs and other companies.
Moderator: Thank you very much. The next question is from the line of Rupesh Tatiya from Intelsense Capital. Please go ahead.
Rupesh Tatia: My first question sir is with respect to Uttam radar, so in this we only su pply antenna units or we supply other components as well?
Management: We supply Antenna Active Array unit, this is a complete antenna unit and other parts there are three more companies who have been supplying the small portion of it, but the 75% of this radar cost is sourced to the antenna unit only.
Rupesh Tatia: And that is exclusively supplied by us?
Management: As of now, yes, it is exclusively supplied by us.
Rupesh Tatia: And sir, what would be the value per radar package?
Management: No, I don't want to go more specific into the radar cost and a lso because it is an open conversation, I wanted to maintain confidentiality.
Rupesh Tatia: And sir, then what would be the opportunity size? Uttam will be use d in I think Tejas from 28th airc

raft onwards. And then would it be also used in Sukhoi or BVRAAM upgrades as well. What is the opportunity size for Uttam radar?
Management: Well, in fact we are expecting around close to Rs. 1,100-1,20 0 crores worth of business from the Uttam radar in the next 3-4 year 's timeframe.
Rupesh Tatia: But it would be used in all these programs, sir, Tejas, Sukhoi, BV RAAM only in this?

Management: No, I am not talking about Sukhoi. Sukhoi is a different one. I am not discussing about Sukhoi. It is only LCA Mk1 and I have considered more on Phase-1 and P hase-2 put together.
Rupesh Tatia: LCA only Phase-1 and Phase-2, it is Rs. 1,100 crores?
Management: Yes.
Rupesh Tatia: And then second question sir is on Ashwini radar, are we involved in that program in India?
Management: Yes, we also bid for that and we are in competition and I think TE C is going on. So, beyond that we don't want to give any information. So, yes, we have participated in that program.
Rupesh Tatia: So, when is the result expected of that tender Ashwini radar? And th en what components would we be supplying and would it be significant to the order siz e?
Management: No, since it is a tender and RFP and in the competitive tender, I do not want to disclose more details about this.
Rupesh Tatia: But we supply all the components or only one or two componen ts.
Management: That is what I am saying. We do not want to discuss anything be yond that. Please appreciate that fact. This is a competitive tender.
Rupesh Tatia: Also the next question sir is, I think we have a patent with I think one of the labs for Netra Primary radar and I think some order is expected in Netra or o rder is received, I am not clear. So, can you talk about what kind of commercial orders are expected in Netra? And then will we supply only primary radar or some other components as well?
Management: In Netra, you are talking about AWC Mk1. So, there we supplied subsy stems of Primary radar and we have already supplied a few years back and we are ge tting some repeat contracts for maintenance and also for one more aircraft I think. So, we have o rders on hand and also we are likely to get some of them for the space.
Rupesh Tatia: So, Netra sir, there is no kind of like active order. I thought there was an order for some India ….
Management: We have orders and are under execution. In this quarter, in Q2, we are going to execute that.
Moderator: Thank you very much. The next question is from the line of Ravindra Shah from RSH Investments. Please go ahead.
Ravindra Shah: Sir, I have two questions. The first question is, can you please elabora te a bit on your Bangalore facility like for which business this facility will be ded icated, domestic defense, space or other business segments?

Management: Originally, we have created that facility for our systems integration an d testing, especially in the radar and electronic warfare domain and we have built up NFTR f acility also and also assembly hangers to handle and address the radar systems. And also we have created space division in Bangalore facility. We have incorporated 100% subsidiary u nit, Astra Space Technologies Limited and that group is basically going to address a ll future satellite requirements and they are also working in the same facility. We have created the infrastructure to meet that particular requirement.
Ravindra Shah: And what kind of opportunities do we foresee in the global s pace business on the BTS side?
Management: Actually, we are focusing more in the Indian market as of toda y. We would like to address this Indian market and then wanted to address the global market. Yes, oppo rtunities are there opportunity size is very large as far as this space segment is conce rned. So, that is the reason why we are investing into thi

s particular sector and we are planning to enhance our operations in this particular segment, but to be precise figures and all, we d on't have as much as far as the global business is concerned. But for Indian, yes, we have a figu re. Based on that, we worked out our business model.
Moderator: Thank you very much. The next question is from the line of Keshav Harlalka from BHH Securities Private Limited. Please go ahead.
Keshav Harlalka: So, I just wanted to know about the seasonality of margins and revenues and profits. So, we did EBITDA margin of 15.5% for Q1 of FY25 versus 2.3% for Q1 of FY2 4. And for Q4 of FY24, we did a margin of 22.8% versus year-on-year margin of 12.2%. So, can you comment on the seasonality of margin, sir?
Management: See, basically we have used the word seasonality because even as the topline, most of the topline happens in Q3 and Q4, and since the margins are directly related to the topline, we have used the word seasonality of the margins. Then again, answerin g your specific question in terms of the margins, what you have indicated, which I have already ans wered earlier, essentially it all depends on the product mix. Suppose if I have major defense product being sold in a particular period, probably my margins will be much highe r than the previous quarter where the sales should have been more towards the exports. So, gen erally the margins are directly related to the product mix and hence the seasonality of the margins is indicated.
Keshav Harlalka: Now, can we have some band or you cannot predict the ban d. Would it be within 15%-25% is what one could expect or you could don't want to pass any c omment on this?
Management: I can give an indicative gross margin. Below that I do not want to get down. The gross margin generally around 40%-45% will be there, if my overall domestic m ix is in excess of 70% in any particular period.
Moderator: Thank you very much. The next question is from the line of Nishi Shah from RH Investments. Please go ahead.

Nishi Shah: I have one question. What kind of margins does this space busin ess comes with and is it same as the domestic defense orders or is it better than that?
Management: More or less we carry the same margins between space and defe nse.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing remarks.
S. G. Reddy: Thank you everyone for attending and sharing your though ts. Hope we have answered all your questions and look forward to meet you again at the end of Q2. Thank you very much and good evening. Thank you.
Moderator: On behalf of Astra Microwave Products Limited, that concludes this co nference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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November 19 , 2024

To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001

Scrip code: 532493
To
The Vice President,
Listing Department
The National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051

Scrip code: ASTRAMICRO

Dear Sir,

Sub: Conference call transcript.

We are sending herewith Conference call transcript held with analysts on 13th November, 2024.

The above information is also made available on the Company's website www.astramwp.com .

Thanking you,

Yours faithfully,

For Astra Microwave Products Ltd

T.Anjaneyulu
G.M - Company Secretary

"Astra Microwave Products Limited
Q2 FY '25 Earnings Conference Call "

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13th November 2024 will prevail

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
DR. M.V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
MR. ATIM KABRA – DIRECTOR -STRATEGY AND BUSINESS DEVELOPMENT – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Astra Microwave Products Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinion and expectation of the company as on the date of this call. These statements a re not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the lesson only mode and there will be an opportunity for you to ask questions after the present ation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on the touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S.G. Reddy , Mana ging Director. Thank you, and over to you, sir.

S. G. Reddy: Thank you, Yousuf, and good morning, everyone. A warm welcome to all of you to the post results call of our company. I am with my colleagues, Mr. M.V. Reddy and Mr. Atim Kabra and SGA, our Invest or Relations Adviso rs. The results and investors presentation for Q2 FY '25 are already uploaded on the company website and stock exchanges. I hope you had a chance to look at it.

In terms of the highlights, I'm happy to share with you a continuation of a decent start for the financial year. We were able to deliver good performance for Q2 also. In terms of what particulars, the top line for -- at the consolidated level is about INR230 crores, which is a year -on-year growth of about 21%. This performance is in line with our expectations.

On the profitability front, we continue to maintain our EBITDA margins at a sustainable level at the rate of around 21%. This improved profitability is largely because of the product mix, which is skewed more towards domest ic as we have shared with you in recent calls. In terms of the composition of the sales, the defense -- local defense production has contributed to 80% of the top line, followed by exports up to 12% and the rest of the things came from space and meteorolog y sectors.

In terms of general business development, I wish to inform you that during the quarter, we have signed an MOU with Premier Explosives Limited for a strategic alliance to develop and sell multiple products jointly. And the JV agreement was signe d with Manjeera Digital Systems to establish a new entity focused on manufacturing NavIC chips and the G NSS products using NavIC chips.

This joint venture is going to be owned equally by the parties. We believe that both these developments should help the company to explore new opportunities by broadening our offerings and strengthen our overall capabilities. In terms of the order book. As of September '24, at consol level, it is around INR2,269 crores, whereas stand -alone number is about INR2,097 crores. And our orde r wins continues to be healthy.

In Q2 FY '25, for stand -alone, we received new orders worth of INR230 crores, which is mainly from the domestic defense and meteorology segments. In terms of the breakup of these

new orders received in Q2, INR73 crores came from radars, INR71 crores for EW segment, INR77 crores for meteorology and the rest from space and exports.
Overall, our order book comprise of 98% of domestic orders, which are largely BTS that is built to spec and a 2% of export orders, which are a mix of BTP and BTS. Our consolidated order book consist of INR117 crores worth of service orders, which are typic ally margin accretive. Further details on order links and the business trends will be shared by Mr. M.V. Reddy.
For the current financial year, we maintain our target which was given previously with an order book range in the range of about INR1,200 c

rore s to INR1,300 crores and a top line in
the range of INR1,000 crores to INR1,100 crores with an PBT margin of 17% to 18%. Our joint venture company ARC has done well during the quarter, recording close to about INR100 crores of sales, and we have reached ab out INR162 crores of sales for the 6 months period with a PBT of INR8 crores.
It is expected to reach close to about INR275 crores of sales for the year with a PBT range in the range of about 8%. It has an outstanding order book of about INR282 crores at the end of Q2 and is expected to book further orders in the range of about INR200 crores for the rest of the year s. Our wholly owned subsidiaries are doing well and they are expected to report profit at the end of the year.
With this, I will hand over to Mr. M.V. Reddy, Joint MD, and later, to Mr. Atim Kabra, to share their thoughts. Thank you.
M. V. Reddy: Thank you. Good morning, everyone. As we review of Q2 and H1 of FY '25, we have been seeing a high positive trend, especially considering the fact of o rders booked in the first half of the year and also the opportunities emerging out in this with our business domain. We have a robust order book of INR2,000 crores as of date and seeing a good visibility of good trajectory in all verticals of business segm ents, which are our main focus area.
As planned, we bagged good development and production orders in radar and electronic warfare domain in the second quarter. Out of INR232 crores order booked, 85% of the domestic segment, which constitutes a 15% of deve lopment contract and balance production in nature from DPSUs and IMD. We are hopeful of booking orders of another INR550 crores to INR600 crores more in the second half of FY '25.
Few orders which we booked in the second quarter, like one is that C-Band D oppler Weather Radar, which we booked from IMD. And also, we have received a few development contracts from DRDO and also production orders like Nayan or subsystems and all from BEL. On the sales front, we have picked up momentum and significant improvemen t as we have seen as compared to Q1 of FY '25. And we don't foresee any major challenges to meet our guidance of INR1,000 crores plus for the current financial year.
Regarding our joint venture, ARC, as Mr. S.G. Reddy just covered, although there was a slight dip in the revenue in the last quarter as compared to the -- what we have given the guidance

due to prevailing geopolitical situation, but we are confident of making overall revenue being planned for the current fi nancial year.
With the order book of INR283 crores and expected to book INR200 crores plus more in next 2 quarters, ARC is expected to book revenue of INR275 crores for the FY '25. We would like to reiterate that going forward, we have a good visibility t o maintain sustainable growth with the opportunities emerging in the domain of our operations.
With this brief note, now I hand over to Mr. Atim Kabra to share his thoughts. We will be happy to answer your questions. Thank you.
Atim Kabra: Good morning, a nd I'm happy to be back again sharing the direction as well as strategy for Astra. As you know, strategizing is a continuous process which we keep fine -tuning as we go along. And the idea today is to share with you broadly the kind of things which have kep t us busy over the last 6 months and also put in place a strategic framework for you to think of whenever you think of Astra.
A 30 -year-plus company needs a little bit of new injection of thoughts, especially when the macro environment in which it operate s changes dynamically. The challenges of running a INR1,000 -crore company are markedly different from running a INR100-crore company and even more different when you are aiming for a INR2,000 crore to INR3,000 cr ore turnover target over years.
So everythi ng in the company needs to be rel

ooked at right from the IPs which we monetize,
and which are the core building blocks which need to be recurring for revenue creation year after year. Same way the systems and processes within the company and, more importan tly, our human resources, which make us today what we are need to be relooked at and nurture.
So we started this year with a focus on our core assets, which is our people, and the policies which define us and the way we operate, the way -- the environment in which the functioning of HR happens. We brought in an external Big 4 consultant to look at our policies and our practices. And thereafter, we brought in a very Senior HR Head to implement a new set of policies framework that shall serve our needs as we grow substantially.
In this era, where we are looking at complete systems as the basic buildi ng blocks of recurring revenue, a multidisciplinary approach is practical and it implies a very strong coordinated move between teams which have multiple skill sets which have to work together to deliver on the complete systems, which Astra is now deliveri ng.
Our team bandwidth has widened and is widening and will widen with time , with senior management induction and induction of folks at a middle level. And the team and the Board has been very active in identifying the next set of leaders within the compa ny. We are empowering them and incentivizing them to dream big and deliver value to our esteemed shareholders.

I'm personally very happy at the unified vision that the entire top management has bought into and implemented across the Board, across the comp any with a single mindset and a focused mindset and a common objective. And all this under the leadership of our Managing Director, S.G. Reddy and JMD, Mr. M.V. Reddy. And at the same time, we put in a lot of effort into identifying folks who are unable to keep pace with the fast -moving changes being implemented across the company.
And there is a need to create a mutual dialogue with them, wherein we offer them the assistance needed to shape up in the current circumstances or move on where the skill is bet ter matched with the job so that the employee accountability concept is well established and everybody is contributing without any slack towards the growth objectives.
So while we add more people, we are also looking at how do we rationalize the work for our existing workforce. So as we prepare Astra for the future, we need to clearly lay out and define a few broad areas of operations. And yes, I will repeat that the private sector involvement in the capital equipment procurement in the defense industry is in its infancy with less than -- I believe less than 20% of the total capital outlay of the entire defense sector by a few estimates is right now being met by the private sector combined.
So the Indian industry is just about moving from subsystems to a s ystems -level player, where we can compete with our own products and our own place in the world. And this is due to the amazing groundwork and the ecosystem which has been created by DRDOs and the ISROs of the worl d and the various labs.
And while industry has grasped the policy level clarity at the government level and is responding with products. And it's not only us, we've seen folks like Zen, Paras and the like responding to the needs of the industry with various IP -driven innovations and solutions. So in my mind, this is a beginning of a multi -decade opportunity. And I remember the advent of Indian IT industry 2, 2.5 decades back and then followed by BPO.
And over a period of time, India caught up and carved a niche of its own. So to connect it with our framework -- with our LEAP framework, we have been fairly busy enhancing the IP base given that we are in the IP enhancement and encashment business. There are gaps which were identified in our produ

ct portfolio.
We have been filling them up assiduously . Our capabilities have been strengthened in the areas of ground penetrating radars, synthetic aperture radars, EOs for satellites, specific passive radars and jammers to complement our active radars, counter -drone systems, NavIC, which S.G. Reddy alluded to system -on-chips, displays, MMIC chips in a partnership mode. And multiple such capabilities are being identified and added to our overall portfolio to create a value -added and cashable IP bank.
At the same time, we are also very focused on the increase d borrowings as well as a higher interest outlook on account of higher receivables outstanding number of days. The entire -- I can assure you that the Board is sized up on this matter. And our expectation is that as

our learnings from the move into systems, multiple systems which Astra has been delivering now, are absorbed and lessons across the Board are diffused, assimilated within the company. You will see a dramatically different receivables profile from this market itself as where we are expect ing quite significant injection of cash into the company as the receivables are liquidated during the second half of FY '25.

So summing up, this has been, I would say, a steady quarter, and we hope to deliver on our guidance with strong upside potential b uilt in from our various initiatives and the building blocks which we are putting in place will provide us a nice platform to deliver an upward trajectory in sales and profit with a neat balance sheet also in the times to come.

We'll address your question s until you have questions on NavIC, et cetera . As we go along into the question -answer session. With this, I hand it back. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: Congratulations for a steady quarter despite the geopolitical challenges that we have seen. I have 3 questions. The first one is essentially on Slide number 29 and the -- in your prepared remarks, you mentioned abo ut the MOU with Premier Explosives, JV with Manjeera. And it is also mentioned that we are going ahead in anti -drone systems. And also if you can get point by point, that looking for MOU with Premier, when do we expect to certify? What kind of opportunitie s size in terms of products that we see?

And similarly for NavIC, it has been going on for a while. So what kind of potential we see and when it will start flowing in. Anti -drone has been something very special. So how are we different from our peers in t his? So that is my first question. Shall I illustrate all 3 questions or do you want to answer one by one?

Management : Yes. Please go ahead, Amit.

Amit Dixit: Yes. Sir, the second question is, Atim also, I mean, alluded also to that receivable -- particula rly we have seen for falling up. And this is not a problem with you, in particular. This is a problem we have seen with all the different companies so far, receivable falling up. So do you see a larger malaise in government not giving money? Or is it becau se of that revenue would have been bunched up towards the end of the quarter? And what is the sustainable kind of receivable days that we are going to see?

The third question is essentially that INR500 crores to INR550 crores to INR600 crores of order inf low that we expect in H2. So what are the key platforms that we are going to see these orders coming from, how much from BEL, FD etcetera .? So these are the 3 questions, sir.

Management : Yes. I think Atim will answer the first question of the joint venture of Premier and Manjeera. Then other questions, I can answer. Yes, Atim, please go ahead.

Management : Sir, we are in

the warfare business, right? And we are looking at creating products. And our approach has changed dramatically from delivering subcomponen ts and subsystems to delivering complete solutions, right? So when we are delivering complete solutions we need to -- in a war -- for wars right, and for battlefields, we need to put in the explosives parts in quite a few of our products. It's a licensed b usiness and a specialized business.

Towards that extent, Premier Explosives Limited is in that business, and it's really well placed. We have a good relationship with the company. And therefore, an MOU has been established from the point of view of new pr oducts and new systems which are being developed. Let's say, I think there's not a specific example, which I'm giving you to us, and we want to keep our products a little bit under wraps till they are out.

But if we are looking at new kind of rockets comi ng in or guided rockets coming in, and if they are supplying, let's say, rockets wit hout a navigation system. Can we give some direction to those rockets by putting in some defense electronics. It's a very obvious thing which comes to the mind. Same way if we are looking to provide a hard -kill capabilities into our anti -drone systems, right?

Chances are that if we can incorporate products from Premier into the overall system, which is being made, then we are able to provide a complete solution to the armed forces to not only neutralize the drones whose signature is verified and mapped, but also take out the rogue drones which come in and they have to be taken out in a kinetic manner. So those are the kind of things which we are looking at with Premier, wher e the complete solution which requires explosives is being created along with them.

On the NavIC portion which you asked me, just been for 3 days back -- or 2 days back in

Times of India carried a report that the government said they are launching 7 new n avigation satellites. And you are very well aware of the circumstances in which our NavIC -- our navigation of satellites were launched during Kargil war, okay or the concept was finalized and firmed up during the Kargil war.
We need to be -- as a nation, we need to be probably being self -reliant in the area of GPS equivalent coordinates or in the coordinated busines s. So Russia, the BeiDou system , Glasnost , GPS and NavIC. So the interesting part about our product is that it is soft -coded, which implies that we can code in not only Indian navigational satellites, but also the other navigational satellites.
So wherever -- whichever product -- whichever system is giving you the best coordinates can be taken in. And there's no denial of service on account o f, let's say, inadequate coverage by the satellites. In terms of the potential, I think in one of the conference calls we had all discussed, right okay.
Every missile for that matter, right, if it's a GPS -locked or GPS equivalent lock will have a NavIC equivalent lock. You have -- and S.G. Reddy mentioned GNSS systems. We are talking of mapping. We are talking of a whole lot of civilian applications for Na vIC. So anything

which you think of from the point of view of GPS is the poten tial market for NavIC. It is massive.
Now at this point in time, our understanding is that a lot of chips are imported. And those -- the landed cost of those imported chips is f airly cheap because, as you are aware, the cost of producing the chips is directly proportional or inversely -- the cost is inversely proportional to the quantum in which they are made.
So therefore, GPS chips, which are made in massive numbers tend to co st less. So it is expected that there will be some sort of government guidance which will come in, which will level the playing field. And even if -- but at the same time, we are looking to kind of make sure that t

he product is within the specified cost ra nges to make it competitive.
On the anti -drone systems which you mentioned, I can only speak to you about our system. This is a global product which combines active radar with a passive radar with a complete power source and C2, which effectively comes in 3 versions. We will have a short -range version of about 0.5 kilometer. We will have a medium -range version, which is by the way, wearable, which will hav e a 2 -kilometer odd range.
And omni -directional anti -drone system, which can be 5 kilometers plus ra nge. So these are the few product parameters, which are there. And well, we have also got -- we have done some IP acquisition in this area, and I will share it with you. We will be the global production partner for this joint IP which we have now for the a nti-drone system in the configuration, which I spoke to you about.
So that's our product change, and I think S.G. Reddy can answer the receivables question and the new order inflow.
Management : Amit, your other question, I think as far as the technology of counter -drone, as Mr. Atim had mentioned. So we have used a different antenna technology to get extended range and also we did cost optimization so that to increase our percentage of wins in th e competitive tenders. So as of now, we have almost 12 cases are active in that many -- almost 6 cases are in RFI response stage and a few of them in RFP stage. And in one particular case, where which we have participated, we have submitted the proposal. A nd TEC going on. I think we will be conducting the first to demo in December next month in the field. So this is progressing well.
And as Mr. Atim had mentioned, we are going with a soft -kill option for all these cases, whereas wherever a hard -kill are th ere, we are collaborating with the other OEM who has that hard-kill technology and we are confining ourselves to supply only radar for those programs.
So these are all as the counter -drone plan is concerned.
And your other question regarding next 2 quarte rs' order book, which I mentioned around INR550 to INR600 crores range. In that, I'll just give you a breakup of segment -wise. One is that from radar area, we are expecting around INR350 crores to INR370 crores, and in EW, around INR50 to INR60 crores, and in telemetry and missile communications, around INR100

crores to INR120 crores, and in meteorology, around INR50 crores to INR60 crores, and other segment all put together around INR30 crores to INR40 crores.

So this is a broad segment wise classificatio n as far as the order book is concerned, which we are planning to book in the second half of the financial year. I hope we have answered all your questions.

Management : Yes. I think, S.G. needs to answer on the receivables.

Management : Yes, receivables. Yes, as of today, they are fairly high compared to the normal standards. This is largely because of 2 projects where Astra is involved in. Both are systems -related projects totaling to close to about INR170 crores kind of thing. They are in the final stage of completion, may be in about 3 to 6 months' time. These 2 projects are likely to be delivered completely which will bring our receivables to the normal levels. It has nothing to do with the bunching of sales towards the end of the quar ter. It is more to do with the kind of -- the nature of products that has been delivered by the company.

To the components and subsystem level, the realizations are fairly within control. Within about 90 to 100 days, the realizations are happening. But wh erever there is a systems delivery, it is taking time because the obligation is to complete the site approval test at the customer end, which invariably takes a good amount of time.

Moderator: Next question is from the line of Ketan Gandhi from Gandhi Secu rities.

Ketan Gandhi: Congra

tulations on good growth number. I have 2 questions. Can you have any update on Manpack SDR?

Management : Yes. We are going for the final test in the month of December.

Ketan Gandhi: So when can outcome be known?

Management : I think the trials are planned, I think, to complete before January or so. So we are hopeful of getting the report maybe sometime in February. The chances of opening the commercial bid by March should happen, but it's like it all depends on how fast they condu ct these trials and all. We're still hopeful of getting the result by March.

Ketan Gandhi: Sure. Sir, our GAETEC laboratory successfully developed -- indigenously developed silicon carbide wafer that is SiC and GaN -based HEMT -based MMIC technology to X -Band application up to 150 watts and MMIC circuits up to 40 -watt for up to X -Band frequencies. So are we have -- do we have any role in this? Or it is the only GAETEC DRDO lab for somebody else?

Management : Actually this foundry is open for even commercial use in the sense that we approached GAETEC recently and we started uploading our designs also. As -- since the foundry was not upgraded until last -- last before 4 year, so we were using the foundries outsi de the India. But now since GAETEC has upgraded, there's both the GaAs and GaN foundry and as well as have

come out with this silicon. So we are planning to develop a few designs through GAETEC foundry and our design team is interacting with GAETEC.

Modera tor: Next question is from the line of Sarjeet Yadav from Mount Intra Finance.

Sarjeet Yadav: Congratulations for the decent numbers. I have 2 questions. Firstly, regarding the Manjeera and Premier Explosives JV, you gave a very detailed overview. I just w ant to understand in case you can tell us what is the potential of these 2 JVs, and what timeline do we expect some commercials coming from this?

And second question is around the subsidiary of JVs. what kind of products currently they are doing? And what revenue do we expect? It is not very clear from the financial documents.

Management : Atim?

Management : I will take this one. While new products are being developed, and the one system which Astra is developing for which between us and Premier and one more entity, we have almost 95% of what is required already there, okay? Now once we integrate this, and our teams were actually there last week, if I'm not wrong -- or this week.

And once we integrate these products into a viable shape with a common command C2, command and control center. I think the first prototype should be ready in about 5 to 6 months. I'm talking of where we are collaborating with BEL specifically. And there are , trial positioning it across for a global market, the way we see it.

So we are not looking at creating products which are solely going to be dependent on Indian procurement. We should be able to sell them across the world. But in terms of actual dates for realizing commercials out of it, I would hesitate to put timeline on to it honestly. Because there's a lot of work which is involved. The JV was signed and announced just a few weeks back, right? So that's one.

This product, which we are talking about is an external product which should minimize

interactions wi th the existing el ectronics, et cetera. So that would make it fairly fast enough to be adopted. But still prototype is being under development. Ideas are being exchanged, designs have been exchanged. So that's the timeline. I don't know which specific JV you are referring to in your other subsequent question which you asked. Which JVs are you referring to for the...
Sarjeet Yadav: Astra Rafael.
Management : Astra Rafael. M.V. Reddy?
Management : Yes. Astra Rafael is engaged in design and development and production of software -defined radios. All the revenues which are achieved by the company as

of now pertains to these products. Going forward, it is likely to add electro -optics product line also along with Manpack version of software -defined radios, about which we have discussed at a few minutes back with other investors. If you ask me, in simple terms, essentially, it is engaged in software -

defined radios and the electro -optic products. These are the 2 products which the JV is engaged in.
Moderator: Next question is from the lin e of Omkar Chitnis from Trade Brains.
Omkar Chitnis: You mentioned in FY '24 annual report that we are in the advanced stages of development of technology in photonics radar and submarine communication. Can you provide an update on that for commercializati on?
Management : Yes. Photonic radar almost, it is -- final test is going on. Probably we'll be in a position to deliver this system to DRDO by December, before December 31. This is what we are planning. And the oth er one is you asked about the NSDL , which is the submarine electronics, right? So submarine electronics also, we made a prototype demonstrated to NSDL , and they were very happy to see the perfo rmance.
And we are going ahead with the -- to complete the total order quantity. And that order also, we are in a position to complete it mostly by January or February. So by this year -end, both the projects will be executed.
Omkar Chitnis: Okay, understood. Sir, previously provided an export guidance of 22% to 23% for FY '25. Are you maintaining thi s target? Or is there any change in that?
Management : In terms of the percentage, I'm not really sure. But as of now, most of our exports are deemed exports, that is -- we are supplying to the domestic EOUs which is, again, largely our joint venture compan y. And also the Bharat Electronics and there's another company called DCX in Bangalore. So these are the 3 entities for whom we are supplying under the EOU concept.
Omkar Chitnis: Okay. Sir, my last question was, can you provide update on the telemetry mis sile which was export order of INR140 crores which was planned for this fina ncial year. Any update on that?
Management : We don't have any such orders.
Omkar Chitnis: Telemetry missile.
Management : So telemetry missile, under that category, we manufacture subsystems, not system. And these subsystems we have been developing for DRDO and for the production, we are supplying to Bharat Dynamics Limited. The Export order probably you are talking about is which BDL is expecting order for Akash missile. And for th at, we have subsystems in place and we are hopeful of getting this particular contract before March or maybe the first quarter of the next year as BDL is yet to finalize this particular contract.
Moderator: Next question is from the line of Rupesh Tatiya f rom IntelSense Capital .
Rupesh Tatiya: Okay. Sir, my first question is on radar. So can you give an update on 3 radar programs where are we with respect to order received. First is Ashwini LLTR radar, second one is Uttam AESA, and third one is X -Band multi function radar for which Bharat Electronics recently

received an INR850 crore contract. So these 3 radar programs, if you can give an update from your side?
Management : Yes. The Ashwini as a system, I think the commercial bids have been opened. I think may be I think all of you are aware BEL has been declared as L1. And so in that subsystems, we have to see how it goes about the execution in the BEL. So that's the one. And Uttam, yes, we have inquiry on hand now for quantities.
So exact quantity and value, I think probably will be in a position to give you by next earnings call. But inquiries on hand now. And third one, we were talking about X -Band program, we

are in discussions with BEL for the quantity which we have developed. So that I thin

k we will
be ex pecting some inquiry from BEL soon.
Rupesh Tatiya: So for these 3 programs, sir, can you give some indicative potential value and timelines?
Management : Yes. Actually, this -- in fact, Uttam, we have taken some quantity order by March. And in that, I think we should be around -- as I mentioned, overall, the orders which if we combine these programs, some of the orders like put together, it should be around INR350 crores to INR370 crores. In that, we have not considered any prog ram, which is in a competitive stage .
So these are all only which are -- we are single party to execute and we're the only one qualified supplier. Those cases only we have considered and it is amounting to INR350 crores, INR370 crores orders we are planning to book before March '25.
Rupesh Tatiya: Okay, sir. And then the second question for is this airborne electronic warfare system, NETRA 2, where private sector player was declared L1. So are we working with them? Do we expect some order for NETRA 2?
Management : Yes. Actually, we are also working with the DRDO for that program. And we are there in the -- as a subsystem supplier for pod jammers in EW. And we are awaiting for the formal queries in this particular segment.
Rupesh Tatiya: So that order also we will receive by March '25 or it will...
Management : It will get materialize only in the first quarter of the next year.
Rupesh Tatiya: And can you give some indicative range of what is the potential in this one?
Management : Yes, it's a good potential, like the overall quantity. But how much they will take it in the Phase I, it all depends on the budget of being allocated. So I think it's too early to comment on that.
Maybe after a couple of months, we will have more clarity on this.
Moderator: Next question is from the line of Vipul Kumar Ano opchand Shah from Sumangal Investments.
Vipul Kumar Shah : So what will be the investment in this 2 JV, one is this Premier Explosives and another one? What will be the amount we will be investing in it?

Management : We are not looking at any substantial investments in the JV with Premier. It's more on the technical handholding and working together with each of us contributing whatever we can.
Maybe we will -- the commercial sector have to be worked out.
Vipul Kumar Shah : My second question rel ates to inventory. So inventories have increased substantially. So is there any -- can you attribute any specific reason for the rise in inventories this quarter?
Management : See, most of the inventories, if you look at it out of INR534 crores which is the re as inventory, almost 50% of that is in the WIP that is a work in progress. We believe that as we have done the process of deliveries in Q3 and Q4, this WIP will be converted into the sales. And therefore, the inventory should come back to the normal lev els by the end of the financial year.
Moderator: Next follow -up question is from the line of Rupesh Tatiya from IntelSense Capital .
Rupesh Tatiya: One question is there is this delay in Tejas engine delivery. So how -- I mean, do you -- are you seeing any impact on ordering of Uttam AESA radars? That is one. And then Sukhoi upgrade program, when do you see commercial supplies to start for Sukhoi program?
Management : Yes. Your first question is on the Uttam. As I mentioned, we have now inquiry on hand. So we are hopeful of getting the first phase order maybe by March '25. And on the other hand, the delivery, though there was some issue. I understand HAL, they are prepared to cope with this thing. I think the more likely the issues got resolved.
So I don't th ink we'll have any effect on overall schedule. And as I said, the -- as far as the radar is concerned, they will go ahead as been planned as they need to get this indigenously manufactured. So lead time of component and all these things,

they will be consi dering that.
So with all this, I think I don't see any major issue in placing orders from subsystem manufacturers.
The second contract, which was mentioned Sukhoi -30 upgrades. Yes, as I said, the last time also that they are working out on the configurati on. And I think it appears that we'll finalize the configuration. Soon, we will be getting the tender inquiries. So it's going in a competitive mode. And we have to wait and see how it goes about it. But the program is on and the DRDO is working on this.
Rupesh Tatiya: Okay, sir. And then the second question on counter -drone systems. In counter -drone systems, what kind of opportunity do you see what kind of revenue we can expect in 2, 3 years? And because it looks to me a little bit competitive feel. So can you maybe give some color on the margins?
Management : Actually, the differentiator between other existing competitors to us, we have got the

indigenously developed technology and total right from the component subsystems to the system. We have everything in-house developed. So we have definitely advantage over others. And the second is as far as the business potential, yes, definitely it's a competitive field. We have just started bidding these tenders, and we'll come to know how it goes about it. But we

are sure of at least -- to win at least 30% to 35% of the overall market available. So it's difficult to mention any numbers as such now because there are many programs in this. Few of them are with laser -kill with wherein we -- as I said, we are collabora ting with other OEMs.
And in a few cases, there is soft -kill, we are going ahead as a lead integrator and supplier. So these programs are there. But definitely, the business size should be -- at least to start with for the next year, we are hopeful of get ting at least contracts worth of minimum INR200 crores to INR250 crores range of orders. This is what actually we had targeted. Now -- but by March, I think we'll be in a position to give you exact numbers by how many orders we can book it for the next financial year.
Management : You have to let the numbers think for themselves. There are -- how many people have demonstrated that indigenous technology, complete counter -drone system, right? You guys are in the market, you guys got to figure that out. So w e'll rather let the numbers speak. Indigenous radars, indigenous jammers, active radars, and passive radars, okay? I think -- I don't think -- as of right now, it is as competitive as you think. There are a lot of overseas products masquerading as Made in India. Let's see how it pans out over time.
Rupesh Tatiya: Okay. So then the influence from that is the margin would still be okay, if it would be close to company average.
Management : We will let the numbers speak for themselves when it comes in. We don't know what the other is going to bid, right?
Rupesh Tatiya: Okay. And then the final question, sir, is on any update on ATULYA fire control radar?
Management : Yes. Actually, we are waiting -- I think BEL is working on that. We are a component supplier in this particular program. We are expecting a few orders for this particular radar maybe in next couple of quarters.
Moderator: Thank you. As there are no further questions from the participants. I would now like to hand the conference over to the management for the closing comments.
S. G. Reddy: Thank you, ladies and gentlemen, for your participation. I look forward to talk to you again at the end of Q3. Thank you very much.
Atim Kabra: Thank you very much.
M. V. Reddy: Thank you, everybody.
Moderator: Thank you. On behalf of Astra Microwave Products Limited, that concludes this conference.
Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2025

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Unit 3: Sy. No. 1/1, lmarath Kancha, Raviryala (V), Maheshwaram (Mdl) R.R.Dist., Telangana - 500005
Unit 4: Sy. No. 1/1, Plot No. 18 to 21, lmarath Kancha, Har dware Park, Raviryala (V), Maheswaram (M), R.R.Dist , Telangana – 500005
Unit 7: Sy. No.114/1, Plot No. S-2/9 & 10, E-City, Raviryala & Srinagar (V), Maheswaram (M), R.R.District, Telangana - 501359
R&D Centre: Plot No. 51(P), Bangalore Aerospace Park, Singanahalli Village, Budigere Post, Bangalore North Taluk, Karnataka - 562149 February 11, 2025

To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001

Scrip code: 532493
To
The Vice President,
Listing Department
The National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051

Scrip code: ASTRAMICRO

Dear Sir/Madam,

Sub: Conference call transcript.

We are sending herewith Conference call transcript held with analysts on 8th February, 2025.

The above information is also made available on the Company’s website www.astramwp.com .

Thanking you,

Yours faithfully,
For Astra Microwave Products Limited

T. Anjaneyulu
Company Secretary & Compliance Officer

“Astra Microwave Products Limited
Q3 FY '25 Earnings Conference Call ”

February 08, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 8th February 2025 will prevail.

MANAGEMENT : M R. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
D R. M.V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Astra Microwav e Products Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participants' lines w ill be in the listen-only mode and there will be an opportunity for you to ask questions a fter the presentation concludes. Should you need assistance during the conference call, please signa l an operator by pressing star and zero on your touch-down phone. Please note that this conferen ce is being recorded.
Please note, this conference call may contain forward-looking stateme nts about the company, which are based on the beliefs, opinions and expectations of the c ompany as on date of this call. These statements are not the guarantees of future performance and inv olve risks and uncertainties that are difficult to predict.
Now I would like to hand over the conference to Mr. S.G. Reddy, MD from Astra Microwave Products Limited. Thank you, and over to you, sir.
S. G. Reddy: Thank you, and good morning, everyone. A warm welcome to all the participants to the post results earnings call of our company. I'm with my colleague, Mr. M.V. Reddy, Joint Managing Director; and SGA, our Investor Relations Advisors. The results and investo rs presentation for Q3 FY '25 are uploaded on our company website and stock exchang es. I hope you had a chance to look at it.
To start with the Q3 results, I'm delighted to share with you that Astra h as delivered a healthy performance with a 12% year-on-year growth in the top line , which stood at INR257 crores on a stand-alone basis. This performance is in line with our expectations. On the profitability front, we continue to maintain our EBITDA margins at a sustainable level of 29.1%, indicating stability in our margin profile of current order book and a better m ix of products sold during the quarter.
We saw healthy order execution during the quarter, wherein domestic defense orders contributed to 85% of our revenue, followed by export business at 8.4%, space 3.4%, metrology 2.7% and balance coming from other businesses. Our consolidated order book as o f December '24 stood at INR2,332.6 crores. The stand-alone order book as of December stood at INR1,960.2 crores with new orders of INR141 crores received during the quarter.
For 9 months, we booked about INR674 crores of new orders, g radually moving towards our annual order booking target. These new orders comprise of INR20 crores from radar, INR60 crores from EW segment, INR5 crores from telemetry, INR22 crores from sp ace, INR14 crores from exports and the rest from metrology and hydrology sectors. In terms of product specific, major orders being for plank unit and Shakti subsystems.
Overall, our stand-alone order book comprised of 88% of dome stic orders, which are largely BTS and 12% of export orders, which are a mix of BTP and BTS b usiness. Our consolidated order book consists of INR135 crores worth of service orders, which are typically margin accretive.
In terms of major developments during the quarter, happy to share with you that the company has participated in the technical trials of anti-drone radar for Indian Arm y and passed the

technical trials successfully, waiting for the final results of financial bids submitted by the company. This drone will be further enhanced with RF detector a nd jammer with scalable options in terms of both frequency and range.

Company was also able to come out with a handheld ground pene tration radar during the year and has participated in a competitive tender and is in the evalua tion stage. This radar will be made scalable and also made drone-based down the line. Some more developments will be shared by my colleague.
Our joint venture company has done well during the year and has already surpassed the year-end target. Handsome sh

are of profit of INR7.5 crores is received f rom it during the quarter. Our subsidiaries have done well, though largely it is for the captive consum ption.
In general, defense industry is advancing steadily towards self-relianc e driven by government policies, DRDO innovations and global collaborations. The country is w itnessing a rapid import substitution, increased domestic production and growing exports.
This push towards indigenization is expected to boost the earnings of b oth public and private defense companies as many defense PSUs are witnessing good orde r inflows with higher indigenous percentages. Also, the Union Budget FY '25 has allocated ha ndsome money for the defense budget. Against this backdrop, Astra is strategically positioned to leverage emerging opportunities in this expanding market.
Before I hand it over to my colleague, I would like to inform y ou that we are on the way to achieve our year target, both in terms of top line and bottom line and aiming for about 15% to 20% top line growth for the coming year, which may translate to abo ut INR1,200 crores to INR1,300 crores of sales.
With this, I request Mr. M.V. Reddy to take it over.
M. V. Reddy: Thank you, S.G. Good morning, ladies and gentlemen. We h ad quite satisfactory third quarter, and we are almost on track towards reaching our FY '25 target of both in terms of orders inflow and sales.
We have order book of INR1,960 crores as on Q3, including inflow of INR140 crores, which was booked in Q3. We have concluded negotiations of INR15 0 crores more worth of orders, which we have been expecting in this current month.
And also in addition to that, INR200 crores more worth of or ders are in pipeline and majority of them are expected to be received in the current quarter itself. In th e last quarter, majority of orders which we have booked are production in nature from dom estic market in radar and EW domain, carrying decent margins and 30% of them are in develop ment contracts.
We have bagged a few important strategic projects, including develop ment of critical technology project for futuristic radar and also onboard digital signal processing sy stem for the satellite

payloads, which will help us to move up in the value chain and also will enable us to build the satellite payloads in near future.
With regard to sales, execution momentum has picked up as comp ared to the previous quarter and further ramping up in Q4. We are confident of meeting the projected numbers and will achieve 4-digit mark revenue for the first time in the current finan cial year itself.
I'm happy to share a few other key achievements in the last qua rter, which includes successful completion of site acceptance test of multifunction pulse compression rad ar for ISRO and pulse-based tracking radar of -- for DRDO, doppler weather radar for IMD. All of them have been accepted by the customers and handed over to them.
Our JVC, as Mr. S.G. has mentioned, ARC outperforming in FY '2 5 and bagged a decent and strategically important contract worth of INR255 crores in last quarter to deliver software-defined radios kit for the Indian Air Force.
With the order book of INR475 crores, ARC is expected to surpass in itial guidance numbers of revenue of the current year and expected to book sales of INR2 75 crores in this year. ARC is actively pursuing more opportunities in the domain of tactical comm unication and electro-optics and expect it to grow in a rapid pace with the initiatives being taken to strengthen it in all aspects.
Before I conclude, I'm pleased to inform you that we are unveiling new products and systems at aero show which is going to be held next week in Bengaluru. We are demonstrating the ground penetrating radar and also the complete weather solution in this particular aero show.
That's all from my side. The other colleague, Mr. Atim Kabr

a, a ctually is from an emergent situation, he could not attend this call. I just wanted to inform , and we would be happy to answer your questions. Thank you.
Moderator: Thank you very much. We'll take our first question from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: First of all, congratulations for a good performance in this quarter. I h ad couple of questions.

The first one is essentially on EBITDA margin. So if I look at t his quarter, the EBITDA margin
is touching almost 30%.
As you indicated in your prepared remarks that the orders inflow that we are seeing in the current
order book is primarily oriented towards defense and there are service ord ers as well. So is it fair
to assume that now going forward, somewhere upwards of 25% EBITD A margin would be a
norm for Astra?
Management: Yes, yes, we can achieve it.
Amit Dixit: Okay, sir. That's very helpful. The second question is on interest cost. Now if I see that has
increased sharply both on Q-o-Q as well as Y-o-Y basis. So was there a working capital buildup
that we expect to be unlocked during Q4? And what was the natu re? Why was this interest cost
very high?

Management: Yes. I think it needs to be clarified to the -- in general also. This questio n keep coming up very
regularly. No doubt, the working capital borrowings have slightly gon e up. But I would say, to
a large extent, the increase in interest cost is pertaining to one adjustm ent of pertaining to the
Indian accounting standards on the advances received from the custom ers.
It is not an actual outgo, but accounting standard needs us to pro vide interest on the outstanding
advance amount accounts irrespective of the terms of the contract we have to provide. The share
of such provision is close to about 40% of whatever the amount w e are showing in the financial
statements.
So we have to discount that 40% to arrive at the actual financ e cost incurred by the company.
The provision is getting adjusted as and when we gradually execu te the contracts. So indirectly,
that is how it happens.
Amit Dixit: Okay. And this change in accounting policy happened from this qu arter only?
Management: No, no, it is there for the last 2 years.
Amit Dixit: Okay. Because the costs have gone up, even if it was there in last 2 years, then even if I compare
it with last year, it has gone up by...
Management: I understand. I understand that during the quarter, or I would say, in t he last 6 months period,
the actual working capital borrowings have gone up compared to th e corresponding period of
previous year. So because of that, even there is an increase in t he actual finance cost also. But
my answer is more in terms of the overall finance cost that is appearin g in the books of accounts.
Amit Dixit: Sure, sir. One last question, if I may. You also spoke on the anti- drone radar in your prepared
remarks. So can you just highlight the kind of -- what potential do we see in this? How is it
different from our peers who are in this space?
Management: Probably M.V. Reddy will take that.
Management: Yes. Amit, so this is -- as we mentioned in our previous calls also, this T oT, we got it from
DRDO, but we optimized the design. And today, we are competing w ith a couple of companies
in this particular domain. So initially, we developed the total rada r solution and then we have
demonstrated. And as Mr. S.G. has mentioned in the opening remarks, we are now integrating
with the radar jammer and other sensors to provide the overall soft kil l and as well as hard kill
options.
Moderator: Next question is from the line of Yug Modi from AP Capital.
Yug Modi: Sir, I just had one question. Sir, for the 9 months, our revenue sta nds at INR640 crores. So do
you see any potential challenge for achieving our full year target of INR1,000 crores, if you
could throw some light on that?
Ma

nagement: Yes, challenges are there. But as of today, we are confident to reac h the milestone.

Moderator: Yug, does that answer your question?
Yug Modi: Yes, sure.
Moderator: Next question is from the line of Raj Mehta from Mehta Advisory Firm.
Raj Mehta: Congratulations on a good set of numbers for this quarter. My question is w hat is the current
debt-to-equity level? And what is the comfortable range that you are lo oking into?
Management: So both long term and short term. Short-term debt as of today is about INR400 crores. Long-
term debt is about INR30 crores.
Moderator: Raj, sorry to interrupt, Raj, can you please self-mute yourself. There's a lot of disturbance.

Management: So both long term and short term is close to about INR430 crores as of to day.
Raj Mehta: Okay. What was the revenue achieved by our company, JV compa ny, Astra Rafael? And what
is the potential that we see here?
Management: Revenues achieved by the company is close to INR200-plus crores fo r 9 months period. Probably
it may achieve another anywhere between INR50 crores to INR70 crores it will be in the balance
3 months of this financial year. And order book and all, we have already shared with you. We
have INR475 crores order book as on 30th December.
Moderator: Next question is from the line of Jyoti Gupta from Nirmal Bang.
Jyoti Gupta: A decent set of numbers. My first question is on the order book. A t 9 months '25, we are at
INR1,960 crores. What we've received is only INR141 crores of order and we closed at
INR1,960 crores, which is lower than INR2,097 crores as at September 2 024. What's the
visibility for the next 2 years in terms of order book?
And the other thing is I can see that there is potential for -- e xport potential in terms of order
book. There is INR7,000 crores of total potential -- business po tential till 2028. So what's the
kind of -- how much are we going to -- do we expect us to be benefited from this business
potential? One.
Second is, what is our estimate for '26 and '27 revenue growth as we ll as -- I believe with the
kind of platform that we're doing, our margins are not going to be dipping or impacted, either
they're going to remain stable or there might be a slight blip. But I think the next 2 years, the
margin is going to be healthy only at the same levels. So any guidanc e on that, please?
Management: In terms of the margins, yes, as you said, probably there won't be any downward trend going
forward. Either we should be able to maintain or we should be ab le to slightly improve from the
existing margins. In terms of the order book and all probably you hav e asked too many questions
about the order book. I'll ask Mr. M.V. Reddy to answer.

Management: First of all, whatever the guidance we have given for the current financial year, around INR1,100
crores to INR1,200 crores, we are almost there. And though we book ed up to INR640 crores till
December, and I think we are comfortable, like as I mentioned in my opening remarks, we have
a pipeline INR350 crores more orders are likely to come in this c urrent quarter. So this is the
one.
And going forward, we have been seeing good visibility. Next for the FY '26, we have a clear
visibility of INR1,300 crores to INR1,500 crores worth of orders wh ich we are likely to book
and which includes the domestic and as well as the export market. Then F Y '27 also, we have a
clear visibility of at least 20% growth in the order book. Similarly, o n the revenues front also,
we have clarity for the next year, that is in FY '26 of a minimum of 15% to the 20% growth we
can comfortably achieve. This as of order book.
As far as the export potential is concerned, we have been address ing both build-to-spec as well
as build-to-print, but our main focus has shifted towards build-to-s pec. We ha

ve slowed down
the offset opportunities as the margins are very low. So we are go ing towards the build-to-spec
where with our IP, we are turning out products.
We have been discussing with global OEMs. A couple of products hav e been -- we are
developing based on the specifications given by them. It is too p remature to inform you about
the contract size and also the programs and all. Probably in next few months, I think we should
be in a position to come out with the figures.
But yes, we have been addressing globally, and we are, I think, confident of achieving at least
10% to -- minimum 10% to 15% of our revenue should come fro m the exports, especially on the
build-to-spec. So this is what the figures probably we can achieve.
Jyoti Gupta: Okay. Sir, one more question with the war between Israel and Gaza coming to this thing and
even Ukraine, Russia somewhat mellowing down, how do you see th ings going forward for you,
except that, yes, for some companies' supplies, there's going to be a seamless supply and
situations look better. But how are you placed in that case?
Management: Actually, this ongoing situation has not affected much, except there was a few supply chain
issues what we have faced in the previous quarter. But otherwise, the ov erall situation is okay
with us. And then there is no impact as such in our business in terms of order book, whatever
we are getting and also in terms of sales, what we have been doing it for the Israel. So I don't
see any major challenge even going forward also.
Moderator: Next question is from the line of Sakshi from Pratap Securities.
Sakshi: Sir, I had questions on the order book, which you already answere d. So thanks for that. Just a
follow-up on that. So for our upcoming orders, if you could pr ovide a breakup in terms of what
we are targeting, defense, space, export, etcetera. Can we con sider it to be the same as our current

order book in hand? Or can we expect some variation?

Management: Yes. The current quarter, which -- the Q4, which I mentioned around IN R350 crores we are likely to book, that majority of orders we are trying to get ag ain from the radar area about INR66 crores and then EW around INR45 crores, missile and telemetry around IN R50 crores.
Then there are a few upgradation programs again in the radar d omain, which is about INR120 crores, then in space is about INR15 crores and exports around INR 50 crores. So all put together is around INR350 crores we are likely to book in this current quarter.
And for the next year, whatever we mentioned around INR1,30 0 crores to INR1,500 crores is the margin, which we are likely to book in the next year. In th at, majority of radar orders are likely to come from the radar segment is around INR900 crores to INR 1,000 crores.
EW is around INR100 crores to INR150 crores, missile telemetry around IN R100 crores to INR120 crores, space domain INR70 crores to INR80 crores, metrolo gy around INR100 crores to INR150 crores, exports around INR100 crores to INR120 crores. So these are the broad breakup of the next year FY '26 order book.
Moderator: Next question is from the line of Prisha Rathi from NM Securities.
Prisha Rathi: I have a couple of questions. As we see a good jump in our sh are of profit from JVs, is this contributed by our new JV with Manjeera? And can you give me some update on this new JV in terms of what the kind of orders you have and how it is expected t o ramp up? There is a lot of talk about high-quality export order received by OEMs. Do we expect signif icant business for us as well?
Management: Yes. In terms of the JV, what we have with Rafael -- yes, Manjeera. The other one is what we have with Manjeera, it has just been incorporated, okay? You kn ow very well that we and Manjeera are working on developing a chip for NavIC application s. So idea is that once this chip is in

place, we would like to take the further development and mark eting of that particular product through the joint venture company.
With that idea, just the JV got incorporated. I would say there is still a long way to really talk about the business potential, what kind of numbers it can ach ieve. Probably as the things progress, we should be able to share with you. But as of today, this i s the status of the JV.
Moderator: We'll take our next question from the line of Jyoti Gupta from Nirm al Bang.
Jyoti Gupta: Sir, one, what is our arrangement with Sematron Italia? What are we doing for them, if you could share? The other is URSC, which is we're saying these are clients. A nd with Thales and Raytheon, these four companies, are we still in the fledging stage of working out some arrangement? Or are we already currently we have orders for them and we are working on delivering some orders? And what kind of orders would that be?
Management: Most of the entities, what we have shared with us, we have only j ust working level MOUs with them. We don't have any significant -- in fact, we have not started any business activity as such with these entities. But Sematron, I think you have mentioned the name Sematron, right?

Jyoti Gupta: Yes.
Management: Yes. With Sematron, there are some supplies of RF modules, et cetera, su pplied to them. It is more like a BTS contract. It is a one-off kind of business what we h ave executed with them.
Management: And we do have some contracts for the MMIC components. And also, we have some agreement with them to supply once our products gets qualified as far as the Ray theon and then Thales is concerned.
Jyoti Gupta: So not very clear. What did you say? What kind of contract?
Management: For the MMIC supplies, we have a few agreements in place. Once ou r products gets qualified, then we'll go for production for their subsystems.
Moderator: Next question is from the line of Amit Dixit from ICICI Securities.
Amit Dixit: A couple of questions again. The first one is on essentially we in dicated that we expect around INR900 crores to INR1,000 crores of orders from radar in FY '26. Now in its con call, BEL indicated that they might get QRSAM order also in FY '26. So does th is include some portion of QRSAM that you are expecting? Or QRSAM, if any, would be apart f rom this order?
Management: Yes, Amit, actually, we have taken only first half production modul e -- model. Actually, BEL is what we -- with the discussions what we had, I think they are p lanning to initiate total unit for

the first half production model. So for that, the subsystems, whateve r we are going to supply,
that value only being considered in the order book. We have no t taken up the total -- the order
size.
Amit Dixit: Sir, so the total order size, as mentioned by BEL is INR25,000 crores. Hypothetically, if it is
INR25,000 crores, then how much could be our opportunity?
Management: Our opportunity will be around INR1,700 crores to INR1,900 crore s.
Amit Dixit: Okay. Got it, sir. And for the naval platforms that are coming up, NG C and P75, et cetera, what
kind of roughly opportunity we can see over there?
Management: In that, actually, we have a few modules being supplied to the m, to OEMs, but the value and all
probably in the next couple of months, I think, we'll be in a positio n to inform you.
Amit Dixit: But we'll be participating in all these 3 programs, P75, P75I an d NGC?
Management: No. I think in only one program we'll participate.
Moderator: Next question is from the line of Karthi from Suyash Advisors.
Karthi: Just wanted to confirm the margin guidance for next year, I'm slig htly confused. Are you saying
you'll maintain the 29%, 30% range for the whole of next year on a stand-alone basis?
Management: Yes, that is what I said.

Karthi: Yes. Sure, sure. And you said roughly INR1,200 crores to INR1,3 00 crores revenue base, right,
sir?
Management: Yes, that is the guidance, yes.
Moderator: Next question is from the line of Santanu Chatterjee from Mount Intra Fi nance.
Santanu Chatterjee: My question is on Uttam AESA radar. Sir, from when we can expect that re venue -- significant
revenue contribution will happen from this segment? As we have alrea dy experienced some
delay in the Tejas Mk1A program, is there any actually problem for th is program? That I want
to clarify. And another one is -- second question is on your capex p lan for FY '26?
Management: Yes. First question, I'll answer to you. As far as the Uttam for LCA Mark 1 is concerned, we
have RFP on hand. We have participated, submitted our bid. Curren tly, the technical evaluation
is going on. Yes, there was a delay in procurement of this Uttam.
We could have got some order by March as we indicated previously, but now it's getting shifted
to the -- mostly by first quarter of the next year. So we get definite ly some quantity by June '25.
And yes, as far as the revenue from that, probably we may be in a position to roll out a couple
of numbers by March '26. And majority of them will go for FY ' 27.
The next question, I think S.G. can answer.
Management: Yes, there will be some capex. As of today, it is not really estimated . It is mostly for augmenting
the existing activities of the company. Probably when we talk to y ou at the year-end call, we
should be able to give a number to you.
Santanu Chatterjee: Any ballpark figure, sir?
Management: Generally, the minimum will be about INR30 crores to INR35 cror es.
Santanu Chatterjee: That is for maintenance capex, right?
Management: Yes, it is maintenance capex.
Moderator: Ladies and gentlemen, due to time constraints, we'll take that as the last question for today. I
now hand the conference over to management for their closing co mments. Over to you, sir.
Management: Thank you. And thank you, everyone, for attending this call and sharing your ideas, questions. I
hope you are happy with the answers given by the managemen t, and we'll be happy to connect
with you again for the year-end results. Thank you.
Management: Thank you, all.
Moderator: Thank you. On behalf of Astra Microwave Products Limited, that c oncludes this conference.
Thank you for joining us, and you may now disconnect your li nes.

Call: May 2025

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An ISO 9001, ISO 14001, ISO 45001 and ISO 27001 Certified Company
Works:
Unit 1: Plot No. 12, ANRICH Industrial Estate, Bollaram, Medak Dist., Telangana – 502325
Unit 2: Plot No. 56A, ANRICH Industrial Estate, Bollaram, Medak Dist., Telangana - 502325
Unit 3: Sy. No. 1/1, lmarath Kancha, Raviryala (V), Maheshwaram (Mdl) R.R.Dist., Telangana - 500005
Unit 4: Sy. No. 1/1, Plot No. 18 to 21, lmarath Kancha, Hardware Park, Raviryala (V), Maheswaram (M), R.R.Dist, Telangana – 500005
Unit 7: Sy. No.114/1, Plot No. S -2/9 & 10, E -City, Raviryala & Srinagar (V), Maheswaram (M), R.R.District, Telangana - 501359
R&D Centre: Plot No. 51(P), Bangalore Aerospace Park, Singanahalli Village, Budigere Post, Bangalore North Taluk, Karnataka - 562149 May 29, 2025

To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai -400 001

Scrip code: 532493
To
The Vice President,
Listing Department
The National Stock Exchange of India
Limited
Exchange Plaza
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051

Scrip code: ASTRAMICRO

Dear Sir/Madam,

Sub: Conference call transcript.

We are sending herewith Conference call transcript held with analysts on 23rd May, 2025.

The above information is also made available on the Company’s website www.astramwp.com .

Thanking you,

Yours faithfully,
For Astra Microwave Products Limited

T. Anjaneyulu
Company Secretary & Compliance Officer

“Astra Microwave Products Limited

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 23, 2025, will prevail.

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
DR. M.V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
MR. ATIM KABRA – DIRECTOR , STRATEGY AND BUSINESS DEVELOPMENT – ASTRA MICROWAVE PRODUCTS LIMITED
STRATEGIC GROWTH ADVISORS – INVESTOR RELATIONS ADVISORS – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Astra Microwave Products Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expe ctations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S.G. Reddy, the Managing Director. Thank you, and over to you, sir.

S.G. Reddy: Thank you, Puja. Good afternoon to everyone. A warm welcome to all the participants to the post results earnings call of our company. I'm with my colleagues, Dr. M.V. Reddy; and Mr. Atim Kabra; and SGA, our Investor Relations Advis ors. The results and investors presentation for Q4 FY '25 are uploaded on our company website and Stock Exchanges . I hope you have had a chance to look at it.

I'm happy to report that Astra achieved excellent performance for the year FY '25 with a 15 -year year-on-year growth in terms of revenue, which reached about INR1,044 crores on a stand -alone basis. With this, we have once again successfully achieved on full year revenue target given in the beginning of the year. We have witnessed significant growth in o ur gross profit margins, which stood at 43.9% for financial year '25 as against 39% for financial year '24.

We have also seen good expansion in our EBITDA and PAT margins. This improvement is directly related to the product mix where we have continued to see healthy execution of domestic orders with a tilt towards the defense segment. The revenue contribution from domestic business in this year is close to 90% as against 68% in previous year. For FY '25, our EBITDA margin is about 25.5% and PAT stood at ab out INR143 crores with a margin of about 13.7%.

Based on our product mix for the current order book, we are confident to maintain margins --

margin profile around 18% on a PBT level for the coming year also. During the year, we received orders worth about INR1,098 crores on a stand -alone basis. These new orders are essentially

from radar and other segments, where radars have contributed to about INR556 crores , INR226 crores coming from electronic counter intelligence, about INR36 crores from telemetry, INR60 crores from space, INR79 crores from exports and about INR140 crores from metrology and hydrology sectors.

Overall, our stand -alone order book of about INR1,951 crores consists of 91% of domestic orders, primarily build to spec and 9% export orders, which include both BTP and BTS business. Moreover, our consolidated order book includes service orders valued at about INR150 crores, which are typically more accreti ve to margins. Apart from regular orders, during the quarter, we have received orders for AAAU for LCA Mark 2 and Su -30, which have significant business potential in the years to come. As of March 2025, our consolidated order book stood at about INR2,304 c rores .

Now coming to some business updates for the quarter. Earlier this week, the Board has approved a fundraise of about INR174 crores by way of preferential issue. This raise will help us to strengthen our balance sheet as we look ahead. Also, I would like to update you that Board has approved dividend distribution of about INR2.20 per share, up from INR2.00 of last year. Both our wholly owne

d subsidiaries have done well, though they continue to serve the parent company to a large extent on an exclusive basis.

Our joint venture company, Astra Rafael Comsys has done well again. In terms of top line, though there is a dip in profitability due to low level of performance in Q4. It has huge potential to grow in the years to come in. And in the immediate com ing year, it is estimated to reach about INR350-plus crores of sales with a PBT of about 12%.

In terms of capital expenditure, we have budgeted to spend about INR45 crores for purchase of various test equipment to augment existing operations and another INR45 crores for building additional space at our production unit to take care of expected load in the coming years. This capex will be met out of internal accruals and term loans from the bankers.

Over the years, Astra has grown strength by strength and i nvested significantly both in infrastructure and talent in view of enhancing capacity and capability and opportunities. Our performance during the year and our order book mix are a clear sign of these strengths. Today, Astra stands as a tall as well as div ersified defense company that offers critical components, subsystems , high-end MMICs, and systems, especially in the radars for both defense and weather and anti -drones. In this world of heightened uncertainty, Astra is strategically well positioned to serve both domestic and international markets with a diversified product portfolio catering to a wide spectrum of applications in defense, space, and metrology.

In the end, I would like to share with you, we are aiming to grow our top line at around 20% with a bottom line of about 18% with an order book target of about INR1,400 crores for the financial year FY '26. Now I hand it over to Dr. M.V. Reddy and Mr. Atim Kabra, who will give more insight into new product developments, business outlook in the near and long term. And the strategies adopted by the company to take it to the next level of growth cycle.

And I request Dr. M.V. Reddy to take this.

Dr. M.V. Reddy: Thank you, S.G. R Good afternoon, ladies, and gentlemen. Thank you for joining us today. We being one of the prominent player in defense and aerospace over the last 3 decades. First of all, we take this opportunity to congratulate Government of India and our Armed Forces on the tremendous success of Operation Sindoor mission. This landmark achievem ent stands as a testament to India's growing strategic capabilities, and we at Astra Microwave Products Limited are proud to have a tiny contribution in the Akash missile system and Netra.

Our technologies continue to play a critical role in strengthening national defense and security. It is with immense pleasure we share that we have surpassed INR1,000 crores in sales, it's a historic milestone in the history of Astra and the highest ever in the company's turnover so far. This is not only a financial achi evement, but a reflection of the tireless efforts of our teams and the deep trust placed in us by our partners and stakeholders.

What makes this milestone even more significant is our consistent track record of delivering on

the annual guidance we set at the start of each financial year for the last few years. Our ability to align planning with performance reinforces the credibility of our strategic vision and execution.
We would like to highlight a few strategically important orders, which we won in the last quarter, which is including technology demonstrated version of the Su -30, AAAU, Virupaksha critical subsystems for next -generation electronic warfare suite, technology demonstration version of the LCA Mark 2 program. These projects are not only techno logically advanced, but also strategically aligned with India's long -term defense requirements.
We also would like to bring out a few key operational highlights

from Q4, which also include
other order wins like radar subsystems, which we won for Akash Pri me, VL-SRSAM and a few radars, weather radars from meteorology sector and also the Agro AW S system from Indian meteorology Department and the X-band vehicle for a strategic missile program.
A few major programs which we have delivered in last year, which includes Ashlesha Rohini modules, 3D -Car frame modules and other subsystems for MPR, WLR likewise and also EW subsystems like H imshakti modules, Nayan, etcetera. And also, we have delivered subsystems for Anvesha program of space program.
We have also del ivered successfully precision approach radar to HAL and its installation and integration is in progress. And during Aero India Show, we have signed multiple MOUs with the large defense and aerospace companies, include L&T, BDL for expanding our collaborati ve ecosystem and market reach.
In a nutshell, in FY '25, we won orders 80% in defense, 20% in space and metrology. Overall, radar contribute 50% and 20% we bagged from AW sector. Similarly, we have made sales in the same ratio, that is 80% in defense and 20% in space and metrology. As we look forward, we see a strong order pipeline and robust demand for our indigenous defense technologies.
We are cautiously optimistic keeping in view of process timeline constraints, and we expect to achieve a top line gro wth of 20% in the coming financial year, that is FY '26 onwards, driven by

a sustained government focus on self -reliance and strategic procurement. We target to book a revenue of INR1,300 crores to INR1,400 crores orders in FY '26, including INR1,000 plus from the domestic segment and INR300 crores plus from the export.
And also, we have a target to book revenues close to around INR1,200 crores plus. Our JVC, ARC is doing extremely well, although there is a slight dip in Q4 revenue due to a few technical constraints. But we have strong visibility to book significant orders in the coming years. The current year, that is in FY '26, we have a good visibility to book orders worth of close to $100 -plus million. And the revenue, we are expecting around INR350 crores plus.
In closing, I would like to reiterate that we are geared up in building a future -ready, resilient, and proud Indian defense enterprises. We would be happy to answer your questions.
And now let me hand over to Mr. Atim Kabra to share his thoughts. Thank you.
Atim Kabra: Thank you. Thank you, Dr. M. V. Reddy and good afternoon, everybody. Let me start by joining my colleagues in conveying our deepest gratitude to our armed forces, and we are also proud of our defense establishment, our research labs, and the defense PSUs, as Astra partners them all in this journey towards a self -reliant India. Multiple armaments that performed wi th resounding success and precision and then were used by our armed forces represented years of hard work, dedication, and a vindication of the R&D efforts within the country.
As Astra, as Dr. M.V. Reddy has just mentioned, it was a very proud moment for us to see the successful deployment of Akash missiles, where critical subsystems were contributed by us. We were proud to be a small part of the BrahMos missile program also, proud to be a part of the extensive network of radars deployed across our borders , where we have contributed components and subsystems, plus the layer of safety and comfort provided by advanced systems like Netra, the airborne early warning systems, where Astra has been a key contributor.
And as the paradigm of warfare evolves into incorporating drones as essential components in warfare, Astra will be a key contributor going forward, too, in designing and producing anti -drone solutions in varying myriad configurations, along with surveillance systems that shall be the centuries at ou r borders. This is in

addition to newer radar, deeper penetration into enemy
territories that we are building, the solid -state seekers and multiple other products coming through our stable.
This entire spectrum that I speak about is in line with our stated journey into systems and products and solutions, which we have discussed with you over the last quite a few sessions. So

we are well on our way towards delivering what we promised. And needless to say, our counter UAV solutions will be made in India . And will not only cover various use cases and ranges, but will also be targeted against high altitude tactical drones at the higher end of our offering spectrum. So where do we position ourselves?
And as you very well know, Astra manufactures complete r adars right from MMIC to T/R modules upwards. And we are strengthening that core capability continuously, bolstering it by concerted move into smaller, lighter radars with a predominantly digital footprint.

I also wish to share with you today the broad sp ectrum of our product range, which establishes Astra as a well -diversified defense sector key player, with deep rooted capabilities that expand much beyond our expertise in land and airborne radar platforms. So we are not only into high -end radars, but als o significantly into electronic warfare systems, missile electronics, telemetry, space sector and weather and hydrology segment with exports contributing as the final niche.
So in a predominantly tender -driven procurement system, our diversified presence insulates us to a large extent from extreme swings and brings about a predictability and sustainability to the earnings stream, which is our focus.
More than 50% of our revenues are driven by the segments which I just described above besides the radars. S o we make radars, but we are a key player in electronic warfare systems, missile electronics, space and weather and hydrology. So this will give you a sense of the deep talent pool, which is the backbone of Astra.
Now as multiple AF1 platforms get upgrade d and ground -based radars cover larger swaths of our products, will give us an ability to look deeper into hostile territory where -- and we expect our radar business to grow at a steady pace. But the evolving sector of warfare will be predominantly based on electronics in our opinion.
And electronic warfare suites will gain an ever -increasing role. Precise targeted strikes with minimum collateral damage will place importance on command guidance units in missiles, fuses and missiles with AI -based data inte rpretation becoming the norm. Our solid -state seekers will propel safe to say, new generation missiles. And there is a substantial potential market in both offensive as well as defensive missile capabilities, where we hope to continue playing a critical role, much like the success of Akash missiles.
We also believe that space will be the next frontier in war, with space -based surveillance and spy satellites becoming the norm, high -speed data transfer, satellite -based communication links and there are eyes in the sky, which never blink and penetrate through clouds and foliage. And this will be besides the multiple civilian applications that you will see for space sector.
You will be very happy to note that barring launch capabilities, Astra has over more th an a decade, developed capabilities in the space sector that cover space -grade components, subsystems, significant payload contribution capabilities, satellite designing and assembly capabilities, ground stations. And now we are moving into solutions acros s sectors from the space sector.
Further, I would say, diversification is also provided by our weather business, with Doppler weather radars, wind profiler radars, automatic weather stations, which enable us to offer weather prediction solutions over time .
But as we shift our focus on th

e solutions, I hope you are able to share our vision of being a deep
tech company providing solutions across a spectrum of needs for our defense forces and beyond in a focused, profitable manner. We together, I would say, both you and us to our soldiers in our own ways, supporting the vision of a self -focused partner that dominate over our interest.

So I'll close with Jai Hind , and we shall take a few questions now. Over to you.
Moderator: The first question is from the line of Amit Dixit from ICICI Securities.
Amit Dixit: Congratulations for a good performance. I have a couple of questions. The first one is on in the changed geopolitical scenario where we are hearing that Project Kusha is likely to be advanced. There is advancement in QRSAM as well. Just wanted to understand what kind of subsystems modules we'll be developing and what could be our possible share in these platforms? And also, is it possible to highlight very broadly if any of our subsystems -- we manufactu re any subsystems for Akashteer? That is my first question.

Management: : Yes, please go ahead with the second question.
Amit Dixit: Yes. The second question is on essentially what we see while the operating cash flow utilized has reduced by 50% this year. The working capital, we see that inventory has gone up, receivables have gone up. So is it because of certain specific contracts that we expect the payment to come in April or June? Or -- and inventory have gone up? Is it in preparation of something to be delivered in FY '26?
Management: : Yes. First, we'll take the question on Kusha Project, then I'll...
Management: : Yes. Mr. Amit, we are the part of the Kusha development program, and we have been providing subsystems like TR modules and Receiver/ Exciters and products to radar being planned in the Kusha, which are in the development and supply phase. And I'm sure like -- in fact, we and other companies are sharing the subsystems market in the Kusha. As far as the QRSAM is concerned, yes, we have a significan t portion in the subsystems area like TR modules.
And also, we have subsystems in missile programs also. So we have subsystems in both radar and as well as the missile of QRSAM. So we are waiting for the orders. I think BEL is likely to get this contract by the Q4 of this financial year. And we may get our order maybe post to that. And if BEL takes any advanced action to go ahead on that, probably we may get our order much early.
Management: : Yes. Regarding the working capital, in terms of the receivables, essentially, if you look at the balance sheet at the end of the financial year, the receivables outstanding appears really high. But again, you have to look at the delivery pattern. In the last quarter of the financial year, we have delivered close to abo ut INR400-plus crores of business. Essentially, the entire business executed in the Q4 will be outstanding there apart from the old receivables. As a result, the overall outstandings are at a higher side.
To give an update about the receivables aging and other things, out of total receivables, about INR55 crores receivables are the deferred receivables. We have explained in the previous calls what is the deferred receivables is. Again, for the benefit of al l of you, I'll repeat. The deferred receivables one about INR24 crores worth of material what we have supplied to our joint venture company as a part of the NCNC program, which the company is undertaking for development of backpack radios for the army. Tha t was our contribution for this program. So the

understanding is that this amount will be shown as deferred receivables till that final technical acceptance of that product gets completed.
Once we have a result about it, if ARC becomes a winner, then in t he normal course, they are g

oing to repay that amount back. Suppose if for whatever reason, if it is not going to win the contract, then this amount we have to find out a way of getting it back. One option, which is there in the discussion is to convert th is as a loan repayable over a period of time. So we are going to take a call depending on when the final trial gets completed in terms of getting this INR24 crores back from the joint venture company.
The other part of deferred receivables pertaining to t he weather -related products, what we have supplied to IMD. The supplies are made against the open tender, wherein we get about 40% of the amount -- 40% of the value of the goods supplied on acceptance. Then the remaining 60% is paid over the warranty perio d, which stretches up to 5 years in equal installments. Therefore, that amount pertains to that part of the receivables, which is going to be get collected on a yearly basis over a period of 5 years.
The other thing which I would like to share with you is about INR140 crores worth of material what we have supplied is in the final stages of acceptance by the customer. Probably this entire amount is going to be realized by the company in the next 6 months. So you have to take these 3 factors into account.
One is the deferred receivables. The other one is items which are waiting for acceptance at the customer end, which is about INR145 crores. And the billing done by the company in the last quarter, which is about INR400 crores. So once you factor all these 3 elements, then the receivables status is -- probably it is very clear to all of us. Yes, Amit, is there anything else you want to clarify?
Amit Dixit: Yes, the inventory part.
Management: : Yes, inventory part, apart from one large program which we are executing to BEL, which is MPR program. Most of the other inventory pertains to what we are likely to deliver for the current year.
Moderator: We'll take our next question from the line of Akshay J from Xponent Tribe
Akshay J.: In the last few interviews on new channels and on these calls, you've spoken about space having the potential to be as large as our current defense business. Can you spend a little bit more time

understanding and explaining to us what the parts -- any areas that we see as large oppo rtunity in the near term and the medium term. If we have to imagine a business as large as defense in space, what would the journey look like from here to say, 3 years or 5 years?
Management: : Yes. In space segment, we started our journey by supplying comp onents and subsystems to all communication and remote radar imaging satellite programs to ISRO. This is almost -- we started from 2001 onwards. And we -- with the transformation in the space sector and the reforms being introduced in 2020, and the governme nt has given the opportunity for companies to build and launched satellites .

And keeping -- taking this opportunity, we decided to start our own space satellite division, and we formed Astra Space Private Limited and the 100% subsidiary of Astra. Here, ba sically, we are planning to build our own satellite and as a technology demonstrator for this and which is already in the advanced stage.
And apart from that, we are also participating in a couple of RFPs being floated by IN -SPACe and all, wherein the pri vate company has been allowed to build the satellite constellation and to operate and sell the data. This kind of RFPs, we started looking into this. So going forward, while we continue to supply our subsystems to satellites made by ISRO and other key OEMs and international OEMs, we also -- we are planning to build our own satellite for generating revenue from the data. This is what the mission. Maybe Atim may add a few more points on this.
Management: : Yes. Guys, there's a lot of talk about the need to lau nch spy satellites. There is a need for

application of satellite source data for agriculture, for fisheries, for water management, you name it. Data is the key here. Data monetization abilities which exist in the West has now -- the time has come for that to be implemented across the board in India. Now Astra's journey was as we explained over a period of time, has been for more than a decade where we have space -grade facilities to manufacture components.
Components have to be tested, and they have to be forced, if I may say, to withstand high temperatures as we send them into the space. So there are dedicated facilities and testing units, which are within Astra for space -grade components. We -- in the last mission, which went, I think it was Samudrayaan , if I'm not wrong, Dr. M.V. Reddy , where we were 9% of the payload and 3% of the overall satellite in value terms, okay?
So once you supply components which are space grade, you move into subsystems. We are -- we have been a very activ e part of the reset satellite programs. We -- across multiple bands frequencies, we are able to create these communication links, which will come in very, very handy as we go forward. You have subsystems, which are made and then you have payloads. Now Ast ra has in certain segments, in certain kinds of payloads, very significant capabilities, which have been built up over a period of time. There are a few gaps which we are hoping to fill in through JVs or alliances or through tech absorption from external s ources. We have in our Bangalore unit, satellite assembly clean rooms, which have already been set up and commissioned. We have designing capabilities, satellite designing capabilities, which are being continuously improved.
We are already there in the gr ound segment for satellites, the communication ground stations, which need to be built. Astra is a part of that, okay. And this completes -- almost completes the hardware chain. And then there is a data monetization part, which I mentioned to you the vario us applications. And Astra will be a significant player over there also is our effort. So I hope I'm able to explain the value spectrum where we are.

Management: : Point that for the defense programs, which have been DRDO has made a few satellites like OTGR , Anvesha, SAMOOHA, wherein we are an active partner, and we have been supplying critical subsystems to those programs.
Akshay J.: And my second question is on LCA 1A. The order book expectation that you have for the coming year, does it include the potential that comes from LCA 1A Uttam radar
Management: : Yes. We have taken a few numbers from that. And probably since we -- although we were expecting that order in this quarter, but I think may get deferred by another 1 or 2 quarters, but we have take n a few numbers from that program.

Akshay J.: And sir, when do you start delivery of...
Management: : Execution will start mostly by the last quarter of this financial year.
Moderator: The next question is from the line of Yash from Lucky Investments.
Yash : Congratulations on a good set of numbers. Sir, I just wanted to understand the importance of antennas, which are being used for our radar, electronic warfare, missiles, and counter drone. Do we make that in -house? That's my first question.
Management: : Yes. Antenna is one of our core strengths in our products. Actually, we were one among the first set of companies who started antenna design and development and manufacturing. Even in 1992, we have established antenna design center and the open -air antenna t est range with the capability to build antenna for -- to begin with telecom, and then we entered into defense and space. We have supplied these antenna for many programs for ground -based, airborne -based and shipborne -based programs in defense. And also, we have supplied these antenna panels to satellite programs. So

today, we have a very strong antenna design development and manufacturing facility in -house. So all the antennas, whichever required for our radar systems and EW being built in -house.
Yash: Okay. Got it, sir. And just a follow -up on that, sir, that -- can you help us understand the criticality of designing and dev eloping these antennas in -house and not getting it made from someone outside the company?
Management: : Actually, this antenna is a specialized skills like in this particular domain since we have this expertise built in a company right from inception of the organization. So we have been growing with the upgradation of this particular technology, and we have been using specialized tools and with the software designed by our own team. And with that, we are able to turn out these antennas and to be supplied to the defense and space requirement. So the software plays a very key role while designing this antenna.
And our team has a full established capabilities, and they have been successful in developing this antenna using those softwares. And also added to that , we should have an infrastructure to test and measure the radiation and all like we have an open -air antenna test range. As I mentioned earlier, in the beginning, we have established. And then also we have established a near -field

test range in Bengaluru to test all active phase antennas, which is one of the, I would say, first in private sector to build this kind of a test range in India.
Moderator: The next question is from the line of Dipen Vakil from PhillipCapital.
Dipen Vakil: Congratulation on a gre at set of numbers. Sir, my first question is in the line of your margin. You mentioned that your margins this year have been higher because of higher execution from domestic defense orders. But if you look at it, even last year, the margins were close to a round 21%, which was substantially higher with lesser contribution from domestic .
So can you give us a bit more commentary as to what is leading to such a great margin and how sustainable that is? Is the impact because of the change in the kind of contrac ts like whether they were TOT licensing? So can you explain a bit more regarding the margins?
Management: : Yes, the improvement, as I mentioned in my opening remarks, this improvement has happened mostly because of the change in the product mix. As we exec ute more and more domestic business, where most of the things are being done in -house, the value add is much higher compared to what we get in offset -related export business or some other export business where generally we get paid only for the conversion cost.
So the main reason is only in the product mix where we are moving more towards the domestic kind of thing. Apart from that, a couple of domestic programs, which were in R&D and earlier are moving into a production stage where we are able to economize in terms of our material cost, etcetera, which are also contributing to the improvement in the margins.
Dipen Vakil: Got it, My second question is a little bit about the market scenario. So there have been talks about the emergency procurement co ming into place and a lot many orders. So what is your sense in terms of the kind of request that you're getting from the Armed Forces and the areas that are right now being discussed. So any light on that?
Management: : Yes. For the last few days, in fact, we have been getting inquiries and RFPs for a few systems, which we have and for which we have already supplied like, for example, like counter drone radar system and jammer and detectors and we have a few RFPs, and we have submitted the response and some trials are expected to be conducted very soon. Similarly, we have a news from a customer that they may need more Akash missile systems. So for -- if that turns out to be business, then I think we may have

good contract from a customer.
Then also, we have received inquiry for low -level lightweight radar that also we are participating in that. Apart from that, yes, our customers, especially DPSUs, they have been getting system inquiries and all. As and when those inquiries get materialized, we will -- since we are a qualified subsystem supplier to those systems, we will be getting orders thereafter.
Dipen Vakil: Got it, sir. Sir, just a small follow -up. What is the timeline in the emergency procurement from RFP to tenders to trials and maybe finalization?
Management: : They're talking from -- right from 8 months to 18 months. It depends upon the program, project, and requirement...

Dipen Vakil: Even the emergency procurement takes so much time?
Management: : Yes. Actually, a few systems, if they talk about, if they -- like some systems where we need to have -- we have to depend on some imported elements. So I would say most of them are within 1 year, but very few cases probably will go beyond 1 year.
Moderator: The next question is from the line of Niraj Mansing ka from White Pine Investment Management.
Niraj Mansingka: I have a few questions. Sir, on the Virupaksha, you said in the initial that there have been some prototype or something. Can you elaborate on that actually? The Virupaksha and LCA Mk -2.
Management :: Yes. Actually, both these are technology demonstrated version of actual models. So this is an extension of what we did for Uttam. And that radar itself is configured to meet this particular requirement of these 2 platforms. So this will be tested in the se 2 platforms. And for that, we got this -- it's kind of a repeat order. These 2 orders we have now received, we are trying to execute. Apart from that, the -- for actual version of Virupaksha radar, we also -- we emerged as L1 in one of the tender floate d by DRDO. So as -- and when we get the order, we will inform you.
Niraj Mansingka: What happens when you get an L1 in Virupaksha? Does the government go and again give another supplier opportunity, or you would be the one who would be having a higher chan ce to get this...
Management: : No, it will go for 2 vendors. In fact, the other vendor's name, I won't mention here, but it will go for 2 vendors. Yes, we are among them.
Niraj Mansingka: And sir, this Virupaksha is for the entire 260 planes to be done ove r a period of 10 years or whatever number -- is it...
Management: : No, this is, I think, to our best of knowledge, I think it is initially for 100 members they are planning to go. And the other 100 plus, I think they may take it up in parallel. This is wha t we understand from our -- from the discussions what we had.
Niraj Mansingka: And sir, on the related thing, one of the players have shown a Hawkeye -- so does it mean the government will again open up changes and move to...
Management: : We don't want to comment on somebody's product...
Moderator: Sorry to interrupt you, sir, but queue -- the next question is from the line of Bharat Sheth from Quest Investment Advisors.
Bharat Sheth: In the initial remarks, you spoke a lot about drone side. So can you give some color what exactly and what stage we are in the drone space?
Management: : Let me answer that, Dr. M.V. Reddy The counter drone systems are a very, very wide range. They range from simple stuff like drone guns to jammers and to jammers, which can be o f varying distances, right? There are passive detectors and active radars, which are included as a part of counter drone systems. On top of that, you have panels, which decide the direction as

well as the strength of the signal and the length to which you can jam the signals and the height to which you can jump the signals, right?
And whether you can do it in parallel simul

taneously or in how many directions can you cover the jamming. So now these are for standardized drones. Then you have tactical drones, which are -- which come in with their own built -in anti -jamming systems. So there are different technologies which are deployed to counter them. Suffice to say that Astra has a presence across the entire spectrum of drones at this point in anti -drone syst ems. And they are being tested as we speak.
Bharat Sheth: How big the opportunity we see in medium term? What is the current, I mean, contribution -- revenue contribution? And how do we see over the next...
Management: Very difficult to put in a number, bu t you'd be rest assured that drones are now a critical part of

any offensive strategy. So any defensive strategy will need to deploy counter drone systems, and we have a very, very huge border.

Bharat Sheth: Okay. And my second question is on the balance s heet side. So how do you think from a medium -term perspective on working capital overall as a number of days? Of course, this -- so this is one -off or this will remain, I mean, sustain at this level only?

Management: I think S.G. just answered this questio n. We are fairly -- S.G., do you want to take this up, please? Again?

Management: Yes. Okay. Yes. As you rightly said, yes, this business is working capital intensive. We continue to have higher working capital days. The best case is that whatever is there in our hand in terms of procurement cycle and addressing technical issues as and when they arise once you supply the product.

These are the few things which are in our hand. We are focusing on that so that the working capital days can be optimized. Beyond that, there is very little that we can do about it. Of course, when it comes to the systems business, one representation from the industry to the government is that instead of keeping everything for after supply of the product and going through that fat and fat clearances, whether it can be facilitated in terms of the milestones.

So that representation is there from the industry to the government. If they accept that, then probably there will be a little bit of relief to the industry in terms of the working capital management.

Moderator: We'll take our next question from the line of Ketan Gandhi from Gandhi Securities.

Ketan Gandhi: It is indeed a very proud moment for all the stakeholders, and congratulations to all the office bearers and the team A stra for -- in Operation Sindoor, our products have been worked as per the expectation like AWACS and guidance system for Akash and RPF that is the proximity fuse and various radars. And one more thing to note is the commitment shown by the existing Board members to subscribe to the warrant issue is indeed gives a quite comfort that there is a long way to -- for Astra to go ahead.

My one question, only one question is in Project Virupaksha, I believe total 2,400 TRMs are being built in the AAAU. So -- and is there any chance that gallium, which is now banned by Chinese, can be a deterrent for us to go for TRM? Can we have any issues in procuring gallium or we have already tied up that?

Management: Yes, it's a good question, Mr. Ketan. MMICs , which we have d esigned and developed for the TR modules being used both at Uttam or Virupaksha. We have a standby foundry service in Europe. We already have a tie -up with them, and we are already given some kind of a development activity to build the wafers to get the st andby in case if we have any issue with Taiwan, where we are depending on for the current production. So we've already taken action on this.

Ketan Gandhi: That's really very helpful. And again, once again, sir, really, we feel so proud that we have investe d in this company since long and all the best for the future.

Moderator: We'll take our next question from the line of Kus

h from Electrum Capital.

Kush: Just two questions. So one, can you elaborate on the competitive landscape in terms of -- so since we h ave a wide product who are our like -to-like competitors? And second, I think in the presentation, we have mentioned in terms of strategic alliance and SDR segment, which is a software -defined radios. So in terms of opportunity, what kind of total TAM we're looking at or what is the yearly requirement? And how are we going to develop these products?

Management: Okay. You have asked three questions. So one is the competitive landscape. Yes, we have competitors in various segments in bits and pieces. We don't have any real competitor covering the entire product range from MMICs to the radar system or EW systems today and satellites. So our range is too large, and we have competitors in different segments. So that's the first question. And I don't want to name those competitors, but we do have competitors.

Then the second question, you said the strategic alliance, what I have mentioned in my opening remarks is not for the SDR. It is basically for the radars, one of the huge long -range radars. We have made alliance with another company as it is -- the investment is to be made in huge and also the scope of work is apart from the electronics, we do have a lot of mechanical intensive portion.

So keeping that in mind, we have made an alliance in the long range, one of the long -range radar. That is a program -specific alliance, not in generic alliance. And also, we have made alliance, we have entere d MOU with PSU to develop the RF seekers for the few strategic missile programs. These are the couple of alliances what we have made during India.

As far as SDR is concerned, the entire SDR market is being addressed from our JV company, which is Astra Raf ael Comsys. And we have in -house design, development, and manufacturing center in our JVC. And whatever the products which have gone for NCNC trial, as Mr. S. Reddy mentioned in his opening remarks, are designed and developed in our joint venture, which ha ve been passed successfully first 2 stages of trials, and the third final stage of trials are scheduled

in July. With this, we have built capability to develop the complete range of SDR in -house in our JV C.

And the third question, what you asked is the TA M. Yes, we are addressing close to INR20,000 crores to INR25,000 crores of market, as we mentioned in our previous earnings calls, and we are still in that particular range. Probably it may increase. But as of now, it is -- that is the overall TAM in next 4 to 5 years, we should be in a position to capture majority of that.

Kush: So just a clarification, the INR25,000 crores TAM is only for the SDR segment?

Management: No, no, no. It is an overall product range, not SDR alone. It is, as I said, the overall product range of our Astra.

Kush: Any specific number on the SDR? What kind of opportunity?

Management: For SDR, the total market size, it appears to be around INR5,000 crores to INR6,000 crores in next 5 years.

Moderator: We'll take our next question from the line of Karthi from Suyash Advisors.

Karthi: Many congratulations on the impressive performance. It's gratifying to see that the commentary 2 years ago and today is consistent. So good to see that you're on the same path and things are playing out. I had only one question regarding your preferential issue. Three things, what determines the allottees' names?

I understand A, team having spent a lot of time in the same, but I'm just trying to understand about the other allottees. B, couldn't you have rai sed money given that -- from the public bid, given that the markets are much more open today, I suppose. So some thoughts on this. And of course, why is it structured as a warrant? So these are 3 parts to the question.

Management: Could I an

swer this, S.G. ?

Management: Yes.

Management: Okay. The requirement for money is for NCNC demonstration of a product range. We don't want to stress the balance sheet necessarily beyond the point. As you have heard other participants also point out that this is a working capital -intensive business. The requirement for money is not huge and it comes in as the products are manufactured over a period of time. The systems are delivered, they go in for testing, etcetera.

The QIP price was actually lower. So we -- and the pref -- and if you add a 5% discount, which is customary, it actually was, if I'm not wrong, working out to around INR 801. So we decided to go in for a pref price, which was on the higher side. On the participants which you're talking about, Suresh Somani is one of our most valued directors deeply involved in guiding the company forward strategically and he's a very valued Board member.

Chitrakar, sir, is our original founder in the company. Mr. RK Damani's group is not only has been a substantial holder, but we hold him in extremely high regards in terms of his being who

he is, and the value adds which they can bring in. So there was no need to dilute every shareholder beyond a point when it was not necessary. So all these considerations played a significant role in deciding this.

Moderator: The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors. Since Mr. Siddharth's line is not reachable, we'll take the next question.

Management: Puja, we are crossing one hour. Can you limit the questions, please?

Moderator: The next question is from the line of Santanu Chatterjee from Mount Intra Finance.

Santanu Chatterjee: Congratulations for good set of numbers. My question is on Virupaksha radar. Whatever information we have gathered actually from the public domain that Virupaksha radar upgrade program is estimated to cost approximately INR65,000 crores for the first phase upgrading 84 jets. If we calculate it, the par radar cost is coming at around INR770 crores. Is it the right way of understanding the price of that radar? And if that is so, then how much -- what is our contribution towards Virupaksha radar in percentage terms?

Management: Yes. First of all, I defer with your numbers as the information what we have is different and both

in terms of quantity and also the value, number one. Number two, the -- as today, whatever like we have participated in DRDO development p rogram for this middle upgrade project, which is being sanctioned by Indian Air Force to DRDO. In that -- for the radar and EW suite, there were multiple tenders which have come from DRDO from different labs.
So in that, we won both AAAU, which is the maj or portion of Radar as Uttam , we won from them. And also in EW, we won critical subsystems to be supplied for the pod jammer. So likewise, we won subsystems from both Radar and as well as EW segment for Virupaksha. And once this development phase is over, I think we will be getting a production order from HAL, who is designated production agency or any other production agency, which –whomsoever takes over. But otherwise, these are in development phase. And today, we are developing these critical subsystems.
Moderator: Ladies and gentlemen, in the interest of time, we'll take this as our last question. I now hand the conference over to the management for the closing comments.
S.G. Reddy: Thank you, everyone, for being part of this call. I hope we are able to answer most of your questions. And I look forward to talk to you again at the end of Q1.
Moderator: Thank you. On behalf of Astra Microwave Products Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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To
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To
The Vice President,
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The National Stock Exchange of India
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Dear Sir/Madam,

Sub: Conference call transcript.

We are sending herewith Conference call transcript held with analysts on 14th August , 2025.

The above information is also made available on the Company's website www.astramwp.com .

Thanking you,

Yours faithfully
For Astra Microwave Products Limited

T. Anjaneyulu
Company Secretary & Compliance Officer

"Astra Microwave Products Limited
Q1 FY '2 6 Earnings Conference Call "
August 14, 202 5

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 14, 2025, will prevail.

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
DR. M.V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
MR. ATIM KABRA – DIRECTOR , STRATEGY AND BUSINESS DEVELOPMENT – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Astra Microwave Products Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statement s are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. S. G. Reddy, Managing Director of Astra Microwave Products Limited. Thank you, and over to you, sir.

S. G. Reddy: Thank you, and good evening, everyone. A warm welcome to the participants to the post results call of our Q1. I'm with my colleagues, Mr. M.V. Reddy, Joint Managing Director; and Atim Kabra: , Director, Strategy and Business Development; and Inve stor Relations advisers, SGA. The results and the investor presentation for the Q1 FY '26 are already uploaded on the company website and Stock Exchanges . I hope you had a chance to look at it.

I am pleased to report that we had a strong start to FY '26. For the first quarter, on a stand - alone basis, we saw a solid increase in our top line at INR197 crores, growing by about 28.1% year-on-year. Our other profit margins have also gone up. So these numbers highlight the strength of our core business. When we look at our industry today, it is clear that the Indian defense sector is going through a significant transformation.

The government of India has taken several progressive steps in recent years to strengthen the domestic defense manufacturing ecosystem, i ncluding liberalizing foreign direct investment limits, promoting indigenous design and development, introducing the defense testing infrastructure screen and giving priority to domestic procurement.

These initiatives reflect a clear and determined commit ment to build a self -reliant globally competitive defense industrial base. The results of these efforts are already visible. The increase in India's defense budget clearly demonstrate government intent to rapidly build a national capability.

This policy d irection has also opened new opportunities for private sector players, enabling us to set up investments, scale up innovation and participate more meaningfully in critical national programs.

Our stand -alone order book now stands at INR1,891 crores, giving us strong visibility for the coming quarters. Most of these orders are build -to-spec in nature, which means the value add is higher as compared to build -to-print. Also, we are making significant steps and investments to get into radar systems, not only fo r defense, but also into weather applications.

We are a significant player in competing for business opportunity in Mausam program of Government of India, which requires the deployment of these radars across the country in a phased manner. This initiative is expected to generate recurring orders in the coming years. Apart from weather radar, over the medium term, we see opportunities, particularly in

lightweight, low -level radars, anti -drone radars and ground penetration radars.
In Q2, we received an impo rtant order worth INR135 crores at a gross value from the Defense Research and Development Organization in August 2025. This project involves upgradation of ground -based radar system. Further, we remain committed to advancing indigenous innovation across t he defense space and Me

trological sectors. Backed by a strong order book and significant order booking opportunities in the near term and a deep focus on execution, we are confident in our ability to sustain growth and create long -term value in the quarte rs to come.
In the last few years, we have made conscious and strategic investments to diversify both in terms of technology and sectors where we are in. We are also now building a strong and credible presence in the space sector. Our stand -alone order bo ok on -- order book includes about INR239 crores worth of orders from the space sector. These comprise high -quality complex components and subsystems that require precision engineering, reliability and a deep technical know -how, areas where Astra has consi stently delivered.
As you are aware, we have incorporated a wholly owned subsidiary by name Astra Space Technologies Private Limited recently to focus in space business in a bigger way and have already taken steps to recruit skilled manpower and to establish clean and assembly rooms for assembly and integration of small -sized satellites.
These operations will be carried out from our Bangalore facility with support from Hyderabad Space division, which has more than 20 -plus years of experience in supp lying under BTS and BTP mode, various electronic components and subsystems required for ground and onboard applications.
In terms of group company's performance, our wholly owned subsidiaries are doing well, though they are largely serving our captive consumption needs. Our joint venture company, Astra Rafael Comsys Private Limited too has done well during the quarter and its prospect looks bright for the coming years.
It has an order book of INR400-plus crores as of today and is expected to do about INR350-plus crores of top line with a PBT of around 10% for the year. It has potential to back close orders -- it has potential to back close to about INR800-plus crores of orders during the rest of the year.
With this, now I hand over to Mr. M.V. Reddy, J oint MD and later on to Mr. Atim Kabra , who will give more insight into new initiatives, product development, business outlook in the near and long term and the strategies adopted by the company to take this to next level of growth cycle. Mr. M.V. Reddy.

Dr. M. V. Reddy: Thank you, SGR. Good evening, ladies and gentlemen. As S.G. mentioned, we started FY '26 with a decent performance in the first quarter as we have almost on track towards reaching out the projected orders inflow and as well as sales for thi s quarter. I will be sharing a few key achievements and business updates of this quarter.
Regarding order book, as we mentioned, we are at INR1,891 crores as on 30th June, and we have received worth of INR150 crores in July. Also, we have concluded negoti ations of INR150 crores more worth of orders and INR100 crores more orders are in pipeline, and all these orders are expected to be received in Q2.
In Q1, we have booked a significant development contract like Active Array Antenna Unit of Virupaksha from DRDO. And all other orders are production in nature from domestic market in radar, EW and metallurgy domain. With regard to sales, we are at par with our target, and we don't see any major challenge meeting out targets of current financial year.
During th e quarter, we have built major products, including Ashlesha and Rohini modules for BEL and medium -range tracking target radar for DRDO, RF modules for defense satellite and for ISRO, X-band Doppler weather radar for Metrology and a few other defense commun ication products for DPSUs, underscoring our timely execution and delivery capabilities.
I'm also happy to share a few other key achievements of the last quarter, which includes successful completion of site acceptance test of first -ever developed photoni cs radar by DRDO, which has a maxim

um contribution from our company. Also, we have got technology from deal. This is basically for -- this is called the CTCS, which is compact transorigin communication system, which our team is working on.
Our JVC, ARC st arted this financial year with a marginal profits made in Q1 as the majority of sales were shifted to the current quarter due to a few supply chain issues and delay in customer

acceptance. However, we are confident of meeting yearly guidance of order inflo w being projected in the beginning of the year and also sales, we would be achieving as per the guidance.
ARC is actively pursuing more opportunities in the domain of tactical communication and electro -optics as we being informed in the previous calls and expect it to grow in a rapid pace with the initiatives being taken to strengthen it in all aspects. As Mr. SG had mentioned, we are expecting close to $100 million worth of orders before March '26.
With a strong order inflow, healthy pipeline and strengt hened technology capabilities, we are confident of delivering consistent growth and creating long -term value for our stakeholders.
Our focus remains on executing existing strategic important contracts, which we back from DRDO like for AAAU for LCA Mark 2 a nd also for Virupaksha. These are all very critical orders, and we will be focusing to execute efficiencies by leveraging new opportunities in defense, aerospace, satellite and metrology market segments.

That's all from my side. I would be happy to answer your questions. Now I'll hand over to Mr. Atim Kabra . Thank you.
Atim Kabra: Thank you, SGR, and thank you, MVR, and good afternoon, everybody. Things are looking good, and I have often spoken about our vision and what we intend doing to ensure that we thrive and grow and deliver value and create value over the next multiple decades. But as you know, to gaze into the future and to move forward, we have to understand where we are and how we have evolved into what we are today.
The vision of the directors of Astra has been to create an extremely well -diversified multi -revenue, multi -tech-driven, deep tech company. That has created today the foundation for, I would say, a multi -decadal growth opportunity and at a pace that shall be welcomed by all of you.
So what has been created by the original founders of Astra and hats off to them and built upon by the current Board and management is nothing short of a prime example of how tech trends need to be captured in time and concerted action taken to capitalize o n the opportunities that present themselves.
I'll dwell a little bit on the various product lines which we have to define for you very clearly that how Astra is an extremely well -diversified company, which is critical from a risk management perspective an d from the point of view of capturing multiple revenue streams, which will come in from many areas as we progress.
So did you know that Astra moved into MMIC chips more than 2 decades back. And these are the basic building blocks of TR modules that are th e backbone for most of our core products. We have today a portfolio of more than 40 chips, and we are focusing on building them up and upgrading quite a few of them to compete in the global markets where potential exists to sell chips in excess of $50 mill ion or more over the next 5 years or so from this portfolio alone.
And you have already seen the global relationships, which we are tryin g to put together, Teledyne, et cetera, to enable these sales on a global basis.
Astra set up its space business, which was spoken about by S.G. Reddy right now in excess of INR225 crores, INR230 crores is our order book. But we set up the space business more than a decade back, and that is the foresight which the management had. And credit is due to the management team fo r doing so then. In the space sector, h

ardware supply chain, Astra has a
very spread out presence across the spectrum.
We make critical components, have extensive test facilities to ensure the space wordiness of our products. We make critical subsystems. We contribute significantly to multiple payloads, be they in the communication area or be they SAR -enabled payloads. Astra has been beefing up its supply -- sorry, satellite bus design capabilities. And we have a clean room, which, as we mentioned, to asse mble small satellites in our Bangalore unit near ready.
We have made a conscious decision for now not to go in for launch vehicles, but we already have a presence in the ground station capability -- in the ground station segment. So as you --

what I'm try ing to paint is that we have a capability which exists across the entire spectrum of satellite hardware, and we intend building up significant capabilities in data monetization

space too, to provide a complete satellite -based data ecosystem.
And it was in recognition, I must mention, of our capabilities that one of the leading defense PSUs recently had formed an SPV with us to bid for a specific space tender. And we hope that we'll collaborate with them and others in our space -related endeavors going forwa rd.
So our order book, as SG mentioned, is in excess of INR230 crores over there. And given where companies with very limited indigenous capabilities are valued, you might find that our space business is actually very, very valuable. Similarly, when we ta lk of our diversified order book and product portfolio, it would be very necessary to highlight our capabilities in Metrological and hydrological sector.
We just heard about Project Mausam with an allocation of more than INR2,000 crores. And at this point in time, M.V. can correct me, but I think out of 14 Doppler weather radars, which are installed in India, 13 are from Astra. Many more are in the offing, and we make wind profilers. We have more than 2,000 installs of automatic weather stations.
And we b uild our ground station capabilities on the back of this data overhaul backbone, which allows us to collate the data from remote locations and download them into the servers of IMD. But we are not resting on our laurels here. We are refining our weather pr oducts continuously. We are building indigenous software capabilities to interpret these signals which are captured.
And in the end, we want to offer not just hardware, but complete weather as a Service, Data as a service to the rest of the world for the benefit of all. It is a nice sizable, scalable business. We expect that in the next 2 years, we should have an order book in excess of INR400 crores, INR500 crores from this segment -- these segments alone. And that is the strength of Astra's capabilities across the board.
Our first AI initiative is almost ready, where we intend using AI to help predict the weather with a fairly high predictive accuracy, and that makes for a complete solution from Astra's stability. So if you notice, I have been spelling out order potential from our nondefense businesses, which -- on its own, it probably is in excess of twice our current turnover.
And if this business will flow in, we are successful -- very, very successful over the next 4 to 5 years. So the strength of A stra, I'll repeat, lies in being a very well -diversified company, which provides an insulation layer to the main aerospace and defense segment, which can -- where the timelines can go a little bit this side of that side.
We spoke about ARC, our JV with Ra fael Israel in SDRs. There are not too many successful joint ventures of the nature, which are scaling up nicely and contribute to our consolidated bottom line consistently. This is a testament to the fact that we don't even -- we don't have -- we have not only the required capabilities, but we are able to s

ource tech and indigenize it to a
certain extent for creating value.

It is expected, in my opinion, and again, M.V. and S.G. can chip in on this, that we will have an order book in excess of $100 millio n in this -- from the JV alone pretty soon. So please watch this space fairly carefully as this is a profitable diversification for our shareholders.
So in our core business, if I talk about that now for a second, we are now creating platform capabilities on the back of a deeply backward integrated capability set, which has been built up over decades. We make the MMICs, we make the TR modules, we make the radars, be there for ground forces, be there for airborne platforms and be there for the Navy. We have -- and this is not just us.
Astra has proved itself repeatedly with complex projects completed in collaboration with our defense labs. We have successfully delivered what we have just mentioned, Shipborne radars over the last 12 months. And much has been spoken about Uttam radars to be deployed in Tajas where we competed amongst the best. And there I say that almost all parameters, we did well. And proudly made in India, radars have performed very well, thanks to the efforts of our scientists and research labs.
So there is a need to promote, I would say, domestic tech in the face of competition, which is global. But at the same time, a very fine delicate balance needs to be maintained between the needs of the armed forces and timely and successful deliver ies of multiple platforms as we will all agree. So these planes -- but it's not just India. The planes need to be upgraded across the world, and we are very seriously looking at how do we go into that segment now building on the platforms which we have in sight and have completed.
On the totally 100% Astra radars, I'm laying much hopes on the promise of our R&D team that they will deliver at least 3 new radars this year, which have a massive market, both globally as well as within India over the next 12 mo nths. That is the delivery timeline. So this adds to our

product portfolio significantly as 100% Astra products, right from the PCBs to the software to the RDP to the software, which integrates at all, everything will be through our own supply chain, which we shall create for our own products.
And that is when we hit the globe and market with our solutions. This is an extremely fast developing market where the efforts of scientists, we and ou r DPSUs, DRDOs are now coming up with products which are world -class, second to none and 100% Indian.
And I think in a multipolar world, which demands supply chain resilience, self -reliance is the key, as we all know. But we are not focusing only on indigenous tech, where we need to collaborate with partners, as we dem onstrated in the case of ARC, our JV with Israel, Israel Rafael, we are focused on collaboration from partners and product lines where we don't have a presence -- significant presence, but there's a timely need for the products to be delivered. But our foc us will be on commercialization of indigenously developed technology.
As of it would be incomplete to not speak about the latest anti -drone systems, which Astra is developing. We are focused on long -range jamming detection and multidirectional jamming, which should hold us in good stead. I can safely say that we have -- at this point in time, there

are more than 3 dozen programs in which Astra is participating in vario us anti -drone systems, RFIs, et cetera, etcetera. And we see this both as a domestic and e xport market.
So if I gaze into the future, what are we talking about? This has been, I think, established the fact that we are a very well -diversified company with significant and sizable business in our noncore business, if I may say,

if I define them a s noncore, though I think they are as integrated with us as possible.
MMIC chips, that's where as we move into the semiconductor space, as miniaturization takes hold, digital takes hold, MMIC will play a very, very important role. And we have already signed one equity participation linked transaction with a chip development company and another one should be closing very soon. And that's the kind of a leap strategy, lean and learn and collaborate thing, which we have always spoken about.
So over 3 decades, the base which we have created and the basic building blocks, which have been put in place over the years are now being utilized to create complete platforms where Astra is extremely well positioned. We have spoke about Virupaksha. And I think we have scored some very positive moves over there, which can itself result in a business, which is more than twice our entire turnover when productization commences.
I'll let that sink in for a second. These are the kind of orders which are going to be coming in now. So in a very well -diversified multiple platform company with 4 building blocks which are already in place, I think we are in a fairly decent position.
And I have a feeling that the business is -- I've not calculated it exactly. But wh at I've spoken about today itself adds up to a potential in excess of INR4,000 crores, INR5,000 crores over the next 5, 6 years. And this is, by the way, besides our regular revenue lines. So the future indeed looks bright. That's a sizable growth, if I'm talking about over the next 5 years.
So our focus remains on breaking up the massive potential into executable pieces and a razor eye focus on delivering the numbers without fail. Let the numbers speak for themselves and single out the leading players in the industry. We are carving a niche space of our own alongside the large, much larger defense PSUs and the defense labs, which are our esteemed partners. We would prefer to deliver more than talk.
And with that, let's open the field for questions. Thank you.
Moderator: The first question is from the line of Amit Dixit from Gol dman Sachs .
Amit Dixit: Congratulations for a good set of numbers in the start of the year. My first question is around the order inflow. In the prepared remarks, you mentioned a num ber of INR800 crores. Just wanted to understand whether it is the residual order inflow that you are mentioning? Or is it the total order inflow? Also, if you could break it up in different segments like radar, EW systems, that would be great. That is the first question.

The second question is on Uttam Radar. Have we received the order for this for the system that we are trying to -- that we were going to supply? And if not, then when do we expect to receive it? And what could be the quantum of this order in this year?

MANAGEMENT : Yes, Amit, regarding this order book of INR800 crores, this we have referred in case of a joint venture company. And this is -- just to clarify, it is expected to book additional INR800 crores of orders during this financial year.
MANAGEMENT : Yes. Mr. Amit, regarding Uttam Radar, as we understand, HAL, they are increasing the order quantity on imported systems in view of delay in few tests of DRDO is the reason what being quoted. But we have been pursuing it at every level, and the y've been saying that in the first phase itself, at least some quantity can be definitely inducted. So only thing is that today, we are not in a position to tell when and how much quantity can be inducted in the Phase 1.
We are expecting at least 10 to 12 numbers for which LSP has been given by CEMILAC . So at least that quantity, DRDO, I think they are trying with the HAL and all. But it's too early to mention about that.
So otherwise, the second phase 97 numbers, definitely, I think DRDO is very confident that this

particular radar can be inducted in the LCA Mk1A. So we are hoping to see that particular time. So we cannot inform like exactly how -- when this can be inducted and what is the quantity and all, so only time can tell. Maybe in next 3 t o 4 months, I think we'll be in a position to inform you exactly on the Uttam.
Amit Dixit: Sir, just to clarify, what would be the order inflow that we expect this year for the main...
MANAGEMENT : Yes. For Astra, actually, we have given guidance of around INR1,300 crores to INR1,400 crores, out of which we have booked as on date, that is up to now, we have booked around INR260 crores, including INR137 crores of Q1 plus additional order what we booked is in July, as I mentioned, about INR115 crores plus anot her INR20 crores, INR30 crores. So total, we have, I think, booked around INR260 crores as on date in this financial year. And we are quite confident to book another INR1,100 crores or so by March '26.
Moderator: The next question is from the line of Niraj Mansingka from White Pine Investment Management.
Niraj Mansingka: Yes. So you said about receiving Virupaksha order in the August. So what was the value of the order for Virupaksha?
MANAGEMENT : So value, I cannot mention in the open discussion, but we hav e received 2 numbers of AAAU. Actually, we and BEL shared the quantity. So we received this contract and we started execution.
Niraj Mansingka: You received 2 and BEL received 2 or its 1 -1 each?
MANAGEMENT : Two and BEL received 1.

Niraj Mansingka: Okay. An d so what does it imply? This is more like a transfer technology to check the product? Or is it just -- which stage is it like this is more like a testing phase for the product?
MANAGEMENT : It's a development contract. So we have been, yes, so this is -- we are developing AAAU in collaborating with DRDO.
Niraj Mansingka: Okay. And on the -- I think the -- can you also share something about the Anti drone? I think you have talked about 3 dozen programs that you have participated. Can you tell us slightly longer period what can be the potential opportunity in that programs combined?
MANAGEMENT : I think the very paradigm of warfare has changed and drones are now at the forefront, okay? So as we speak, probably every army in the world is trying to figure out how to incorporate drones as a key part of their warfare and as a corollary, how to incorporate anti -drone systems, both on the civilian side as well as on the military side to prevent drones from causing havoc.
So we expect -- there are multiple reports I have seen in terms of estimates of the total potential business. But probably this is one of the massive -- and they're all over there in terms of numbers, right? But it is probably one of the most critical developments in the field of military, which ha s happened over the years.
So we decided instead of drones, which have a full range, right, from -- some of them are commoditized, some of them are highly specialized. We would focus on anti -drone systems, which are capable of taking down the cheap commer cially available drones, which come in regular frequencies to drones which come on nonstandard frequencies.
And I must tell you that we are one of the few companies we have the capability to create jamming solutions in nonstandard frequencies over a long range , short range, there is a fair amount of competition.
But I think the winners will be distinguished between the range and where you can accomplis h, what bands you can block, et cetera, etcetera. So it's massive. We don't know who will get what kind of an orders, okay? I think the fact that in 6 months, we have participated in more than 3 dozen RFIs itself speaks volumes about the kind of potential which exists not only here but globally also.

Niraj Mansingka: I think the reason I asked was because it's quite a larg

e wide guess. I thought I...
MANAGEMENT : Yes. It is, honestly, it is. We are very excited. We are very excited about that...
Niraj Mansingka: Got it. And can you give us some more color on the 2 programs? One, you talked about ground penetrati on and second on the ship -based radar. So I thought was that S based -- S-band radar very few companies can make, yes.
MANAGEMENT : Yes. That's a cool thing.
MANAGEMENT : Yes. As far as shipborne radar, the development contract, which we have received from DRDO, which is almost in the final stage of execution. And by December 2025, we are likely

to complete our part of testing and make acceptance and all. And Navy, I unders tand Navy is showing interest in getting more similar shipborne radar, but these are all in discussion stage. I think it is too early to comment on the quantity and as well as the business -- how much business we can get -- follow -on business on this parti cular project.
So regarding ground penetrating radar, yes, we have developed a handheld ground penetrating radar. And we are now -- we have made a prototype and now we are developing engineering model which is likely to get completed in the next couple of months. We are participating in a few RFPs. Now I think probably we will start giving them demo from, let's say, September, October onwards so that we are likely to book a few orders at least by March '26.
Niraj Mansingka: Wonderful. And last one small qu estion on the X-band ship based. How many tier would be there -- models would be there?
MANAGEMENT : It all depends on the configuration. So we can't say that this is a particular tier model because in one particular ship, the range, it all decided by the r ange and the ship on which they wanted to mount it and the size of the radar. So all that, there are so many other parameters to be looked into to decide on the number of Tier modules.
Niraj Mansingka: Okay. So if the larger 6 feet by 6, please pardon my i gnorance, the larger 6 feet also you would still be participating -- considering that you have made a smaller version of the 6 SDR . Is it the right understanding?
MANAGEMENT : Yes, we can participate in a larger program also.
Moderator: The next question is from the line of Rupesh Tatiya from Shree Rama Managers PMS .
Rupesh Tatiya : Good set of numbers. I think my first humble submission, sir, is a 1 hour call. I think management is taking 30 minutes. If we can find a way to shorten that and leave more time for questions, that would be very helpful. So that is my first humble suggestion. My first question, sir, is in one of the slide presentation, you have said that you are working or supplied -- developed some AESA X -band seeker.
So can you just give some i dea about -- is it for the missile, which missile is it? At what stage that program is? Is it in like development stage and then when that program is likely to commercialize? How many missile requirement is there with the forces?
MANAGEMENT : Yes. The X -band seeker, we have already delivered to DRDO and it is successfully mounted, qualified, tested, and we got a follow -on order also, which is under execution. Unfortunately, I cannot give you the names of missile programs because of the confidential in nature . But the potential is huge. In fact, the discussions what we are having it, at least we are expecting more than 50 to 60 numbers in next 2 to 3 years' timeframe.
Rupesh Tatiya : Okay, sir. That is helpful. The second question, sir, I think in the Kusha program, you have said that you supply components for the radar, but how about missile? Do you supply some components to missiles also?

MANAGEMENT : No. And for Kusha, we don't have any subsystems for the missile segment. But for the radar, we have subsyste ms.
Rupesh Tati

ya : And how -- I mean, where is that program in your view? When will the commercial production of that program likely to start in your view?
MANAGEMENT : It's in development stage. In all probability, I think in next couple of years, we shoul d -- DRDO, BEL and BDL should be in a position to complete that proto maybe in the next couple of years. But this is in a development stage as of now. I cannot comment exactly on timelines

because we are not the prime party to execute the system order. We are only supplying subsystems to that program.
Rupesh Tatiya : Okay. Okay. That is helpful, sir. The other question, sir, is it look -- I mean, obviously, Virupaksha is a larger opportunity compared to Uttam radar, given there are 260 players. But it also l ooks like there is also competition at the integrated radar level.
And also, I feel at least whatever tenders I have seen, it looks like there is competition at the TRM or tiles level also. So can you give some view about competition? And I mean, other th an that you have done it for Uttam, what is our right to win? How can we make sure that we get lion's share in Virupaksha radar?
MANAGEMENT : Yes. Actually, if you look at the Virupaksha radar, there are many subsystems are there, like one is the AAAU that is Active Antenna Array Unit. This is a tile version, which, as I mentioned, we and BEL have received the contract in a competitive tender.
Apart from that, we are also developing the AAAU in plank version also that based on the Uttam technology. In fact, both are going in parallel. So they are trying to explore whichever the technology gets into that, so that will be make productionized. So we are there into both the versions.
Apart from that, of course, there are other subsystems like in EW -- sorry, ye s, EW suit and then other components. Few components like multichannel exciter receiver, which other companies have won. But we are going to bid for some more subsystems, which is like RPU and there are a few other subsystems are there. So like there are m any subsystems, but AAAU is a major subsystem, which is almost like, I would say, 55% to 65% of the entire radar.
Rupesh Tatiya : So which -- I mean, at least from technology point of view, is plan -based radar better or is tiles-based radar better?
MANAGEME NT: Actually, as the technology is concerned, DRDO is like -- they are exploring to utilize this tile version. So it all we need to work out. And based on the specifications, what we can get and the technology can evolve, I think the DRDO can take a decision, but mostly like it's the tile version only as on today.
Rupesh Tatiya : Okay. Okay. The other question, sir, is recently Bharat BEL, BEL won a INR2,000 crore contract for air defense fire control radar. So it is for which platform? And at least gi ven how

strong we are in the radars, are we involved in that program? And what kind of contribution can we expect in this air defense fire control radar INR2,000 crore contract?
MANAGEMENT : Yes. In fact, I wanted to give you a pleasant surprise by quoting this, but I missed out in my opening remarks. Yes, we are there in this program, and we are part of this program where we supplied almost 50% to 60% of subsystems like TR modules in this program. So we are likely to get orders very soon by next couple of q uarters.
Rupesh Tatiya : But this is for which application, which platform? Any color around that?
MANAGEMENT : It is a version of fire control radar, FCR. And this is a lightweight radar being used by Army. Anyway, BEL, I think, is the system supplier, prob ably BEL can give more information about the radar.
MANAGEMENT : Let give other the chance also to ask questions. So you are most welcome to contact us. And as far as your opening thing is concerned, I've received four SMS on WhatsApp right now that they ex pect us to talk more

about our strategy rather than limit ourselves because this is probably the chance for everybody to understand the vision. We would...
Rupesh Tatiya : Maybe you should extend the time of the call, sir, then. Yes. I think then maybe we s hould extend -- keep the 90 minutes call, sir, yes.
MANAGEMENT : We will request you to contact us for more answers individually. Let's give others a chance also, please.
Moderator: The next question is from the line of Parag Bhatia from Sukrit Investments Private Limited.
Parag Bhatia: Congratulations for a great set of numbers. I just wanted to touch upon two things. One, we believe that the SDR trial for our JV ARC has come out with flying colors. So could you provide any more clarity as to when would we win the bid? Or are we bidding for that? And like for -- that is the first question.
And the second is, are we participating in the Myanmar government -- I mean, with the Myanmar government for radar technology that Myanmar Military would be using, especi ally, I think, for Dristi low -level lightweight radar. So if you could just please throw some light on that?
MANAGEMENT : The first question, yes, ARC is qualified in the initial trials. The final trials are going to happen soon. And yes, we are confident o f getting through those final trials also, and we will be in competition for the price bid opening. So that is the first -- answer to your first question.

And as far as the second question, the other Myanmar is a bit of confidential. I do not want to give anything now at this stage. Maybe I think we may have to see for next at least 4 to 5 months, and I'll be in a position to answer your question on this.
MANAGEMENT : That's also subject to the regime…

MANAGEMENT : There are so many other aspects to that. So that's the reason I said we have to wait for some more time to clarify.
Parag Bhatia: Yes, I completely understand. And just for clarity for the SDR radars, so could you give us a timeline as to by when could we expect or...
MANAGEMENT : Yes. Actually, I t hink, as we mentioned in the opening remarks, this year, before March '26, I think we should have 3 major contracts should be in place and 3 contracts put together is close to approximately around $100 million. So all 3. And we have not considered actually the make -to program, which is likely to complete because we have a competition over there. So these three programs, what we have mentioned, $100 million is on a single party like on tenders. So this, we are going to get with 100% probability.
Moderator: The next question is from the line of Ajit Sethi from EIKO Quantum Solutions.
Ajit Sethi As we have a good order book in hand and we have a great market opportunity for our products going ahead. So what kind of revenue growth we are targeting for FY '26 an d for next 2 years? And what kind of profitability margin we can expect?
MANAGEMENT : Yes, we are expecting growth of around 18% to 20% year -on-year. And profitability also, we are trying to maintain this same profit, whatever we have given the guidance of the current year, because since we are focusing more on to the domestic business, and we are almost cutting down the BTP business, hence, our profit margins will still remain comfortable.
Ajit Sethi So this 20% of EBITDA margin we are expecting?
MANAGEMENT : Yes. Most of the profit margins, whatever we have earned as of last financial year, I think we should be able to maintain. And rather, I would say that there will be slight improvement.
Moderator: The next question is from the line of Keyurkumar from Niv eshay.
Keyurkumar: Congratulations on a good set of numbers, sir. My question is, first of all, related to the space vertical. Like you mentioned there is some big opportunity ahead of us. So can you tell us more about like how many ground stations would be working o

ut on that aspect and your
whether as a service at the other portion. So that would increase a lot of potential on the revenue. So like our CAGR on the longer -term prospect would be increased or how you are evaluating on this front?
MANAGEMENT : Yes. We are trying to focus on both ground stations and as well as satellite building. And here initially, we have started building the small satellites from the LEO orbit for a particular application. And that, in fact, it is already on. And in future, w e are also trying to take up a few constellations with the consortium partners whom we already have.
Keyurkumar: And the next question would be on the MMIC you have mentioned that we have approval on the numbers. So I actually -- I misheard the numbers. So can you repeat that opportunity? And is there any long -term contract we are planning with the foundries and all?

MANAGEMENT : Yes. Actually, we have long -term contracts with the foundries, both in Taiwan and as well as in France. Right now, we are working on the gallium arsenide and gallium nitride technology. And soon, we will start working in CMOS and BiCMOS technology also, wherein we are trying to develop a few chips with the partnering with a few companies who have got experience in that particular dom ain.
And -- but most of these components, like we are basically developing for captive consumption. And apart from that, yes, we do have a direct market to the OEMs across the globe. But our focus more on building the subsystem based out of the technology , what we developed so that we'll become more competitive technically to make sure that we can beat the competition in the entire system. That is what our strategy is as far as MMIC is concerned.
Keyurkumar: And my last question is, in last con call, you h ave mentioned that we are developing on 3 to 4 seeker and X -band has already been approved. So is there any further development on the other seekers? And can you throw the light on the Navitronics JV?
MANAGEMENT : Other seeker in other band, yes, it is also -- we have completed the qualification of RF head

and the complete seeker DRDO is planning to have the trials in sometime in September, October. I think probably by December, that seeker also should get qualified. So in this year - end, I think we should be in a position to inform you that about the potential for that other seeker also.

Now as far as the Navitronics JV is concerned, yes, we -- the development part of that particular module is almost completed and it is in the final stage of acceptance. And very soon, we are going to come out with the products for the end user. And once we finalize the total market on that and we'll be able to inform you.

Moderator: The next follow -up question is from the line of Rupesh Tati ya from Shree Rama Managers PMS .

Rupesh Tati ya: One question, sir, is on this sir, on LLTR Ashwini, I think it's been a while that BEL has received the contract. So where is the hold up by when are we likely to receive the order for LLTR Ashwini?

MANAGEMENT : LLTR Ashwini, as being informe d, BEL got the contract in that there are one of the subsystems, we do have subsystems and inquiries are on and probably in next few months, I think they will finalize the contracts on subsystems.

Rupesh Tatiya : Sir, and then this GPR ground penetrating ra dar, what is the -- can you give some idea of the opportunity size? How many radars are required? And then how will it be fair? Is the program fully funded? Some idea around that would be very helpful. And also the competitive landscape?

MANAGEMENT : Here, basically, we have developed in -house and this particular version, what we have developed is we targeted the Paramilitary forces is our main client for this. And as I mentioned, we have now completed prototype and then we launched the engineering model. And in a fe

w months, we'll complete this.

And as far as the business potential is concerned, yes, actually, where in countries importing these kind of radars from Russia and even other countries, European countries. Now I think in India, only 1 or 2 compani es have tried out in developing this. But to a large extent, these radars were imported. Now we are going to replace with this radar once we complete the engineering model and qualify technically.

Rupesh Tatiya : But how many radars are imported per year?

MANAGEMENT : Yes. Actually, we are expecting roughly around 100 numbers minimum what we can -- we are targeting every year. This is a handheld -based ground penetrating radar.

Rupesh Tatiya : That's helpful, sir. The other question, sir, is in tank -- active tank protection system in tanks, I think we have developed some Pulse Doppler radar. So can you talk about that? Where is that program? And when are we likely to receive the order for that?

MANAGEMENT : Yes. In this particular contract, which we have receiv ed from DRDO, we have made a prototype. And there are a few observations and that we are trying to address in the second model that also which is being launched. We are expecting this order to get completed by March '26.

And soon after that, I think DRDO may take another year or so to come out with a complete system for the trials. So in all probability, I think maybe we can see some production orders from FY '27, '28 onwards.

Rupesh Tatiya : Okay. That's clear, sir. The other question, sir, is this Shipbor ne radar...

Moderator: May I request you to rejoin the queue for follow -up questions. Mr. Rupesh, you can ask your question now.

Rupesh Tatiya : Is Shipborne radar, my question is what is the end application of this radar? This is where it goes into destroyers or frigates or corvettes or submarines. And I mean, currently, are these radar imported? And is this like an indigenization effort? Some color around that will be very helpful.

MANAGEMENT : Yes. Actually, this is basically substitute to the impor ted radar. And this is the first time indigenizing this particular scale of radar for the shipborne application. And beyond that, exactly like usage of this radar is, again, is highly confidential. We cannot discuss those parts in this open discussion.

Rupesh Tatiya : But when the commercialization is likely?

MANAGEMENT : Yes. Actually, repeat orders can be followed. Like as I mentioned, Navy is interested after seeing the technology being developed by DRDO, I understand that Navy is showing interest to get more numbers. So exact quantity and all timelines and all probably in next few months, we will have this information.

Moderator: Ladies and gentlemen, as there are no further questions, I now hand the conference over to the management for closing comments.
S. G. Reddy: Thank you, and thank you for your participation and your presence. I hope we are able to answer your queries, and we'll be joining you after Q2. See you again.
Dr. M. V. Reddy: Thank you very much.
Atim Kabra: Thank you. Thanks, everyone.
Mod erator: Thank you. Ladies and gentlemen, on behalf of Astra Microwave Products Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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November 1 9, 2025

To
The General Manager
Department of Corporate Relations
BSE Limited
Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai -400 001
Scrip code: 532493

To
The Vice President,
Listing Department
The National Stock Exchange of India Limited
Exchange Plaza,Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Scrip code: ASTRAMICRO

Dear Sir/Madam,

Sub: Conference call transcript.

We are sending herewith Conference call transcript held with analysts on 13th November , 2025.

The above information is also made available on the Company’s website www.astramwp.com .

Thanking you,

Yours faithfully
For Astra Microwave Products Limited

T. Anjaneyulu
Company Secretary & Compliance Office r

“Astra Microwave Products Limited
Q2 FY '2 6 Earnings Conference Call ”
November 1 3, 202 5

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 13, 2025, will prevail.

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
DR. M.V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
MR. ATIM KABRA – DIRECTOR , STRATEGY AND BUSINESS DEVELOPMENT – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Astra Microwave Products Limited Q2 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantee of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please not e that this conference is being recorded.

I now hand the conference over to Mr. S. G. Reddy, Managing Director of Astra Microwave Products Limited. Thank you. And over to you, sir.

S. G. Reddy: Thank you, and good evening to everyone. A warm welcome to al l the participants joining the post results earnings call of our company. I'm joined today by my colleagues, M.V. Reddy, Joint Managing Director; and Mr. Atim Kabra, Director, Strategy and Business Development; and representatives from SGA, our Investor Re lations advis ors. The results and investor presentation for Q2 and H1 FY '26 have been uploaded on our company website and stock exchanges. I hope you had the opportunity to go through them.

In terms of the business and the financial performance, I am ple ased to report that we have delivered a strong performance for this quarter, with improved margin supported by a favorable revenue mix. We are gradually and strategically transitioning from primarily supplying subsystems and components to delivering comple te systems and integrated solutions.

In terms of actual performance for Q2 FY '26, standalone revenue stood at INR213 crores with EBITDA of INR46 crores, reflecting a healthy margin expansion to 21.7% and a profit after tax of INR21 crores.

On a half yearly standalone basis, the revenue was INR410 crores, up 7.2% year -on-year. EBITDA stood at INR85 crores with a margin of 20.6%, while the PAT grew by 13.5% year - on-year. These results underscore the strength and the resilience of our core operations.

Major product deliveries during the quarter included modules for Ashlesha and Rohini radars, 3D-CAR prime , FLR, MPR, HMR, SDR and several others. In terms of order book and business outlook, our standalone order book stood at INR1,916 crores as of 30 Septe mber, 2025.

And on a consolidated basis, it is at INR2,209 crores, providing strong visibility for the coming quarters. The order book continues to be predominantly domestic, particularly in the defense sector. Since most of the domestic business is build -to-spec driven, profit margins remain strong.

A key highlight during the period was securing a major order for refurbishment of entire Electronics for long -range radar. Successful execution of this project is expected to open doors for many more such oppo rtunities. We have also completed several price negotiation committees and participated in good number of RFPs with strong winning potential, giving us confidence to achieve our year -end order booking targets.

We have also seen a notable improvement in th e operating cash flows during the first half of the year, and we expect this positive trend to continue. On the product development front, we continue to make progress in AESA Virupaksha and Uttam radars . As far as the joint venture is concerned, our ARC c ontinues to perform well.

The backpack SDR s for The Indian Army developed by the company on NCNC model is waiting for final technical approval. In the meantime, ARC continues to deliver Software Defined Radios for The I

ndian Air Force and has received init ial orders for maintenance of electro -optic products, a new product line adopted by the company very recently.
It has also secured INR286 crores order from The Ministry of Defense for supplying advanced communication systems to The Indian Air Force Specia l Forces very recently. It is expected to do about INR41 million sales for the year and expected to have an order book of close to $100 million by the end of the year.
In terms of technical achievements, we are proud of our recent achievements that highli ght Astra's technological leadership. We have been engaged with the India's space program for the last 25 years and have contributed to several landmark missions, including the recent ISRO's CMS -03 satellite, India's heaviest communication satellite , throu gh the supply of advanced RF and microwave subsystems such as C -band 15 -watt SSPA and the Ku -band receiver and converter.
In terms of industry outlook, India's 15 -year defense road map envisions a future -ready, self - reliant and technology -led military by 2040, emphasizing indigenization, innovation and integration across land, sea, air, space and cyber domains. The recently approved procurement proposals worth INR79,000 crores mark a significant step towards accelerated capability building and a deeper par ticipation from the Indian defense industry companies.
This vision also aligns with India's goal of becoming a global defense exporter, paving the way for greater opportunities for the private players like Astra Microwave. In the long-term, Astra is well p ositioned to capitalize on these developments, continue delivering cutting -edge products , and expand its capabilities and contribute meaningfully to India's defense and space again.
With these remarks, now I hand over to Dr. M.V. Reddy, Joint MD and Atim Kabra later on, who will give more insight into new product development, business outlook in the near and long term, and the strategies adopted to take the company to the next level of growth cycle. Over to M.V. Reddy.
Dr. M. V. Reddy: Thank you, S .G.R. Good evening, ladies and gentlemen. The overall performance of the company in the first half of the FY '26 is in line with the expectation, and we are well positioned to do much better in the second half, both in terms of order inflow and sales.
We would like to share a few key achievements and business update of this quarter. With regards to the standalone order book, we are at INR1,916 crores as on 30 September and concluded negotiations for INR400 crores plus orders, which are expected to book in Q3. We plan to book INR600 crores plus worth of orders in Q4. In the last quarter, majority of the orders we booked

are in the radar and EW segment, including strategically very important orders, as Mr. SGR mentioned, for the growth of our organization.
I'm als o happy to share that we have emerged very successful bidder in most competitive project of EW suite for Su -30 as a lead system integrator. On the execution front, we are almost at par with our sales target, though we are facing few challenges to complete a couple of space projects.
Our JVC, ARC has picked up well and expected to book approximately $100 million to $120 million worth of orders by end of FY '26. With regard to sales also, ARC is in line with the guidance given and expected to book sales of $4 2 million in the current year.
We reiterate to mention that with a strong order inflow, healthy prospects and strengthened technological capabilities, we have a clear visibility of delivering consistent growth and creating long-term value for our stakehold ers.
Our focus remains on executing existing strategic important and critical orders efficiently while leveraging new opportunity in defense, aerospace, satellite and metallurgy market segments.
That's all from my s

ide.
I would like to be happy to answer your questions. Now, I'll hand over to Mr. Atim Kabra, Director, Strategy and Business Development. Over to you, Mr. Atim.
Atim Kabra: Yes. Thanks, M .V. Thanks, S.G. Good afternoon, friends, and welcome to our quarterly outlook meet. This time, I want to address two broad themes in my presentation today. One, I would like to draw your attention to the reality of product development and cycles and the time it takes to create products and hence, the moat in the business whi ch arises. And second, I would like to give you a sense of our growth plans and the number outlook for the next 3 years, 4 years, 5 years or so. And that's for the first time that we'll be doing so.
Basically, capabilities in the new modes of warfare will be tech -driven. And as you know, tech

curve is steep with a very short shelf life. So the questions which arise are manifold. Will electronic warfare limit the ability to penetrate enemy skies? Will slow -moving aircraft, helicopters stand a fighting chanc e against the max speed missiles, which are now the order of the day? Or will a fight to strike enemy locations with precision over long distances shall turn the tide of the war?
Will infantry stand a fighting chance against drones? And these drones will b e maneuvered over long distances by drone pilots sitting across remote locations and so on. But if you really think about it, all of these scenarios are compelling. And the new rules that are being called in for writing the manuals of warfare are new for e verybody.
But one thing is clear. The ability to detect threats ahead of time using radars will be critical. Similarly, offensive capabilities will be built around radars and seekers, forming into targets with agility and precision. And Astra is proud to b e operating in all these critical segments.
As you know and as we stressed big time and explained in detail the last time we spoke, that we are a very well -diversified company operating in the areas of radar, missile systems, electronic

warfare, space, chi p design, weather, metrology, communication systems, etcetera , etcetera . And when we speak of radars, they are both airborne, shipborne and ground -based. So, we are a platform company operating in the entire segment of electronic warfare, if I may say so.
Our scientists have proven that systems which have been developed over the years have worked well and self -reliance and self -sufficiency has gained much currency. Expectations accordingly have risen sky highs, but we will churn out globally competitive ne w warfare -based solutions and products in no time. But reality, if I was to stress, is a slightly different scenario.
Products, they take time to be designed, built, tested and they require serious multi -year tests before they can be given the green light to be produced in mass numbers, which can create high -sales volumes and profits for the creators. So, they have seen companies talking about 10 -year horizons in which their sales will take off, etcetera , etcetera , and they will become platform companies.
So when we require tests across multiple user trials across different conditions and creating products that require coordination and supply chain linkages amongst various components, subcomponent suppliers, these are typically multi -year efforts. Their co re capabilities get morphed into products and solutions using parts, which are produced in -house are core to us and then several, which are procured from external vendors and everything morphs into one product.
So, where does Astra fit into the other scen ario? As we see it, our revenue base would comprise of a traditional supply of subsystems and critical components, with us being part of designated supply chains for various products, which have been developed within our country over decades by our

disting uished clients in the defense PSUs as well as defense labs. This subsystem capability, we will layer with complete Astra designed and produced radars and other war gain systems and solutions.
Last time I mentioned to you, we are creating three completely Astra radars, which will be in the market pretty soon. So while the former provides us a regular sustenance business, which highlights our very well diversified and electronic development capabilities, the later solutions will enable us to book high -value, high-volume mass business with multi -year production contracts. And that, I think, will be the essence.
And it has taken us, please remember the 33 long years to cross a revenue of INR1,000 crores, which also reflects partly on how the Indian defense ind ustry has developed from scratch. The time line is also, if I would say, a reflection of the long development cycles that form the bedrock of our nation's defense equipment production and designing capabilities.
It is going to be a hard and time -consuming exercise, in my opinion, for any new entrant to break into this business at scale and in a short period of time. And that is a moat, which long established defense sector companies hope to benefit from. We have s een stellar results this now over the last few days from Data Patterns, from Paras . But I think it's a fair thing to say that this is a sign of times to come.

Somebody will come in, in one quarter. Somebody will come in, in the other quarter. But the trend is fairly positive over a period of time. But we will all capitalize on the significant market for solutions opening up based on the extensive product ranges, which have been created over a period of time.

Now as you know, Astra management has always pr ided itself on its conservative estimates. We'll love to meet our guidance, and we put in serious amount of efforts to do so. So, we have waited for clarity on our numbers to share our ambitions with you for a long, long time. And as you know, we are very crucial partners in multiple platforms, which are going in for production now.

I'm talking of QRSAMs, Uttam radars, Virupaksha, Su -30, EW upgrade, which S .G.R just mentioned. We are the LSIs over there, Software Defined Radio. And these are the cornerston es of our enhanced visibility, which we are very comfortable to share with you now. So what are we talking about?

We are happy to share in our belief that what we accomplished in 33 years, okay? The x turnover, which we have achieved in 33 years, we are se eking to build on that foundation, and we have a very good chance of doubling our turnover, 2x plus over the next 3 to 4 years.

I think this is very important that for the first time, Astra management is coming out and telling you that over the next 3 to 4 years, we will become 2x of our current size. And that lays the platform over the next few years thereafter for 3x, and we will talk to you about how. And let me be quiet for a second and let that sink in, right? That will be quarter billion dollars on current exchange rate that we will exceed.

FY '27 turnover, okay? Before I go into that, I want to highlight about approximately half years back, we met investors during our QIP round. And we were very clear that growth will be rear - ended. And I think we w ere the only guys talking about a rear -ended growth at that point in time. And that speaks for our conservatism.

We defined at that time around INR8,000 -plus crores of business, which we had in sight very clearly. And we were very clear also that the first 3 years -- and I'm talking of 2 years, 2.5 years back, for the first 3 years, we would be the staging grounds preparing for the execution required in the production orders as we just explained or mentioned to you the orders in the key platforms, which we shall be executing.

So what are the num

bers that we are talking about? I think FY '27 turnover, we shall start seeing revenues from QRSAM project. And we hope to close it somewhere around INR1,400 crores, INR1,500 crores plus/minus INR50 crores range that particular year.

That year, we will have -- the year after that, we will have QRSAM -plus revenues starting to come in from Uttam radars for Tejas. And we hope to cross, I would say, somewhere around INR1,650 crores plus/minus again, INR50 crores in FY '28 .

Now that is the year, if you recall, where the QRSAM will start going into full -blown production. And of course, our numbers depend on our clients' delivery schedules, okay? FY '29 will reflect

revenues from QRSAM plus Uttam radars. And we hope at that point in time, Su -30 upgrades shall start to kick in. And that shall bring us to a very nice number very close to INR2,000 crores at that point in time.

And I think the year after that, all these programs that we are talking about, QRSAM, Uttam radars, Su -30, EW Suite, Virupaksha, okay, they will be in full -blown production. So, FY '30 should see us somewhere around INR2,250 crores to INR2,500 crores range. And please, when ever you look at these numbers, remember that we are talking 3 to 4 years, and we are just about INR1,051 crores last year, okay?

So, we are focusing on our production lines from now. This is as promising a future as it can be. Whether it takes 3 years, 3.5 years or 4 years, I cannot cast it in stone, but it is a great business outlook. I always believe there is -- time is our only maj or variable amongst many, that is unclear.

And here, time is the only factor, which depends on the clients. So, we are fixing our production lines. A new building is being constructed to take care of these requirements. And we are beginning to focus on Ast ra-branded products and solutions, which I will speak more about the next time. But let me not stop here on the quarter billion dollars plus projections.

We are talking now very seriously planning and deliberating , in due earnest , on multi -pronged strateg ies to jump at least four -fold from the quarter billion dollars to $1 billion company. Astra will be a $1 billion company. I cannot put a time line on to that. But if you can see the scale at which we are growing up, you can very well be confident that we will get there.

If Astra is going to be a $1 billion company, we believe that it is a very achievable target given the capabilities that exist in our company, which we intend building on further and deliver a world -class $1 billion company over a period of time, which is based on capitalizing on our nuts and bolts to a multiple platform strategy vision, backed by capabilities of an amazing team with multi -faceted talents.

We have spoken about this earlier. And I think I'll stop, take a breather, answer a l ot of questions, I'm sure which you will have as we move forward. But that's the broad vision. We will create a 2x in the next 3 to 4 years, 3x soon thereafter. And we are focusing on $1 billion target, becoming a $1 billion revenue company over a period o f time. Thank you.

Moderator: Thank you very much. T he first question is from the line of Amit Dixit from Goldman Sachs. Please go ahead.

Amit Dixit: Thanks for the opportunity and sharing the medium -term/long -term vision for Astra. A couple of questions from my side. The vision that we talked about actually is more domestic focused. But what we are seeing now is a lot of defense surge -- spending surge in Europe. And with our branded produc t solutions, what kind of strategy we have to penetrate these export markets with the kind of products we have, particularly now some of these like Uttam radars, EW Suite for Su-30, these are fairly proven. So just wanted to get a little bit of flavor on e xport strategy. That is the first question.

The second question I have is on the working capital side. As Mr. Reddy said in his opening remarks that it is very, very evident also that receivables have been unlocked. So, what kind of working capital days o r cash conversion cycle we are looking at end of FY '2 6?

Management : Let me take the first question -- the first part of the question, then I'm sure SG Reddy will address the second part. Just 2 hours back, MV Reddy and I had a discussion on our European a nd NATO expansion strategy. We cannot build anything from scratch sitting here, right? We have identified one potential partner.

We don't know if the deal is going to happen or not, okay? But these are guys who have been working in that space, etcetera , etcetera . We have multiple ways of collaborating with them. But I think collaboration is the way to go forward, wherein not only will they act as our distributors, but also our technology partners, sourcing technologies, licensing technologies, etcetera , etcetera .

I would hasten to add here that to penetrate overseas markets in any larger context, you require complete products. I can't go to somebody and say that I will build an AATRU for you, AAA U unit for you, okay? Or I will bring a small subsystem thing. It has to fit in into their overall context.

So if you have to really look at capturing a larger slice of the overall market out there, you need solutions which have been tested here, tested somewhere and meet the nee ds of the market, right? So, we are actually -- that will be one of the key cornerstones of our strategy, if I'm answering your question. Obviously, I cannot give you any significant details, but that's the broad thrust of our thing.

If you think about it , our lead strategy, which we have defined earlier, we are a collaborative platform. We are looking -- we don't seek to claim that we have everything or we are 100% in - house complete platform.

Platforms and solutions will require skill sets and tech, which we source from others also to build up around our core tech and have it tested out for real -time solutions. But that's probably one of the quickest ways to go into the market.

I think SG will answer your working capital question.

Management : Yes. Amit, the days are improving primarily because of some of the critical programs we are able to close it in the first half of the year. As a result, the long -pending receivables were realized and hence, the cash flow position has improved. Going forwar d also, we see the same trend to continue. Therefore, there is a positive thing happening in terms of working capital days.

But only time will tell whether we are actually able to stand at that number by the end of the financial year. But we are very hopef ul that the number of days will come down significantly. I don't want to put any specific number now. I'm sharing with you the internal developments, which I believe will facilitate the improvement of the working capital days.

Moderator: Thank you. T he nex t question is from the line of Ketan Gandhi from Gandhi Securities & Investments Private Limited. Please go ahead.

Ketan Gandhi: Atim, you really indeed made our heart beat stop for a second. It is so overwhelming to understand. No, no. I mean it's really fabulous. I had some questions, but I forgot all my questions. I'm just thinking what you're going to do in the next couple of years and then another couple of years.
I think what -- as you rightly said, what you have done in the last 30, 33 years, you're going to achieve in the next 2, 3, 4 years . And as being a conservative management in terms of the guidance and all that. I'm sure you will be able to achieve this. Thank you and all the best, Atim and all the team Astra.
Management : Thank you. And I will just add to t

his. We cud have come up with vision 2 years back and kept on speaking about it, right? But we are mentioning this at this point in time because these are programs now which are crystal clear in sight, right? So as As tra, we only want to talk about what is more or less clear. And I think that's where we are fairly confident of delivering this.
Ketan Gandhi: Sure. That also gives us a lot of confidence that all the -- as you rightly said, all the programs are in the pipeline now and it' s all established now. So, even I don't feel that why you should not be achieving all th is what you’ve said . Congratulations, and all the best for the future. Thank you team Astra.
Moderator: Thank you. T he next question is from the line of Vikash Singh from ICICI Securities. Please go ahead.
Vikash Singh: Sir, just pertaining to this $1 billion program basically or the target, in terms of capability of the capex , in order to achieve there over the next 5 or 6 years, how much of the capabilities ar e already in place? What we need to develop? And how much the additional capex would be needed for the same?
Management : Vikash, it is not 5 to 6 years for the $1 billion. Next 3 to 4 years are to cross -- to exceed quarter billion dollars , okay? But as yo u know, these programs require years of proactive planning. So today, 3 to 4 years back, we are embarking on multiple strategies, fine -tuning partners, alliances, etcetera , etcetera .
Let me give you one example of what we are talking about, right, okay? Ev erybody knows that space is the next frontier, right, okay? SG mentioned that, that we have been more than two decades in the space business.
Quite a few of you actually have come to our unit and you have gone through the kind of equipment, which we have i n place to test space grade equipment and subsystems, which are made for ISRO, SAC, etcetera , etcetera . Is it a far shot to imagine that we would be doing what we've been doing for ISRO and SAC for global players where everywhere, the space is exploding, number one.

Number two, very -- we have all been talking about LEO. Now, near LEO is also very well is getting established, which at some point in time, will compete with drones, drones which a re seen may possibly become an intermediate step in the evolution, right, okay? That again will necessitate a large number of satellites, mass manufacturing to happen.
Companies are raising money at like $750 million, $800 million valuation with hardly any revenue numbers to their credit. If I extrapolate these numbers, actually, I got close to my current market capitalization. Actually, I have numbers to support that kind of a valuation if I extrapolate space business alone. But forget about that.
Very near Earth orbit will require and LEO satellites will require a whole lot of satellites to be put in place, right? And I don't -- I think 5 or 6 companies in India, which have the capability to create these kind of products on a mass scale, okay? We being one of them. We intend completely to capitalize on this larger trend. And I believe space will be a fascinating business.
In terms of capex , right, space, I don't think it will require honestly in the immediate short term, any significant investment from our side because we have already commissioned our facility in Bangalore to assemble -- to design and assemble small satellites. It's already commissioned, okay?
We are building our own satellite, which we shall put in space in about less than 24 months, our own Astra SAT -1 should be in space with multiple payloads, okay? We could have done that earlier as a demo satellite, but no, we want it to be revenue accretive. We don't want to just spend money to be eligible for programs. We want it to be revenue a ccretive and profitable for us. That's why we delayed the launch of these satellites.

So, these are multiple programs which are in the works, right? So as the strategy is developed, I guess capital requirement subsequently will be at that point in time. B ut please remember that if

you're doing quarter billion dollars kind of a turnover, our cash flow is also going to be quite significant.
If our cost base doesn't increase, it should not because we have the facilities in place. So, we will not see dramatic improvement or requirement to invest in doubling our turnover, okay? And that should lead to a disproportionate impact on the bottom line from a cash flow perspective. And that's where we are. Rest time will tell.
Vikash Singh: Noted , sir. So to sum up, up to quarter billion dollars kind of the revenue, all necessary ingredients are in place. Is that a correct assumption? And how we should look at the margins because space and defense are the two better margin business usually? So, how should we look at your margins going forward overall?
Management : I think there are a couple of players in the market, which have better margins than us. So, we have something to look forward to, okay? I don't think our margins have reached probably the peak. But as we go into systems, right, okay, and which we are increasingly going into, I don't -- in a very competitive environment, okay?

I think instead of an upfront complete margin business, you might see a strategic decision where upfront is less, but you hav e AMC contracts, which are kicking in, which will be multi -year, etcetera , etcetera . But we don't -- I think the margin base which we have right now, right, that plus/minus a few percentage, that is very, very defensible. S.G, M.V, do you want to add somet hing to this? Or am I being right?
Management : Yes, not much, Atim.
Management : Okay. So, I'm on the right track then. Okay.
Vikash Singh: And sir, is it safe to assume that much of this growth would be back -ended, probably FY '28 -- '27-'28 rather than '26?
Management : Absolutely. This is not something you can look at on a quarterly basis or short term, right, okay? There are multiple other companie s, which can probably meet that need, right, okay? We are a company -- we are very clearly defining for you a 3 - to 4-year vision, right, where substantial growth is right now sitting in front of us. The challenge is execution.
And I'm proud to say that we have a fairly kick -ass execution team led very heavily by S .G.R and M .V.R, here okay, and supported by some really fantastic guys who have performed. So, I think we are very well placed, if I may say so.
Vikash Singh: And sir, if I can just squeeze one mo re question. Going forward, if we look at the defense procurement document, which has come out a couple of months back, a lot of focus has been given on electronic warfare where we are also present. So in terms of the capability side, you said you are goin g to develop systems. Could you give us some a little bit more insight that where we are in terms of capability currently? And what are the segments where we want to develop?
Management : We have the basic building blocks in place, but I get beaten up by M .V.R for disclosing too much, right, in a competitive world. So, I'm going to defer this question to M .V.R, okay?
Management : I think I'll answer this question. Basically, we started our EW journey almost about 20 years back, and we basically started building components and subsystems. And now we started building the systems, especially for the airborne platforms, we started developing in the concurrent designs with DRDO.
And there is a reaso n why we got that EW suite order like , you know for Virupaksha. I'm sorry, on our Angad project. And apart from that, we were also focusing a few EW systems like ESM and ECM systems, especially ESM for the naval applications that we started off a couple of ye

ars back. In between we put that project on hold because of the few specifications were changed.
So now, again, we are resuming that. And probably in a couple of years, we'll be in a position to complete that and deliver to -- or demonstrate to Navy. S o likewise, we started both in ground as well as for airborne applications. We are slowly building the capability in all broad spectrum of the EW segment.

We have a core design team with us, and we have an advantage of having the core design team who under stand well, right from the components to the entire system level. And recently, we

have added a few guys who got a good experience in system engineering that adds value to all the existing team. So with that, we can -- we are confident that we will be in a position to develop EW systems.
Moderator: Next question is from the line of Analyst. Please go ahead.
Analyst : Sir, firstly, congratulations on great margins and for giving such a fantastic outlook for FY '30. Sir, just wanted to ask, so you have given for FY '27, '28, '29, '30 as well. So if you can throw some light how are you planning to close this year maybe on the top line basis on the margin front?
Management : Margins should be there. M.V, do you want to handle this?
Management : Yes. I think our guidance is for INR1,150 crores to INR1,200 crores , if I'm not wrong. That's our guidance. I think we'll meet it hopefully.
Analyst : Yes. So, this was the guidance that was given earlier. So you are already on track ?
Management : We are on track. INR1,150 crores to INR1,200 crores. INR1,150 crores to INR1,200 crores is the range. But guys, listen, most of our efforts are now for the next year and the next 3 years thereafter. So that's what where our focus is. MV, do you want to add something?
Management : Actually, Nikhil, the question is not clear. You are asking about the margins for the coming year.
Management : Current year. No, current year. Current year, S .G. He is asking for current year's guidance.
Managemen t: Current year, the gross margins will continue to be what we have delivered now. I would say in terms of EBITDA or PBT, we should be able to maintain the margins what we have delivered up to now. I see some positive side out of this, but minimum is whate ver is delivered now, we should be able to maintain.
Analyst : And sir, for FY '27?
Management : So, I have given you for FY '26. Now for the going year FY '27, FY '28 kind of thing, gross margins continue to be around 45% to 50%. That is what the standard for the last 2 years. Once we maintain that, the follow -up margins will continue to be what is there with a slight positive increase there.
Management : Bias is on the positive side.
Management : Bias is on the positive side.
Management : Very well put here. Very well explained.
Analyst : Okay, sir. And sir, just wanted to confirm you said that in Q3, you will receive newer orders for INR400 crores and INR600 crores in the last quarter, right?

Management : Yes, that's right.
Management : What's happening when the y are hanging up? Somebody is hanging up, I think. Again, S .G, is that you and me?
Moderator: Sir, I have promoted another participant.
Management : Okay
Moderator: Keyurkumar Vadaliya , you there?
Keyurkumar Vadaliya : Yes. Hello. So my question is, sir, if you track our last 8 quarters, like second quarter, you have delivered a number of N-defense related to INR160 crores, right? So why the peers all are putting the great numbers and why our number is not in the growth aspect. So first question is that. And second is like in last quarter, you had told us that S-Band naval radar and the Seeker they are under trial and further on that we expect all the orders from . So, what are the position on that, sir?
M

anagement : Is it not a function of what products , which client is -- which company is delivering in which quarter, right? We cannot comment on any quarterly numbers. But look at the trend, do the half - year numbers. We cannot be looked at quarterly, right? This is not the company, the right company and the right industry to look at on a quarterly basis.
I think we have made it amply clear. We don't want to address this again and again , okay? We are here to present to you in a long product cycle, long gestation product business. We are here to deliver consistent value over years.
Keyurkumar Vadaliya : Yes, sir.
Himanshu Jindal: Hello.
Keyurkumar Vadaliya : Hello. I'm able to hear you, sir.
Management : I don't know. Somebody else -- Something said something else. So, we cannot be looking into that on a quarterly short -term basis guys. Look at us in blocks of years, see where we were 2 years back, where were we 4 years back, 6 years back, right? I think the trend will be very, very clear to you of what we are trying to do.
We are, for the first time, giving you a 4 -year vision, right, okay, where we are. X is becoming 2x plus, 2x plus, okay, on the back of orders, which are there in sight, okay? So that's how we

need to be -- that's how we look at the business. It's your prerogative how you look at the company, right? We are nobody to comment on that. But that's how we look at our business, right, if I may say so. So, the re was a second part of the question, which I think on the Seekers , which M .V can answer thoroughly

Management : Seeker part, most of the tests have been completed and some repeat orders we are expecting in the next couple of months with the limited series production numbers. The exact quantity we'll come to know only by next month, but we are expecting at least 20 -plus numbers by March '26.

Keyurkumar Vadaliya : Okay. And sir, last thing, in last quarter, you have commented that you submitted many RFI on the counter drone side and there was kind of a ground penetrating radar that we can get like 100 units every year. So, what is the status on that, sir?

Management : On counter drones, let me answer the counter drones, right? On the counter drones, we were L2 in 3 bids. We lost out on them. There are many more opening up. Hopefully, we'll get something, okay? But it's a bid-based process. On GPR, I think it is -- we -- that's the kind of outlook we have. That's one of the product lines. But M .V, if I'm not wrong, none of the GPR bids have been opened, right? Is it?

Management : No. We have participated in a few RFPs. We'll come to know in the next couple of months. Actually, counter drone now we are working out a strategy to optimize further the technology to make sure that we can offer a different solution to different market segments.

Initially, the product what we have d eveloped is basically kind of a generic and a product -- for a few of the customers, it became a bit costly. So hence, we lost out in a couple of cases. But now we are further optimizing this technology. Our team is working on that to make sure that each s egment will have kind of a competitive solution.

Management : So, guys, here, I think what M .V is saying is we don't want to be competing at the low -end, low -volume space in counter drones. I think we'd rather be going for specialized high -value, slightly more complicated multi -faceted solutions. That is our strategy on which we are working on right now.

Keyurkumar Vadaliya : Any comment on the metrology product you were saying last quarter?

Management : We've got the order, and we will explain. Yes, please.

Management : Yes. Metrology front, we have already bagged a good number of orders. And going forward also, now one contract is almost finalized. We have concluded negotiations. We are expecting orders soon. And also two more t

enders we have participated for which TAC is going on.

In a way, I would say, in Mausam Mission program, especially in the radar front, weather stations front, we are the leading supplier and we bagged maximum orders till date. And going forward also, we have a very competitive solution . So hence, we are confident of bagging majority of the share.

Moderator: Thank you. T he next question is from the line of Vipul Kumar from Sumangal Investments. Please go ahead.

Vipul Kumar: So, what is the current outstanding order book for Astra Rafael Comsys System Private Limited?

Management : The overall order book as of 30 th September is somewhere around INR336 crores. And we are expecting around close to INR800 crores to INR850 crores in next 6, 7 months.

Vipul Kumar: For Astra Rafael, right, sir?

Management : Yes, yes.

Vipul Kumar: And what was the ir contribution to revenue and EBITDA for this 6 months, sir?

Management : Contribution, I think it is close to about 35%. I don't have the exact number of Rafael contribution. I don't have a clear number o f revenue contribution. They have made a profit before tax of about INR11 crores for the half year. And for Q2, it made about INR7 crores on a top line of about INR78 crores of sales .

Vipul Kumar: Okay, sir. And so over the next 6 months, what type of exec ution we can see in this Astra Rafael?

Management : By end of the financial year, it is attempting to do a business of close to about INR350 crores, close to that.

Vipul Kumar: INR250 crores for the entire year. That should be the revenue, right?

Management : For the entire year, yes.

Moderator: Thank you. T he next question is from the line of Aayush Jha from Sagun Capital. Please go

ahead.
Aayush Jha : Sir, my first question is regarding the improvement of the gross margin. If you compare Y -o-Y, gross margin has been improved by 1,000 basis points and for H1, it is improved by 600 basis points. And I want to know the reason . And the second question is regarding the other expenses. It is INR26 crores. If you compare to the other, it is significantly higher. So what was the reason? That was the two questions from my side, sir.
Management : Yes. As we said many times, gross margin is directly related to the product mix that has been sold by the company in a particular period. I will not be able to give specifically why it has gone up, but it is entirely due to the product mix. Probably we might have sold some of the products where the gross margin is slightly higher compared to the standard margins, and that is the reason why it has gone up.
Secondly, the other expenditure, there are one or two expenditures like equipment maintenance, which is a long -term contract with the supplier, Keysight Technolog ies, which was pending for quite a long period of time that got finalized in this quarter and we are under obligation to pay them. That is one line item, which has increased the other expenditure in a big way.
The second one, which I can recollect is abou t the CSR expenditure. The entire CSR expenditure for this financial year was close to about INR2.65 crores incurred in this quarter. So, these are the two external items, which pushed up the overall other expenses.
Moderator: Thank you. T he next question is from the line of Hansal Thacker from Lalkar Securities Private Limited. Please go ahead.
Hansal Thacker : Firstly, let me congratulate the entire management for painting such an ambitious mural of a vision. It's just very heartening to know that the comp any is going to grow leaps and bounds from here. I have a specific question regarding the recent order that the company got with respect

to the communication system. I just was wondering if this is the Manpack SDR order that we got?
Manag

ement : No, it's not Manpack SDR. Manpack SDR, POC is still going on. Most probably by December or Jan will get completed. The order which we bagged is from Indian Air Force for the different communication sets. That is under emergency procurement. They place the order.
Hansal Thacker : Okay. Got it. And sir, how do we feel about this Manpack order whose POC will complete in December ? Do we have any color on that?
Management : Trials will get completed. And we are expecting by March, I think they may open the bids.
Moderato r: Thank you. Due to time constraint, that was the last question. I would now like to hand the conference over to management for closing comments. Over to you, sir.
S. G. Reddy: Yes. Thank you, ladies and gentlemen, for participating and interacting with us. We hope we were able to answer all of your questions. And happy to see you again at the end of third quarter. Thank you.
Dr. M. V. Reddy: Thank you.
Moderator: On behalf of As tra Microwave Products Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Atim Kabra: Thank you, guys. Bye.

Call: Feb 2026

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Unit 3: Sy. No. 1/1, lmarath Kancha, Raviryala (V), Maheshwaram (Mdl) R.R.Dist., Telangana - 500005
Unit 4: Sy. No. 1/1, Plot No. 18 to 21, lmarath Kancha, Hardware Park, Raviryala (V), Maheswaram (M), R.R.Dist, Telangana – 500005
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February 19, 2026

To
The General Manager
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Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai -400 001
Scrip code: 532493

To
The Vice President,
Listing Department
The National Stock Exchange of India Limited
Exchange Plaza,Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Scrip code: ASTRAMICRO

Dear Sir/Madam,

Sub: Conference call transcript.

We are sending herewith Conference call transcript held with analysts on 13th February, 2026.

The above information is also made available on the Company's website www.astramwp.com .

Thanking you,

Yours faithfully

For Astra Microwave Products Limited

T. Anjaneyulu
Company Secretary & Compliance Officer

"Astra Microwave Products Limited
Q3 FY '26 Earnings Conference Call"
February 13, 2026

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 13, 2026, will prevail.

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA
MICROWAVE PRODUCTS LIMITED
D R. M.V. REDDY – JOINT MANAGING DIRECTOR –
ASTRA MICROWAVE PRODUCTS LIMITED
M R. ATIM KABRA – DIRECTOR-STRATEGY AND
BUSINESS DEVELOPMENT – ASTRA MICROWAVE
PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Astra Microwave Products Limited Q3 FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after this presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. S.G. Reddy, the Managing Director, for the opening remarks. Thank you, and over to you, sir.

S.G. Reddy: Thank you, and good morning, everyone. A warm welcome to all the participants to the post results call of our company. I'm with my colleagues, Dr. M.V. Reddy and Atim Kabra and SGA, our Investor Relations Advisors.

The results and investors presentation for Q3 and 9 months of FY '26 are already uploaded on our company website and stock exchanges. I hope you had a chance to look at it. In Q3 FY '26, the company delivered its best ever performance, supported by margin improvement, primarily due to favourable revenue mix and strong order execution.

Our standalone numbers for Q3 is at INR 258 crores with EBITDA at INR80 crores. Corresponding with the margin expansion, the EBITDA margin stood at 30.9%, while profit after tax is close to about INR 39 crores. These results underscore the strength and the resilience of our operational capabilities.

On a standalone basis, 9 months revenue surged to INR 668 crores with the EBITDA at INR 165 crores with a healthy margin of 25%. And the PAT has shown a growth of 6.3% year-on-year with a margin of 10.9%. Our stand-alone order book has crossed the INR 2,000 crores mark and stands at INR 2,226 crores, as of December 2025, providing strong visibility for the upcoming quarters. This includes orders of INR1,477 crores from defence PSUs and DRDO labs, INR 249 crores from space sector, INR369 crores from metrology and hydrology sector and INR130 crores from exports and deemed exports.

We continue to focus and execute the modules and subsystems with critical and complex applications in the area of electronic warfare, radar systems, space-based platforms. To mention a few, we have delivered Ashlesha and Rohini modules, expand DWR, AATRU, telemetry products and some more products for QRSAM and SSPA during the quarter.

To strengthen our relationship and be a partner in Make in India programs, we signed an MOU with Bharat Electronics to work together on design development and manufacturing of advanced systems with a shared objective of strengthening indigenous design and production capabilities in key defence technologies.

On the order flow front, we received INR 450 plus crores of orders during the year, which has a mix of defence and other segments. We are on the way to achieve our order guidance for the year. More details about the same will be shared by JMD. Our joint venture, Astra Rafael Comsys has bagged two prestigious orders worth INR300-plus crores during the quarter and is poised to do well in the coming years.

From a strategic standpoint, we continue to take steady steps towards becoming an integrated player in advanced electronic modules, subsystems and complete systems for defence electronics and space applications. More business-related updates and future plans will be shared by my other two colleagues.
Quick industry updates. When we look at the broader industry landsca

pe, it is evident that the
defence sector has undergone a structural shift. It is very encouraging that the government is working towards improvising the earlier L1 formula under which the lowest technically compliant bidder was selected, which is now changing by incorporating additional technical parameters as well as indigenous design.
The Indian government now chooses to prioritize the Indian companies that focus on research and development and invest in owning IPR rather than just obtaining technology transfers.
Looking ahead, the Union Budget 26-27 provides a strong thrust towards indigenous manufacturing and reduced import dependence, positioning domestic defence industries, including private sector players, as key beneficiaries.
The government's continued focus on defence modernization, Make in India and self-reliant is clearly reflected in the budget with allocation towards defence increasing by 15%. Within the aerospace ecosystem, the Space segment is witnessing accelerated momentum, supported by raising investments, expanding capabilities and strong policy backing.
The Union Budget 2026 underscores this trend by healthy allocation to the space sector, highlighting government's intent to strengthen India's space capabilities and support long-term ecosystem development.
Currently, our order visibility across the industry is strong and backlogs are no longer a constraint. The focus has therefore moved to execution specifically, the ability to meet delivery milestones, while protecting margins and maintaining balance sheet discipline.
Additionally, a further support from various global trade engagements is expected to enhance export potential. Together, these developments act as a strong tailwind for all defence PSUs as well as private sector companies like Astra.
From a near-term perspective, we reaffirm our growth targets for FY '26, comprising approximately 10% growth in top line with a healthy PBT level and order inflows in the range of INR1,300 crores to INR1,400 crores.
Here, I would like to assure all of you, though we have achieved about INR600-plus crores revenue as of Q3, we are confident to reach our target of INR1,150 crores as a top line for the

year. Further, as previously guided, we are on track to deliver revenue growth around 15% for FY '27 and an order book of around INR1,500 plus crores with a healthy bottom line.
Further, when we look at the long-term perspectives of the company, we are sure that company is likely to grow much faster from the financial year '28, '29 onwards. And I'm sure all of you will be very happy with the performance of the company. With this, I thank you very much.
Now I hand over to M.V. Reddy and later on to Mr. Atim Kabra.
Dr. M.V. Reddy: Thank you. SGR. Good morning to all and thank you for joining us. I'm pleased to report that our company continues to demonstrate a strong operational resilience, disciplined execution and moving with a clear strategic direction to achieve its goals.
As we close the third quarter FY '26, our performance remains aligned with the guidance we shared at the start of the year, reflecting both the strength of our execution engine and the trust our customers and partners place in us.
As of December '25, our order book remains in line with the guidance. As my colleague just now mentioned, we have booked about INR476 crores orders in Q3 and overall stand-alone order book stands at INR2,226 crores.
We have also concluded price negotiations for the contracts worth of approximately INR550 crores to INR600 crores, which are likely to convert into firm orders by end of this quarter. With the visibility, we remain firmly on track to achieve our FY '26 order book guidance of INR1,400 crores to INR1,450 crores. Our delivery pipelines are stable.
Execution across program is disciplined and our revenue trajectory continues to be healthy. Th

e
third quarter has been particularly encouraging with high-value wins in critical defence and weather segments totalling around INR300 crores. This includes Doppler weather radar and software defined radios, reinforcing our leadership in advanced RF and microwave systems.
We also secured strategically significant wins such as DcPP for EW suites for Su-30 platform and also a few other subsystems, strengthening our role in complex subsystem integration and

deepening our participation in mission-critical national programs. Looking ahead, we are even more energized by the strategic opportunities before us.
We are strongly positioned in the major programs, which our DPSU customers are expecting contracts in the next couple of quarters. where our competitive edge lies in key subsystems and in-house critical MMIC capabilities. At the same time, as we had mentioned earlier, we are expanding our presence in space domain, which we see as a major long-term growth driver.
We partnered with a couple of start-up companies to participate meaningfully in the evolving space ecosystem, combining our RF and microwave strength with advanced propulsion and satellite technologies to capture opportunities in both domestic and global markets.
We continue to invest in future-ready technologies aligned with evolving Ministry of Défense requirements and growing export opportunities. Our JVC, ARC overall performance is

exceptionally well and executed USD18.19 million in Q3. With order book of $80 million and with the visibility of opportunities, which we have today, we are confident of maintaining sustainable growth for the ARC in next 5 to 6 years.
In summary, Astra Micro is delivering exactly as committed. We are meeting our guidance, strengthening our order book with high-quality programs and executing with discipline and confidence.
More importantly, we are building a technology road map aligned with the market needs and global trends. The future ahead is not only promising and strategically secured through sustained investment in technology, partnerships and execution excellence. That's all from my side.
I would like to be happy to answer your questions. Now I hand over to Mr. Atim Kabra, Executive Director.
Atim Kabra: Thank you, MV and SG, for a quick summary, as always. And like you both, I too can sense that Indian defence and aerospace sector is pregnant with multiple opportunities. It has been 5-plus years and only 5-plus years since DAP 2020 and the vision laid out by the government at that time has led to the blooming of this sector. And now we have the revised version almost in place.
However, I continue to believe that private sector defence is still in its infancy. And even though all the companies here are expecting a flurry of orders, we all still face an execution challenge, which if handled efficiently, will take the sector and the constituents of the sector to newer heights.
So on the back of these developments, last quarter, for the first time, we were confident enough to mention that 3 to 4 years from now, we are expecting to more than double our turnover. On time lines are hazy as the entire ecosystem has to come together for the price negotiations to happen, orders to be placed, supply chain activated, flawless execution to happen and then at the end for the end client to accept and take delivery of the product.
So today, I want to briefly touch upon the criticality of adequate financing and how that is the lubricant, which keeps the working -- the system moving in an efficient manner. So as you're aware, defence is a highly working capital-intensive industry.
The government does release the orders to the defence prime PSUs and increasingly, of course, direct orders are being -- from the users are being placed with folks like us. And in turn, the PSUs place orders to their vendors. While they may obtain adequ

ate financing for execution,
more often than not, they are not inclined to pass on similar working capital benefits to the supply chain. It's not a complaint. This is just business, but that's the nature of the beast.
So, when I look at -- our receivables, our inventory levels, etcetera, and I look at the other industries, of course, taken in isolation, these numbers seem scary high. But that's only mitigated by the fact that our receivables are Grade 1 Government of India credit, which banks are more than happy to discount.

I must tell you that even with increasing numbers, of receivables and inventory, we have had a credit rating improvement. You would have read about it. And one of our banks has already -- prime banks has already reduced the interest rate, which has been charged to us.
Atim Kabra: As far as the availability of financing is an issue, for us, it is actually not that big an issue. But as you know, balance sheet for efficiently -- for them to efficiently function, especially when our sales volumes are projected to go significantly higher, we need to be creative as well as

ensure that there is enough financing is there so that our NCNC projects, the products being developed and the large blue sky thinking driven projects do not suffer due to inadequate financing. So watch the space. There are a few very interesting options as they crystallize, we'll be letting you know.

So the way we look at -- why is the inventory high? The way we look at it, our high inventory is a function of the long gestation product cycles and the lengthy time spans between the quotations we make to the placement of orders and the price negotiations before that, and finally, the lengthy delivery schedules over which the contracted products have to be delivered on contracted pricing.

The foreign content is fairly high in quite a few orders. And with the fluctuating exchange rate like ours, if our margins have to be protected, then orders need to be placed and your components and subcomponents acquired much ahead of the delivery schedule. And I must compliment our team here that despite the rupee guaranteeing all over and going down, I think we have done fairly well and actually have a small profit on the foreign exchange side.

So moving ahead, and often in the supply chain, the quantity which needs to be ordered is defined upfront. Supply chain partners are designated. Plus there is a minimum economic order quantity concept, which comes into the play at times, which requires us to order significant inventory, which is utilized over a period of time. But of course, we carry the risk of obsolescence in this.

So combined, all these items create a significantly high inventory.

And you have to appreciate the fact that we have been around for 3 decades plus. So the numbers you see are a combined number of -- which has accumulated over close to 3 decades. It does not necessarily directly pertain to the ongoing production levels. So why do these numbers look manageable to us guys? We receive advances from the customers also.

But the numbers you see reported are gross receivables without being adjusted for these advances. And that's a very significant thing, which we are sharing with you that the numbers we report are gross receivables not adjusted for the advances, which we have received. So we look at our numbers as inventory plus gross number of days receivable minus the customer advances. So advances, if I look at the numbers for December '25, advances for customers accounted for nearly 25% of the gross receivables. So our net receivables are accordingly reduced.

And that brings the number down to a fairly significant level. And remember that these are sovereign receivables. So as long as the banks have an interest in funding sovereign receivables, we should have no problems in funding the business.

And even for these receivables, the way we can look at it is also that the incremental receivables over the normal receivable cycles, let's say, if it doubles up from the normal receivable cycle of, let's say, 90 days or 100 days, which exists, then at the current rate of interest, it's costing me probably 2% in incremental out of my margins to take care of the business. which is a very, very, very manageable number, and we are fairly comfortable.

Lastly, please note that these numbers are as of the balance sheet on 31st of March. And the nature of business is such that most of the -- or a significant amount of orders come in, in the last quarter of the year.

So this amount will always -- the 31st March number will always be significantly high given the nature of the business and the fact that there's a normal receivable cycle, even if it is a normal receivable cycle, it will show us as a gross receivable being very high, so while the cash flow is spread out over the years.

So these two things, I think when you look at the inventory numbers and the receivable numbers, I think once you start looking at it from our perspective, it is fairly manageable. And I want to end this conversation with a note on how we view our business. We view our business in blocks of 3 to 4 years, not on a quarterly basis, not on an annual basis.

As there is a significant step-up, which happens in terms of our technical capabilities, in terms of our R&D and in terms of the overall tech scenario, as well as our capabilities, which are continuously being upgraded. So we expect right now that the fruits of the last 3 to 5 years of R&D and mind you, we are very, very horizontal in terms of our product breadth, probably one of the best horizontal plays, which you will get in terms of the tech breadth in the industry.

So we expect that this will translate into multiple large-scale programs, which even if I look at just 4-year scenario, MV Reddy and SG Reddy are very confident of giving us a number of around INR8,000 crores to INR10,000 crores worth of new order booking and concurrent sales happening to the tune of about INR7,500 crores plus over the next 4 years themselves.

If you do the math, we have already given you a guidance of INR1,400 crores for the next year, plus/minus 25%. We are talking about INR1,650 crores, INR1,700 crores plus/minus 25% -- 15%, 20% over there because the visibility is very high. And if you subtract these numbers from the INR7,500-odd crores, which I'm talking about, you will see that FY '29 and FY '30 is where we again go to a completely different orbit.

And our margin profile has been, I guess, slightly on the upward trend only. And if I look at the overall operating leverage, which comes in and the cumulative PBT numbers over the next 4 to 5 years, I think it will help us very clearly achieve our cherished target of being a free cash flow generating company towards which we have been working.

So it's looking good. Focus is on execution, and I'm sure our team will deliver. With this, I hand you back for question-and-answers. Thank you.

Moderator: Our first question comes from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: Congratulations for a good performance and very healthy margins. A couple of questions and more from a medium-term view. First one is we have executed MOU with BEL. And as we all know, BEL is in one of the consortiums for AMCA. While your name directly doesn't figure in as a part of consortium unlike your some of your peers?

But just wanted to understand the opportunities that we see in AMCA platform, if very broadly, you can highlight what kind -- because we have been involved in SU, we have been involved in Tejas. So just wanted to understand the broad range of opportunities in AMCA, both in terms of products as well as if

you can highlight some financial part as well?

Management: Yes. Amit, as far as the AMCA program is concerned, basically, our core expertise in basically in radar and the EWCs. And these are the major systems sensors, I would say, which we have the core expertise in AMCA. And these sensors are being dealt by DRDO separately. They are not in the scope of the EOI what being released.

So it is the most -- more of like mechanical and the avionics part of it. And the -- of course, some avionics electronics is there, but where we don't have expertise. So to be frank, we don't have direct contribution in that particular scope, what being given in the EOI. But we are there in the radar and EWC, that is which is being dealt by DRDO separately. That anyway, we are working on that.

Amit Dixit: And is it fair to assume that since we have a historical, I would say, precedent of being in Tejas being -- and now being in Sukhoi and congratulations for that. So it is -- we would have an edge over others possibly in AMCA as well?

Management: Yes. We will be -- once we complete the development and then once we made the product system, we will become the part of whosoever wins the consortium. Today, the consortium basically more focused on the building the aircraft and the other sensors and all. So we will be a supplier to those consortium, whichever wins the bid.

Amit Dixit: The second question is essentially on the export opportunities. Now with the EU India FDA in place and U.S. India trade deal also in place, there was -- I mean, DAC approval for record AoN yesterday. What kind of export opportunities we see, particularly when global OEMs are keen on dovetailing into Indian suppliers for their global supply chains?

Management: Yes. Actually, this has opened up -- although we have been working with a couple of European companies for the last few years, especially in radar and EW components and subsystems, we have now the discussions, whatever we had in the past, now we are again reinitiated. And there is -- we have seen a lot of positive response in last couple of like weeks soon after this deal is over.

But in fact, it is too early to say that how much we can get these opportunities and all. But yes, definitely, there is a good number of opportunities are there to work together to address the global market and as well as the Indian market. We have been discussing renowned European players, who are all working in this our domain.

Moderator: The next question comes from the line of Varun Bahl from Ploutos Investment.

Varun Bahl: Well done on the margin side. Sir, frankly speaking, the execution lethargy of management is slightly worrying. Even with such clear order visibility, a 10% revenue growth in the current year and only a 15% revenue growth next year is underwhelming. In this period of extreme tailwinds for the ecosystem, why can't we have bigger goals? Thank you.

Management: Well, see, as far as the execution capability, we have built this capability. But most of these programs, what we are executing are R&D in nature and also the -- and domestic market. And in this kind of a market, where we have many other like this thing like hindrances like inspection delay and sometimes like there is a delay in approvals. So all these things are leading to some sort of project delays. That is one of the reasons.
And as far as R&D projects, like since we have taken up very complex R&D projects, a few of the projects have gone for attrition. And because of that, a few projects, which we have planned to execute in last quarter or last before got slipped away. But as I said, we are fairly -- whatever we worked out in the beginning of the year, we are almost in line with the guidance being given to you.
So yes, the percentage and all, we can -- probably we can increase like the moment when we get a high bulk production or

ders like which we are anticipating now in the next quarter or so for the programs we have already developed. The moment when we get these orders, I think our production -- our execution will improve drastically, and we can see the better percentage in terms of both in revenue as well as bottom line.
Varun Bahl: Sir, this is a very common feature post getting the order and starting of execution, the planning stage is where we are seeing these delays. Is that correct?
Management: No, I didn't get you. Can you repeat?
Varun Bahl: Post receiving the order and starting of execution, the plans are redrawn. And in this phase is where we see the delays. Is that correct?
Management: Post receiving -- actually, it's not that we redrawn the implement execution. See, what will happen is in the majority of the development contracts, sometimes like after the receipt of the order during PDR, that is design review stage, there are many issues will get sorted out by the user or customer, I would say. keeping in view of the complex total system requirement. That time, like some decisions, we don't get as the committees and all have to sit and go through all the details. So there are some delays in this kind of a process.
And this we have been seeing for many years. But since we are now executing a major like complex systems, now this kind of delays, especially in the approvals and all are there. That is the reason I think some of the projects got delayed. But otherwise, we are planning much ahead like for -- especially the proprietary case, the moment when we come across the demand from the customer and all, we have been planning.

And for the competitive tenders is, of course, though we made the designs and everything ready, but the procurement and all will start only once we conclude the P&Cs. So that planning will start from the date of conclusion of the P&C, and we always plan to execute within the schedule.
Management: With all due respect if I may...
Moderator: Our next question comes from the line of Vikas Singh from ICICI Securities.
Vikas Singh: Sir, my first question is regarding the 114 Rafael deal. We have a JV with the same. So for the Rafael, which are going to make in India, just wanted to understand the opportunity size for us. And does we are adding this also in the next 5-year doubling of revenue capability targets?
Management: Yes, I would like to clarify our JV is with Rafael Defence Systems Israel, not with Rafale of France.
Vikas Singh: Noted, sir. But then those 114 -- what I really meant that those 114 Rafael, which are going to manufacture in India. So in the 50% or 60% component provider buys basically, so radars, we can supply, right? So what could be the TAM size for that?
Management: Actually, as of today, in fact, we are not in the supply chain to be frank. But yes, some discussions are happening. We are discussing to indigenize a few components and subsystems in that. But it is too early to comment on the business size of this particular deal.
Management: MVR, let me just come in for a second here to add on to the previous gentleman's question. I thought that was a very derogatory way of putting in the efforts of nearly 2,000 people, who are working to deliver the numbers and a target, which has been given. You being a gentleman have addressed it very nicely. But guys, we are not here. We have explained it multiple times.
We are not here for a quarterly review. This business, we take a 3- to 4-year view. And if you want to use fairly harsh words, which I think this is not the right company. It's your prerogative, of course, but you must understand that this business is a long-term business, which you have to look at it from a 3- to 4-year perspective.
So I find it quite offensive when somebody looks at a quarterly number and pulls down the efforts of the company and the 2,000 people, wh

o work there. And we are just reiterated that we
will meet the targets for the year. And I'm actually will take a liberty to say we'll be more or less close to the numbers, and we have given you a guidance for the next year.
This is a multipronged effort, where multiple things have to come together to deliver the numbers. And you must appreciate this. And we have given you a fairly sizable growth, which has happened and which will happen in the next 3 to 4 years. Just wanted to put this across very clearly for the benefit of everybody.
Vikas Singh: Can I go ahead?
Management: Yes.

Vikas Singh: Sir, second question pertains to our target of double the revenue. At the same time, like you previously remarks that your working capital is going to be very high. So just wanted to understand, would -- because the working capital investment comes much earlier, would that mean that we would need some capital infusion or our debt would go up in the next couple of years before we started reaping the benefits? So how should we look at that your capital requirements?
Management: Yes. I don't think we have to raise any equity capital as such to meet these working capital requirements. I'm sure that the bankers and other stakeholders will be more than happy to support the company.
So we won't be raising any equity capital for the support of the working capital. Yes, the working capital borrowings will go up as the top line grows. But at the end of the day, it is going to be a very profitable business, what we are doing.
Vikas Singh: And sir, just one clarification. On an average, what percentage we are getting as advance in the order book?
Management: Generally, for the development orders, we get an advance anywhere ranging from about 20% to 25%. Export orders, we get about 30% advance. Whereas for the production orders, we don't get any advance. Again, the orders from the space application center and metrology sectors, again, there, we get advance in the range of 20% to 25%.
Moderator: Our next question comes from the line of Karthik from Suyash Advisors.
Karthik: Just wanted to understand the order backlog and revenue targets for the joint venture sir, Rafael JV for '26 and '27?
Management: Yes. Order book.
Management: For the JV.
Management: For the JV, we have close to $80 million as on date. right?
Karthik: Yes.
Management: And what else you want?
Karthik: Revenue, sir for this year and next year, possible revenues based on execution plans?
Management: Yes. For this year, I think it is likely to do about INR350-plus crores of top line. And probably for the next year, it should be close to about INR400 crores plus. I don't have the exact figure for the year, but it should be in the range of INR400 crores plus.
Karthik: And how is the profitability shaping up there, sir?
Management: At PBT level, they earn close to about 10% to 12%.

Karthik: And the INR1,400 crores does not include any contribution from this, right? Sir, this is not consolidated, right? So this is only the non-JV revenues, right? So can you talk about...
Management: It is a stand-alone amount. And the profit from consolidation of revenues at the consolidated level, but it is only a share of profit from the JV is taken.
Moderator: The next question comes from the line of Keyurkumar Vadaliya from Niveshaay. We'll move on to the next participant that is Prerit Jain from Motilal Oswal Financial Services.
Prerit Jain: I have two questions. One is the order book -- order inflow guidance for this year and next year, which is INR1,300 crores and INR1,500 crores. So what are the key orders that we are expecting, say, like in next 12 to 15 months? And if you can help with the quantum as well?
Management: What is your next one? Hello? What is your next question?
Prerit Jain: Yes. So

the next one is like you mentioned that the current projects, which are being executed, most of them, like quite a few of them are in R&D phase, and still, we are able to maintain such good margins. So going forward, when these get into like a mass production or execution phase,

like higher quantity, will the margins improve or these levels will be maintained?
Management: Okay. Firstly, regarding order book, MV?
Management: Yes. See, order book for this current quarter, that is in Q4, we are expecting, as I said, around close to INR550 crores to INR600 crores. In that majority will come from radar and EW. So from the defence overall, we are expecting about INR450 crores and from metrology around INR120 crores. This is the split of order book plan for the current quarter.
So with this, I think we would be in a position to achieve INR1,450 crores around that for the current financial year. For the next year, for FY '27, we have a clear visibility to book order close to INR1,500 crores to INR1,600 crores around that. And in that majority programs, which, as I mentioned, like orders will come from public sector customers like BEL, where the programs, which they are expecting orders for the first quarter like QRSAM.
And the other programs like in -- from DRDO, we are participating in a few R&D programs. Then the production orders, which we have already got qualified like in EW systems like the Nayan, Medhas, Samudrika, Dharashakti. These are all programs, where our customers are getting orders and in that, we will be getting subsystems.
Then export front, we are expecting orders worth of INR100 crores to INR125 crores. And in Met segment around INR50 crores. So this is a broad split of order book for the next year. All in all, I would say, around INR1,500 crores to INR1,600 crores, we are confident of booking the orders.
Management: Yes. The second question regarding profitability. I must tell you that R&D is also a profit center to us even today. Therefore, either low R&D or larger R&D contribution is not going to affect the profitability?

But as we grow the top line, I'm sure that there will be an improvement in the margins. But how much it is going to be and all probably we have to wait and see. But definitely, it is going to be a positive one from now onwards in terms of the profitability.
Prerit Jain: Okay. And if I can squeeze in one more question. So yesterday, around INR3.6 trillion of events were awarded. So what is the potential TAM for Astra in this?
Management: Actually, we are working some of the advanced version of a few projects, which we are working there. But yes, some components and subsystems are there in a few programs and all, but we will come back to you maybe a little later of the exact potential of the business, what we can get it from the yesterday's approved project.
Moderator: The next question comes from the line of Ketan Gandhi from Gandhi Securities.
Ketan Gandhi: Sir, congratulations on a very good outlook for the next 3 to 4 years and wish you all the best for the same. I have only one question or clarification. Sir, any -- can you share any update on Man-Portable SDR? I think trial was over. And any color on the timeline of awarding the contract?
Management: MVR?
Management: It is reaching the final -- yes. Actually, the trials more or less are getting over now, but in the final stages. I think we'll get concluded maybe in a month's time from now.
Ketan Gandhi: No. So trials will be concluded or they will be come out with the result also?
Management: No, trials will be concluded. And hopefully, by March, I think they may open the bids. This is what we are expecting.
Management: But Ketan, in that, it's not one shot awarding of the contract. It's going to happen over a period of time in multiple lots.
Moderator: The next question comes from the line of Jyo

ti Gupta from Nirmal Bang Securities.
Jyoti Gupta: Great set of numbers. I have two questions. One is in terms of the exports; I have seen this contribution of exports have gone down sequentially. Is there any specific reason? Second, the margins are great. Any particular order that has led to it? And would that be sustainable?
And third question is on the Pseudo Satellite, which has recently come, where NAL and Open Research Institute from Bangalore, they are -- in fact, a lot of country -- international countries interest. Are we also looking at pseudo satellites, stratospheric satellites?
Management: Yes. Your first question is the exports front. As been mentioned in last few earnings calls, we are slowly moving -- moved away from the BTP business. Now more or less, except serving our joint venture, where, in fact, we have a fairly reasonable good margin. And as we do have a value addition in those products, so we are getting better margin, and we are continuing to do that deemed export business and also a few exports, which we have good margins.

But in the past, we used to take the orders, which have low margin of high value. But now we came out of that line as we wanted to focus more on the high-margin products and where our value addition is more. And that is the reason there is a dip in the revenue as far as the exports are concerned in the last 2 years.
But going forward, as we are focusing more on contracts, which we have our -- contributing in terms of design and all. In the future, we are expecting some production orders with our designs that I think maybe down the line after a couple of years, we will definitely with this export will pick it up. So till that time, we have enough domestic market to capture and to work on that. So we are focusing on this.
Now the second question is the margin -- the percentage of margin has been increased. In fact, this has been answered like we have been addressing only the domestic market and as well as export, where we have a decent margins because of the product mix and the composite of the existing product lines, what we have taken it up has got a reasonably good margin as compared to the previous years. Hence, the margin has been increased.
Then third question about the Pseudo Satellites and all. So we have some plans, but we are in the -- still in the very initial stages. I don't think I can answer your -- this particular question straight as probably maybe down the line after some time only, I can come back to you on this.
Jyoti Gupta: Okay. One last question. The advances that you're getting, is it because you are now in some platforms, you're in Tier 1 category? Or is it like now that private companies are entitled to these advances for contracts?
Management: Actually, in DRDO, the contracts -- we have been getting these advances for many years, and it has been continuing, especially in the development contracts. And the other -- even other institutions like ISRO and all, they have been giving advances. And of course, in PSUs, most of these production orders, we don't get as their -- the guidance are different for taking advance. And we feel without advance we can roll out the execution much faster, and also the realization can happen faster than this thing. Then other one is the -- for MOD contracts, yes, now since we started participating and the advance is there and the private companies can be treated at par with the PSUs for giving advances to the industry for development.
Moderator: The next question comes from the line of Rupesh Tatiya from Long Equity Partners.
Rupesh Tatiya: My first question, sir, is LCA Mk-1A, second batch of 97. When can we see some orders for Uttam radars, AAAU, EW components? Any time lines you can give?
Management: We have RFP on hand, and we have responded RFPs and the negotiation process is on. So I can share up to this i

nformation. As and when contracts get finalized, I will come back to you on this.
Rupesh Tatiya: And delivery will start after some gap of, let's say, 1-year or it will start right away in a staggered manner, obviously, that?

Management: Actually, customer -- the agent is expecting these deliveries to happen in a staggered manner initially for a few numbers to get stabilized these indigenous sensors in the platform and all. Thereafter, I think they would like to give bulk production clearance for the large quantity. So hence, the execution happens in a staggered manner.
Rupesh Tatiya: And where are we on the qualification of Uttam radar plus ASPJ pod?
Management: We have completed qualification for both AAAU of Uttam radar and also the AATRU of the Pod Jammer, both QT as well.
Rupesh Tatiya: No, no, not from our side, sir, overall, final product?
Management: Overall also, like Uttam radar as far as the qualification, like it's been completed, and there are a few observations that also have been addressed. And after once we HAL gets these proto units from the -- all vendors and they integrate, then probably the 7 lakh, I think they can again step in to see what are the issues that we've been there to see. And then thereafter, they can give production clearance -- for the bulk production clearance. But otherwise, on the qualification front, I think more or less, it has been through.
Rupesh Tatiya: So final product, I mean, you feel in next 6 months, it will be certified?
Management: That I cannot say because DRDO is the agency to inform about the time lines. But yes, we are hopeful of completing that this thing within that particular time period.
Rupesh Tatiya: And just second question is more of a clarification. So you said QRSAM orders you're expecting in Q1?
Management: I didn't say that. Our customers are expecting in Q1. In fact, although they are hopeful of getting

by March, but in case if they spill over, but I think maybe in Q1, they'll get order. For us, it may take another 3 months or 4 months to get orders from the subsystems.
Rupesh Tatiya: And on SDR - Man Portable SDR, can you give some idea about competitive landscape and what kind of market share do we expect to win or retain in this segment? And also opportunity size, you can give maybe some year-by-year picture, total opportunity and year-by-year picture?
Management: Yes. Actually, this particular quantity, which the RFP was released and where the trials are going on is only, I would say, some, I think, 10% of the quantity what being projected by the Indian Army. And I think you can estimate roughly around 10x to this particular quantity.
So over a period of 5 to 6 years, they would like to induct these SDRs in the network. So the opportunity size is too large. And yes, this is now, as mentioned earlier also, there are about 3 players. Once only the price bids are open, we can -- we know who will be the successful bidder.
Rupesh Tatiya: Okay. So you still...
Moderator: I'm sorry to interrupt, Rupesh, I would request you to rejoin the queue. The next question comes from the line of Keyurkumar Vadaliya from Niveshaay.

Keyurkumar Vadaliya: Sir, my question is regarding the space vertical one. We have INR249 crores order like how this order is split like is it unity -- if so these orders are related to payload or payload subsystems or related to launch vehicles, sir? And if you can give us a direction with how we are looking forward to get the order in this vertical on which directions, payloads or the vehicles?
Management: Yes. Whatever orders we have in this space as on today, it is all related to the satellite payload electronics and some small portion, I would say, only 5% or 6% of the overall order what we have is related to the launch vehicle electronics. Otherwis

e, most of these are part of the payload,
which ISRO is trying to build this payload for strategic applications.
And going forward, we do have a good visibility to get repeat orders in the same configuration and all. Maybe in the next 2 to 3 years, I think we should have a similar size of order book. And apart from that, as we mentioned, we are trying to build our own satellite with the payload for the -- for future. So that, I think, will take another 2 years to launch the satellite. And then we are also -- we're trying to address the end market.
Keyurkumar Vadaliya: And sir, in last con call, you mentioned like Project Mausam. So like I mean, how far this opportunity is right now?
Management: You are referring to that Indian metallurgical department.
Keyurkumar Vadaliya: Yes. Yes, yes.
Management: Mausam.
Management: Mausam. Yes, we are getting orders...
Keyurkumar Vadaliya: Mission Mausam.
Management: Yes, yes. We are -- Mission Mausam, we are there. We got a couple of contracts in recent past, and we are in execution phase.
Keyurkumar Vadaliya: So I will be very specific like actually, we mentioned that it was a very big opportunity, right? So I'm expecting like when this big opportunity can be translated in order book and then the delivery time frame?
Management: Actually, this is serious -- like all these radars will be procured in a phased manner. We are expecting at least around 4 to 5 tenders to come. to cover the overall requirement of weather radars and other systems like wind profile radars, even weather stations and all.
So these tenders will cover overall Mission Mausam requirement, and this may take at least a couple of years to finalize these orders. And on the execution front also may take a 3 to 4 years' timeframe.
Moderator: The next question comes from the line of Shivam Parakh from ValueWise Wealth Management.

Shivam Parakh: As mentioned in the investor presentation, there was a TAM of around INR24,000 crores to INR25,000 crores for extra till financial year '28. So how much is actually serviceable by us based on capabilities currently? And any expansion to be done ahead in the next 2 years or so? Some light on the same would be greatly appreciated? Thanks.
Management: Yes. As far as the investor presentation when we made, as we mentioned and also Atim mentioned in the opening this thing, we do have the TAM that is the total accessible market of INR25,000 crores to INR30,000 crores. But this -- what we had expected a few contracts about

2 years back are getting shifted to a year or so.
But overall, what we could see clearly an opportunity size of around INR30,000 crores in the next 4 years' time frame. And in that, as we mentioned, we can -- we are confident of bagging or maybe around INR8,000 crores for the execution in this particular front because in that, many of the programs, which are -- we are a single -- only approved qualified company for a few programs.
Taking all those things and also taking about 20% to 25% weighted average for the competition, this is the figure what we have arrived.
Shivam Parakh: The INR30,000 crores addressable market is for the entire players in the ecosystem, right?
Management: Yes.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing remarks.
S.G. Reddy: Yes. Thank you all of you for your active participation. I hope we are able to address your questions to your satisfaction. and very happy to meet you again at the end of Q4 and at the end of the financial year. Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Astra Microwave Products, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2026

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Unit 4: Sy. No. 1/1, Plot No. 18 to 21, Imarath Kancha, Hardware Park, Raviryala (V), Maheswaram (M), R.R.Dist, Telangana – 500005
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June 01, 2026

To
The General Manager
Department of Corporate Relations
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Sir Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai -400 001
Scrip code: 532493

To
The Vice President,
Listing Department
The National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai - 400 051
Scrip code: ASTRAMICRO

Dear Sir/Madam,

Sub: Conference call transcript.

We are sending herewith Conference call transcript held with analysts on May 2 7, 2026 .

The above information is also made available on the Company's website www.astramwp.com .

This is for your information and records.

Thanking you,

Yours faithfully

For Astra Microwave Products Limited

T. Anjaneyulu
Company Secretary & Compliance Officer

"Astra Microwave Products Limited
Q4 FY26 Earnings Conference Call "
May 27 , 202 6

E&OE: This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 27, 2026, will prevail.

MANAGEMENT : MR. S. G. REDDY – MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
DR. M. V. REDDY – JOINT MANAGING DIRECTOR – ASTRA MICROWAVE PRODUCTS LIMITED
MR. ATIM KABRA – DIRECTOR , BUSINESS DEVELOPMENT STRATEGIC – ASTRA MICROWAVE PRODUCTS LIMITED

Moderator: Ladies and gentlemen, good day , and welcome to the Astra Microwave Products Limited Q4 FY26 Earnings Conference Call . This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements do not guarantee the future performance of the company and it may involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. S. G. Reddy, Managing Director. Thank you , and over to you, sir.

S. G. Reddy: Thank you , and good morning to everyone and a warm welcome to all the participants for the post-earnings call of our company. I am joined today by my colleagues Mr. M. V. Reddy ; and Atim Kabra ; and SGA, our Investor Relations Advisors . The financial results and investor presentation for Q4 and FY26 have already been uploaded on the company's website and the stock exchanges. I hope you had an opportunity to review them.

Let me begin with an overview of the industry outlook. The environment for the defence industry continues to remain highly supportive for the domestic players. The government's strong focus on indigenization is creating significant opportunities for private sector participation, with nearly 75% of India's defence capital acquisition budget now allocated towards domestic companies. The long -term defence manufacturing cycle also remains robust, supported by accelerating government procurement momentum and increasing localization across critical defence programs. Indigenization is creating a structural opportunity for Indian companies, particularly in defence electronics, drones, and aerospace, which continues to be among the fastest -growing segments within the industry.

India's defence exports have also gained strong momentum, exceeding approximately INR38,000 crores in FY26 and continuing to grow steadily. At the same time, global supply chain diversification and rising defence spending across various regions are generating additional opportunities for Indian defence electronics and subsystem manufacturers like Astra.

Order book across the industry remains at historical high levels, providing strong long -term visibility. We expect FY27 and FY28 to witness stronger execution and improved revenue conversion across the sector. Overall, the defence sector is steadily transitioning into a sustained execution and manufacturing scale -up story.

We believe the company is well -positioned to benefit from these industry trends. To sum up, FY26 has been a year of steady delivery, strong execution, and important strategic initiatives aimed at building long -term growth for the company.

Some of the financial performance highlights for the year I would like to announce here. FY26 has been another strong year for the company, characterized by consistent growth, effective execution, margin expansion driven by favourable revenue mix, and improved working capital cycle, resulting in operating cash flow of INR37 0 crores compared to minus INR99 crores as of last year. This is a very significant improvement and we expect to maintain the trend.

On a both stand -alone and consolidated basis, we have delivered strong growth across all key financial parameters. Detailed information including growth percentages and Q -on-Q or year -

on-year comparisons have already been shared through our stock exchange filings and inve

stor
presentation, and I request you to kindly refer to these documents for more information.
The Board has recommended a dividend of INR2.40 per equity share, that is about 120% of face value for the year FY25-'26, subject to approval of shareholders at the ensuing Annual General Meeting. We also witnessed steady progress in our joint venture company, Astra Rafael Comsys. The JV closed the financial year FY26 with an order book of about INR625 crore s and continued to receive significant orders from PSUs and Ministry of Defence .
It is expected to deliver a top line of over INR600 crores in FY27. Although the profitability during the year was impacted due to forex -related provisions, we expect improved profitability in the coming year. Our other wholly -owned subsidiaries have also performed well while continuing to support captive business requirements.
Further, we continue to see robust opportunities across all three product segments in the defines market and therefore reaffirm our FY27 top line growth at 15% to 20% rate, with a potential for much stronger growth over the coming years. We continue to proactively invest in development of products and solutions for various defence applications, which is reflected in our increased R&D expenditure on year -on-year basis.
These investments are expected to translate into significant business opportunities over the medium to long term and help us to achieve important milestones in revenue and profitability as we move forward. Other key business development happened during the year. On a strategic front, the Board of Directors have in -principle approved demerger of our space, meteorology, and hydrology business.
The objective of this move is to create sharper strategic and operational focus for business segments. The proposed structure will enable dedicated management teams to pursue sector - specific growth opportunities, enhance governance and accountability, simp lify the corporate structure, and create clearer investment propositions to shareholders.
Furthermore, this restructuring will position us to capitalize on emerging opportunities both in India and globally. Over the medium to long term, we believe this initiative will support focused growth, better capital allocation, and improved operational e fficiency. We will share the detailed

scheme of demerger once it is formally approved by board, which is expected over the next few weeks.
I will now hand over the call to Mr. M. V. Reddy and Atim Kabra, who will provide more further insights into new product developments, business outlook across near and long term, and the strategies being adopted to take the company to its next phase of growth. Thank you for now.
Dr. M. V. Reddy: Good morning , everyone. This is M. V. Reddy, Joint Managing Director, and thank you for joining us today. I am pleased to share that FY26 has been another strong year for the company.
As mentioned, we achieved turnover of INR1157 crore s, delivering at par with the guidance given in the beginning of the year, that shows the strength of the technology portfolio and execution capabilities.
Our radar business continued to be a primary growth driver, contributing nearly 60% of our revenue, while space and meteorology segment contributed around 16%, demonstrating our expanding footprint in strategic and high -technology domains. In Q4 alone, we secured fresh orders worth of approximately INR530 crores , taking our total order book to a robust INR2141 crores as on 31st March, and concluded PNC of INR300 crores more orders which are expected to be received in next couple of months.
Key orders received during the quarter, which is in Q4, including SDR programs, subsystems of various radar projects from BEL, and the checkout hardware for prestigious Gaganyaan mission from ISRO. I am also proud to share that we h

ave successfully completed all our related works
in shipborne radar, which we took about couple of years back, and handed over the systems to DRDO for final testing. This marks the successful delivery of one of the nation' s most strategic and technologically advanced defence program during this financial year, further reinforcing our capabilities in complex mission -critical systems.
Additionally, we have successfully delivered critical subsystems for one of the nation's unique and strategic defence space program, showcasing our growing technological strength and contribution towards the Indian strategic space capabilities. We also continue to strengthen our future growth pipeline through proprietary products, particularly in MMIC technologies. On th e execution front, we have achieved Q4 billing of INR490 crores , reflecting the strong 16% year - on-year growth.

Major programs executed during the quarter included subsystems of radar, EW, and satellite programs, and Doppler weather radar for IMD. Going forward, we have a clear visibility of approximately INR1600 crores plus orders which can be booked in the current year, that is FY27. Around 25% of this expected to come from R&D programs, while balance are basically driven by the production orders.
Segment -wise, radar segment is again expected to contribute around 45%, electronic warfare and missile together around 25%, space and meteorology around 25%, and the remaining other

from strategic business areas. So, this provides us strong confidence in sustaining our growth momentum and improving scale in the coming years. Regarding execution front, we have planned to book sales of INR1300 crores to INR1400 crores , that is around 15% to 20% growth compared to FY26, covering 40% of R&D and 60% from the production area.
As far as ARC concerned, it was a fabulous year for ARC. It surpassed the guidance. We booked orders worth of INR546 crores in the last year, that is FY26, and sales of INR360 crores . Going forward in FY27, we expect to outperform and we expect the minimum growth of 50% both in terms of order booking and as well as sales. As on date, we have visibility of INR200 crores order book in FY27 for ARC and also expected to cross INR600 crores sales.
Looking ahead, the outlook in Indian defence and strategic electronics sector remains highly promising. With the government's strong push towards the indigenous defence manufacturing and self -reliance, we are confident that company is well -positioned to sustain its growth trajectory and create long -term value for the stakeholders. That's all from my side.
I would be happy to answer your questions. Now I'll hand over to Mr. Atim Kabra, Director, Business Development Strategic. Over to you, Atim.
Atim Kabra: Hi, good morning, everybody. And first and foremost, my gratitude to SGR, MVR, and the entire Astra team for delivering a strong set of numbers. Performance is never accidental; it is an outcome of discipline, persistence, and clarity of purpose, and I think that is what is visible here.
At Astra, we have always believed in a simple maxim speak less, think long term, and deliver on what we promise. We are trying every single day to live up to that philosophy.
There are two other principles which guide us deeply. The first the only constant in life is change. In technology and defence , standing still is equivalent to moving backwards. You have to keep running simply to retain your position. The second principle comes from Andy Grove , Intel only the paranoid survive. And we take that quite seriously.
Healthy paranoia keeps organizations humble, agile, and hungry. It prevents complacency and it forces reinvention. And these principles, combined with our long -term orientation, define Astra's strategic DNA. Over the last few years, we have consistently spoken about three

priorities
enhancement on our return on equity, second, relentless focus on achieving a positive operating cash flow generation capability, and third, creation of operating leverage.
And I'm happy to say that Astra team has delivered meaningfully on all three fronts. And we think this is only the beginning of good things. As operating leverage kicks in increasingly, we believe that Astra story will become significantly stronger over th e next five years, which is outlook which we had presented to you last quarter.
Whether it takes five years, four and a half, or five and a half years is less important than the direction of travel. Our trajectory is clear and our intent unwavering. We believe that Astra is

structurally positioned to nearly triple its turnover over this period, while simultaneously improving the quality of earnings, cash generation, and long -term shareholder value creation.
Importantly, I think we've discussed this multiple times, that we do not run this company for quarterly applause. Quarterly numbers are outcomes but not our identity. Because we see ourselves as custodians of long -term interests of more than 100,000 shareh olders who have placed their trust in us, with our objective being to build a sustainable, technologically relevant, cash flow focused enterprise that can compound value predictably over decades.
So today, while we are on track on these parameters, I also want to redefine how Astra should be viewed. Surprisingly, our website still describes us as a tier -2 subsystem supplier. But I'm glad to tell you that that description is now outdated. We have in reality evolved from a component manufacturer to a deeply integrated, IP -driven systems manufacturer to now

becoming a development -cum-production partner f or strategic national programs.
I'll repeat , we are now a deeply integrated, IP -driven systems manufacturer and a DCPP for a critical national program. And beyond that lies what I would call the Holy Grail , where Astra -owned intellectual property, Astra -branded products, and Astra -led solutions for India and the global markets are going to be created and sold. And that future, I'm glad to say, is visible now. This financial year itself, hopefully before Diw ali, you will have multiple Astra products where we own the complete IP, they are o ur branded products and solutions for global markets , India first, global markets.
So, our roots, as many of you know, were in telecom, especially antenna design and manufacturing. And because of the heritage and technical depth of our founders, we gradually became tr usted partners to India's defenc e labs. Over three decades, we built extraordinary horizontal ly technological depth across multiple domains.
In fact, one of our ongoing internal exercises is to catalogue the sheer number of indigenous programs and products whose development journey Astra has contributed to over the years. And the breadth is so extensive that even today we are still uncovering the full extent of our own technological footprint. Ironically, it sounds stupid that we can't do that, but this very well may be Astra's greatest hidden strength. In a world where technologies, threats, and platforms evolve rapidly, this horizontal capabil ity stack creates resilience, adaptability, and staying power. And more importantly, it forms a moat which is difficult to replicate.
So, we are not building merely for the next quarter or the next order cycle, but for the next three to five decades. We've been around for three decades. And that is the lens through which we allocate capital, build capabilities, and take strategic bets. You are very well aware, we've touched upon this, that MMIC was created , MMIC division itself was created in 2005. And that chip design capability has become one of Astra's most important competitive advantages, which strengt

hens our technological independe nce and complements the horizontal breadth which we have built over decades.

So where do we stand in the defenc e value chain? Yes, we manufacture components. Yes, we build subsystems ranging from advanced multi -layer PCBs to MMIC chips and highly sophisticated RF building blocks. But equally important is the fact that we design, integrate, and deliver complete syst ems. We are very much a tier -1 systems company. I don't say this lightly, because I'm going to rattle off a few complete systems which Astra has delivered .
Mobile Multi -Object Tracking Radar to SHAR and ISRO, complete; Phased Array Telemetry, that's PATM system to ITR and DRDO; Fixed Head Doppler Radars to ITR, DRDO; Radiation Mode T& E facility to same, to DL RL and DRDO. We have delivered P PTR, which is so important, to PXE and DRDO; Multi -Functional Pulse Compression Radar for SHAR and ISRO. We have delivered FMCW and MFCW based short -range and medium -range tracking complete radars to ITR, DRDOs.
These are systems, complete systems which have been delivered. Military radars, we have delivered ground -based surveillance radar systems. We have delivered active antenna array units for long -range multi -function radars and I still don't call this a system but a subsystem probably. But Drishti counter -drone radar, we call it D4 radar. We are developing, and in the next few months you will hear much more about it, low -level lightweight radar and bird detection and monitoring radar, complete system.
On weather radars, as MVR had alluded, we have, you know, delivered satellite earth stations, we have delivered complete X, C, and S -band Doppler weather radars, L and S, UHF based wind profiler radars. I can go on, but I think these are end -client deliver y of complete systems which have been done by Astra. Tier -1 and systems manufacturer.
So, this is not aspirational anymore, but it is based on execution. We do not hesitate to share design parameters and technical details with our customers because we stand behind our engineering capabilities wi th confidence and transparency.
But this is what establishes Astra not merely as a supplier, but as a trusted indigenous technology partner. If you speak to our customers, you will hear the same sentiment that we feel internally . A quiet sense of pride, but pride tempered with humility in what persistent engineering effort and long -term commitment have enabled the Astra team to deliver.
So, this evolution continues. Having established ourselves as a systems manufacturer, we are now proud to participate in the next phase of value addition as a DCPP for a major Su -30 electronics warfare upgrade program which is under. This marks a strategic tr ansition upward in the value chain, from participation to ownership, from execution to influence. And then the final frontier, the Holy Grail . Astra -owned, Astra -branded, IP -led products and solutions. Before

Diwali, there will be multiple Astra product s, Astra -branded, where complete IP is with Astra and we can compete in the rest of the world, wh ich will be hitting the market.

These are solutions which we intend to offer not only to Indian armed forces, but eventually to the global markets. And our first NCNC demo is planned within this quarter. And God willing, that will mark the beginning of an entirely new chapter in Astra's history.
So let me make one point very, very clear. The work underway today has the potential to position Astra in the immediate coming decade to more than $0.5 billion revenue enterprise and potentially much larger thereafter. And we do not make such statements lightly. You know, what we have said, we deliver. In fact, the entire tripling of our turnover that we spoke about in the four and a half, five and a

half year time frame is based on just five to six programs and the rest is no t even included in the numbers.
So, what I would tell our long -term investors even more is this , that not a single rupee from these future proprietary IP -led opportunities has been factored into our near threefold growth aspiration over the next five years. Everything beyond remains potential upside, contingent of course on successful execution. And which means that our stated growth path is grounded not in optimism, but in visible execution pipelines and existing business momentum.
And that distinction is extremely important. We want you to focus not only on our narrative, but also on delivery. So therefore, our focus is unchanged , technology depth, capital discipline, cash flow generation, customer trust, and long -term value creation. With this, I'm sure many of you have questions for SGR, particularly around sustainability of margins, cash flows, and scalability. So, let's open the door for discussion.
Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Amit Dixit with Goldman Sachs. Please go ahead.
Amit Dixit: Yes, hi. Good morning everyone and thanks for the opportunity. Congratulations for a very strong set of numbers, operating cash flow as well as very nice deck that you have put highlighting quite a few details.
I have couple of questions. The first one is essentially if I look at EBITDA margin for the quarter, again, I mean not looking at the quarter per se, but if I look at the overall trajectory of EBITDA margin, particularly I mean it is like almost 33.3% for this for this quarter. And space revenue has increased. I understand I mean marg ins in space can be quite high.
Exports has also gone up. And so just want to understand two points over here since we are focusing a bit more on space and in export as well if I look at the order inflow it has remained quite strong. So, considering that space proportion would go grow, so do we can we expect margin trajectory to strengthen further? And secondly, what are these exports? I mean traditionally we had deemed exports which used to give us lower margin, but I think these are more IP-driven exports or subsystem -driven exports act ually. So just wanted to get your thought on these parameters. This is the first question.

Management : Hi Amit. So, regarding exports, these are the exports made to our wholly owned subsidiary ARC. As we mentioned in the previous calls, these exports are different from the earlier offset -based exports where we were paid only for the conversion cost. Here actually these are the things where the RF portion of the SDRs are being co -deve loped between Rafael and Astra.
So, because of that, the value add is much higher than the regular exports that were recorded in the previous periods. Therefore, generally these carry good amount of value add. I would say the gross margin will be close to about 40% kind of thing in these ex ports. So that is the reason why there is an improved margin from export business as such. I think I have answered your first question Amit. What is the next one?
Amit Dixit: Sir, another part was space because space is going up significantly.
Management : Your other question Amit, as far as space is concerned, we have deliv ered the subsystems for a defenc e satellite program, which is a very main like complex subsystems which we made in over a period of one year, that would completed in last quarter and that has a decent contribution.
And we are expecting similar subsystems going forward as the user is plan ning to go for constell ation of those satellites.
So, this will continue as for the orders what we are expecting from both ISR O and as well as

from the defenc e side as far as the space business is concerned. And on your other question on

the deemed export, yes, we year -on-year we are increasing our value addition in the overall
contribution like whatever we've been contributing to our JV as well as the company. We are
increasing that value addition in Astra and both in the testing front and also on the qualification
front, hence the margins are also been i ncreasing.
Amit Dixit: Yes, so just as a follow -up, sir, I mean since ARC outlook is expected to be quite strong and
space as you highlighted that you know we will be continuing with the value addition. So, the
trajectory of margins, I'm not asking for a quarter or something, I'm asking a year -on-year kind
of trend, would continue to strengthen or at least remain at this particular level? Will this be
correct?
Management : Yes, as far as the ARC is concerned, we have an order book. And last quarter, we have booked
some quarter orders and this year also, we are expecting close to INR150 crores kind of orders
from the JVC and the value addition will remain the same. So, going forward, for the next two
to three years, we have a clear visibility to have a good growth.
Management: But the numbers will be a function of the order mix which has been delivered, right? So, there
may be some variations, you have to be acceptable and ready for that.
Amit Dixit: No, that's fine. That's fine. Quite mindful of that fact, sir. The second question is on Sukhoi , and
you highlighted in your prepared remarks that on DCPP role. So just there are two parts to it,
Sukhoi upgrade, one is the radar, the Virupaksha which we are of course the partner.

Wanted to understand a bit more on ASPJ pods, are we doing something over there as well? And
is it possible for you to highlight , I mean , broadly a range of business size that we can expect
from these upgrades.
Management : Yes, Amit, two things. One is on the radar front, as we mentioned in our last couple of calls, we
have been developing AAAU with the DRDO and we are the part of that Virupaksha program ,
and that development is going on. We are expecting that our portion to get completed in next
few months , and hopefully the entire radar will be also be completed soon in this year or maybe.
As far as the EW is concerned, the pod jammer, we are part of that Angad program, again it's a
DRDO program , and we are the DCPP, one of the DCPP, as you're aware that they selected two
DCPP, we are one among them and that development program is therefore is going on with the
DRDO .
Amit Dixit: Okay, great. That's very helpful, sir. Thank you and all the best.
Management : Thank you.
Moderator: The next question comes from the line of Vikas Singh from ICICI Securities. Please go ahead.
Vikas Singh: Good morning, sir, and thank you for the opportunity and lastly congratulation on very good set
of numbers. Sir, just wanted to understand this revenue tripling guidance which we are giving.
So, do we expect what kind of capex we need to spend further ; in order to achieve that or majority
of the capex are already in place , and we just need to inves t working capital going forward?
Management : Yes, in terms of the capex, as you know every year , we are augmenting the existing requirements
by spending close to about INR40 crores, INR50 crores. So that will continue. Therefore, there
won't be an additional capex beyond this what we are doing normally. Working capital, yes,
depending on how the things are going to pan out, there will be working capital requirements.
As I mentioned in my call, there is a significant improvement happened in the working capital
cycle in the last year , by realizing significant amount of debtors through which are being held
up for various technical reasons. I would say that the improvement in terms of realization of the
receivables will continue .
Therefore, though the increased volumes call for higher working capital utilizatio

n, we should
be able to manage within the sanctioned limits as of today, thereby the finance cost and other
things are going to be more or less similar to what has been incur red by the company in the
current year.
Vikas Singh: Okay, so the working capital situation would improve further going forward ?
Management : Yes.

Vikas Singh: Understood. Thank you so much. Second, my second question pertains to our mix of the order book. Given that the space segment order book as a percentage, year start order book as a percentage has shrunk, how should we look at the overall margin mix basically? Because I understand that probably space is number one or number two in terms of our margin profile ?
Management : Definitely the space margins are better compared to even defence also, but when you look at the overall space sales contribution , in the overall sales of the company, it is just around 10% to 15% kind of thing. Therefore, the reduction in the space order book or overall space contribution to the sales of the company should not have any negative impact in terms of the overall margins .
Vikas Singh: Noted, sir. Can we can just correct me if I'm wrong, can we assume that given we are transitioning into a better product category going forward, our margins at least should be higher than what we have seen in the historical levels?
Management : See, the margins delivered by the company in the current year is about 55%. Okay? So, you are still expecting an improvement over 50 %-55%? Look at the industry standards. Yes, as we move forward, definitely there will be a change in the product mix of the company, but again it is subjected to various other variables. We feel that we should be doing very well by sustaining the current ma rgins achieved by the company, not only in terms of the gross margin but also in terms of various profit margin s.
Management : And added to that, we in as mentioned, our business model towards the exports also changed. In if you look at the historical data of till FY24 or so, we largely depend on that BTP business where our value addition was less and margins were very less. And we came out of that , and we are accepting orders only if the value addition is more. We are focusing in that and also, we are focusing on IP -driven products for the export market. That is the reason our margins have been increased in in last cou ple of years.
Vikas Singh: Noted, sir. And sir, lastly if I may ask .
Management: Okay, amid from a guidance perspective, I think we should very clearly state , this probably is the top end, you can actually you should factor in slightly lower numbers only on the margin front, so that there is no disappointment coming in at a later date. This is probably as best as it gets, if I may say so.
Vikas Singh: Thank you so much, sir. Just lastly if I can squeeze in one last question, in terms of our overall dependency on MMIC, so if you could explain that -- have we seen any problem so far or what is the percentage we are able to source in -house or domestically versus the import dependency there.
Management : If you look at the overall MMIC thing, as of now we have not encountered any issue and that production and as well as development is going very smooth. And second thing is as far as the dependency like yes, in all our subsystems, we are most of the active devices we are sourcing out from our in -house MMIC division .

And also, we are started promoting these MMICs to the domestic players and international players also. So, we are strategically looking at that particular business segment to enhance the product range , and also to meet the captive consumption and as well as to generate more revenue from the external market.
Vikas Singh: Noted, sir. Thank you and all the best for future.

Management : Thank you.
Moderator: The next question comes from the line of Sanjeev Zarbade with Antique Stock Broking. Please go ahead.
Sanjeev Zarbade : Yes, sir, congratulations for good set of numbers. Sir, in our presentation we have a slide which gives our total addressable opportunity of around INR28,000 crore s between FY26 to FY28. Now since FY26 has been passed, what kind of -- would you want to change this number in terms of addressable market for us for the next two years?
Management : Well, Sanjeev, the total accessible market remained same, but only there is a shift in the year as you know there are many programs got delayed for various reasons as these are all government - driven programs, depend on the budget and also depend on the pri ority these gets shifted . And also, few development activities got delayed at various levels. So, the overall accessible market remains same, but only thing is we instead of FY28-FY29 may go up to FY30-FY31. So that's the one thing and we are always focusing on that particular market to maximize our share of the business.
Sanjeev Zarbade : Yes, sir, and my next question is on the new initiatives like in terms of ground penetrating radars and the other developments that we are in the process making, how are we positioned there?
Management : Yes, ground penetrating radar and all , we have developed it with collaboration with one startup company. We have gone for some trials and there were few observations we've been addressing

that, and we soon we'll launch that product in time to come and to meet the customer requirement. But we started participating in few tenders.
Sanjeev Zarbade : Okay, sir. That's it from my side and all the best.
Management : Thank you.
Moderator: The next question comes from the line of Vansh Modi with S van Investments. Please go ahead.
Vansh Modi: Hi, am I audible?
Management : Yes.

Vansh Modi: Yes. Sir, I just missed your guidance on revenue. I heard you say that you expect to triple your revenue. Just wanted to know what the timeline would look like and what would be the drivers for this ?
Management : We are expecting at least next, down the line three to four years to triple the revenue or maybe you can say up to FY30 to FY31. So that's something which we are looking at based on the orders, timing of the orders and finalization of the contracts and all. So that's the one. And second question, what was your question?
Vansh Modi: What would be the growth drivers for this revenue?
Management : Yes, the growth drivers, there are many programs are there, both, you know, especially in the radar segment, we have seen clear visibility in to grow in airborne radar, fire control radar and surveillance and tracking radars and medium -range and long -range radars. So likewise in radar segment we have a huge opportunity in the industry.
Similarly in electronic warfare segment also, as I've explained just now, I mean we have we been there in the DRDO programs for some few of the airborne platforms which we are DCPP in that. So, we are developing that and once the development and qualificat ion get completed, we expect production orders to come from the services.
And also, apart from that, we are part of part and parcel of BEL major programs like Nayan Shakti , Hima Shakti , Shatrughna or some other, there are so many programs which BEL is integrating. So, we are the qualified subsystem supplier for these systems. So that business will continue for next four to five years, three to four years.
And in the other segment like in the missile and telemetry also, we are there -- in the some of the active seekers we have developed for couple of missiles. We are expecting few orders in next two to three years. And in space segment, we are expecting repeat orders for the some of the satellite programs from ISRO and also from t

he defence satellites.
So, these are all our growth drivers going forward. And apart from that, as Mr. Atim had mentioned that in meteorology business also we have developed Doppler weather radars, wind profiler radars, which are, you know, the production orders are yet to come. So, we are we already booked few orders, more orders we are expecting next two to three years.
Vansh Modi: Okay, thank you, sir. Just one last question. What is the current order book right now as you said you are planning to execute around INR1 ,600 crores in FY27? So just wanted to know what the current order booking is right now. That's it. Thank you.
Management : Yes, we have order book of INR2 ,141. This is order book standalone order book of Astra.
Management : And consolidated goes up to I mean consolidated is INR2 ,600?

Management : Yes, consolidated is INR2 ,600, but standalone is INR2 ,141. Yes.
Vansh Modi: Thank you, sir. Thank you for the detailed answer.
Management : Thank you.
Moderator: The next question comes from the line of Jatin Jadav with Sahasraj Capital. Please go ahead.
Jatin Jadav: Hello. Am I audible?
Management : Yes, please.
Jatin Jadav: Thank you so much for the opportunity. Most of my questions have been answered, but on a technological front just to gain a better understanding, I wanted to understand where does Astra Microwave essentially sit in the entire radar ecosystem relative to other similar companies, specifically like which layer of the radar architecture does do we participate the most : RF electronics, TR modules, Beam Forming, Antenna Design and so on and so forth. That's my first question.
Management : Yes, when we compare with the other industries working in the radar domain, the differentiating

factor here is we have grown from the component subsystems to the systems. So whatever systems we have taken it up to participate in the MOD program in service s, so we have been developing in -house the total with the complete IP with Astra.
It takes some time for us to come to this standard of, you know, global, you know, make, but, you know, finally the contribution will be better and also, we can be more competitive as compared to other players.
And as far as the overall business in the radar is concerned, I said we are continuing our participation in the DRDO programs for all the development in the ground and airborne programs and also, we are part we are partnered with BEL for the production pro grams as we are the qualified supplier for the during the development phase.
So that while continuing that business in subsystems and components, we are focusing in the systems for the MOD as Mr. Atim had mentioned, we have taken up few projects like to address directly to the MOD. Those projects are in development phase. Most like ly in next few months by the month by this year -end, I think we should be in a position to demonstrate to the user and to become a qualified supplier for this.
So, these we are growing in both, you know, subsystem -wise and as well as in the systems front.
And apart from that, we are also working out on to provide overall solutions. It is it is not only a system; it is a complete solution to the end user including couple of systems mounted in the one platform.

That we more details will be shared to you in a time to come, but we are focusing on that and that those programs are also in very active stage of, you know, completion. So, by November I think we should be in a position to roll out at least one or two sys tems.
Jatin Jadhav: Got it, sir. My second question is kind of like a follow -up on this only. So, over the time, yes, over 30 years, so you've developed in -house IPs and technological capabilities and so there you've positioning yourself very strongly in the ra

dar ecosystem .
So, based on that, I wanted to understand, for example, is it possible for us or let's say a similar company to divulge into different types of radar? Let's say right now if we can cater to AESA radar, then can we shift to a let's say surveillance radar ba sed on the complexity there, SAR control radar, probably a small seeker also. Is that possible based on our current capability?
Management : Got your question. See, apart from the current business of the radar, we are also we are working in the futuristic technologies like we have recently developed and delivered major subsystems for the digital array radar for DRDO and that is giving us edge to get more orders in the digital array radar.
And similarly, we have developed photonics radar, which is working on the optical domain and that also with collaboration with one startup company we have developed this overall solution with for the DRDO and we are successfully delivered.
So, these are the few technologies which are new futuristic, you know, the technologies for in the radar domain which are we've been working. So, we are continuously working on this domain and also for existing radar we are optimizing the technology.
For example, to minimize the size of the array and all like, you know, since we have the components within the company, so we are in a position to scale down the overall size and form factor so that, you know, to offer miniaturized size radar for the futur e. So, these are all we've been working continuously to make sure that we should be in a better position as compared to the competitors.
Jatin Jadhav: Got it, sir. Thank you so much. I'll get back into the queue for follow -up questions.
Moderator: Thank you. The next question comes from the line of Prerit Jain with Motilal Oswal. Please go ahead.
Prerit Jain: Yes, thank you for the opportunity. Sir, I only have one question. Can you please give us an update on the QRSAM and Uttam AESA radar orders? Like you earlier mentioned that there have been some delays in some of the orders from DRDO side itself? So, can you give us an update on that and whether these orders will come all together and the execution will be panned out in subsequent years or even the orders will come in batches?

Management : Yes, as far as the Uttam radar is concerned, the negotiations have been started with the HAL, as

you know they have been negotiating is because of the big size in contract, so we have already are, you know, started and I think it is almost reaching a fina l stage.
I think we are expecting, you know, this particular order sometime in the Q2 or Q3 and as the process is more like, you know, to place the order. So, but as far as today's position, as on today, negotiations are on for Uttam radar with HAL. That much I can tell you. And second is on the QRSAM front, as probably you're all aware with the BEL stated that, you know, they're expecting contract by June or so.
So, we also expect orders beyond, you know, once the BEL get the order. But before that, we are we're expecting the FOPM version, that is first of production model, which they got clearance from internally the board, they are placing orders on vendors, all vendors. So, we have started receiving small quantity for that FOPM model. And once after they get the main contract, we expect the orders in next, you know, three to four months from their order.
Prerit Jain: Got it, sir. Yes, that is all from my side. Thank you.
Management : Yes.
Moderator: Thank you. The next question comes from the line of Sahil Karia with White Pine Investment Management. Please go ahead.
Sahil Karia: Yes, thank you for the opportunity. I just wanted to ask on the like what are the timelines for this Su -30 upgradation program for both radar and the ASPJ pods? By when can we expect the production orders to come in?

Management : Yes, I think I've answered this question just while some time back, but anyway I again repeat. For the radar, the AAAU which we have taken up development, that is on I think next two to three months we should be in a position to complete the development a nd hand over to DRDO. And in all probability, I think in maybe FY28, DRDO will be ready to qualify the overall radar. But we cannot comment on behalf of DRDO. We are expecting that this will be completed in next financial year. And similarly in the EW front also, we are taken up as a DCPP for that overall program and it is in the development -cum-development phase and we a re expecting next one year that also we should be completed and gets qualified. So soon after qualification, we hope to get production order from the services.
Sahil Karia: Sir, the reason behind this was on Bharat Electronics call, they had mentioned that the Su -30 program is still in the development stage and it would be in the same stage for the next five years. So just wanted a colour from your side that like do we receive the production orders after five years or like how it would be?

Management : No, as I said, you know, the next year probably next FY28 I think radar should be get qualified, but, you know, the user qualification and all may take another one more year and so thereafter I think, you know, maybe next two to three years will take time to get the production orders. This is what our expectation as far as the progress is concerned.
Sahil Karia: Okay, thank you, thank you so much. That's all from my side.
Management : Thank you.
Moderator: Participants, you may press star and one to ask a question. The next question comes from the line of Balasubramanian from Arihant Capital Markets. Please go ahead.
Balasubramanian: Good morning, sir. Thank you so much for the opportunity. Sir, our exports has been declined because we are moving away from low -margin build -to-print business. I just want to understand what is our current margin on this build -to-print and other design -led export orders? Just wanted to get the difference between both, sir?
Management : Margins, see as I mentioned like, you know, the low -margin BTP business we have left it out and we are not addressing that particular market. We are only addressing market in exports where our value addition is more and margins are much better than the BT P market. So here although it is BTP, but our value addition is more and the margins as Mr. SGR had already mentioned, it is around 45% as compared to the single -digit figure in the BTP business.
Balasubramanian: Okay, sir. Sir, my second question on the JV, we have seen just INR1 crores share of profit from JV in FY26, but in earlier con -call we have mentioned around ARC revenue of INR350 crores with 10% to 12% PBT margin. Just want to understand is there any si gnificant cost in terms of technology transfer fees, royalties, or any pre -operational expenses on the JV level?
Management : I think INR1 crores profit you are referring to the quarter, otherwise for the year, no, it is around close to about INR8 crores. That is the share of profit after tax, that is from the JV. Yes, during the current year, of course R&D expenditure is alway s there. In addition to that, there is a foreign exchange provision which the company has to make.
So, because of that, close to about $2 million of provision was made in the books of accounts.
As a result, the overall profitability has come down. But otherwise, the share of profit from the

JV for the entire year is close to about INR8 crores after tax.
Balasubramanian: Got it, sir. Thank you.
Management : Yes.
Moderator: The next question comes from the line of Darshil Jhaveri with Crown Capital. Please go ahead.

Darshil Jhaveri: Hello. Good morning, sir. Thank you so much for taking my question. Sir, a lot of my questions have been already answered, but just a few regarding the 3x target. So, number one, it would be kind of like a asymmetrical growth, right?
Like that we would be having like it would because of our product approvals, a lot of this growth would come towards the end, like FY29 - FY30. Is that a fair assumption, sir? And are we including the JV's revenue, our share of JV's revenue in this or what the -- or this is just stand - alone, sir?
Management : Let me answer this, MV. Yes, you're right, absolutely. It is going to be rear -ended. There are basically five or six major programs which are driving this as I think I alluded a couple of times now. We have QRSAM, we have Uttam radars, we have Su -30 Viru paksha, we have Su -30 Angad, and we have regular business which we do for our JV and also maybe, you know, electronic mines, for example, is a big area for us, okay?
So, these so it is only just these five or six programs that we're talking about which will lead us to the kind of numbers which we have indicated. We are not factoring in our export potential out here. We are not factoring in a whole lot of other programs which we are a part of and I think MV alluded to a lot of BEL programs, you know.
That's all gravy on the top as and when it comes in, it keeps adding to our bottom line and makes up for some delay or some mishap that happens, so which can pull back this number. So, there's enough flexibility and depth built into these numbers to achiev e them in four and a half to five and a half year time frame.
Darshil Jhaveri: Oh, okay, fair enough, sir. And sir, just wanted to understand for the JV, we are kind of I think targeting around INR600 crores revenue this year. So, what would be the margins in this like business? What can we expect to hit our P&L, sir? Rough range w ould also be fair enough, sir.
Management : Yes, definitely it is going to be an improvement over the current year. EBITDA, I think around 18% to 20% is what is being projected by the company. So, basing on that, on INR600 crores top line, at least about INR20 crores plus of will be our share of p rofit for the entire year. That is what I am expecting as of now.
Darshil Jhaveri: Okay, okay, fair. So, we I think in the past had said around 10% PBT, so INR20 crores would be a kind of a lower PBT. So, what would be so is there higher depreciation or interest cost that, you know, something that eating up or how would you say?
Management : See, I have given the number at a lower end. Let us wait for the year to proceed. When I said INR20 crores, that is a minimum. Let us see how the things proceed.
Darshil Jhaveri: Okay, yes, fair enough. That's it from my side. Thank you so much, sir. All the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for their closing remarks.
S. G. Reddy: Thank you and thank you for your presence. I guess we had a good discussion and we wish to meet you again at the end of Q1. Thank you very much.
Dr. M. V. Reddy: Thank you.
Atim Kabra: Thank you, thank you guys. Take care.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Astra Microwave Products, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.